Cipla Ltd. (CIPLA)

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Call: May 2023

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 24826000 F +91 22 24826120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r
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16th May 2023

(1) BSE Ltd
Listing Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 500087
(2) National Stock Exchange of India Ltd
Listing Department
Exchange Plaza, 5th floor
Plot no. C/1, G Block
Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Scrip Code: CIPLA
(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q4 FY23 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 4 FY23 earnings conference call dated 12th May 2023. The transcript is also available on the Company's website i.e., https://www.cipla.com/sites/default/files/Transcript- Q4FY23 -Audited -Financial- Results - 31March2023.pdf .

Kindly take the above information on record.

Thank ing you,
Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary
Encl: as above

Prepared by: Chirag Hotchandani

"Cipla Limited
Q4 FY '23 Earnings Conference Call"
May 12, 202 3

MANAGEMENT : MR. UMANG VOHRA – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – CIPLA
LIMITED
MR. ASHISH ADUKIA – GLOBAL CHIEF FINANCIAL
OFFICER – CIPLA LIMITED

MR. NAVEEN BANSAL – HEAD-INVESTOR RELATIONS –
CIPLA LIMITED
MR. AJINKYA PANDHARKAR – INVESTOR RELATIONS
TEAM – CIPLA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Cipla Limited Q4 FY '23 Earnings Conference Call. We've been joined by: Mr. Umang Vohra, MD and Global CEO, Cipla Limited; Mr. Ashish Adukia, Global CFO, Cipla Limited; Mr. Naveen Bansal, Head, Investor Relations, Cipla Limited; Mr. Ajinkya Pandharkar, Investor Relations team, Cipla Limit ed.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing sta r then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajinkya Pandharkar from Cipla Limited. Thank you, and over to you, sir.

Ajinkya Pandharkar: Thank you, Dorwin. Good evening, and a very warm welcome to Cipla's Q4 FY '23 earnings call. I'm Ajinkya Pandharkar from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements, which are p redictions, projections or other estimates about our future events. These estimates reflect the management's current expectations of the future performance of the company.

Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Cipla does not undertake any obligation to publicly update any forward -looking statement, whether as a result of new confirmation, future events or otherwise.

I would like to request Umang to take over.

Umang Vohra: Thank you, Ajinkya. Good evening to all of you and I appreciate your joining us today for our fourth quarter earnings call for financial year '23. I hope you have received the investor presentation that we've poste d on our website. I'm pleased to share that we continue to make significant progress across our strategic priorities. In fiscal year '23, we recorded the highest ever revenue and EBITDA, including several major milestones in our One India and U.S. business es, pivoting our business on an accelerated growth and a strong margin trajectory.

We also continue to invest capital across multiple growth initiatives, including investments in the complex pipeline in new science into our big brands and expanding our co nsumer portfolio among others. I would like to cover some key themes that have played out in our financial performance for the last year. One of the key themes is delivering market -beating growth in our focus markets of India, South Africa, United States a nd some of the large emerging markets.

Our India branded prescription business delivered sustained momentum across all our therapies, achieving 13% excluding COVID year -on-year growth while the IPM growth was 8% as per IQVIA at March '23.

Importantly, our overall share of chronic therapies expanded year -on-year by 300 basis points to 59% of the total portfolio, an 80 basis points increase in the market share from -- in the market

share for the chronic therapies from 7.5% to 8.3%. We do not expect the NLEM pricing impact to influence our growth significantly as it will be balanced via allowed price increases and continued volume growth. This business has consistently posted market beating growth for 2 consecutive years as per IQVIA.

In South Africa, Cipla grew at a 3 -year CAGR of 8.9% faster than the market, which is growing at 4.4%. Our focus continues on driving market -leading growth and increasing our share in the market of South Africa. I will cover the U.S. market subsequently. Within Ind ia, the other focus area for us has been growing our big brands across all our businesses. In India branded generic, we now have 21 brands featuring in the t

op 300 brands and which are over INR100 crores of sales as per MAT March '23. In our trade generics business, we have 8 brands that are above INR50 crores of sales and are much larger in volume terms catering to the length and breadth of the country.

Cipla Health has successfully transitioned and consumerized some of the existing brands into megabrands with sales of over INR100 crores. This has been achieved through leveraging brand strength to its maximum deepening market penetration, significantly higher consumer -oriented packaging and positioning. Our India consumer franchise is already tracking at INR1,000 crores plus on an annual basis, and we expect the EBITDA margin to move closer to mid -teens in FY '24 and grow sustainably from there on.

I'd now like to talk a little bit about our U.S. market. One of our core themes has been to broaden our pipelin e in this market. We are pleased to share that our U.S. business has crossed $200 million for the first time in this quarter. The full year for this business stood at $733 million, growing over 23% from last year. This has been achieved through our pipelin e and execution. We had announced a peptide pipeline earlier in FY '23, and this has added a new muscle of institutional capability and portfolio, which we aim to further enhance. Our lead asset of lanreotide now has 17% share in this market.

While launche s are a focus area for all markets, noteworthy of the 50 -plus launches in India, trade generics market and the 32 brands launched across multiple therapies in South Africa. This new leg of revenue in South Africa is likely to offset the reduction in the te nder business and the margin pressures we have seen recently.

We continue to invest in growth franchisees. In line with our strategy to continue our focus on expanding our One India franchise towards the higher share of chronic therapies, we recently signed a perpetual license agreement with Novartis for Galvus and its combination brands, which, as per MAT March '23 IQVIA had reported sales of nearly INR270 crores. This will be a strong strategic fit to strengthen our IBDs portfolio.

We also entered into a strategic partnership to market and distribute Scapho, a human IgG1 monoclonal antibody used for the treatment of psoriasis. In Cipla Health, we acquired Endura MASS, a renowned nutritional supplement, which has a niche positioning in this market. While we continue to invest in brands, we also focused investments in enhancing people capabilities

in the field force. In -- over the last 2 years, our field force in India has grown by over 800 people.

Our R&D investment continues to increase. In terms of pipel ine, we've made significant progress on initiation of trials across some of our complex products. On the pipeline front, we have 3 differentiated products undergoing clinical trials with filings targeted in FY '24.

Our last but most clinical theme has been to derisk our U.S. portfolio. Our U.S. supply continues to be well diversified across all our sites and partner sites in -- and partner sites from our partners.

On our compliance front, at Fall River, Massachusetts, we recently completed the CGMP audit, which resulted in 0483 observations. We have approval to produce our respiratory assets in this facility. Respiratory assets are being derisked to this in -house facility.

For Indore, we expect classification by mid -May. However, we do not see any risk to commercialize product portfolio. Generic Advair is already being derisked to another in -house facility. Remediation efforts are ongoing for our Goa facility, and we expect a CAPA completion by end of Q1. Reinspection is required for plant clearance, which is being targeted for quarter 3.

Our generic Advair file is now solely dependent on the facility approval, having cleared all other questions from the agency. We have already commenced the de

risking process for this product,
as I mentioned earlier, to our ot her in -house facility. The value stays intact as no new generic is expected before we launch.

Nanopaclitaxel is being used, as I mentioned earlier, to a partner CMO site, and exhibit batches are being taken. We expect to be able to supply from 2 sites by f iscal year '25. We don't see any change to the value of this product as well as there are clearly no generic launches till date.

With this, I would now like to invite Ashish to present the financial and operational performance.

Ashish Adukia: Thank you, Um ang. This quarter, we witnessed strong performance across all our core businesses with overall expansion and profitability. The quarter reflects our consistent performance in One India with better than market growth and our performance in our differentiate d product launches in U.S., which was done earlier this year.

Coming to the key financial highlights for the quarter. Overall, we are pleased to report a quarterly revenue of INR5,739 crores, with full year revenue closing at INR22,753 crores. The overall revenue growth for the quarter was at 9% Y -o-Y on a reported basis and on ex -COVID basis, a strong 14% growth. And for the full year, the same number on a Y -o-Y growth stands at 5% on reported and 11% on ex -COVID basis.

Our One India franchise further expa nded its market share in a traditionally weak seasonal quarter by growing at healthy 16% on an ex -COVID basis on back of extended countrywide flu season. The North America business reported a highest ever revenue driven by traction in the

differentiated po rtfolio with revenue of $733 million, growing at 23% Y -o-Y.
Our free cash flow generation and operating efficiency continue to drive our healthy net cash position. Our reported ROIC for the trailing 12 months stood at about 24%, which is over our long-term range of 17% to 20% that we've talked about earlier. In line with our expectation,

EBITDA margins stood at 20% plus for the quarter on a reported basis, whereas we ended full year at robust 22%. This EBITDA margin is not including other income. Our EBITDA margins for the year subsumes the impact of lower -than-anticipated SAGA performance, a high inflationary market and a higher R&D spend and certain COVID provisioning. Adjusted for COVID, the margin for the full year stood at 23%.
Higher R&D investments dr iven by ongoing clinical trials on differentiated assets, as well as other developmental efforts, including contribution to biosimilar JV was higher in the quarter by 15% versus last year and is part of our profitability model. Our reported gross margin af ter materials costs stood at 64% for the quarter, which is 480 basis points above last year's figures, driven by contribution from new launches and overall mix change. As you may recall, last year, we had onetime COVID charge of inventory provision in quar ter 4, which had impacted the reported gross margins.
Total expenses for the quarter, including employee costs and other expenses, which stood at INR4,565 crores, up by 3.7% on a sequential basis. The other expenses, which includes R&D, regulatory, quality , manufacturing and sales promotions are at INR1,537 crores, increased by 6.1% sequentially, driven by judicious promotional and growth link investment. Total R&D investment for the quarter are at INR371 crores, about 6.5% of revenue and were 15% higher, like I said, on a Y -o-Y basis. R&D expense for the full year stood at INR1,344 crores, which includes material cost, depreciation, etcetera , etcetera .
Profit after tax for the quarter is at INR526 crores or 9.2% of sales, adjusting for onetime impairment ch arge on account of divestment of certain noncore assets in Africa and Middle East, adjusted PAT stood at INR708 crores, which is 12.3% of sales. The adjusted growth rate over last year is 436 basis

points and adjusted ETR, effective tax rate, is at 24%.
Full year PAT is at INR2,802 crores while adjusted PAT is INR2,984 crores to 13.1% of sales.
As of March '23, our debt primarily constitutes ZAR 720 million in South Africa. We have repaid our working capital loans of about $50 million in the U.S. given the interest cost environment.
Turning now to our outlook. We established strong threshold for revenue growth and operating profitability with core margins trending in the 22% range.
To close, we saw robust momentum across portfolio and geographies for FY '23. The growth levers in the subsequent quarters will include continued market beating growth across One India, prescription, trade generics and consumer health. Full year operating profit in line with our guidance of about 22%, which includes continued i nvestment in R&D programs.
Robust traction in our North America franchise across complex portfolio and continued contribution from respiratory and peptide products, creating a more resilient business through de-risk portfolio and supply. And lastly, incuba te and drive growth in stable geographies in international market.
I would now like to thank you for your attention and will request the operator to open the Q&A.

Moderator: The first question is from the line of Tushar Manudhane from Motilal Oswal Financi al Services.
Tushar Manudhane: Sir, first one, while this is derisk to another in -house site, will that require reinspection?
Umang Vohra: Yes. It will probably require an inspection at that site since this will be PPI product from that site.
Tushar Manudhane: Sir, secondly, while this might take some time, even nanopaclitaxel, adding this to FY '25. And at least as per the presentation, we have seen maybe just 2 to 3 final approvals in FY '23. So how should one think about FY '24 growth prospects for North America business?
Umang Vohra: Yes, I think we are signaling fairly -- signaling a fairly significant growth even this year as compared to the rest of the reporting universe.
Tushar Manudhane: That is on the back of Q4 sales run rate primarily?
Uman g Vohra: I'm talking about all of last year, and I think that is on the back of continued traction in lanreotide continued traction in some of our existing product families and where the market itself may be expanding. As well as the -- so I think those 2 factors should result in continued profits in the

U.S. portfolio.
Tushar Manudhane: And just on this depreciation quarter -on-quarter, from INR270 crores to INR346 crores. So if you could clarify this?
Ashish Adukia: Yes. So I think the depreciation figure that you're talking about, some increase that you're seeing out there is on account of some of the impairments in the intangible assets that is taken. Every year...
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dham esha: So first one on the domestic consumer health business. It seems like 9 -month run rate was around INR975 crores plus. And full year, we have done INR1,022 crores. So there is, I think, significant Q -o-Q deceleration because H1 was INR675 crores. So fr om INR300 crores a quarter, we have gone down to INR47 crores. Is it seasonal? Or there is more to it?
Umang Vohra: It's seasonal, we have a portfolio which is fairly large for the summer months in terms of things like ORS. And I think that's the reason wh y you see a fair amount of sale in quarter 1 and quarter 2.
Kunal Dhamesha: So it's expected to recover, right?
Umang Vohra: Yes, yes, yes.
Kunal Dhamesha: And as far as generic Advair is concerned, I was under impression that it requires a specific production line, right? Now we are transferring it to another site. So would it mean that we would be putting another line for it? Or how does it work?

Umang Vo

hra: Yes. There will be another line that will be put up, a different line that will be put up in th e new facility.
Kunal Dhamesha: And would you be sharing what would be the expense related to that, capex.
Umang Vohra: Not much, not significant in the scheme of things for the product or for our overall franchise of GPI because now our strategy is to try and file every product that we are doing on the respiratory side from 2 sites and not 1.
Kunal Dhamesha: And last one from my side. U.S., we have reported $200 million plus. Do we believe that this is expected to be sustainable in the coming quarters? Or there will be some variation here and there?
Umang Vohra: I think we had guided last time that till the range of $190 million to $195 million, we expect that should -- that's a good trajectory for the base business.
Moderator: We have the next question from the line of Prakash Agarwal from Axis Capital.
Prakash Agarwal: Just trying to understand this better. So we mentioned about nanopaclitaxel in '25. So where is there a time line guidance that we are giving? Or we're just saying that, okay, we are der isking and we have another facility and probably in the next 12 months, we'll see something? Or just in terms of some time line would be useful.
Umang Vohra: I think from now, Prakash, a time line of about 12 months or so for most products is something which is probably a good average to take.
So if we are faster than this, it will be -- if the facilities get here, where they are filed from right now, then the launches are imminent. If the facilities do not get cleared for whatever reason, then this deriski ng operation will result in a product in the next 12 months.
Prakash Agarwal: Specifically Advair, so unlikely to be within 12 months?
Umang Vohra: Yes. Advair would be slightly longer than 12 months, but nanopacli has a good chance within this. And there 's a third product also that is being derisked.
Prakash Agarwal: Yes. So that was my second question. In terms of -- in the last couple of quarterly calls, you had shared presentation, which had some color on the pipe on respi and peptide products. So how are we on the remaining products?
Umang Vohra: No, I think for every product that we are going to be filing for which the trials may have started or what we will be filing from 2 sites now. So I think that is a decision we have taken. Which are the big pro ducts will all be filed and will have derisking within the filing. But the 3 products that we had guided to earlier, there's a large share of our product pipeline that comes from outside, including -- which includes most peptides in our pipeline.
And then in these 2 specific things, rather than keep waiting for the outcome of the inspection, etcetera , we are now moving to a strategy of derisking them at the fastest pace that we can.

Prakash Agarwal: And that would be what $2 billion, $3 billion kind of addi tional costs or it's a higher cost to the bid?

Umang Vohra: No, I don't think there's a cost -- there's no clinical trial on this; on any of these products that we think is required.
Prakash Agarwal: Okay. And just to tie that up, so R&D, the new -- or the increased efforts, which is a Y -o-Y increase, etcetera. So while the respi and peptide pipeline you showcased, so what is the new or the existing areas we are investing in for the next 3 year growth?
Umang Vohra: I think it is largely respiratory. Respira tory peptides, I think between these, there's a fair number of assets that we have.
Ashish Adukia: Yes. Just to further clarify, see one is, what stages these assets are in? So some of these assets are in clinical stages, so that's why the expenses are hig her. And then there is biosimilar as well the development cost that is included in that. So biosimilar is beyond these respiratory and peptide.
Prakash Agarwal: If

you allow, I'll ask one more question. So Q3 around December -- November, December, we had t he [inaudible 0:24:30] impact on a few of the products, inhalation products also. And price has come down. So how has been the response in the Jan to March quarter for those kind of products? Have you seen material change? And obviously, in April, you woul d have taken price hike, you mentioned that you don't expect the volume to come down. So if you could just give more color on these 2 aspects would be great.
Umang Vohra: Yes, I don't think we're seeing any significant change in the market because of eithe r the impact on pricing either way. Let me put it that way. I think the volume growth continues to be strong, irrespective of the action, and the price decreases are already in the numbers.
Prakash Agarwal: Yes. Already within the numbers, but price hike w ill take time to -- or it would start coming in from the current quarter itself?
Umang Vohra: That's right. So the price hike impact will start coming in from quarter 1. It will start coming, but it builds up depending on when the price hikes were taken for the product in the previous year. So the real impact of price hikes will start showing up in quarter 2 and quarter 3.
Prakash Agarwal: And finally, any read on the volume decline seen in April month? I mean while respiratory anti - infective did fa irly well. But on the market level, volume was surprisingly low.
Umang Vohra: Actually, our category is on volume, they seemed okay even beyond respiratory and anti - infective. We haven't seen much of a concern. Actually, our volumes are higher than the mar ket based on what we know.
Moderator: The next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: Coming back to Advair, Umang, can you clarify, like I missed your initial comments. So you mentioned Indore FDA status will be known in mid -May, and this plant will be likely audited in third quarter. Did you mention that?

Umang Vohra: No. What I mentioned was that right now -- so there are 3 things I said on Advair. I'll just recap them forward again. First is that the file has c leared the entire -- everything else from the FDA other than facility? So there are no other pending questions from the FDA on the file, from what we have received so far.
The second thing is, if in dollar cleared, then there is an imminent launch for it; Advair. Having said that, we are also derisking the asset because it's always good to have 2 sites of manufacturing for an asset of the type of Advair or nanopaclitaxel. And so therefore, this asset is being transferred to another in -house site, which is -- which will take perhaps another 12 -odd months. And that's what we are doing. So the asset will get transferred and there'll be new batches, and then we will file. So the time line for Advair shifts by a year if the Indore outcome is unfavorable.
Damayan ti Kerai: When is Indore plant audit, do you think you -- you have any date.
Umang Vohra: No, no. The Indore plant audit has happened. I think we will hear the final -- the FDA classification of it, hopefully, sometime in May.
Damayanti Kerai: And like yo u have derisked it to another plant. So there also, you need fresh FDA audit or since that plant is clear, it's not required or it's required.
Umang Vohra: Probably. Probably, there will be an audit needed at the new site as well. Because this will be the first PPI from that new side.
Damayanti Kerai: Is it from Invagen unit, like where you are --
Umang Vohra: We're not actually giving that level of detail, but yes, it will be a site, not in India.
Damayanti Kerai: My second question is, what is the ratio nale for Galvus deal because we understood like there are multiple competitors, all the brand is big, but nonetheless, it's a very competitive space. So what is the rationale for going into this

perpetual deal?
Umang Vohra: These chronic therapy brands nev er die, they keep increasing in scale and size. And the second -- so that's number one. Number two, this is a relatively large brand in the diabetes segment and

Cipla historically always been a big respiratory player but not that big in the diabetes area. That's to 3, the market actually for Galvus was found almost 2 years back or 3 years back. So we are not buying at a time when the market is just about the general size, right? It's a relatively stable market. And four, we believe that with our reach and o ur penetration, we will be able to impact and increase the sales of Galvus year -on-year.

Damayanti Kerai: My last question is, you mentioned you have added 800 MRs in last 2 years and your presentation mentioned that you will be adding another 1,000 -plus p eople between '23 and '24. Is that correct? And what kind of, I would say, cost build up we should set for these kind of sales force expansion?

Naveen Bansal : Yes. Damayanti, just a quick clarification for what Umang mentioned of 800 plus. So that is basic ally FY '22 and '23. And the number that you see on the presentation is 1,000, which is FY '23 and '24. So there's obviously an overlapping year between the 2 statements of FY '23. So it's

only the incremental which will be added in FY '24. And in terms of the focus area, as you have mentioned, the idea here is not to add field force across the board. We are basically investing behind therapies and largely chronic, as Umang mentioned, which includes respi, diabetes, etcetera .

Damayanti Kerai: So between FY22 and FY24, what is the total increase in head count, if you can specify that?

Naveen Bansal : Damayanti, maybe we can come back on that 1,000 - over 1,000, yes.

Moderator: The next question comes from the line of Rohan Vora from Purnartha Investm ent Advisers Private Limited.

Rohan Vora: So just one question. So I just wanted to understand how you look at transferring the asset to some other sites versus transferring it to -- so you said that you are transferring it to an in -house side. So do you c onsider options of any other CMO probably in getting it manufactured from there? And have you considered it for your existing products?

Umang Vohra: Yes, we have considered this. And yes, I mean, nanopaclitaxel is going to a partner site. It's not going to our own site. So yes, we do consider options of others as well.

Rohan Vora: And Advair is going to your own site?

Umang Vohra: Yes.

Moderator: The next question is from the line of Surya Patra: from PhillipCapital India Private Limited.

Surya Patra: Sir, just the first question is on the U.S. business as well as the India business. So based on the prescription trend, what we have witnessed for, let's say, Revlimid in the U.S. and as per the data, I am sure in India. So the growth number for both U.S. as well as India looks relatively lower. How should we read this because, let's say, for Revlimid, if I talk then for a specific set of prescription amount of your competitors would have reported a much higher number, and we have booked relatively much lesse r. So whether there is a timing gap in terms of booking and prescription trend for U.S. And in India, whether the numbers we have reported single -digit growth in the domestic market, it is compared to the prescription trend, what is given not matching.

Umang Vohra: I'm not sure what your sources for prescription trend is, but our numbers seem to suggest on India that both the prescription trends as well as the IQVI, whatever numbers that we are getting, both are actually moving in the same direction. So I'm not sure -- you can send us the details, and we'll take a look at it and try and come back to you with a more informed answer.

Surya Patra: About Revlimid?

Umang Vohra: Yes. On Revlimid, I see, it is all dependent

on the arrangements the companies hav e with the branded player. So some others may have arrangements, which allows them more volume than potentially what allows us. So that's the reason you will see higher sales and contribution for some others versus us.

Surya Patra: And the volume on both, just a clarification, sir, the volume number and the prescription count to both are significantly different to really consider or they should move parallely?

Umang Vohra: And this is for which market, the U.S.

Surya Patra: US.

Umang Vohra: Yes, the volum e number because this is a -- there can be a lead lag here. I think the reason is that the volume number may lag the prescription number because of the fact that these are through specialty pharmacies as well.

Surya Patra: So my second question is on the p rofitability of the consumer health division. So obviously, we

are seeing a kind of a consistent progress and so it's a full year presentation and discussion. So if you can give some sense what is the kind of a profitable progress of that? And how is that you are seeing going ahead, let's say, next 1 or 2 years, contributing to your overall margins?
Umang Vohra: So our objective is for this business to get into the higher range of the mid -teen to double -digit profit growth, double -digit EBITDA level in the next -- in this year. So we are hoping that that's where the profitability ends up for the consumer franchise. And once that level is hit, then I think it will slowly, over a period of the next 2, 3 years, graduate towards the company average.
Surya Patra: Just last question, sir, on the U.S. business again. So how big a concern for your growth in the U.S. in FY '24 due to A lbuterol , whether Albuterol , you say concern for you the kind of competition what we are witnessing and how big are opportunity that you are factoring the Revlimid for your FY '24 growth?
Umang Vohra: I think Revlimid is in the numbers. And it's all as per the agreements that people have signed, as I said earlier. So it's already in our numbers. I think on the other question that you raised on Albuterol as you told, the market is constantly growing. There is one category which is constantly growing in the U.S., and we hope to participate in the growth there.
Moderator: We have the next question from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Umang on lanreotide, if I were to look at the latest data, we are close to about 18% market share. I know we've guided to about 15% exits doing much better than that now. How should we look at market -- sort of the volume share that we can get in this product, given there's not too much -- there's no competition at the moment? Or is -- are we -- is incremental market share for this limited by capacity?
Umang Vohra: Neha, not completely by capacity, but it will be limited by how the market accep ts the product. So I think it will be a gradual rise, which is what we had guided even earlier. It's not going to be -- because it's a B2 product. So I think it will be a gradual rise. I think we're slightly better than what we thought we'd do. And our obj ective is to keep it -- so I don't think it will be -- we're not suddenly going to increase share in this category, but over a -- a share increase will be there gradually over the next couple of quarters.

Neha Manpuria: So nothing -- if the product continu es to be accepted by the market -- okay, we'll be able to grow the share for that?
Umang Vohra: Yes.
Neha Manpuria: And second, on the India market. As I look at FY '24 and given the competitive intensity in the market appears adding sales force, etceter a. What's your view on how much Cipla can grow, keeping in mind the industry growth and the NLEM changes. There's also talk about change -- regulating the multiple brand

s in the same molecule, etcetera .
Umang Vohra: I think the India market, there, we see the growth -- I think there is no competition. There's no doubt about it. But what we are also seeing, we are seeing 2 aspects Neha. The first is we are seeing a pretty strong Tier 2 to 6 growth, and that is feeding some of our products that are in the areas of respiratory and anti -infectives because those are the type of products that will deepen in India. We're also seeing a very strong growth on our generics business in this side of the market.
And I think on the Tier 1 markets, we are seeing a trend where therapies are getting upscaled, which means that if somebody is taking, for example, a diabetes drug, which was an oral they're now migrating to perhaps take obesity drugs and better diabetes drugs that could be injected, right, which are slightly more costlier. So we're seeing this migration constantly in Tier 1 towns, where people are moving up the therapy ladder. And in Tier 2 to 6 towns, we are seeing pretty -- a deepening of health care. So a lot of our expan sion is in Tier 2 to 6 and in the areas of respiratory and anti -infective.
Neha Manpuria: And this should allow us to continue the market meeting growth that we've seen in the last 2 years?
Umang Vohra: Yes. That is -- we are hoping for that. Yes.
Neha Manpuria: And last, if I may, Ashish, what would be the R&D guidance for FY?
Ashish Adukia: Yes. So we continue to be in the same range of about 6% -- 6.5% as -- because for the reasons that we've talked about, the derisking strategy, etcetera .
Neha Manpuria: In which case, given that we'll see growth in India, U.S., given amongst commentary U.S. growing. Any reason for keeping the margin guidance at the 22%?
Ashish Adukia: So there are other investments as well. So our R&D is there and we are investi ng in people cost as well, which goes into the P&L and not necessarily as an investment. So given all those things and plus, if you look at the material cost because of further inflation that we've seen in the last year, we have, of course, taken a lot of steps to control that cost increase but that also seems to be more at a stable rate rather than reducing. So given all those things, I think we continue to be

-- to maintain about 22% range.
Moderator: The next question is from the line of Bino Pathiparam pil from Elara Capital.

Bino Pathiparampil: Umang this nanopaclitaxel, has a patent, which expires in October 2024. Do you think that is a relevant data point from the perspective of competitive intensity in the market?
Umang Vohra: I'm not sure that, tha t's the -- that's what's holding the market formation at this stage.
Bino Pathiparampil: Is there any update on the generic filing for Dulera from your side?
Umang Vohra: Bino, we're not going to comment on that. I think as and when we have more clarity, w e will certainly come and give you more clarity on that. But we're not commenting on it. I'm not sure that at this stage -- I do know I can tell you that Dulera is there for the U.S. but not for the -- for Europe, but not -- I don't want to comment on the U.S. specifically.
Moderator: The next question is from the line of Nithya from Bernstein.
Nithya: Umang, can you give us an update on the partner respiratory asset. I think a couple of quarters ago, you had mentioned that it's now in the 9 -month revenue cycle.
Umang Vohra: Yes. Nithya, that's the third asset we spoke about in the derisking and that asset, I think that asset is -- currently batches are being taken for it in our facility in the U.S.
Nithya: So that was from Indore and therefore, you're no w adding another facility.
Umang Vohra: That was from Goa actually, not Indore.
Nithya: Umang, can you also talk about 2 other respiratory assets. Q1, which we know there is a litigation out there, so we know you are

kind of Symbicort, where you have regi stered a clinical trial. If you can talk to us about what is the current state of these 2 assets?
Umang Vohra: Nithya, I'm not sure we can give too much detail on QR considering the proceedings in the IP court. So it's very much part of the pipeline, and t here is progress on the product, but it's currently in sub judice. So we can't comment on it.
Nithya: Symbicort, what is your anticipated time line on the filing?
Umang Vohra: Symbicort, I believe we should file by quarter 4 of this year.
Moderator: The next question is from the line of Punit from Helios Capital.
Punit: So sir, we had earlier indicated that for generic Advair, we have localized the supply chain. Now that the product is being transferred to a facility that is located outside of India, ho w the cost structure and the unit economics change for Advair assuming that the product is launched from outside India facility that's my first question.
Umang Vohra: Yes. So I think what we have localized is the components that go into Advair. We have not localized -- and the production of Advair at that point in time more than in broad. So the localized aspect of whatever goes into Advair stays in India, that doesn't have an issue. The issue is the final site if Indore does not -- it Indore meets an adver se outcome, then that particular

manufacturing will happen elsewhere. But if Indore has an outcome, which is fine, then we are ready to commercialize completely from India.
Punit: My follow -up question to that is, if the components are sourced domestically and assuming the product is manufactured outside India facility, then slight cost should we will be incurring a higher cost, right?
Umang Vohra: Well, you could say production costs may be slightly higher in the U.S. Is that your question?
Punit: So if w e source the components locally, then there will be some cost of transferring these components to the say, outside of India facility. That was my question.
Umang Vohra: Yes. So I think the only thing I would say is that in any case, if we had made this product in Indore, we would have had to ship it to the U.S. too, right?
Punit: My second question is, does the localized supply chain include also the HFO propellant because if that is the case, so does it include HFO propellant? That would be my second qu estion.
Umang Vohra: No. The propellant actually as an industry is pretty global. I don't think there's any -- it's a commodity across. So it will also be -- it's the same price available pretty much in the U.S. as it is in India. I don't think there's any change there.
Moderator: We have the next question from the line of Tarang Agrawal from Old Bridge Capital.
Tarang Agrawal: A couple of questions from my side. One, how much is respiratory revenue for the U.S. for FY '23?
Ashish Adukia: Yes, the respirat ory portion we'll just come back to you -- it's likely to be in the $150 million to $200 million range.
Tarang Agrawal: The second question is in terms of the segment reporting, what all does new ventures capture in

the segment reporting?
Ashish Adukia: So it's basically your new, like we have CDHL, right? So digital health. These are our new initiatives that are captured out there. Some of the investments that we've done in the new ideas.
Tarang Agrawal: The consumer health business doesn't get captured t here?
Naveen Ban sal: It is. Sorry, Tarang just a quick clarification in our segmental reporting, yes. Our CSH business does get captured and also the U.S. specialty business, although it does not add significantly to the top line, but the cost structure of t hat business also is captured under that segmental reporting.
Tarang Agrawal: And the third, again, bookkeeping. Saw quite a significant rise in the other income line item for FY '23 versus '22, if you could comment?
Naveen

Bansal : Tarang if your question is related to other income or other operating income, if you can clarify that.

Tarang Agrawal: Other income.
Ashish Adukia: So see, it's -- I can give you a directional answer out there. It could be interest income that is coming on account of your larger facility that we have.
Umang Vohra: We don't consider that as part of our EBITDA calculation in any case.
Tarang Agrawal: And the respiratory figure for FY '23?
Umang Vohra: $160 million.
Moderator: The next question is from the line of Kunal Dh amesha from Macquarie.
Kunal Dhamesha: So the first on the CAPA planning, is there any remediation cost which is being built into our numbers in this quarter because other expenses ex -R&D are up about INR70 crores.
Umang Vohra: Yes. Our remediation costs a re part of our numbers. They are being spent and our quarter 4 numbers and our quarter 3 numbers had them.
Kunal Dhamesha: Okay. So -- and do you expect...
Umang Vohra: No, we don't expect a spike from these levels. So this includes both your -- there may be some capex, there may be some opex, also consultant costs, etcetera . These would be the broad categories. So that's all been included in Q3, Q4.
Kunal Dhamesha: And that is -- that should the reinspection happens in quarter 3 FY '24, it should go down from there.
Umang Vohra: Yes, that is right. That is correct. We don't see a spike in the remediation costs from what is already.
Kunal Dhamesha: And what was stopping us from, let's say, derisking these key products earlier? Was it cost? And how does U.S. FDA view it? Because from U.S. FDA's perspective, it's an incremental administrative burden to visit 2 sites for the same product from same company, right? So how likely are they to reinspect our new facility from wherever we are derisking?
Umang Voh ra: No, I think if it's a first generic or a limited generic there is a chance that the FDA will visit, especially if that allows the market to form for a generic product. That's one. I think to your other question, yes, it could very well have been someth ing that we could have thought of earlier. But generally, what happens is when your file is under active review, and scientific -based questions are not closed, that is not the time that you introduce a new facility because it creates more complications and delays your file review process. So in our case, frankly, if we have the ability to launch from Indore and Goa and if the site is clear that we will launch from these sites, while we continue the derisking in any case.
Kunal Dhamesha: And lastly on -- I think you alluded earlier in terms of production costs could increase a little bit if we produce it from outside India site. But will there be material change to our cost

competitiveness on that part because at one point, we were quite confident that we wou ld be the cost leader in generic and win. So does that change if we produce it from outside India site?
Umang Vohra: Not sure because I think a large chunk of the production cost is also the localization of components in India. So we won't I think we will still be very competitive.
Moderator: The next question is from the line of Prakash Agarwal from Axis Capital.
Prakash Agarw al: Just 2 quick follow -ups. One is on the MRs. What is the number for fiscal '23?
Umang Vohra: You're referring to number of MRs ?
Prakash Agarwal: That's correct.
Umang Vohra: It's about 10,000.
Prakash Agarwal: This includes the supervisors and everything? Or this is just the field force?
Umang Vohra: Yes. So maybe you can take Prakash for -- I understand your question. So mayb e you can split

that between 7,000 and 3,000 roughly in terms of MR and the others.
Prakash Agarwal: And second clarification, on the US, you mentioned that despite these

2 assets delaying, you
would still expect a growth given the peptide products are sti ll ramping up. Is that correct understanding?
Umang Vohra: Yes. That is versus last year. So this year, we -- let's say, we've done $733 million as the full year revenues for US We expect growth over that.
Prakash Agarwal: And was the comment on SAGA mark ets also?
Umang Vohra: Yes. South Africa, we will see growth this year, yes. And a lot of focus will be on the margins in the South Africa market.
Prakash Agarwal: So last commentary was that the private market is still doing okay, and the tender market ba se, the volatility and the idea is to increase the private and reduce the tender market. So that attempt to improve margins and improve the mix is there?
Ashish Adukia: Yes. That's going to be the focus. And I think the focus will be on new launches in the private market to compensate for the reducing tender market.
Prakash Agarwal: So overall basis, growth on that base as well as improvement in margins?
Ashish Adukia: Yes, absolutely.
Prakash Agarwal: So just some participant asked on the margin outlook. So SAGA had a drag down maybe this year, '23 last year, US fairly okay, India, I think, ex -COVID growth. So I mean the profitability could have been better because your cost initiatives are also there for the next 2, 3 years, you have called out. So what are you buffering in here, lack of large launches? Or how should we think about that?

Umang Vohra: No, I think the way to look at it is, look, we will want to also invest in new areas and new opportunities, overall. So while we expand people in India, the lead lag impact is almost 6, 9 months. So we put people from the time they start becoming productive, it's a 6 -, 9-month story, right? So that's one area of investment.
The second investment will be happening in our consumer plans business, right? That also takes from the time you invest till the time you begin to see higher growth, it is -- there is a lead lag effect. Then also, R&D is constantly investing. We've got 3 c linical trials going on. We've got 2 respiratory products that is fairly significant as a clinical outlay for the products to get to market. That's number three.
And number four, are some of the initiatives on our biosimilars, etcetera. So I think all acr oss we are not wanting the business to get impacted by the lack of investment. And the other thing, like we mentioned on an earlier call, we would much rather invest for a higher top line growth if we are at the 22%, 23% margin level as against push margin to 24% and compromise top line growth.
Prakash Agarwal: And R&D you mean 7% or 7% to 8%?
Ashish Adukia: About 6%, 6.5% is somewhere in that kind of range. It will continue to be there. And I think R&D expense has to be also looked at from a U.S. revenue point of view rather than from overall revenue point of view because of a substantial part of it goes to U.S.
Moderator: The first from the line of Kunal Randeria from Nuvama.
Kunal Randeria: Umang, a few years back, there was some attempts to expand the U.S. business through some specialty acquisitions like IV Tramadol and Pulmazole. It doesn't seem to have worked out as you would have liked. So just wondering what your thought process is now considering that you have a much more sizable balance; cash bal ance?
Umang Vohra: So Kunal, you're right. I think we had our strategy to expand this on the basis of an in -licensed asset, which unfortunately did not meet a clinical outcome. So I think we went back at that point in time, and we reconfigured our strategy to say that even if we acquire an asset, which is in late clinics, we must have our own pipeline to add to it.
And the time distance between -- I mean, the time difference between when our pipeline comes to market and when we add an in -licensed assets sh ou

ld not be more than 2 years. Because
otherwise, it's very difficult to have to make the business productive. So what we've been doing over the last 2 years, ever since we've had that negative news on IV Tramadol is actually being investing in creating ou r own internal pipeline. These are not products that are going to be $100 million or $200 million in sales, but we may have 2, 3 products that could well be $20 million to $50 million in sales.
So let's say, we invest in this for another year. And if we h ave a sizable pipeline of 2, 3 products with the revenue profile of $30 million to $40 million, that's the time where this business can then begin to build out for the future. So it's still about a year away from that vantage point, but

we've gone back, re tooled strategy and are investing in developing our own internal pipeline.

Kunal Randeria: But now with almost $700 million in the bank, I mean, that gives you a bit more freedom to go inorganically? Or are you saving money for some one big acquisition. I just want to understand what you're going to do with the cash now going forward?
Umang Vohra: So I think if you look at our overall capital allocation priority, I think India continues to be our priority. So the whole -- the disproportionate part of capita l, we would look to invest in India for the growth that is available out here. If you look at the overall share that we have, there's still scope to increase the therapies and geographically as well. So -- from use of cash point of view, that would be the top most priority for us. And then there are more bolt -on acquisitions that we may look at in other geographies, could be Africa could be U.S., could be Europe as well for facility asset or any other products.
Kunal Randeria: And just one more from my side on the India piece. I think you have on a INR580 crores of revenue from in -license specialty products. I would assume the margins here would be maybe lower than your normal India margins. So what would be the sweet spot where you would say enough of in -licensing and you would rather build brands organically now?
Umang Vohra: I think if the brands are relatively smaller, then it doesn't make sense to pay a lower margin on it. So you really want big brand franchisees that you can create which is when we turn our thinking into trying to improve the margins by doing the brands ourselves. So it's a mix of both. If we are getting a brand that is relatively smaller then the interest to create because then the interest to take the low margin doesn't make sense. But if you have a relatively higher sized brand, which you can -- which eventually you can grow much faster, that's the time when your costs get amortized a lot better.
Kunal Randeria: And just one more, if I can squeeze in. Of the 43 pending ANDAs under Cipla Limited, how many would be from Indore and Goa?
Umang Vohra: We can provide that data. But if your question is whether both Indore and Goa had huge sensitivity to the launch calendar of the U.S. in the next 2 to 3 years, the answer to that is no.
Mod erator: We will take the last question from the line of Ankush Mahajan from Axis Securities.
Ankush Mahajan: Sir, any outlook on consolidated EBITDA margins for the FY '24? Any guidance, sir?
Ashish Adukia: Yes. So for FY '24, like I had said, I think th e 22% or thereabout is what we are targeting for next year.
Ankush Mahajan: Sir, I missed the initial remarks. So what kind of number of molecules that we are launching in the next year, '24 in the US market?
Ashish Adukia: So like Umang talked about, we a re looking at 3 filings in the coming year, mainly in the respiratory side, and there could be some in the peptide, which is more third -party partner products rather.
Moderator: I would now like to hand the conference over to Mr. Ajinkya Pandharkar for clo sing comments. Over to you,

sir.

Ajinkya Pandharkar: Thank you for joining us, everyone. In case you have any further questions, please feel free to reach out to us at investor.relations@cipla.com. And wishing everyone a good evening ahead.
Thank you.
Mode rator: Thank you. On behalf of Cipla Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2023

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 24826000 F +91 22 24826120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r
L24239MH1935PLC002380

29th July 2023

(1) BSE Ltd
Listing Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
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(2) National Stock Exchange of India Ltd
Listing Department
Exchange Plaza, 5th floor
Plot no. C/1, G Block
Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Scrip Code: CIPLA
(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q1 FY24 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 1 FY24 earnings conference call
dated 26th July 2023. The transcript is also available on the Company's website i.e.,
https://www.cipla.com/sites/default/files/Earnings -Call- Transcript -Q1-FY24.pdf .

Kindly take the above information on record.

Thank ing you,

Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Chirag Hotchandani

"Cipla Limited
Q1 FY '2 4 Earnings Conference Call"
July 26, 2023

MANAGEMENT : MR. UMANG VOHRA – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – CIPLA
LIMITED
MR. ASHISH ADUKIA – GLOBAL CHIEF FINANCIAL
OFFICER – CIPLA LIMITED
MR. AJINKYA PANDHARKAR – HEAD, INVESTOR
RELATIONS – CIPLA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Cipla Limited Q1 FY' '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ajinkya Pandharkar from Cipla Limited. Thank you, and over to you, Ajinkya.
Ajinkya Pandharkar: Thank you, Seema. Good evening, and a very warm welcome to Cipla's Q1 FY '24 earnings call.
I'm Ajinkya P andharkar from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements , which are predictions, projections, or other estimate about future events. These estimates reflect management's current expectation of the future performance of the company.
Please note that these estimates involve several risks and uncertainties that could cause the actual results to differ materially from what is expressed or implied. Cipla does not undertake any obligation to publicly update any forward-looking statement, whether as a result of new confirmation, future events or otherwise.
I would like to request Umang to take over, please.
Umang Vohra: Thank you, Ajinkya. Good evening to all of you. We appreciate you joining us today for our first quarter earnings call for financial year 2024. I hope you have received the investor presentation that we have posted on our website. We have also released our sixth integrated annual report for financial year 2023. This report continues to be a reflection of our commitment and focus towards improving t ransparency, governance and setting best -in-class disclosure practices.
I'm pleased to share our quarter one FY '24 performance, which demonstrates strong commercial execution, sustainability, and growth in our focused markets. Now I'll cover the key highl ights for the quarter.
In quarter one FY '24, we recorded a solid 18% year -on-year growth across all markets. We have record revenue in both our flagship businesses of One India and the US. Our One India branded prescription business grew faster than the IPM as per IQVIA MAT June '23, driven by growth in chronic portfolio.US continues to scale new peaks by posting the highest ever revenue for the quarter once again on the back of momentum in our differentiated portfolio. In South Africa, the Private Market business has strongly bounced back fro m a challenging FY '23, posting double - digit growth in prescription and OTC segments. South Africa prescription business is now ranked second by market share in the country as per IQVIA MAT May '23.
With a strong revenue growth, Q1 FY '24 witnessed a strong EBITDA margin at 23.6%, largely driven by mix and efficiency in operations. In this quarter, we strengthened our balance sheet further and in line with our strategy. We continue to allocate our capital towards multiple growth
initiatives, complex pipelin e, new science, big brands, and expansion of our consumer portfolio to make this growth sustainable for the longer term.

I would now like to cover further details on our focus markets, which powered the growth for this quarter. Our India branded prescripti ons business continued its market beating growth trajectory with a sustained momentum across all therapies by growing significantly higher than the IPM growth as per MAT June '23. Our share of chronic therapies in our revenue share grew from 58% to 60% on a year -on-year basis with improvement in industry market share from 8.4%
to 8.6%.Continuing with our strategy of making big brands bigger, our leading inha

ler brand, Foracort , clocked 27% growth in quarter one , which is one of the fastest – in top 10 IPM brands.
Ibugesic Plus became the 11th brand to enter the top 1 00 IPM brands. Cipla is now among top two in terms of number of brands in the top 100 in the Indian pharma market.
Our trade generics business maintains its market leadership supported by traction in big brands.
We continue with our launch momentum by adding 23 products in the portfolio to build our future. Our consumer health arm, CHL, witnessed a strong double -digit growth with margins reaching closer to mid -teens for the quarter, leveraging on our brand strength, market penetration, attractive consumer -focused packaging, and positioning.
Our differentiated portfolio in US continues to deliver strong growth for the franchise. The business yet again achieved its highest sales in the quarter by rea lizing a revenue of USD 222 million, growing by a strong 43% over the last year.
Generic Revlimid continues to perform as per expectations, while Lanreotide has improved its market share to 18% as per th e MAT May '23. Market share of A lbuterol, which witnessed a drop in quarter four of FY '23 has now stabilized. We have not lost any customer awards on the product and continue to execute multiple work streams to capitalize on any new opportunities to grow this share further.
In South Africa, we are pleased to share that , Cipla is now the second largest player in the prescription market by market share. Cipla grew at a four -year CAGR of 8.6% in the market, which is growing at 3.6% per the IQVIA MAT May '23. South Africa's private market grew 13% ye ar-on-year powered by an uptick in focused therapies in our prescription business as well as the high growth of 16% in our OTC portfolio.
Strong momentum across new launches has given our portfolio a new muscle for growth. Our focus continues to be driving market -leading growth and we aim to inch towards the top position in the market in the next few years.
Investing in the future pipeline has always been our priority. We have three differentiated products undergoing clinical trials with filings targeted in FY '24 and '25. We are expecting Symbicort to be filed by the end of this year. On p eptides, we expect 4 to 5 peptide launches in the next two years. We also expect a couple of new peptides to be filed in the same period.
On the regulatory front, we still await classification from the US FDA for our Indore facility , which was audited in February 2023. However, we have already initiated corrective actions for observations as per the Form 483, we received from the FDA.
Implementation of CAPA and remediation continues for our Goa facility, where we hope to be re-inspected in the second half of this financial year. As informed in our last earnings call, de -

risking has been progressing as per our expectations for our key assets. Generic Advair is being derisked to an in -house facility , while we wait for the Indore classification. As guided earlier, we are expecting to take this product to the market in a period of 12 months with no incremental generic competition expected in that time frame.
Generic Abraxane, whi ch is N ano-Paclitaxel, is being derisked to a CMO site. We expect the ability to supply from both of our sites for this file by FY '25.
I would now like to invite Ashish to present the financial and operational performance.
Ashish Adukia: Thank you, Umang. This quarter we further enhanced our performance across all our core businesses with expansion and profitability. We witnessed growth in all three of our biggest markets of India, US, and South Africa, supported by growth in focus portfol io of chronic and differentiated products.
Now coming to the key highlights for the quarter. We are pleased to report a quarterly revenue of INR6,329 crores. The overall revenue growth for the quarter w

as at 18% on year -on-year basis.
Our One -India franchi se further expanded its market share by growing at healthy 12%, supported by growth in chronic portfolio. The impact of NLEM pricing for the quarter has been largely offset by multiple measures. New launches contributed to the growth in branded prescriptio n business with our in-licensed products, Galvus and Scapho, contributing to the list.
The US business reported the highest ever revenue, driven by traction in differentiated portfolio with revenue of USD 222 million, growing at 43% Y-o-Y. South Africa gre w at 13% Y -o-Y in local currency terms, powered by a solid performance in private market, including OTC.
Amidst geopolitical and currency headwinds, the focus of international markets has been on margin expansion, which has aided our quarter one performan ce. Our free cash flow generation and operating efficiency continues to drive our healthy net cash position.
Our EBITDA margin stood at 23.6% for the quarter on a reported basis. As always, this EBITDA margin is not including other income. Our EBITDA margi ns for the quarter include impact of higher R&D expenses and other provisions. R&D investments are driven by ongoing clinical trials on differentiated portfolio as well as other developmental efforts higher in the quarter by

27% versus last year.
Our repor ted gross margin after material costs stood at 64.7% for the quarter, which is 230 basis points above last year's figures, driven by contribution from new launches and overall mix change.
Total expense for the quarter included employee cost and other expenses, which stood at INR2,598 crores, up by 3.8% on a sequential basis. Total R&D investments for the quarter are at INR349 crores or 5.5% of revenue and what like I said, 27% higher on a Y -o-Y basis.

Profit after tax for the quarter is at INR996 crore s, so close to about INR1,000 crores, and about 15.7% of sales. The effective tax rate is constant Y -o-Y at 27.5%. As of 30, June 2023, our debt primarily constitutes ZAR720 million in South Africa, with cash equivalent balance at a company level of INR6,941 crores. This results in improvement of our cash position from INR5,469 crores in March to INR6,138 crore s in this quarter end.
Looking ahead, we continue to walk on the path of revenue growth and operating profitability.
Growth levers in the subsequent quarters will include continued market beating growth across One-India businesses of prescription, trade generics and consumer health.
Traction , a robust traction in our North America franchise across complex portfolio and continued contribution from respi ratory and peptide products, creating a more resilient business through de -risked portfolio and supply.
Sustaining performance of quarter one for South Africa with focus on private market, select tender and improving the margins in South Africa, drive grow th in focused geographies in international markets. We expect the full year EBITDA to be trending towards 23% for the year.
I'd like to thank you for your attention, and we request moderator to open for the questions.
Moderator: Thank you very much. We take the first question from the line of Mr. Saion Mukherjee from Nomura Securities. Please go ahead, sir.
Saion Mukherjee: Umang, this quarter -on-quarter improvement in the US, what do you ascribe this to? Is there a big Revlimid contribution? And in the next few quarters, how we should think about it?
Umang Vohra: I don't think the Revlimid contribution quarter -on-quarter is significant, Saion. T he base business has also grown very impressively between quarter 4 and quarter 1. And of course, between quart er 1 of last year and quarter 1 of this year , we have seen our base business also grow tremendously. So quarter -on-quarter there is not a material difference in Revlimid between quarter 4 and quarter 1.
Saion Mukh

erjee: Okay. Thank you. And my second quest ion, Umang, is on the future pipeline in the US. So you mentioned about 4, 5 peptide launches. Leuprolide seems to be having low market share. So how should we think about the potential of this peptides? And also particularly on Abraxane, is the bottleneck just around the site? Or are there any queries on the file that we need to address there?
Umang Vohra: Saion, on Abraxane, we have received notification that the only thing pending on the file is the site. And on your other question and I'm sorry, that wa s on L euprolide, you will begin to see share gains because for that, we were waiting for certain price approvals in the market and certain codes being assigned, which is now done. Their codes have been assigned. So hopefully, you will see increase in market share there .
Saion Mukherjee: Okay, sir. Thanks Umang, I will join back.
Moderator: Thank you, sir. We take the next question from the line of Mr. Rohan Vora from Purnartha Investment Advisers. Please go ahead, sir.

Rohan Vora: Thank you so much. So my first question was, what would be the guided capex for FY '24 for Cipla?
Ashish Adukia: Yes. So we said about 5% of the revenue , 4% to 5%, somewhere in the range of INR1,000 to INR1,500 per annum is what you could take as the capex , which can be in the area of sustainability, modernization, as well as in some cases capacity enhancements.
Rohan Vora: Understood. And what part of this capex would be attributable to solely maintenance , wherein that would not lead to any kind of capacity expansion? Just pure ma intenance capex ?
Ashish Adukia: Without giving a split, it's a combination of both the capacity enhancements in API formulation as well as the -- there's maintenance capex . They can be small , when you're de -risking some of these assets of the US portfolio, there can be small capex on account of that as well.
Rohan Vora: Understood. So sir, even a broad range would be fine, workable. Just a broad range would also be -- what would be the maintenance and normal capex split? I was looking for that.
Ashish Aduki a: You can take about 50- 50 roughly of maintenance and growth.

Rohan Vora: Sure, sir. Just the last question here. I was also looking to understand this maintenance capex . So would this be in nature of what kind of equipment's are we looking at? What is th e addition that would be made to our business as a whole? And just a little understanding for just my understanding kind of seek. Yes, thank you.
Ashish Adukia: Its again sustainability related, environment related and the maintenance. Sometimes in some of the plants , we have to take shutdowns to make sure that the equipment 's are properly functioning to improve efficiencies, s etc.
Rohan Vora: Understood. Thank you so much.
Ashish Adukia: Thank you.
Moderator: Thank you, sir. The next question is from the line of Mr. Tushar from Motilal Oswal Financial Services. Please go ahead, sir.
Tushar Manudhane: Thanks for the opportunity. So, just referring to your earlier comment of the US or the North America growth more led by non -generic Revlimid. So what is driving the growth in terms of -
- is it because the competitors are having the regulatory issue and that's why, we are able to gain market? Or is it because the price erosion itself is getting limited? If you could throw some light?
Umang Vohra: It's a combination of various factors. Price compression is obviously lesser than before. At the same time, we are seeing -- one has to also look at what is happening in the US. A large number of US companies are either amalgamating, merging, or are going bankrupt. That is eliminating certain number of people in the system. It's also having an impact on certain channels in the US , which only buy products which are made domestically. So we are seeing a rebalancing of the supp

ly chain happening, because of whi ch, our base families are actually growing.

And then obviously, we are seeing a resurgence in our share in products like Lanreotide. And then, we're also seeing at the same time, certain buying programs of different channels being serviced very differentially. So that's the thing , we are seeing. So it's a combination of factors. I would not attribute it to a single factor.
Tushar Manudhane: Understood. And sir, compared to previous quarter guidance of 22% and now we are talking for 23%. So broadly what has changed that gives the confidence of 23% EBITDA margin?
Ashish Adukia: Sure. No. So I think it's our target that we've taken. We've had a good quarter, this quarter 1. So it gives us some confidence that , we can take up that target of delivering 23% for the year. And you have to bear in mind that , seasonality of each quarter as well. So that also plays a role. So we've had a good quarter. But overall, we target to 23%.
Tushar Manudhane: Understood. And just lastly on Indore. While the classification is awaited, but has there been any feedback from US FDA apart from classification to understand particularly -- ultimately to the Generic Advair approval and launch?
Umang Vohra: We have heard that Generic Advair is now on the pending facility. And therefore, the fact that it is not yet cleared right now means the facility is still under evaluation. Having said that, the whole Advair transfer to another facility is underway. The facility is getting ready for this in the US and very soon the transfer activities wil l start.
Tushar Manudhane: Okay. Thank you, sir.
Moderator: Thank you, sir. We'll take the next question from the line of Mr. Kunal Dhamesha from Macquarie. Please go ahead, sir.
Kunal Dhamesha: Hi, thank you for taking my question and c ongratulations on the good set of numbers. Just continuing on the Advair part. So I believe that we would need to be finding some amendment to our initial ANDA. So , some colo ur as to whether that would be a major amendment or minor amendment? And have you already filed it with the US FDA? Or are we expected to file it in sometime?
Umang Vohra: No, it will be expected to be filed. We are still in the transfer phase right now. And yes, it will be -- the chances are it will be a major amendment.
Kunal Dhamesha: Okay. And is there any guidance from US FDA as to what time do they take for the major amendments or something?
Umang Vohra: No, we don't have. Generally, it's – as the outer , it's about eight months. If it is sooner because it's a limited generic, then it could be sooner within that period.
Kunal Dhamesha: Sure. Thanks. The second question is on the US generics overall market. You said there are some buying programs of certain channels. Are you kind of referring to some of the shortage products , where there are short -term tenders , which comes up? Or is it some channels like better administration and stuff like that?
Umang Vohra: It's a combination of all of those.

Kunal Dhamesha: And let's say, in the public data suggests that the US drug sh ortages are at an all -time high. So are we seeing -- I think commentary says that on a portfolio level, we are still seeing some price erosion. But in those shortage products, are we seeing a very good double -digit price hikes, in your view?
Umang Vohra: I don't think there is a general rule that prices have gone up across products , which are in shortage. I don't think that's happened. I'm not sure that, that is what has happened. It's just that the price pressure environment is lesser. So those are the two factors , we are seeing .
Kunal Dhamesha: And last one from my side. So the USD222 million revenue run rate, do you think it can sustain going forward in the coming quarters?
Umang Vohra: Our bas

e level will be somewhere in the range of USD210 million to US D215 million, which is -- the quarter -- what I meant by USD210 million to USD 215 million was what we will be reporting broadly, going forward quarter -by-quarter. But if you were asking whether our base business -- our base business would be slightly short of that.
Kunal Dhamesha: Sure. Thank you. I will get back in the queue.
Moderator: Thank you. We take the next question from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: Hi. Thank you for the opportunity. Umang, coming back to Advair. So should we assume -- like you mentioned 12-month for -- transfer rate -- transfer to the additional site and then , there is a timeline associated with amendment, etcetera. So broadly, should we assume this opportunity is now beyond FY '25?
Uma ng Vohra: No, not beyond FY '25. Beyond this year if Indore is not cleared, yes, but not beyond FY '25.
Damayanti Kerai: Okay. So if we consider all timelines , it could still be a '25 launch opportunity for you?
Umang Vohra: Yes. There's transfer to a new location, definitely, it's going to be a '25 opportunity.
Damayanti Kerai: Okay. And my second question is, if you can update us on your initiative in the India business? Because last quarter, you mentioned about adding MR. So that's first. And then if you can talk about your strategy in the three segments, Rx, Gx and the CHL part? That could be helpful.
Umang Vohra: Yes. So strategy in Gx is to be strong in the distribution side of the Tier 2 to 6 markets, which are seeing a large amount of the volume growth. W e have a good portfolio family. So this market continues to expand.
On Rx, our branded franchise is doing rea lly well. And the therapies that we are working on are growing, our respiratory therapy we are growing share. Cardiac, diabetes we used to be nowhere. We're now number 8. We're still growing strong, addition of portfolio through Galvus.
If you look at the cardiac thing -- cardiac segment, the whole focus on heart failure, structural heart diseases, that's where we are focusing on. Urology is also now; we have fixed our execution issues. We're bouncing back there. So almost all therapies are firing on all cy linders.

Our new product launch pipeline for the India market has been pretty significant. And overall, in terms of Reps, we have added about 250 to 300 reps already in this quarter.
Damayanti Kerai: So total is like 1000 MR addition for this fiscal, right, if …
Umang Vohra: Right. By -- Fully by the second quarter we would have added close to 400 or 500, and then we will probably stop at that for the time being.
Damayanti Kerai: Sorry, another 400, 500 by second half?
Umang Vohra: We will be at 500 net addi tions by quarter 2, and then we would stop because our program started sometime in quarter 4 of the previous year. So we have already added some reps in that time, then we've added 250 in this quarter, and then we'll add perhaps another 150 to 200 in the next quarter.
Damayanti Kerai: Okay. So on the Rx part, now with most of the issues fixed and MR addition coming to an end, etcetera, you are confident about maintaining above-market growth on the Rx segment?
Umang Vohra: Yes. We will be maintaining higher than market growth.
Damayanti Kerai: Okay. Thank you. I will get back in the queue.
Umang Vohra: Thank you.
Moderator: Thank you. We take the next question from the line of Mr. Surya Narayan Patra from PhillipCapital (India). Please go ahead, sir.
Surya Patra: Yes. Thanks for the opportunity. Sir, just one clarification about the US business. We are almost approaching the 12-month for -- post our launch of Revlimid in the US. So any sense of what is the kind of volumes here that we are tracking in the US? And also the kind of a ramp up , what we have seen in the US business? To some

extent it is not matching with the kind of a ramp-up in the description numbers for Revlimid. So if you can clarify there a bit?

Umang Vohra: Yes, what you're looking at is a little different. T he issue is that you are trying to correlate the Revlimid business with the entire gain that's happened in the US, and I don't think that's true because our non-Revlimid portion has also gained significantly.
So across categories , we've seen higher share -- either higher share or, as I mentioned, buying programs that buy domestically or a channel readjustment that's happening in the market. So -- or shortages, right? So, even our existing families have done well . And certain new launches we've got disproportionate share of the market.
I'm not sure , we would like to give share on -- in the Revlimid because, frankly from a volume perspective, our volume shares are actually negligible or really marginal. So I don't think that's the right metric to track on this launch.
Surya Patra: Okay. Fine, sir. Sir, any -- just extension. Have you seen any kind of meaningful correction in the Albuterol revenue base sequentially in the US , sir?

Umang Vohra: Yes. We have seen a slight decrease in A lbuterol. That's linked to our share decrease, which we think has stabilized now. There was a situation in the market , where the largest family of Albuterol in the US, which was the family of ProAir, that one had -- unfortunately, there seem to be some kind of a supply imbalance there because of which a few families -- non ProAir families stepped up to take share. And now we're seeing a little bit of that readjustment, but we are hoping to grow from here, from the sha re we have right now.
Surya Patra: Okay. Just last one question, sir, from my side regards to the domestic business. So there is some interesting developments happening. And one is that, obviously, one of the key large size competitors is also moving into the trade generic business. Now in the last one-year period possibly, we have seen almost all the participant in the domestic formulation have either expanded their portfolio or extended their REITs or expanded their sales force .
So any way it is -- all th ese are creating kind of a competition only. So hence, do you kind of anticipate margin pressure or the profitability challenge for the domestic business? And also considering this competition in the trade generic, do you see any major dynamic changes in t he domestic market, sir?
Umang Vohra: No, actually, we don't. We -- there was this issue of pharmacies earlier. That issue now seems to have stabilized a bit. That was the issue of pricing compression. T hat doesn't seem to be impacting the market. And the realization is that there is very strong growth in India right now, and strong volume growth, and there's also strong new introductions growth. So that's one aspect.
Second aspect, 60% of our country and more lives in Tier 2 to 6 cities. They are becoming more accessible. They want more access to health care, and they have the ability to pay for it. T hat's one switch , where the trade generics begins to capture the mark et. And also some of our strategies are to focus our larger brands in this area of the market.
So we don't think there's a REIT s that -- it's trade generics versus branded generics versus consumer health care. These are all parts of the same market. You can't look at the total market with just the India represented with metro and Tier 1 of the Bharat presented with Tier 2 to Tier 6. It's actually a combination of the total space.
Surya Patra: Okay. Sure, sir. Thank you. Wish you all the best, sir.
Moderator: Thank you, sir. We take the next question from the line of Mr. Ankush Mahajan from Axis Securities. Please go ahead, sir.
Ankush Mahajan: Thank you, sir, for taking my question and c ongrats on good set of numbers. So, sir, in the US mar

ket as th e revenue run rate we are looking, the last quarter you said that revenue rate in the range of USD 200 million. Now we have increased it to USD210 million to USD 215 million. So sir, just trying to understand that this JV we made, how many quarters, sir, we can get the revenue of this? Especially, what is the contract? Can you throw some light on it, sir -- its business for the next two years?
Umang Vohra: No, I don't think, I can give you a guidance that far out. All I can say is that from -- the last quarte r, we were at USD190 million to USD200 million. Now we are at close to USD210

million. That's a reflection of what we think our product families are doing in the US , right? So in the next quarter if I -- if we find that some of our families have fallen off , we will come back and tell you that this is the base level of our business that we are looking at. Right now we are feeling quite comfortable with the USD200 million to USD210 million trajectory, which is what we've indicated.
Ankush Mahajan: Thank you, sir. Sir, another is the extension of another part that you said that about some buying

programs and channel readjust ing. So would you throw some more light on, sir, these things?
Umang Vohra: Yes. There are some buying -- there are some customers , who onl y buy from locally made product, right? So that is one readjustment as US companies begin to get --are either closing down or are going through amalgamation. That's one disruption.
Other thing is , there are some buying programs which focus on buying for sustainability versus buying for necessarily price, right? And sustainability could be sustainability of environment, sustainability of supply. So these programs are fairly active considering the sh ortage situation right now, and that creates an opportunity in some of these segments.
Ankush Mahajan: Thank you, sir. Thanks a lot.
Moderator: Thank you, sir. The next question is from the line of Ms. Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Thanks for taking my question. Umang, on the US number that you mentioned, USD210 million to USD 215 million, just to clarify, this is the base that I should assume on top of which we add the new launches that you talked about, the peptides a nd share gain in L euprolide and all of that? Is that the right way to look at it?
Umang Vohra: Yes, broadly, Neha. Broadly, yes.
Neha Manpuria: Okay. And on the peptide launches, would this be back-end weighted? Is there anything that is required -- Is Goa critical for the approval of these products or these are third- party and therefore, not so much dependent on Goa?
Umang Vohra: So this is completely third -party. We don't have any dependence on the Goa on the peptide families. We don't also have dependenc e on Goa or Indore for a large number of other products.
Neha Manpuria: Okay. Understood. So the only thing pending for these launches is essentially approvals?
Umang Vohra: Are essentially N ano-Paclitaxel which is getting derisked and Abraxane and Advair. .
Neha Manpuria: Okay. And on the India business, I understand your comment in terms of trying to broad base our presence. We are also adding MR , but if I were to look at the profitability of India business, are we able to improve the profitability of India business? Or is a lot of that growth also requiring us to increase investments, given the competitive intensity in the market?
Umang Vohra: So we are hoping to improve, and we are improving our profitability, Neha. And the reality is that, in India our experience is that an addition of a Rep in India leads to a payback within a six

to nine -month period. So it's not that long as a thing. So I don't think the investment -- India is as investment -heavy in terms of trying to get the incre mental rupee

of sales.
Ashish Adukia: But it is also a product mix in India that we focus on, as we continue to increase the chronic portfolio. So that will also have a positive momentum to your profitability.
Neha Manpuria: Understood. And Ashish, in your opening comments, you mentioned, provisions that were included in the quarter. Could you just throw some colour on that? Is this meaningful provision that we're talking about? Where exactly is it included?
Ashish Adukia: Yes. So, see, every quarter we hav e certain provisions on account of -- either expiry of those provisions continue to be there. Only some one -off would be -- we had some recall in the US market. So the recall cost has also been provided for in this quarter.
Neha Manpuria: This is not the A dvair recall that happened recently?
Ashish Adukia: No. Albuterol. It was an Albuterol recall.
Neha Manpuria: Sorry, Albuterol recall.
Ashish Adukia: Actually w e have made some estimates provided for that.
Neha Manpuria: Understood. Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Mr. Krishnendu Saha from Quantum AMC. Please go ahead, sir.
Krishnendu Saha: Hi, Thanks for taking my question. Just quickly again on the US front. How many launches could we have, just to understand the equation like, what exactly there are -- large amount we ever had so far. How many launches did we have last year? So, does this contribute a high amount for this Q1 with the launches -- heavy launches last year, besides these launches?
Uman g Vohra: Yes. Actually, if you look at our portfolio strategy, it is not predicated on necessarily the large number of launches. I think over the last two years, our average will be sub 10 in each year. And -- but we go for ones which are meaningful -- which we think are meaningful. Some of them don't turn out to be meaningful because the market competitive environment has changed.
But of the 7 or 8 that we have launched in the last year, my guess is that, about 3 to 4 of them have been very meaningful for us. And that's how we'd like to look at it, that if we file 15 products a year and we have the opportunity to launch between 10 to 15, 30% to 40% of them should be fairly meaningful launches which tend our trajectory upwards.
Krishnendu Saha: Sure. Okay. A ll right. Sir, I just needed on the -- this Pfizer plant, we don't -- I don't think, sir, we can take any advantage of the Pfizer plant to be tested by the [inaudible 0:38:49] it was in

the U.S. Right?
Umang Vohra: Yes. So I think what we -- so obviously, there's a lot in the press on the Pfizer facility. So I think the issue -- obviously -- it's my opinion that no one facility can step up immediately. We have

also heard that, there seems to be some amount of impact to their stockholding as well. And theref ore, it's -- we are waiting for more details. If there's anything that needs to be done to step up to supply, we will. But we do not have explicit details on which product families are needed immediately.
Krishnendu Saha: Okay. But you don't have any idea as to how many products will overlap or something like that?
Umang Vohra: We have some rough idea, but there is no official intimation of a shortage for any of those products as yet.
Krishnendu Saha: Yes, it could come sooner or later. So we have the wherewithal to handle this in the future? Just trying to understand.
Umang Vohra: Yes. I would just say we have the wherewithal, but it's strong Goa, and Goa right now is not...
Krishnendu Saha: Yes, I see. I forgot that. Just on the Abraxane part, it was depen dent on the sites transferred now. So is it going to get post a little bit of [inaudible 0:40:06] or 35 could be?
Ashish Adukia: No. I think we are looking at it in the later this year or early next year, actually. I don't think we are looking at this beyond that.
Krishnendu Sah

a: And last question, just on the holistic side. I suppose our consumer health is INR385 crores, around -- roughly around 14% of the revenue. How do we see that basket? How do we -- what do we concentrate on, when we look at our port folio? What do we see? How do we increase -- I'm kind of mostly trying to understand, which basket to be addressed, is it going on to women health, little bit of infant care or what? What do we do next to get there?
And if you could also speak about a lit tle bit – because we have a lot of investments in M&A, [inaudible 0:40:55]. How are the bio -similars and so on and so forth with the high-end stuff? So how do you see the investment? Do we see balance sheet investments, or do we do a recall on bio sides? T hough we [inaudible 0:41:05] some investments either asset mix to sum partnership.
Thanks
Ashish Adukia: So see, I think there are 2, 3 buckets of investment. Towards the end, you talked about mRNA, etcetera. Those are -- for the future, we continue to make some option investments just to make sure that we are -- we continue to have our foot in the door in the [inaudible 0:41:32] and have a commercial right over those products.
Umang Vohra: And on -- just to respond to your earlier question on CHL, which is our consumer business, we're seeing very -- actually, we are very excited about that business because that's a business which we realize that more people want to stay well longer than they are sick. And this is a business that allows people to be able to do that. So we think the categories we are in, which is pain, the category that we're in, which is rehydrating solids, reiterating liquids, cold and flu, cold and cough, these are amazing categories to be in.
And over a period of time, we will open a franchise here for women and mother and child. We think that that's a big segment as well as skin care. So -- and our objective is not to be centric to

just one brand. If you look at our portfolio, we want to be well diversified here because this is a branding game and not be dependent solely on a single product or portfolio.
Krishnendu Saha: So -- but it's going to be the doctor approach, right, still?
Umang Vohra: Not necessarily. This will be advertising. And wherever support is needed, it will be provided by other constituents of the One -India business.
Krishnendu Saha: I'm sorry, last question. How much is trade generic products in percentage of revenue?
Umang Vohra: How much is trade... Sorry, can you repeat? How much is trade generic?
Krishnendu Saha: As a percentage of revenue -- Indian revenue?
Umang Vohra: I'm not sure we're giving that level of detail. But I can tell you that, overall, the market is about 25% to 30% of the total Indian pharmaceutical market.
Krishnendu Saha: Thanks a lot. Thanks for that.
Moderator: Thank you, sir. The next question is from the line of Mr. Bino from Elara Capital. Please go ahead, sir.
Bino Pathiparampil: Hi, good evening and c ongrats on a great set of numbers. Umang, you said between now and the launch of Advair you don't expect any incremental competition. What is the scene with Abraxane? I'm asking this specifically because I see that Teva got an approval recently, but I'm not sure if they have launched.
Umang Vohra: Bino, the Teva was, to some ext ent, the first filer on this product on Nano-Paclitaxel. So we have not heard of their presence in the market as yet. I think it's a phase launch that will probably

happen over a period of time.
Bino Pathiparampil: Okay. So possibly, they will be there in the market when you come...get in. Okay
Umang Vohra: Yes.
Bino Pathiparampil: Okay. And do you have any -- what's the scene on the market right now in terms of the 1 or 2 AGs in the market, what sort of share they have taken, do you have update?
Umang Vohr a: Yes. Our understanding is, Bino, that the market

is supply constrained. And therefore, nobody
seems to be getting enough amount of product. That's the position right now. So the AGs are probably selling what they are getting and not more than that.
Bino Pathiparampil: Got it. Second, this product in which you have a filing, in generic Dulera, that is momentous on Salmeterol, is there any update? Do you expect any launch in the next 12 months or 18 months?
Umang Vohra: Is your question specific to Europe or US?
Bino Pathiparampil: US.

Umang Vohra: I'm not sure, we have that product in our portfolio, Bino.
Bino Pathiparampil: Okay. Great. Thank you very much.
Moderator: Thank you, sir. The next question is from the line of Mr. Kunal from Nuvama. Please go ahead, sir.
Kunal Randeria: Hi, good evening. Umang, you mentioned that the combination of factors that led to the US growth, right? So would one of the factors be higher primary sales than secondary sales? And by that, wholesalers accumulating m ore stock because of fear of shortage?
Umang Vohra: No, I don't think so because our -- we do our regular audit processes for chargebacks, and inventory and trade is an input into that validation, and we haven't seen inventories holding going up.
Kunal Randeria: Got it. And secondly, of the 12% growth India, would it be sort of fair to understand that the Galvus contribution could be around 2% or so?
Umang Vohra: The new product?
Kunal Randeria: Yes, the new product which you acquired. Yes.
Umang Vohra: Yes. I mean, overall new products will be, 2% odd. Galvus would be slightly less than that.
Kunal Randeria: And one more second squeeze in. And you mentioned on Abraxane that the market supply can stress some constraint. I think it's a bit strange, Apotex got some decent enough share in the market and again, the share has completely fallen, and it has clawed back almost the entire market. So maybe could you throw some more light on that?
Umang Vohra: Actually, I'm not -- I don't know what specifically is happe ning, but we can only hear from our -- we only hear routinely from the buying channels in the US. And what we've heard is that, periodically there has been a product that the AG can sell, then product that the brand can sell, then product again that the AG sells. So it seems to suggest that supply is constrained.
Kunal Randeria: Okay. Got it. Thank you. That was my question. All the best.
Moderator: Thank you, sir. The next question is from the line of Mr. Tarang Agrawal from Old Bridge Capital. Please go ahead, sir.
Tarang Agrawal: Hi, good evening. Thank you for your time and c ongratulations for the extremely strong set of numbers. Two questions from my side. In the wake of development in the US, are you witnessing any changes in your interaction with your customers? There seems to be heightened apprehension around supply shortages, and while shortages are cyclical, their impact seems acute, especially in some specific therapies. So is it resulting in some sort of a structural change in the operating environment? Just wanted to get your sense. So that's one.
And the second, the cash fund is accumulating quite nicely, about INR6,000 crores, and there is reasonable visibility in terms of how the business, especially the states would track. So how

should we see the deployment of this? Some broad areas where we could see this deployment? Thank you.
Umang Vohra: Sure. Firstly, I think on the deployment front, I can take that question first. I think we do see growth opportunities in India. If you want to capture that opportunity -- organic has its own limitation. So therefore, we can constantly evaluate inorganic opportunities in India, which actually pays off well and it is within our expectation of hurdle rate. So India, we will continue to look at opportunities.
And then even

in South Africa, which is our core market, we want to grow to number 1 position.
And of course, within the hurdle rate that we follow, the cost of capital for the country. So I think the focus will be to do acquisitions -- small acquisitions though in South Africa.
In US as well, wherever there are white space, wherever we find some interesting products in our core strength, which is respiratory and of the other portfolio as well, we would look at opportunities there as we ll. So inorganic will play a big role in fund deployment within the cost of capital.
Other than that, there is capex, there is increased R&D, and of course, we'll discuss, as we constantly discuss at the Board level on how to best utilize the capital. Sorr y, your first question was, if you could repeat, Tarang?
Tarang Agrawal: So basically, I wanted to understand if the shortages that we're seeing in the market -- while the shortages are transient, but is it resulting in some kind of more longer sort of a structural change in the market in the way maybe the channel is behaving or your interaction with your customers?
Umang Vohra: No, I think they want certainty of supply, and I think that's a key thing. And for a person who is our customer, not having suppl y is the biggest nightmare. So obviously, they want more certainty of supply, and obviously, quality supply. So I think we -- that's what we're hearing more of. So I think, yes, maybe there is a little bit of realignment to get more sustainable supply.
Tarang Agrawal: So does it translate into some sort of a change in the management which they're contracting versus what they used to do previously only maybe perhaps on the pricing? Are they willing to pay a little extra maybe for a sustainable supply or not letting a new customer, new vendor come in that easily to supply, if a sustainable player is already operating?
Umang Vohra: We haven't really seen that in our interactions as yet.
Tarang Agrawal: Okay. Thank you.
Moderator: Thank you. We take the next que stion from the line of Mr. Abdul Kader Puranwala from ICIC Securities. Please go ahead, sir.
Abdul Kader Puranwala: Hi, thank you for the opportunity. Sir, a couple of questions on the India front. So this quarter we highlighted that the chronic therapies have been growing. Would it be possible to quantify the amount of field force, what do we have on the chronic versus on the acute side?

Umang Vohra: Yes. I think about 80% -- 75% to 80% of our people are on the chronic side. 20% or so are on the acute side.
Now chronic for us includes respiratory. So I think that's something you need to keep in mind.
Broadly, we have about 10,000 odd people, 10,000 to 10,500 odd people. And within that, respiratory is the largest share of reps in that. So acute will be roug hly about 2,500 or 3,000 people.
Abdul Kader Puranwala: Understood. And second on the consumables on the India front. So, this quarter, again, on the revenue and margin front, we've done some phenomenal job. I just wanted to again understand your -- that i s this due to some bit of a seasonality where -- when we saw some extended summer period in June? Or -- and then how does the full year expectation -- is that is -- earlier, we were planning -- we were factoring a mid -teen for the entire fiscal '24, but we have achieved that in Q1. So are we internally releasing our margin estimates for the consumer business when we talk about this 22% to 23% shift to what has probably happened apart from what the performance in the US has been?
Umang Vohra: Just one minute . So we only got parts of your question because the line was bad. Let me try and just highlight, what you wanted to know. The first was the seasonality in the consumer health care business. Then we lost you, where it was 22% to 23%. I didn't quite get the connection with the 22%, 23%. Can you please explain that?

Abdul Kader Puranwala: Yes. So this -- the 100-bps improvement in your margin guidance for '24, I mean, is that factoring from the uptick, what you have seen in India this quarter, so that will largely continue for the quarter ahead, along with US or it's largely US, which is raising that confidence?
Uman g Vohra: Okay, thank you. So the confidence is raised by all our markets, actually. It's -- even though we may think that the percentage increase because the US and India do better, they are larger businesses. But frankly, if South Africa does better, our margin profile improves dramatically because the South Africa business gets a tremendous leverage from top line growth. So it's all our businesses that raises our confidence profile of our EBITDA trajectory.
Now on consumer business, we have a large category in oral rehydrating solution, the ORS. And this time, this summer, unfortunately, only peaked sometime in the north in some part of June because the rains came earlier and there were rains throughout the summer. So actually, we have seen a slightly more muted quarter than we had expected in our consumer healthcare business. Having said that, quarter 1, quarter 2 are always the largest in this business. So we've not had a full season this time, the way we would have liked to see it in the consumer busines s. But despite that, it has shown the type of growth it has.

Abdul Kader Puranwala: Got it. And one final, if I may. This is again a follow -up from what the earlier participant was asking. So when we're talking about the supply chain rebalancing, so from a volume front, I know few players are exiting in the market. So incremental flow of these volumes, how is that getting captured? Is it that the buyer groups have been trying to be little conservative now and they're not assigning the entire or the lion's s hare of the volumes to one supplier alone and this

is getting scattered, or the trend largely continues to be the same that the largest guy keeps on becoming larger here?

Umang Vohra: No, I think it's a diversification of sources, for sure. I think that's happening. At the same time, the discussion is also on longevity of the contract. So I think both of those issues are happening at play.

Abdul Kader Puranwala: Sure. Got it. Wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Mr. Shrikant Akolkar from Asian Market Securities. Please go ahead, sir.

Shrikant Akolkar: Hi. Thank you for the opportunity. Congratulations on the good set of numbers. My questions are pertaining to the price erosion. So can you please p rovide your current thinking on the sustainability of the currently easing price environment as well as the shortages in the US generic?

Umang Vohra: We've answered that question, but I'll repeat it. We see that the price erosion is kind of stabilizing now because of the number of people, who have exited the markets and the pending restructuring that's happening in the US based companies. So the shortages are leading to some of that. Some of that is being led by the rebalancing of trade channels. So yes, pr icing pressure is abating a bit.

Shrikant Akolkar: For the rest of the calendar year or fiscal year, how do we see that? Is it -- will it remain in the currently easing environment? Or do you think that there is a possibility that higher supplies would com e in and the price erosion would go back to the normal levels that we have seen in the last year?

Umang Vohra: I'm not sure we can -- I can only talk about the current quarter because this is a trend that responds to the number of players and the type of l aunches. So in the current quarter, we think it may be like quarter 1. I can't give a view of what will happen in quarter 3 and quarter 4.

Shrikant Akolkar: Understood. One more question on the price erosion. Is that -- is it possible

for you to break down the US portfolio in a couple of buckets and provide some colour on what proportion of your US portfolio is seeing price erosion or is benefiting because of the shortage situation?

Umang Vohra: I'm not sure, we give that level of detail. We look at an overall number of price erosion, and we factor based on that. It used to be at the higher level of high single and double digits , it's slightly reduced a bit now. It's very difficult to characterize , which family sees an increase now because it's a factor of mix. It's a factor of price adjustment. So that's why we don't give clarity in that regard.

Shrikant Akolkar: Okay. And the last question on Albuterol inhaler recall recently that we have done. S o what is our challenge? And have we resolved this issue currently?

Umang Vohra: Yes, the challenge was for a specific number of batches, and those we have recalled. I don't think we saw the same issue in other batches. We have done an analysis, and we feel confident about it.

Shrikant Akolkar: Got it. Thank you so much.

Umang Vohra: Thank you.

Moderator: Thank you. We take the next question from the line of Mr. Krishnendu Saha from Quantum AMC. Please go ahead.

Krishnendu Saha: Again, just a clarification. Abraxane, we -- this is not our own development, we got it from someone, right? Just sketchy about that thought.

Umang Vohra: No, it's a Cipla product. Abraxane is a...

Krishnendu Saha: Sure. Thanks. That’s it.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Ajinkya Pandharkar for closing comments. Thank you, and over to you, sir.

Ajinkya Pandharkar: Thank you, all. Thank you for joining us for the earnings call. If you have any questions, please reach out to us at investor.relations@cipla.com. Thank you and wishing you a very good day ahead.

Moderator: Thank you. On behalf of Cipla Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 24826000 F +91 22 24826120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r
L24239MH1935PLC002380

24th August , 2023

(1) BSE Ltd. (2) National Stock Exchange of India Ltd.
Listing Department Listing Department
Phiroze Jeejeebhoy Towers Exchange Plaza, 5th floor
Dalal Street Plot no. C/1, G Block
Mumbai 400 001 Bandra Kurla Complex
Scrip Code: 500087 Bandra (East), Mumbai - 400 051
Scrip Code: CIPLA

(3) SOCIETE DE LA BOURSE DE
LUXEMBERG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Transcript of the 8 7th Annual General Meeting

Dear Sir/Madam,

Please find enclosed the transcript of the 8 7th Annual General Meeting of the Company held on Thursday ,
10th August, 202 3, through video conferencing / other audio -visual means. This transcript will also be
uploade d on the Company’s website at https://www.cipla.com

Kindly take the above information on record.
Thanking you,

Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary
Encl: As above

Prepared by: Chirag Hotchandani

TRANSCRIPT OF CIPLA LIMITED – 87TH ANNUAL GENERAL MEETING HELD AT 3.00 PM (IST) ON
10TH AUGUST, 202 3 THROUGH VIDEO CONFERENCING

Management Participant:

Dr. Y. K. Hamied - Chairman

Mr. M. K. Hamied - Vice Chairman

Ms. Samina Hamied - Executive Vice -Chairperson

Mr. Umang Vohra - Managing Director and Global Chief Executive Officer

Mr. S. Radhakrishnan - Non-Executive Director

Mr. Adil Zainulbhai - Lead Independent Director

Mr. Ashok Sinha - Independent Director

Dr. Mandar Vaidya - Independent Director

Ms. Punita Lal - Independent Director

Mr. P.R. Ramesh - Independent Director

Mr. Robert Stewart - Independent Director

Mr. Ashish Adukia - Global Chief Financial Officer

Mr. Rajendra Chopra – Company Secretary
Auditor Participant:
Mr. Gautam Wadhera - Walker Chandiok & Co LLP, (Statutory Auditor)

Mr. B. Narsimhan - Practicing Company Secretary and Partner , BNP & Associates (Secretarial Auditors) & Scrutinizer

Mr. D. H. Zaveri - Cost Auditor

Mr. L. Bhargav - Assurance Reviewer

Moderator: Dear shareholders, good afternoon and a warm welcome to the 87 th Annual General Meeting of Cipla Limited. For the smooth conduct of the meeting, all the shareholders will be in mute mode. The audio and video will be unmuted for those shareholders , who have regi stered themselves as speaker during the Q&A session. Members who have not registered as speakers but want to ask questions may do so by posting their questions in the chat box available on their screen.
Shareholders are also provided with a webcast facility for live viewing of the proceedings of the meeting. Please note that, as per the statutory

requirements, the proceedings of the annual general meeting are being recorded and the recording as well as the transcript will be uploaded on the website of the c ompany. I now invite our Chairman Dr. Y. K. Hamied to initiate the proceedings. Thank you and over to you, sir.
Y. K. Hamied : Good afternoon everybody. It is morning where I am, But good afternoon to all of you. Welcome to the 87th Annual General Meeting o f the C ompany. I would like Mr. Rajendra Chopra to make an announcement and then I will take over after that. So, Rajendra, the ball is in your court.
Rajendra Chopra: Chairman sir, before I start the statutory process, may I request you to please introduc e the Board members , who are attending this meeting?
Y. K. Hamied : I will do that.

On my left , we have got Mr. Ashok Sinha. Then I think the picture is not really clear to me but I think that is Adil Zainulbhai, then Pun ita Lal, then I think it is, I don't know the names are not very clear but I would like to please, Ashish is there, then there is myself, then there is, it is not very clear so Rajendra, why don't you do the necessary introduction on my behalf.
Moderator: Mr. Chopra, please unmute your audio.
Y. K. Hamied : Samina Hamie d is on the left of mine . Then you have got Mr. M. K. Hamied, I can recognize. The pictures in front of me are not very clear. So will you do the needful please?
Moderator: Mr. Chopra over to you.
Rajendra Chopra: I will do it, sir. On the top left, we have Mr. As hok Sinha. As hok Sinha is the Independent Director and Chairman of the Audit Committee . Next to Mr. Ashok Sinha, we have Mr. Adil Z ainu lbhai. He is the lead I ndependent Director on the B oard of the company. Then we have Ms. Punita Lal, she is the Independent Director and the Chairperson of the Nomination and Remuneration Committee. Then we have Mr. As hish Adukia, he is our G lobal Chief Financial Officer. Below Mr. As hish Adukia, we have Mr. Umang Vo hra. He is the Managing Director and Global Chief Executive Officer.
Then we have our Chairman Dr. Y . K. Hami ed. Below Dr. Y . K. Hamid, we have Mr. P .R. Ramesh. He is the Independent Director and member of the Audit

Committee. Then we have on the left side of the screen, we have Mr. M . K.
Hami ed, he is the Vice Chairman. Then below Mr. M. K. Hami ed, we have Ms.
Samina Hamie d, she is the Executive Vice Chairperson and the Chairperson of
the Investment and Risk Management Committee meeting. Then we have Mr.
S. Radhakrishnan. He is the chairman of the Stakeholder Relationship
Committee.
Beside Mr. S. Radhak rishnan, we have Mr. Robert Stewart. He is the
Independent Directors of the company. And then we have Dr. Mandar V aidya.
He is also the I ndependent Director of the company. Thank you. In addition
to the Board member s, we also have Mr. Gautam Wadhera. He is a partner at
Walker Chand iok and Company LLP, Statutory Auditors of the Company . Then
we have Mr. B. Narsimhan, Practicing Company Secretary. He is the Secretarial Auditor and the scrutinizer for the purpose of the voting results at
the AGM.
We also have Mr. D. H . Zaveri. He is the Co st-Auditor and Mr. L. Bha rgav , the
Assurance Reviewer. The requisite quorum is present and therefore I call this
meeting with the permission of the Chairman in order and I will now make
the statutory announcement.
Y. K. Hamied : Please do that.
Rajendra Chopra: Thank you. This meeting is being conducted through video conference in
accordance with the provisions of the Companies Act, 2013 and the circulars
issued by the Ministry of Corporate Affairs and the SEBI . The proceedings of
this annual general meeting are also being webcast live and can be viewed
using the details provided in the notice of the Annual General Meeting .
The integrated annual report containing the B oard report, the A uditor's
report, the F inancial statements , and other reports along with the no tice of
this meeting have already been sent to the shareholders at their registered
email ID. I hope all the shareholders have received the annual report. With
your permission, I take t hem as read .
Since there are no qualifications, observation, comment o r remark in the
statutory auditors or the secretarial auditors report for the year ended 31
st

March 2023, I take the liberty and consider both the reports as read in the
interest of the time.
In order to enable you to vote on the resolutions, we have provided e -voting
facility through N SDL platform. The remote e- voting commenced at 9 a.m. IST
on Sunday, 6th August, 2023, and ended at 5 p.m. IST on Wednesday, 9th
August, 2023. The voting rights were recorded on the shares

held by the
members as on the cutoff date, which is 3rd August, 2023.
In case you have not exercised your voting right through the remote e -voting
facility, I request you to do so now , while watching the AGM proceeding.
Voting w ill remain open up to 30 minutes from the conclusion of this meeting.
Since you have been provided an e-voting facility, there will be no voting by
show of hands at the meeting as per the statutory provision.
The statutory document registers and reports as are required to be placed at
the AGM are open for inspection electronically. Shareholders who wish to
inspect these document s, register or reports can write to us at
cipla.agm@cipla.com . We will facilitate the inspection.
May I now invite our Chairman Dr. Y . K. Hami ed to address the shareholder s
and deliver his speech. Over to you Chairman.
Y. K. Hamied : Thank you Rajendra. Ladies and gentlemen wherever you are in India or in the rest of the world, welcome to the 87
th Annual General Meeting of Cipla. In the
past three years, major advancement in medical science provided solutions to protecting the well -being and health of society, including COVID -19
patients. Every time the wor ld has faced a crisis, we have witnessed humanity
coming out stronger.
The advancement in pharma research, scientific innovation, newer discoveries of therapies and treatment options would not have been possible without the work, dedication and insight of scientists and researchers worldwide. Society in general owes them a deep debt of gratitude. All of you have received a copy of Cipla’s annual report for the year ended 31

st March
2023.

This includes a detailed summary of our financial performance, management discussions and analysis, business strategy, manufacturing operations, supply chain management, human relations, corporate social responsibility, environment practices and overall company governance. With your permiss ion, I take the report as read.
This is the sixth consecutive year in which we have presented a fully integrated annual report. It is pertinent to note that in the last two decades, the Indian pharmaceutical industry has stood true to its position of being the pharmacy c apital of the world. Armed with a robust network of 3,000 pharma companies and approximately 10,000 manufacturing units spread across India. India offers a unique inter national competitive advantage.
It is time that we re- evaluate India's role within the g lobal pharmaceutical industry, strengthen our position in the light of geopolitical changes, biodiversity, and attaining self- sufficiency with innovation as a guiding principle for future growth. Gentlemen, today the world is faced with many challenges inc luding that of AMR, A nti-Microbial Resistance, climate change, natura l disasters and multiple risks.
Your company is actively working to combat AMR and improving antibiotic usage or misuse of antibiotics. We are also promoting incremental innovation in the area of repurposing and repositioning of active and essential drugs. On the environmental front, C ipla is making a major impact towards carbon and water neutrality and net zero targets to bring about a positive change in the world.
During the year under r eview, we forged many partnerships and made significant investments in newer therapies such as messenger RNA, CAR -T cell therapies, biosimilars, stem cell research, digital therapeutics, etc etera . I sincerely believe that this will lead to build up the Cip la of the future. We maintain our rank as the third largest pharma company in India, and also in South Africa. We have recently achieved t he second rank in that country.
Apart from this, we are among the leading 15 global generic pharma companies. In the a rea of dispensing medicines in the USA, Cip la ranks among the top 10. In the field of respiratory medicine, our presence is growing with

very new, inter

esting launches. We have a leading presence in the care spectrum with a wide range of drugs and device c ombinations that has established Cipla as a leader in respiratory medicine both in India and in many key emerging markets.
Your company has extended its humanitarian approach beyond providing essential medicines. Cip la Palliative Care and Training Center h as provided care beyond cure to many terminally ill patients, particularly suffering from cancer and allied ailments. Over the past 25 years, this center, which is in Pune, has cared for approximately 25,000 patients, along with their families and caretake rs. This outstanding gesture on the part of C ipla gives all of us a great deal of satisfaction and has firmed up our resolve to expand access to Palliative care across the country.
Guided by our compassion and perseverance, we will always strive to improve access to quality medicines and that too at affordable prices, not only in India and Africa, but globally as well. Finally, I'd like to take this opportunity to express my sincere gratitude to all my colleagues on the C ipla Board of Directors.
And Cipla's management team for their support, guidance, and visionary leadership. I would also like to acknowledge the contribution to the company of all our employees, both past and present, as well as to our shareholders.
So that Cipla can continue its succ essful march forward. As always, our profuse thanks to the medical profession, our customers, our suppliers, our partners, and associates for their continued support and trust in our company, the Evergreen Cipla. Thank you.
Rajendra Chopra: Thank you , Chairman. Umang, may I invite you to now present and provide an update to the shareholders on the company.
Y. K. Hamied : I now request Mr. Umang Vohra , our MD and Global CEO to brief you on the

operations and performance of the company and thereafter Rajendra will you take over the statutory items as proposed in the notice of the AGM and other matters. Over to you Umang.

Umang Vohra: Thank you very much Chairman Sir , and welcome ladies and gentlemen and thank you for the opportunity to present the C ipla perfor mance over the past one year. As most of you may have received the annual report, this time, the theme is Force for Good, and we just replicated that on this slide. So, if you go to the next slide, please. This is the snapshot of the performance. I think there are a couple of factors that we should be happy about.
The first is the growth excluding COVID. C ipla showed an 11 % percent growth year- on-year on a high base from the previous year of COVID therapies. The EBITDA margin is at – adjusted margin is at 2 3%. We reported closer to 22 %. R&D spends have grown 20% year -on-year and are measuring in at about 6% of sales. So if you look at the overall snapshot, the strong trajecto ry and profitability continues.
There is revenue growth, and as you may have seen in quarter one, numbers are revenue engine and momentum and the portfolio and pipeline that we
have been investing over the past couple of years , is beginning to yield us , the outcomes that we had expected.
Covering very quickly on our markets, One India was up 13% year- on-year. And again, this excludes the benefit of COVID. But if you were to look at just the trajectory of this business, over the past, I would say, eight quarters to 10 quarters has been con sistently beating market. We are improving the share of chronic therapies in our portfolio, and our consumer franchise and gener ics business are contributing significantly to the various demographic patterns that we see in the India market.
In North Americ a, business has grown really strongly. We're at 23% growth. This business used to be sub 200, 300 million till about seven years to eight years back. And we continue to see the trajectory going forward, largely out of the portfolio unlocking that we have

b een bringing, our supply reliability,
as well as the smart consumer strategy that we have deployed through the team in the U S.
On South Africa, the private market took a slight blip this year. I think it was adjusting for the COVID base in the numbers. Our business continues to remain strong. For many quarters now, almost 20 plus quarters, we have

beaten market. And we continue to do so in terms of growth. This business is rebounding very heavily as we have seen i n the quarter one of this year.
And in inter national markets, the business withstood a lot of volatility, but we are in our direct to market businesses, which are the businesses , we are building for the future. We've seen double -digit secondary growth almost across all the markets that we operate in . So the commercial engine of this company, I think, is firing very strongly. And I will cover the rest of the slides , where we will also talk about the operating performance.
Can we go to the next slide, please? Beyond what we do commercially, we stand as a company that cares for life. There are several themes that the
Chairman also mentioned in terms of Palliative care, but there is a lot that our foundation does in terms of disaster response, in terms of projects that we take on for sustainability, for health. And many people have told us that we as a company operate with the heart of a foun dation and not that.
And that is the most -- that's the best thing that we hear every time that we interact with significant shareholders such as the doctors, such as the hospitals, and several other stake holders of our company. But a lot of work
done by not only the Cipla Foundation, which has proudly led us to where we are today, but also the s everal aspects of our business.
Can we go to the next slide, please? We had spoken to you about some of our strategy, which we had called the, the trinity of passion, capability, and economic engine. I'd like to tell you that, we have achieved significantly
almost all big aspects of our strategic blueprint. I n fact, in this year, just about two to three weeks back, C ipla also had a discussion with the Board of the
new strategy for the next four years. And there are equally challenging themes that have been laid out by the B oard to the management. And the

manag ement has accepted that we will drive the strategy of C ipla around those pill ars that have been articulated.
But very quickly, over the past three years, not only has C ipla increased its portfolio in the lung leadership space, we disclosed that lung leadership and ailments of the lung account for 30% now of the share of our revenues. We

spoke about wellness becoming very strong. It's currently about closer to 9% of our revenues. We're hoping to take that up to 15%.
In AMR, we have created significant portfo lio additions. And you know, every time there is a crisis, we want to be the company that can come up with a solution to problems that the world faces, just like we did in COVID, just like we did in HIV. As I mentioned, the home markets, most of the market commentary that I covered are in good standing at this point in time, as is the US, with the type of diff erentiated assets that we have.
Of course, we've had some issues with our facilities, and I will talk about them in a separate slide. If you look at o ur emerging market strategy, that is in terms of double -digit growth that we're seeing in most secondary markets. That's on track. During the year and several years before, maybe two years to three years before, digital became a real opportunity for us to increase the canvas that we operate in. And the company has adopted several significant moves.
Even the training that we impart today to patients goes through a digital universe that we call Breathe free, digital educators.
And on the rest of the continuous improvement in our ability to create a benchmark of co

sts. T hat continues to happen. None of these is possible without three things that run in the organization. The first is the culture of quality. Second is the type of portfolio work that happens in our facilities, in our labs, because they are the real fuel for the fire that we put into each one of our commercial engines.
And the third is the talent that this company has. And on all three, we have achieved significant breakthroughs. We continue to redef ine the boundaries of science. We're continuing to push the envelope in drug product categories, work with agencies to get the best medicines that can satisfy unmet needs.
In most places, we are a follow -on as a genetic, in the sense that we are the first genetic to the market. But in many places, we are now redefining this boundary to be the first company to be able to come up with this through our efforts in mRNA, through our efforts in bio, in the bio side of the world, and the Stempeutics , through our a lliance partner in S tempeutics . And so there's a lot happening. I will cover quality as well, but we are very proud of what

we've been able to achieve in the past strategic plan p eriod that we've just finished.
Can we go to the next slide, please? ESG cont inues to be a very strong focus for C ipla. We realize that as a company , we carry this responsibility. And I'd like to repeat a line that our facility in Kurkum bh has. And that line inspires us every time and that line really is that you do not -- you don't inherit this earth from our parents , we borrow it from our children and that's the responsibility that we take as people at C ipla.
We realize that , we've borrow ed this planet from the future generations from our children and we need to leave it better than how we borrowed it. And that is a responsibility, as you can see, Chairman has outlined the goals that we are trying to achieve. We are well underway with thes e goals. The company is being recognized for what it's doing in terms of carbon neutrality. I think about 40 %, 45% of our power today comes from renewable sources. And that's a very strong achievement for us as a company.
We're doing a lot in water because in pharmaceuticals it is very extensive with the use of water because we clean. And sometimes the water we use can be redeployed. And I think that's what we are trying to do. At the same time, we're working with several communities around our facilities in making sure that they have sustainability embedded in those communities and how we can help them to achieve their objecti ves of life and sustainability.
Could we go to the next slide, please. I want to speak about certain recent

news items around the Goa and Indore facilities. I would like to give you a
commitment that management is working earnestly to the remediation of
what has been found by the US FDA at these facilities. In Goa, which the facility is from 2020, has been under the warning letter statu s from the FDA.
We have some early, while we have remediated all the actions that we had
promised to the FDA, we also have some early green shoots of progress.
We were recently audited by the MHRA, and that audit went off relatively well. The while Goa waits for the opportunity to be re -inspected by the FDA.
We have actively been de -risking our product portfolio from here and are
working on moving some of these difficult to do products to other partner

sites within our network where possible and with other partners where it's
not possible in our network. And Indore , which is a recent inspection, we have
a constant dialogue with the FDA.
We are in the process of remediating most of the actions that the FDA has
mentioned. We believe a re- inspection of this fac ility may happen in the next
year. And at this point in time, we have deployed the best consultants to help
us with both of these facilities. So we feel confident that , we are on t

he right
track and pretty soon , we are hoping that, these facilities complete the
remediation activities that is demanded of them. Again here, the assets that we have filed which are limited are being delivered to our other sites, some
of which happen to be in the US.
Can we go to the next slide, please? So Chairman spoke about how this world
is changing, about how science and how much of gratitude we as a society
owe to the scientists. But some of those areas that are happening in the
future, if you fast forward to the future, you would see biosimilars becoming
a very large po rtion of our portfolio.
You would see mRNA therapies becoming the cornerstone of how innovation
comes. Genomics, the basic way in which respiratory medicine is changing
and the impact of digital. And I'd like to me ntion that we are cognizant of
these. We are investing significantly either through ourselves or through our partner network, either through equity or through broad alli ances into each
of these areas.
And several of these have been part of what the company has done over the
past. But, and that's the focus that we bring, not just managing the today of
operations, but making sure that , we continue to stay more relevant as a
company than we have been today to the patients that we serve. I'd like to
thank the C ipla team. I'd like to thank the B oard for their counsel, their
partnership, and the C ipla team for what we do every day, the 25,000 of us.
Clearly, a lot of our in itiatives are being recognized.
We've been awarded various awards, as well as several citations on what we
do on a day -to-day basis. So with that, thanks to all of you shareholders for
your support and to the employees of C ipla, our partners, and to the B oard

for their constant counsel and judgment. Thank you very much. Rajendra, I'll
now transfe r this to you.
Rajendra Chopra: Thank you, Uma ng. The shareholders may note that since this meeting is
being held through video conference and the resolutions provided in the
notice have already been put to vote through e -voting, there will be no
proposing and seconding for the resolutions. I will now brief you on all the
resolutions which we have proposed in the notice of the annual general meeting. Once I finish the customary process of briefing on the resolutions,
we will invite the members who have registered their name to ask questions
or seek clarifications or express their views from the management, statutory
auditor and secre tarial auditors.
Item #1 and 2 of the notice have been proposed as ordinary resolutions for
the adoption of audited, s tandalone and consolidated financial statement of
the company for the financial year ended 31
st March , 2023 and the report of
the Board of Directors and auditor thereon. The auditor has issued an
unmodified report on the financial statement and has confirm ed that the

financial statement present are true and fair view of the state of affairs of the
company. The Board has recommended these financial statements for
adoption by the members.
Item #3 of the notice has been proposed as an ordinary resolution for the
declaration of dividend. The B oard has recommended a final dividend of INR
8.50 per equity share for the financial year ended 31st March , 2023. Upon
approval by the Shareholders , the Company will endeavour to pay the
dividend within seven working days from the date of declaration, but in no
case , it will be after 30 days from the Annual General Meeting .
Item #4 of the notice has been proposed as an ordinary resolution for the
appointment of M r. Umang Vohra as a D irector liable to retire by rotation.
Except Mr. Umang Vohra , none of the Directors and key managerial personnel
of the company and their relatives are concerned or interested in the resolution. Based on the performance evaluation and on the
recommendation of the nomination and remuneration committee, the Board

has recommended the reappointment of Mr. Umang Vohra as a Director
liable to retire by rotation.
Item #5 of the notice has been proposed as an ordinary resolution for
ratification of the remuneration of cost auditor for the financial year 2023 -24.
The Board on the recommendation of the audit committee has approved the
remuneration of INR 12,50,000 plus appli cable taxes and out -of-pocket
expenses as remuneration to Mr. D. H. Zaveri, the cost auditor. As per the
provisions of the Companies Act, since the remuneration approved by the
Board is required to be ratified by the members of the company, the B oard
recommends ratification of the re muneration of the cost auditor.
We will now invite the members who have registered themselves to ask any
question to the management, the statutory auditor or secretarial auditor or to make any suggestions. We have received 24 requests from the members
who want to speak at the AGM. They will be unmuted and will be allowed to
ask questions when called upon by the moderators . We will reply to all the
questions and queries in one go.
Considering the high registrations from the speake rs in the interest of time, I
request the members to keep their questions and comments in brief and not to repeat the questions which have already been asked by the fellow
members. I also request to not to take more than 2 minutes. This will ensure
that other members get opportunity to ask the questions. May I now request the moderator to please invite the shareholders one by one. Over to you
moderator.
Moderator: Thank you very much. We will now begin the question -and-answer session.
Ladies and gentlemen, we will wait for a moment while the question queue assembles. I now invite the first speaker
shareholder, Mr. Arun Kumar Boppanna . Please accept the prompt on your screen, unmute your audio and
video from your device and pro ceed with your question.
Arun Bopp anna: Good afternoon everybody. Thanks to Rajendra Chopra for sending me the
balance sheet and arranging this VC. Chairman sir, in a century the world has
seen Spanish flu, World War, Corona, we lost a lot of friends and relatives too.

With no one ahead and with no one behind, Dr. K. Hamied started Cipla in
1935 to make affordable drugs changing the face of Indian pharma industry.
Cipla did develop, deliver and delight us for 87 years, sticking to their roots,
religiously providing modern medicines to the Indian masses at affordable
price and compliments for enabling access, affordability and innovative
medicines to Indian public for bringing down the prices with first -to-market
medicines in India too.
My question is what i s the impact of the Ukraine war for raw material security
and how did we act? And now the skills are to be rebooted with AI and coding etcetera . What is the budget for us in HR? What is the employee average age
and with the attrition rate and employees by gender? Concerning the present
momentum, what will be our asset base at the end of the decade? There is a drug delivery system , new drug deliveries have come, oral is taking a back
seat.

I understand injectables and transdermal therapies are taking the sta ge now.
I think last year Mr. Umang said that we are trying to get something from
Japan . So, what are the transdermal patches we are importing from J apan and
what is the status of transdermal patches within C ipla and within the country
and what will be the future? And lastly so the question is whether the IEPF
and KYC n orms has become major headache.
It is a nightmare for senior citizens like me and a company like Titan in Bangalore has pioneered the initiative to assist the shareholders. I would request and suggest C ipla take the initiative to help the shareholders for
physical form. And tribute to the founders and successors of C ipla. C ipla was
built with the spirit to serve the poor of the country with dedication.
The dominant pos

ition of Cipla is an impressive achievement and accord it
speaks for itself. The accomplishments of the founders and successors are
nothing short of being remarkable. In conclusion, regardless achievements of
the past must not matter, achievements for the future, we must focus on. I
wish Cipla all the best to develop, deliver and delight us in the coming
centuries too. Thank you very much.

Moderator: Thank you very much. We tried contacting speaker shareholder number 2,
Sailesh Mahadevia to join the meeting. However, on t he account of no
response from the member, we will move on to the next speaker, Ms. Smita
Shah and Bharat Shah, Speaker Shareholder No. 3. Please accept the prompt
on your screen, unmute your audio and video from your device and proceed
with your question.
Smita Shah: Respected Chairman Sir, Y. K . Hamiedji, Vice Chairman M. K. Hamiedji and
executive and V ice Chaiperson Sa minaji and all the Directors are heartily
welcome, myself Smita Shah. I have seen your company's excellent
performance. If I see the 10 y ears performance, revenue from the operation,
profit for the year, earning for the year all are progressing very high . For the
long years, company name has been made popular in India as well as in the
world by you.
This is the miracle of your leadership, sir. The whole Board as well as team's
support, along with the support of all the employees, with which you have made your company's name famous today. Sir, you are praiseworthy. Sir,
what can I say for you? Sir, you have given dividend to the shareholders for
giving me INR 8.50 per share , final dividend .
We shareholders have always supported you and I have always been with you.
We used to attend the meetings physically which were conducted in Y B
Chavan centre . So, s ir, we are still attending the meetings. Thank you so much,
sir. I am fully supportive of your resolution. I wish you all the best. May you always be a hit. May the future be a super hit for you. May you succeed in
your endeavors. This is my wish. I wish y ou a bright future and success.
Lastly, I would like to say that I am very thankful to our company secretary
Mr. Rajendra. He is a good natured hard worker and has a lot of hard work. And Natarajan also , is a hard worker and supportive. With his help and
support, we are able to attend the A GM for last four years through VC. I thank
the entire Secretari al team along with Rajendraji, Natarajan and everyone.
And I thank the entire team for their good wishes and good investor service.
And now I have a humble re quest. We are able to see only through VC for the
last four years.

So it is necessary to meet each other. So, next year, you must keep in touch
with each other physically. So that we can all meet face to face and talk. And we get the physical opportunity t o talk. So, sir, we will definitely be there. We
will be with you in the next meeting. And you all stay with Good Health. I fully
support all the resolutions today. Thank you, sir. Keep talking to Bharat Shah,
he is also in the line.
Bharat Shah: Respected Chairman Shri Hamiedji and other minority leaders welcoming
you. I won't take much time. I have been attending your show since many
years. I have no query . You are running the company neutral ly. You have
always taken care of the shareholders. You have given good returns to the
shareholders. I thank you very muc h.

I pray that our company moves ahead. I thank you for all the awards. CSR
activities is also going well in human’s wellness . I am thankful to the company
secretary Mr. Rajendra and his team's Natarajan. I am thankful to the whole
team. They are giving very good investors service . They always respect their
role. They solve any of your queries. I am thankful to the whole team. He has made a good balance sheet and received the copy well on tim e. I am thankful
for that.
Factory visit has been long await

ing and you had said about it, in the last meeting. Now the conditions are stable, so you can think about in this year. I am expecting the bonus atleast in the next coming year. Also, tell me when
did you give last bonus. Also, keep a meeting next year face to face . It's been
four years since we met. So, keep a meeting next year. I wish you all a happy
Diwali and all festivals. I have full support in all the resolutions. We will always be with you. We will always be together. Thank you very much. Jai Hind , Sir.
Thank you very much.
Moderator: Thank you very much. I now invite speaker shareholder number four , Mr.
Kaushik Shahukar . Please accept the prompt on your screen, unmute your
audio and video f rom your device and proceed with your question.
Kaushik Shahukar : Good afternoon everyone. I am honored to have the opportunity to address
you all today and would like to express my gratitude to the Board of Directors
for allowing me this chance once again. First of all, I salute the Board of

Directors for continuing V C mode of meeting thereby allowing pan India
participation. So I request you to continue this trend.
I am a satisfied shareholder of our company and I must commend the
management for their remarkable efforts in creating wealth for the
shareholders. However, I would like to raise a couple of concerns. My primary
concern pertains to the utilization of savings on account of virtual mode of
meeting. I believe it would be prudent and fair to allocate a portion of these funds to the welfare of the shareholders, more particularly among speaker
shareholders , who actually participate in AGM as speakers.
Considering the valuable contribution and active involvement in the meeting,
it would be a gesture of recognition and appreciation to distribute a small
memento among i mportant festivals. Sir, can you provide me the expenses
on account of virtual mode of meeting and on account of physical mode of
meeting if possible? I humbly request to you all the Board to consider my
proposal and explore the possibility of implementing this gesture of gratitude
and appreciation.
By doing so, I firmly believe that it will reinforce the positive rapport between
the company and the stakeholders and contribute to the overall well -being of
the corporate family. So my next concern is, Sir do you manufacture any drugs
in preventing skin rashes or urinary infection and also do you manufacture
any oncology products? So if yes , can you just share the name? My final
concern is , the company has been hesitant in supporting indivi dual in need,
includi ng myself.
I have shared my credentials in the past and follow up consistently, but my
request has not been considered. So not even differently able person be part
of CSR activity then why the company is resistant in supporting me. I have appealed for your support in certification work including form 15 CB. Your
assistance would mean a lot to me if I can't get help from such a reputable company like C ipla, then whom can I turn to . I am res ending my credential
after AGM to your id and hopes of receiving justice and proactive
consideration for desired help and support . I want to clarify that I am not
seeking hando uts or free money nor sympathy.

I value my independence and self -reliance as a charter accountant and I hope
you can understand and res pect my desire to maintain that independence.
Thank you for considering my request. I firmly believe that , with your support ,
I can make significant contributions to our organization. Thank you so much.
Moderator: Thank you very much. I now invite the next speaker shareholder, Ms. H.S.
Patel. Please unmute your microphone and proceed with your question.
H.S. Patel: Respected chairman, Mr. Y. K..Hami ed sir, Mr. M. K. Hami ed, other eminent

Directors on the Board, the Managing Director Mr. Umang Vohra , our CFO Ashish Adukia and our most

favorite Mr. Rajendra Chopraji. Siddharth, I'm very much thankful to you. Very, very efficient work you have done in the CS department, Secretary Department. Very helpful and very up to date in giving help to the shareholders. Very nice work done Siddharth. He should be rewarded. Even I'm thankful to Natraj. He has also been very helpful and the whole team is very good. Thank you Mr. Rajendra Chopraji. Mr. U mang V ohra, I strongly support the resolution number four for his re -comi ng on the Board as the MD. Umang Vo hraji, you have 0.04% of shares of Cipla. Very nice. I am very happy to note that , the Directors of the company are holding shares of the same company because in some companies Directors are there , who don't hold shares . This is , I'm really very proud of you Mr. Umang Vohra and you have been doing very good job for the company . Thank you very much. Cipla has been the third largest pharmaceutical company, the 15th in the global generic company and third larg est in the respiratory section. They say the revenue growth is almost 13%. It's very nice to note that. Commercial engineering of the compa ny is operating perfectly well, no doubt. Sir, I would like to know, what is the total debt of the company and how, what is that and no doubt that it is coming down . At present, what is the total debt? I congratulate the company and all its employees for t he hard work that they have done for receiving various awards and ac colades.
Specially, C ipla was first to introduce anti- retroviral drugs against HIV. Congratulate each and every employee and good luck to you for this. It is true that, success does not ma ke the company great, but it is the contribution of

each member of the company to the society at large that makes the company great and no doubt Cipla is doing that.
All the best to you Cipla and its employees and the Board of Directors and the management team. Anyway, Cipla, Sir here as one of the shareholders has previously spoken about Titan. Titan has taken the great initiative in recalling, unclaimed dividend of the shareholders. Those who have not claimed dividend for the last seven years , so the dividend along with the certificate goes to the Investor Education, that is IEPF, Investor Education Protection Fund.
And from there to trace out that past dividend is very difficult. So extra care has been taken by Titan and they have come out wi th the resolution that they are appointing a company and paying that company to retrieve the shareholders at their residence. At their residence, whether the residence is changed, whether the shareholder is dead or alive. It's a very good initiative by the company.
I hope even C ipla comes up with such new, new helping aids to the shareholders instead of throwing the dividends to the IEPS fund. Next, I would like to. So, I'm a bit little orthodox . I don't say that I'm not modern , of course , I'm modern also, but our Mother Earth is full of various plants, there are various, richly rewarding mother earth, es pecially of our country, India.
And as likely said by Mr. Vohra, that we don't inherit, we not only inherit, I would say, we not only inherit from our paren ts, but we also borrow it from our children. And if when we say we borrow it from our children, we should do something for the Mother Earth also and for our future children also. We should do something for the mother earth als o and our future children also . Like we have many medical herbs, many, many plants, which we can some way, we can use in , Cipla instead of just using only medical. There are lot of medicine made by muslim people from plants and herbs. Why don't we make use of all such plants and herbs of Mother Earth? Turmeric, ginger, fenugreek , all these are very very vital.

We can come out with a turmeric milk powder, ginger milk powder. You know early morning to have a very hot cup of milk

with a little ginger and turmeric is very good, especially in winter and in this monsoon season. Why we are not

giving this to our public at large. Mr. Voh ra, please and the medical team, please, I would like to request you to please put some special attention to this. And Mr. Ashish Adukia, you are a CFO, please s ee that some finances are given to them to take out such medicines from the plants and herbs. Also, one important thing I would like to make sure...
Rajendra Chopra : Mrs. Patel, can you hear me . May I request you that I can meet you and I can take your sug gestions in detail.
H.S. Patel: That never happens, sir. In the whole year, sorry to interrupt you, in the whole year shareholders are not called, not even even spoken even once. I don't say , you call 10,000 or 15,000 shareholder, but at least the speaker shareholders are not even called. When we ring them, I'm not talking about C ipla alone, I'm talking about innumerable companies, when we ring them up, Secretarial Department, our call are nev er answered. Do you know that, sir? You are only on the day, on the two days -three days, five days before AGM only, shareholders are valued.
Rajendra Chopra : I will call you and I personally assure you, I will call you.
H.S. Patel : One more thing, I would like to bring to notice over here, that please make medicines in such a way that the effect of the medicine lasts for at least five hours to seven hours. Employees even in your company, everywhere, human beings are working, whether it is labor is done to earn money. So in order to sustain the body and work hard, let the medicine effect remain in at least for seven hours - eight hours. We take medicine, its effect is only for two hours - three hours. Doctor also says, take three times a day. Why? Medicine doesn't have the power for one day , then why we are spending 500 and 600 on your MBBS degree, isn't it.
Population is in crores, while doctors are in thousands or maybe few lakhs. Why importance is not given t o the public at large. Why importance is not given to the people , who are sick, who are ailing, going to the hospital and spending crores of rupees. Doctors are to be facilitated or human beings are

to be taken care of. I only leave it to you, sir, Hamie d sir. Thank you very much. I wish all your employees good luck, the management team and the B oard of Directors. Thank you very much.
Moderator: Thank you very much. I now invite the next speaker shareholder, Rajesh K. Chainani. Please accept the prompt on your screen, unmute your audio and video from your device and proceed with your question.
Rajesh Chainani: Respected evergreen Chairman Dr. Y . K. Hami edji, Vice Chairman Mr. M. K. Hami ed, Executive Vice Chairperson Ms. Saminaji and CEO Mr. Umang Voh ra and a very very highly distinguished B oard of D irectors. My fellow shareholders, my name is Rajesh Chainani, I have joined in from Vill e Parle, Mum bai.
First of all I thank our company's secretary Mr. Rajendra Chopraji for sending me the physical copy very well on time. It is full of each and facts and figures in place and I thank Mr. N atraj also. I got the call from the secretary department for join ing AGM. So it's a very good relationship maintained by Mr. Rajendra Chopra between the s hareholders and the management. Because the secretary team is the one, always keeps a very good contact and he has done a very good job . So it's a very good corporate governance. Page no. 10, the 10 years highlight is very well presented. So the company EPS is 34.69 but the dividend has been whatever . Well, thank you for the dividend what should I say. Sir , our share capital is INR 161 crores with th e res erves and surplus very good sir. So sir, do consider something for the shareholders. It's been a very very long time. It was something 2004 or 2005, when we saw the last bonus. And sir, time to time Mr. Umang Voh raji, fro

m time to time I have been abl e to hear you and see you on CNBC and ET Now. So whatever, even after the results , you were on the ET Now . So, I got the opportunity to hear you and it was a very good presentation , what you have shown.
Sir, rest nothing much to add for me , sir and only th ing is the promoter shareholding is 33.47 , the public shareholding is only 0.02 , so correct me if I'm wrong , sir and there was an article last week sir in economic times , where Mr. Jairam Ramesh , who is from congress part y are very concerned about the stake being sold by the promoter , sir. So because of Mr. Hami edji it is you ,

who is more concerned about the health of the country because your
medicines are very much less expensive compared to the multinationals and
all.
So sir, if you are selling your stak e to the B lacksto ne, I don't know whatever
the name is coming up . Though it will be a professional company but sir the
prices of the medicine will skyrocket . As it is , we are general public is suffering
and you have always taken care of the and you have alw ays thought about
the people. So just throw the light on that sir.

And sir I will say this much , sir, without taking much time, I will say this much
sir for you. Night comes, stars come, sleep comes, dreams come. We have a
prayer that tomorrow morning co mes and brings happiness for you. And sir ,
the relationship with you is years old. So I will say this sir, no matter how is
the relationship, it should be like a diamond. It should be small but should be
valuable and should be invaluable. With this, I supp ort all the resolutions and
my best wishes to the company, sir.. Thank you and thank you to the secretarial department for giving me the opportunity, sir.
Moderator: I now invite the next speaker shareholder Bharat Pratap Singh Negandhi and
Lata Bharat Negandhi . Please unmute your audio and go ahead with your
question .
Bharat Negandhi : Respected Chairman , Board of Directors and fellow shareholders, good
evening to all of you. My name is Bharat Negandhi from Bombay. Firstly, I
have received the annual report in time. The report is very beautiful,
authentic and transparent. I congratulate the company secretary Mr.
Raje ndra Chopra and Natarajan and Pa van Kumar and team , who sent me the
annual report to my residence address. I strongly support to Mr. Umang
Vohra for the D irector.
Sir, I already sent to my queries in email. So I will not ask any question because of give me the reply afterwards. I fully support to pass the order resolution
and wish company may be bright and healthy future of the company.
Thanking you. Thank you, sir.

Moderator: Thank you very much. I now invite the next speaker shareholder, Mr. Santosh
Kumar Saraf. Please accept the prompt on your screen. Unmute your audio
and video from your device and proceed with your question.
Santosh Saraf: Respected Hamied ji, Respected officers and shareholder brothers and sisters,
who are here through this video, I, Santosh Kumar, greet you all. I thank you,
the management and its team, for giving 425% dividend. It is a very good
dividend. I thank them for this. I also thank the employees , who work in our
factory. Because of their hard work, w e got such a g ood result today.
And you gave us such a good dividend. I thank them and pray for you. If you work hard like this, we will also get a dividend. And the management will also
get a good reward and get famous . Sir, this year, what new products have you
launch ed? How many have you launched? What have you done in medicine?
And what is your plan for growth in the future ? Please tell us about this.
And a few days ago, there was news in the paper and TV that our major
promoter are going to sell their stake to some other foreign company. So India
is such a big supplier of medicines. The American people are watching. What
is the reason? Is this

news true or false? If this is the case, then what is our
management, our emergency management doing to save us? People have
asked a lot of questions. But I don't remember. One is the dispute case. Three
pages are filled with dispute cases. But we have a lot of disputes. So, you
should talk about your legal case. Secondly, about the physical share , H S Patel
was saying, Sir, I want to ask that our employees, how many employees are
there, who have kept the physical share ? Why don't they get the demat of
the employees , who are still in the physical sale? While the SEBI has been
continuously asking since 2018 to get them demated.
And as far as our shareholders are concerned, you have kept the shares on
physical sale, we don't have any problem. The thing is that , the names that
have been kept are not even alive. So, it will definitely be a problem for that. Earlier, we used to keep 2 -3 pan cards. Now, one p an card is over. I won't take
much time, sir. What steps have you taken about renewable energy? And

what steps have you taken for recycling water? Lastly, I would say that V C meeting is very good. People can attend from outside.

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So, I would like to do a physical meeting in the future. So, keep the option of 10-15 minutes for VC meeting in the future. Which we outside shareholders, your employees and your employees, present outside can thanks for the same . Lastly, Sir, I wish you all a happy 2023. And I pray to God, for your health and your family, I wish you a happy 2023 with healthy, prosperous and safe. I wish you all a happy 15th August . I thank the moderator. I thank his management. Jai Hind, Jai Bharat. Thank you very much for giving time.
Moderator: Thank you very much. We request all the speaker shareholders to please restrict your comments or questions to two minutes. I now invite the next speaker shareholder, Bimal Kumar Agarwal. Please accept the prompt on your screen, un mute your audio and video from your device and proceed with your question.
Bimal Agarwal: Good afternoon and good evening to everyone. First of all, I will thank the company for its team and the management staff and the shareholders. As Chairman has already spoken such a good this thing, he has given speech. I got nothing to say about the direc tion and I have supported all the resolution and try to arrange a visit , if possible and always keep the meeting online only because anyone can join from now .
People are joining from Delhi, Calcutta, Ahmedabad . Keep it online only . Don't have physical meet ings, we are saving quite a lot of money also . Why you want to have physical meetings . Keep it online that's all from me. Thank you very much.
Moderator: Thank you very much. I now invite the next speaker shareholder, Hariram Chaudhary . Please accept the prompt on your screen. Unmute your audio and video from your device and proceed with your question.
Hariram Chaudhary Mr. Chairman, Mr. Hami edji and I wou ld like the attention of Mr. Raj endra Chopra and CSR committee Chairman. I first appreciate the efforts of Mr. Rajendraji Chopra, Mr. Chiragji, Mr. Indrajit , Mr. Natarajanji from the secretary department , who have helped us, kept the personal touch with shareholders. Mr. Chairman, I am speaking, my name is Harir am Chaudhary , I am speaking from Santacruz.

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Now during the COVID, Mr. Chairman, when there was a break marketing price of the medicines, our company Cipla was there, which provided at a cheaper rate, we appreciate very much for that and I also thank for the dividend, now Mr. Chairman I suggest that we have all the meetings in hybrid form, physical and online, that we are any r eason, any person can attend and outside persons can attend and also in high quality is there, in my other company where I am a Director, we have the hybrid system, please continue to have hybrid system o nly and Mr. Chairman , please have the get t

ogether of the shareholders and those who are present today and if not that, at least speak us and this can be done in your office itself, y ou may not spend for the whole.
Now about the CSR, kindly let us know, how much amount we have spent and whether this amount is more than 2 % of the net profit . Who is the Chairman of the CSR committee and who are the members of the CSR committee. Now kindly let the annual report, I compliment the company secretary for having prepared the informative annual report.
Now Mr. Chairman, I suggest that , we have a dedicated mobile phone in the secretary department , so that when we do not get the deadline , we can actually send the message and kindly let us know whether we use solar ener gy in our plants and all of the measures whether we are using water harvesting , finally let us know about that .
Finally let us know , what are the latest technology , digital technology we have adopted . Have we adopted artificial intelligence now . Kindly let us know , how much capital expenditure we spend during ‘ 22, ‘23 and how much capex expenditure we will be spending during ‘23, ‘24 and I support the request for bonus and Mr. Chairman , let us know how many total persons are

participating in this meeting . Now one more request, those who have not
claimed the dividend . Please send one more reminder to them so that they
can claim it. Now in conclusion , I support .
Moderator: Mr. Chaudhary we are not able to hear you sir. It looks like you have muted
your microphone. Thank you. It seems that we have lost the connection for
Mr. Choudhury. We'll move on to the next speaker shareholder. Mr.

Dyaneshwar Bhagwat, please accept the prompt on your scr een. Unmute
your audio and video from your device and proceed with your question. Mr.
Bhagwat, please unmute your audio and video from your device and proceed with your question.
Please unmute your microphone. Sir, we can't see you. Please unmute your micr ophone and proceed with your microphone.
We are not able to hear you.
As there is no response from Mr. Bhagwat, we will move on to the next speaker shareholder. Anil Champaklal Parekh , please accept the prompt on
your screen, unmute your audio and video from your device and proceed with your question.
Anil Parekh: Mr. Y . K. Hamie d, Mr. M . K. Hamid, other Board members and my fellow
shareholders . Sir, I am Anil Parekh here from Bombay. I would like to first
thank our CS team, Mr. Rajendra Chopra, very kind person and wholehearted
support for us , whenever we call him and he needs to be what you call
promoted for future prospects of this company.
Chairman sir, I am very much pleased with the performance of the company.
Year -on-year, we are doing wonderfu l job. Our revenue has grown to INR
22,753 crores. Profit for the year is INR 28 crores, INR 2,802 crores and you
have declared dividend of INR 8.5 rupees. Thank you sir for taking care of
small shareholders. Sir, many things have said before me , many shar eholder.
I am not going in detail. My only question to you is, sir, where we stand as far as generic medicines are concerned. And just now, we are at the third
position. So what would be the scenario as far as a world over and Asian
continent?
Sir, I have no questions still. I'm supporting all the resolutions with all of my heart and sir, my request again to you is , please have a physical meeting since
last three years we are unable to meet each other. N ow it is a high time to
meet in physical meeting. Chairman , sir, thank you for allowing me to speak
and I support all the resolutions.
Moderator: Thank you very much. Speaker shareholder, Mr. Gaurav Leeladar Rozat kar,
we tried contacting him to join the meeting. However, on the account of no
resp onse, we'll move on to the next speaker. Ms. Surekha Sharadkumar Shah

and Mr. Sharadkumar Shah, please accept the prompt on your screen.
Unmute yo

ur audio and video from your device and proceed with your
question. Please unmute your microphone and proceed with your question. Can you hear me sir? Yes sir, you are audible, please go ahead.
Sharadkumar Shah: Sir, I recently attended this meeting when it was conducted physically. And I have gone through the report and again I have heard Chairman, Group CEO, it has given me good idea.
Moderator: Sorry to interrupt you Mr. Shah. I would request you sir to please hold your microphone slightly close. Your audio is not clear.
Sharadkumar Shah: Basically, all information and it is a very old company, Cipla is serving nation
for last 87 years from time of Gandhiji. And what I see , it is a six years revenue
and package increasing, page number 10, all your highlights are excellent and
what is basically that , you are your presence and your turnover because now
all MNCs turnover is not that much and our turnover is 23 ,000 crores and
really we are helping people to have medicines .
And what is my observation? I have gone through the standalone profit and
loss and consolidated profit and loss. My observation is that our consolidated
report is excellent this time and the loan is slightly lower than the previous
year. And my other observation is in standalone, the employment cost is INR
2,377 crores and my P AT is INR 2,513 crore s.
So, PAT is higher than the employment in standalone. But when I look into the consolidated, my PAT is INR 2,832 and the employment cost is INR 3,830
crores, which is much higher by around INR 1,000 crores. And what I feel that
when we run a company, we run a company for shareholders, promoters and to make profit. And here what I see, we spend

more money on employment. So definitely , I feel personally that we should look into this aspect and then see that our PAT is always higher than running cost .
Another thing, the first speaker talked about the share . I have seen, last four months, I should say in 2019, I was doing demat and after that I stopped it and now from 15 th of March I started d emating my shares and around at least
I have done 60 companies dematting. But what I have found with k- fintech is

there is no consistency, there is no logic and there is no common sense while doing a demat procedure because if the share value is very low still they will take and if because of this , I am facing some problem with six companies and that company's details .
I have provided in the pdf form to you and if you can help me in that respect in this case if you take our company secretary Rajendra Chopra can do that and ask him to see that , the demand is reached and today I went to the bank
what is my observation sir this basically case will take long time they take lot of time or they don't do the demating. But all small RPAs in India, they do the
demating very fast, ve ry quickly, without any ha ssle.
So, and if I can do the dema t of 60 -70 shares, why the K -Fintech is taking time to demat my six company shares and another thing, what I observed that , I have done KYC with K- Fintech for my wife and myself in Reliance 560 shares.
So, it is already av ailable with them and another thing in case of rain industry, K-fintech works are there but company says don't care what K- fintech says only provide me.
Moderator: Sorry to interrupt you Mr. Sh ah but request you to ask.
Sharadkumar Shah: Last sentence sir, I don't have anything. They said that send me only a link which links the Aadhaar and PAN and immediately he has done a demat of my link in the 6 shares . So I request you whatever PDF I have sent to you, please look into it and try to se e that my demat procedure is complete. That is the only request sir. Thank you very much.
Moderator: Sorry to interrupt you Mr. Shah. Thank you very much Mr. Shah. Next speaker shareholder Mr. Kirti Shah, we tried contacting him to join the meeting.
Howeve r, on account of no res

ponse from the member, did not join the AGM.
Next speaker Mr. Mahesh Kumar Bubna register for the AGM but did not join the meeting. We will move on to the next speaker shareholder Mr. Dinesh Bhatia. Please accept the prompt on your s creen, unmute your audio and video from your device and proceed with your question.
Dinesh Bhatia: First of all, I would like to congratulate you and your entire team. You are doing a great job. My INR 2 share is trading in share market for INR 1,250. This

is a good sign that your sales team finance team and Chairman are showing their hard work. Our revenue is INR 15,790 crores. You can see a lot of hard work. If we see in that also, our revenue, n et profit is INR 2,513 crores. This is also a very good thing.
According to your observation, our share revenue has increased well. So our INR 2 share, behind that and the earning is INR 30.6 1 This is very good. You
are showing a great manner. This is good for next year. The first quarter result you have given today is also very good. On June '23, we saw our revenue on the BSE side. INR 4,318 crores. This is an exponent, bu t our net profit is INR 895 crores for a single quarter. This is a very good effort of yours.
You are doing a good job. I just want to know from you how much is our global investment and how much is our revenue of the global international market. And lastl y, I have a request. You can make our share of INR 2 into INR 1. We
are not asking for a bonus. But we request you that , if you share INR 1 rupee, then we will have 2 shares of INR 1. Meaning, the bonus will be like this only. And there will be no reflection in our finance or balance sheet. Only the number of shares will increase. The number of shares will increase.
And I say that if you do 2 shares, then next year our INR 1 share will be traded at INR 1200- INR 1000. So if possible, sir, please accept our request and pass it in your B oard meeting. And make 2 shares of INR 1. I support you in every resolution. Your secretary department is also doing a great job. We have the same feeling as you do, that the shareholders should g et as much support as possible.

We have the same feeling as you do, that the shareholders. We feel very
good. We are in four meetings together. But we are joining your meeting. We
have left the rest of the meetings due to your secretary department. For the happy environment, re ceived the invit ation . It is a big thing. I support you in
every resolution . All the best. Thank you sir.
Moderator: Thank you very much. I now invite the next speaker shareholder. Manoj
Kumar Gupta, please accept the prompt on your screen. Unmute your au dio
and video from your device and proceed with your question.

Manoj Gupta Good evening, respected Chairman, Mr. Hamie d, Board of D irectors, fellow
shareholders. My name is Manoj Gupta. I have joined this meeting from my
residence, Kolkata. Sir, Namaskar. I feel proud to be a part of Cipla because
Cipla is founded before independence in the country and we can't, we
peoples of the country and a runner, being a running three hospitals in
Calcutta, charitable hospital in Calcutta, we can't forget the contrib ution of
Cipla in the era of COVID.
You have saved the life of more than 100 million people of the country by
providing the medicines at a nominal cost at that time. And I thank to our Vice
Chairman, Vice Chairperson, she's doing an excellent job for the c ountry,
company and the employees executives and investors And I thank you the company secretary and his team, for their help us to join this meeting ,
through VC . So you are the world leader in generic pharma. Hami ed's family
contribution can't be forget . And you r treated as God in the African country ,
Cipla is very popular. I will not ask any question on the accounts because Cipla
is a renowned name .
How you will revert to the shareholders and sir,

is it right report in the media,
whatever the mentioned by the politicians in Jairam Ramesh in media that a
Cipla is going to sell. Sir, we are with you , we were with you , we will with you ,
do not sell this company and C ipla is a very renowned company and I strongly
support all the resolutions because you are the world leader in the inhaler business for the asthma patients.
If they will come or they will acquire foreign companies , they will increase the
price by 25% to 30% of every product. The middle clas s will suffer, those are
getting a your products at a nominal cost , they will have to pay more than the
foreigners will come to earn money . Sir, that kindly look into this matter . Sir,
thank you .
Moderator: Thank you very much . I now invite the next speaker shareholder Sadanand
Sastry . Please accept the prompt on your screen , unmute your audio and
video from your device and proceed with your question .
Sadanand Sastry : Sir, good evening. I am Sadanand Sastry from Bangalore. My number is
11702201. Chairman sir, I am going in accordance with your report only. This

is the first time I am attending your AGM with the help of and cooperation of
your AGM team, thanks to them.
As per report page 58, intellectual capital, have you found out any devices for
overall insulin ? Page number 60, you have said that , the company has
launched new products 81, 93 and 78 year -on-year, but why 15 products
short in ’22- '23, what is the reason. Pg number 69, in expansion for the nam e
Cipla, you have given performance with accountability for letter P. Is it possible to implement in the present situation? Fixing accountability is very
difficult. Is there any precedence for that? Page number 83, asthma patients
are coming out more from city areas. Any new effective devices , tablets or
capsules are found out for these patients.
Nowadays it has become a talk of the town that using inhalers are dangerous, what is your comment? Page number 84, have you said in maximizing, you
have said in t he maximizing shareholders value that engage with investors
through meeting and conference, why you di d not conduct physical meeting?
Page number 121, after declaring dividend, the company's duty is to see
reserves. Good reserves speaks about the stability of the company. Here,
transfer to reserves maintains silence. What is the reason? So, page number 185, company has given due dates for transfer of unclaimed dividend, but the
amount is not ment ioned, why? What is the reason?

Page number 290, balance sheet , company's property plans decreased by INR
255 crores, but depreciation expenses increased by INR 130 crores, what is
the reason? Investment increased by INR 825 crores, whether the company
feels investment is more beneficial than putting the funds in company's activity. In trade receivables, a total INR 66 crores are at the verge of
becoming bad, it is not a small amount, it would be a big hit to the profit
growth, how do the company attempt to realize it?
Your equity capital is running on the same track and other equities that is retained , earnings going up, why cannot the company declare bonus shares
to keep the capital in comfortable position to bring down t he borrowings,
liabilities and finance costs? Lastly, if the company attempts to control shrewdly the increase in other expenses, company's current year profit

growth will be a sound one. Thank you very much sir, see you next year in the
same part.
Moderat or: Thank you very much. I now invite next speaker shareholder Vasudha Vikas
Dhakwe. Please unmute your audio and proceed with your question. Ms.
Dhakwe, please unmute your audio and proceed with your question. As there
is no response from the current spea ker shareholder, we will move on to the
next speaker shareholder. Jaydeep Bakshi, please accept the prompt on your screen. Unmute your audio and video from your device and

proceed with your
question.
Jaydeep Bakshi: Very good evening, Chairman and Board of Directors. Myself Jaydeep Bakshi
connecting from the city of Kolkata. Thanks to our Company Secretary
Rajendraji for giving me an opportunity to express my view and presenting a detailed annual report. And sir, your initial presentation was fantastic . You
explained our company's position and also future prospects of our company and sir , our year- on-year growth has been in revenue has been excellent and
on the dividend , you have passed on INR 8.50 is the excellent one in this type ,
where economic conditions , whic h are every industries passing.
So what is our future capex program and our growth plans and what has been
the revenue earned from our global sector. Sir, are we into any promotional
tie-ups with any company for new drugs like that and what is our capex
program for the R&D for development on new products in our pipeline . And
debt recovery , what is our status and congrats for the awards which we have
received. Sir, I just want to request that , this landline number is not
responding. So that we cannot connect because we don't, if we want to get
connected, we are facing some problems and if, sir, you are arranging a
factory visit or get together, kindly inform us so that we can take this
opportunity.
Thank you, sir. And continue this video conference so that we can get connected from different places. Thank you, sir, and stay safe.
Moderator: Thank you very much. I now invite the next speaker shareholder Yusuf Yunus
Rangwala and Fatima Ra ngwala. Please unmute your audio and proceed with

your question. Mr. Rangwala , please unmute your microphone and proceed
with your question.
Yusuf Rangwala : Good evening, sir. Hamied sir, how is your health? I am very happy and very
proud to be an excellent shareholder of this company. My mother Fatima was
also a shareholder. I am talking about both of them. My mother Fatima is also
your oldest shareholder. Your company share has made us rich Hamied sir. I
am very thankful to our excellent company .
Wherever you are Hamied , sir, you provide treatment for cancer also. You are
our leader. Please take care of our cancer people. Where is our new cancer
hospital opened? You have excellent pe ople, which you have taken on Board.
And our company secretary Rajendra sir, who is a dynamic people. I am very
thankfu l for the secretary department.
Thank you to Visa people, who provided technology. They are very good services , sir. Visa technology and they are leader in this field. And we are very
happy and very proud to be getting a good service sir. Sir many years past we
have not arranged a factory. Sir, this is 87

th general meeting. And today our
INR 2 share price is above INR 1,000. How our foreign institutions are buying.
Foreign and LIC, these are the two people who are buying our shares . As I
have seen today, NSE, sir and BS E.
There are many up and downs today. But our sales are not very excellent, sir. What is the ranki ng of our pharma industry ? What is the ranking in world
ranking? I want to know. Hamied sir and our both of the Chairman and V ice
Chairman , I wish you a very happy and we are meeting now sir. Wish you a
very happy festival sir. Now we are meeting sir. And all the festivals from my
side and nothing more to add. Sir, Cipla's factory in Patal Ganga.
If you arrange a Patal Ganga visit, that is very nearby. So that is my humble
request, sir. Many years have passed. But seven years - eight years before the
Corona, you arranged a visit. So now the time has come, sir. You please
arrange a visit. The two people will come from my side. We are having two
portf olio different, sir. So please tell that Rajendra sir, there will be two
shareholders coming for the visit activ ities. And nothing more to add. I end
my speech saying small prayings sir.

I want to give you a good

combination of all the services that come from
outside the flowers. And I want to tell you, sir, that the Chairman of the
company, the shares department, is excellent. Today, there are lot of
meetings. You have I PCA in front of you, sir. There are so many
pharmaceutical companies. What are the main competition in this business,
sir? I want to meeting with many companies. What are the competition we
are facing in the world? What is the world ranking pharma ? Like in R ussia,
some medicines are sold.
In Russia, there is a war. There you provide pharmaceutical medicines for
war? I want to know this. Nothing more to a dd. I end my speech. Praying to
God for your health , wealth . Sir, if you are there, why should we be scared?
Even if there is fragrance in the rose, even if it is not, our fragrance is still
there. I give you support in the coming r esolutions. Thank you ve ry much. Jai
Hind Sir. And my speech is over, sir.. Thank you very much. May God bless
you.
Moderator: Thank you very much. I now invite the next speaker shareholder, Gautam Tiwari. Please accept the prompt on your screen. Unmute your audio and
video from your device and proceed with the question.
Gautam Tiwari: So first of all, I am happy to see you h eel and hearty, sir. Hami ed bhai, you are
our heartthrob. You are in our heart, sir. Cipla is in our blood. Right from day
one, from my daddy -mummy's time, I am having Cipla along with us. So, Cipla
is in every nook and cranny. And the work that Cipla has done and shown, sir,
it has given so much reward to shareholders, it has earned so much, that is fine. But it has also given to the community as well. It has done such a good
job in the community and society, for downtrodden, for the medicines, and
in every way, we are in a win -win position, frankly speaking.
For the shareholders, for the community and society, and for our own organization, and for employees, staff and officers, and for all of your
management also , sir. You have improved a lot. The business acumen, the
business understanding sir and the business that is in you, which is embedded
in your nerves for this field, that is amazing in itself. And we really salute you
sir for your mastery in this field. And sir, you all have a lot of, sir.

Today in fact, how many meetings are there today, sir, and all of them are
going to start at 3 o'clock. Where do we have to come and how? When we
are in a good company, we can't leave your company. Rajendra ji, many times,
how many good secretaries you have met, sir. Natraj, Rajendraji has been a
great partner to me. Natraj, Rajendra and all his partners are great. They have
a great investor care service. T hey have a great c oordination with the
investors.
They have a harmonious and cordial relationship. We have never seen a shareholder go to the secretary team, take their issue, their problem, their
query and come back disappointed. They always satisfied us with very good

hospitality. First of all, they make the shareholders comfortable. Please come and sit. What will y ou have? Drink water, have tea.
They make him calm and then drink tea, make us calm down and then satisfy us. Really, these teams are very goo d. And your team, the technical team of Zoom , they are also very good. They helped us a lot in joining this meeting.
Everyw here, sir, your name is heard, w hether it is a foreign country or an Indian country. So many places , I have been to, almost 90% of th e world, the medicin es of Cipla are very effective.
Sir, I would like to know , which new medicine has been launched this year, which is very effective and which medicine is waiting for this year, which is very popular and which medicine is waiting for our approval in the pipeline. I also want to know, which is the medicine is giving us maximum revenue and maximum profitability at national level and international lev el.
And sir, what is the utilization of our

plant capacity, we would like to know ?
And sir, f or senior citizens , who have been associated with you for many years, you do CSR activities, it is very, very wonderful, we are very happy. But the shareholders , who have been associated for many years, who have become senior citizens, you sho uld also do s omething for them.
See, L&T has made a very good plan for senior citizens in Karjat. Anyone can come. So if ever there is a need and someone needs to come, then at least something should be done for this. Rest, sir, your work is great in itself.
Whatever you have done for the community and society, If possible, please

arrange for the factory visit very earliest. Please think about the bonus as it gets taxable and most of the shareholders are coming above 30% of the bracket . So, 1/3rd amount goes into taxation. So, you benefit the shareholders in this way in mini bonus. We will be very happy for factory visit.
We are very proud of being shareholders with you from generation to generation, family to family. We wish you a long life, a safe and happy life, an enchanting healthy -wealthy life. And we pray to God. And we support all the appointments, reappointments of D irectors. I have already voted in favour of all the resolutions as usual. And our support will remain for you in the lifetime, sir. Because we have got total confidence, trust and faith. Sir, wherever you are, there is no need to worry. You stay in complete peace of mind.
Our investment is doing such a good job with you that , we cannot express it in words. So once again , I wish you all the best , sir, along with all the officers, employees, staff and all those , who are connected with us. And with all the good wishes for the upcoming festivals. May your future be a super hit. May you always be fit. I pray to God that you always be with us. And may w e always get your blessings. Thank you very much for your patient listening. Jai Hind.
Moderator: Thank you very much. I now invite the next speaker shareholder, Dyaneshwar Bhagwat. Please accept the prompt on your screen. Unmute your audio and video from your device and proceed with your question.
Dyaneshwar Bhagwat: My name is Dyaneshwar Bhagwat calling from Mumbai. Respected Chairman, Board of Directors and my fellow shareholders, myself Dyaneshwar from Mumbai. First of all, I am glad to say thanks to Mr. Company Secretary, our Mr. Rajendra Chopra and his team also Mr. Natarajan and Mr. Pa van for doing excellent work. First of all, sending me the soft copy as a hard copy of the AGM , which well in advance which is full of knowledge easy to understand.
So I thanks to Mr. Rajendra Chopra and his team as well as investor service persons. Than k you.
Secondly, sir, about the AGM copy, Mr. Rajendra Chopra has done excellent work. He has given all the details like CSR activities, then B oard of Directors
photographs, color photographs, then again the footprint in global market, it's a global level. He has given that also. So what information, whatever a

shareholder requires information, that all the information is available in the AGM notice.
Third, I support all the resolutions. I don't have much questions because the Chairman Mr. Hamie d has given all the details and second Mr. Umang Vo hra for the financial part, he has given all the details. So no more questions about

that. Last but not the least, I support all the resolution. I have only one question. The question is that, s ir, How much growth do you expecting for coming financial year? Second question, what market share we have in domestic as well as internat ional? That is all from my side for coming our independence day I wish company good luck and for coming festival I wish again good luck for t he company and for the future process. Thank you very much for patience hearing. My name is Dyaneshwar Bhagwat. Thank you very much for patience hearin

g.

Moderator: Thank you. Thank you all speakers for your participation. The management will provide answ ers to your questions shortly. Over to you, sir.

Y. K. Hamied: Dear shareholders, you've just heard many questions and answers from the shareholders. Nothing really very elaborate, but I will get Mr. Uman g and Mr. Ashish to answer these now. But there was one question that came up which is about the news that is being spread all over the media etc etera . And I would like to inform you , as chairman of C ipla, that all the news you are hearing is speculative an d all the clarifications for this have been made to the stock exchange here in Bombay and whatever information given to the s tock exchange is in public domain and is in public knowledge.

So whatever you all want to know, please do get it from the Stock Exc hange.

Over to you Umang to answer some of the questions. There was not very much asked about the performance of the company and as Chairman I would like to congratulate once again yourself, Samina, Ashish and the entire Cip la management team on a very goo d performance for the year that has just passed and also the figure that I have before me for the four months of the current year and hopefully, God willing, C ipla will have a very much more successful year in the year ending 2024. Over to you, Umang.

Umang Vohra: Thank you. Chairman, and I'm happy to note your comments and thank you for the support from the B oard as always and to each and every employee and partner of C ipla. So I will go quickly through the questions. Mr. Arun Boppana , you had asked ab out the Ukraine war. You had asked about some statistics on HR in t erms of gender and average age.

You asked about assets and asked about new drug delivery. I think the assets question can be answered by Ashish subsequently. Let me start by saying the Ukraine war had negligible impact in terms of material costs but it had a huge impact in terms of freight costs and it had a huge impact in terms of crude, etcetera . Those have been mitigated by the Company.

In terms of HR statistics, we're about 14.4% of our employees are women. This is about a percent higher than the last year. We are fortunate that we are able to grow this. It is our endeavor to make our workplaces more gender diverse. In terms of overall age, C ipla’s , only 3% of C ipla’s population, firstly, is over the age of 50 years. 39% to 40% is between the age of 30 to 50, and the balance are less than 30 years. So our average age comes up to about 33.7 years or 34 years or so. In terms of new drug delivery, there is tremendous work happening. You asked specifically about transdermal patches.

We are continuing that program. Unfortunately, that lead product that we had from Japan, that is not progressing any further. But transdermal patches as a technology, we have several that we have launched in India a s a platform that continues to go forward. Smita Shahji, Bharat Shahji, your question was on physical AGM. I thin k we have noted those comments.

The last bonus issue of the company was in 2006 in a ratio of 3 :2. Mr. Kaushik Shahukar had asked about the pro ducts for skin rashes and oncology. We have several products. In fact, we are launching now biosimilars in the area of skin rashes. We have a partnership with Novartis for Scaph o, which is a psoriasis product. We also have several products that we have lau nched through our division. R ivela is our range that we sell, which is for skin moisturizing, skin rash. Several of our products are there.

In onco logy, we have several products. We sell almost 60 % to 70% of the range that we can, that we have marked for o urselves. We have collaborations with

Roche. We make our own products as well and many of them are sold. So, whether it is Trastuzumab, Devastuzumab, all of these are sold by Cipla in India.

Ms. Patel, you had asked questions a

bout the debt of the company . I think
Mr. A dukia will answer that later. You also asked about herbal medicines and
I am happy to report to you that Cipla is doing a lot in the area of herbal medicines. We are launching, you may have seen that even the product of
ORS, we have re -launched that with some herbal flavors. We've also got
Nimbu Pani in it. Please do try it if you have not and there are several other
herbal products that we are working on within a consumer health care
division. Rajesh Chainaniji had asked about the EPS a nd the bonus. I think that
will be clarified by Mr. Ashish Aduk ia. Mr. Bharat Negandhi , you had asked a
question on over email that will be responded to you by the company's
secretarial team .
Santosh Sarafji, your question was on new products. You had also warned
about dispute cases that they are increasing. So, I would like to tell you that ,
we track dispute cases very well. We track these cases very well a nd your
observation is correct that these cases have increased a little. But our legal team is hoping to reduce it over a period of time. And you will see. As for new
products, we launch 10 produ cts in every market in America. In India, we
launch 40 to 50 products. In emerging markets, we launch 9 0 products . And
we have seen that it is increasing year by year.
Bimal Agarwal, you asked for an online meeting only and we are considering
that between the request for physical and online. Hariram Chaudhary, your
question was on the CSR part. I think we do spend many years, we are slightly
higher than 2% of th e overall spend of the company. The Chairman of the
committee is Mr. M. K. Hami ed.
The company is doing a lot in artificial intelligence. We have several Chat Bots
that are working. We have a supply chain function that is incubating artificial
intelligence. Capex related questions will be taken on by Ashish Ad ukiaji.
Dyaneshwar Bhagwat, your question was on growth for this year versus the
next year. We do not give that guidance. I think you can take the quarter one

numbers and overall the year in the growth will be healthy. I'd like to also,
you a lso asked about domestic share. W e are roughly about 5.5% share in
terms of prescriptions. We are trying to get closer to 6%. We are number
three in the market in India.
Anil Parekh ji, you had asked for plans in other markets. We have a set of focus
markets in the world. Obviously, India , South Africa, US are large markets
within the emerging side of the world. The Indian subcontinent, closer
markets like Sri Lanka, Nepal will continue to be strong going forward for us.
We are also trying to build our presence in Brazil, trying to also bu ild our
presence in China.
If you go to the next questions, Surekha and Sharadkumar Shah, you're asked
about standalone to consolidated numbers in reference to employee costs. Ashish will take that further. It is the endeavor of the company to make sure that employee productivity stays high. The same time, every employee who
works with Cipla must have a huge commitment to their career. And Cipla is
trying to find that balance as a company. We're trying to do the best we can for employees. This is truly the force that propels our company going forward.
Dinesh Bhatiaji, you had asked about shares pledge. We have noted your comments. Global investment figure, Ashishji will tell you, but you were looking at stand alone numbers. We report on consolidated numbers. I hope
you look at those numbers as well.
I think Manoj Guptaji, your question has been answered by Chairman in terms of the stake rumors around the stake sale.
Sadanand Sastry , you had asked
about oral insulin. There is, we have inhaled insulin coming into India very soon. We are also working on oral products, peptide products th at will act as
insulin as well as act as waste reduction products over a period of time. So
you will see this coming in the next two to thr

ee years. Jyoti, there were also several other questions you had asked, right? They were about, what are we doing to make sure that inhalers are not dangerous. I think we do several awareness campaigns. We call it Berok J indagi. Inhalers are safe. They are
efficacious. This message is going out to several people. You spoke about the

depreciation investment. Ashish will c over some of those points when he will cover your answers.

Jaydeep ji your question was more on future capex . I would like to say we are going to spend approximately INR 800 crores , between INR 800 crores to INR 1,200 crores every year on capex . We are very judicious about what we spend. This is in line with how the industry standard is moving. R&D will continue to be a large focus for us. That was your second question. We will continue to do between 6 % to 8% of sales on R&D and within that , we will prioritize the best outcome that we can get.

Yusuf Rangwala and Fatima Rangwala, your question was on factory visit. W e have taken that into account. Also on oncology, yes, we are doing a lot of medicines that we are com ing out with an oncology. This is one of those areas that is a focus area for the country. There's also been a lot of collaborations , we are trying to strike because this part of medicine has several, has lots of innovation that is best to be tapped in the market.

Gautam Tiwariji, your question was about which medicines are new and which are being launched and which are being used more. Our inhaler franchise is running a lot. Oncology side is also running a lot. In diabetes, we have many new collaborations in India. That is also running a lot. Our capacity utilization is mostly between 75% to 75% plus in plants. Because of this, our capex program will run for INR 1,000 crores to INR 1,200 crores every year.

So, with that, I have come to the end of the list. Maybe Ashish, if you can quickly cover some of the questions on the financials that the shareholders had asked.

Ashish Adukia: Yes. Thank you, Umang. So, Mr. Arun Kumar, you had a question on attrition rate. So, that is about 20 % for us. This is more or less in line with the industry. On asset -based, of course, we do not give the projection or forward -looking asset base, but currently our non -current asset is somewhere around 12,200 roughly, which includes your fixed asset as well as your other non -current assets. Mr. Kaushik, you had a question on virtual cost of AGM, it's about somewhere around INR 50 lakhs and physical used to cost of about INR 1.2 crores to INR 1.5 crore s roughly. So it is certainly saves us money.

Hitokshij your question was around total debt. Our total debt is only about INR 532 crore s, which includes the debt of QC IL also. Once QC IL is out, then it will be about INR 520 crore s roughly. There was a question around global investment. Like Umang had said, the globa l investment, if you look at standalone, it is INR 9,138 crore s, which includes the investments that we are making into your subsidiaries, but on a consolidated basis that number is squared off , so it is much smaller number.

There was a question around the shareholding, so 33.47 % is owned by promoters. All the other is public shareholding, which is institution as well as retail shareholders. Transfer to reserve is not mandatory as per new companies act and that is why we have not done that. The unclaimed dividend is about INR 11 crore s, which is mentioned in the annual report as well. CSR amount is about INR 62.3 crore s, which is slightly over 2%. Cap ex is INR 841 crore s. We stay in the zip code of about 4 % to 5% of the revenue.

There was a question around standalone profits that have come down in comparison to previous year, one of the key reasons for that is other income that has come down, which is the dividend from subsidiaries that has come down, which was special dividen d last year from subsidiary to Cipla Limited.

There was also a comparison made of employee cost versus the profit betwe en standalone and consolidated. I would like to point out that most of our large manufacturing facilities and therefore a large portion of our employees sit in I ndia , which is a standalone entity and therefore the employee cost in India and a standalone entity is much larger and consolidated of consolidates are overseas entities as well.

Then there was a comment made on reduction in capex. Like I said the c apex made is INR 841 crore s, but there was these classification of certain assets as asset held for sale , which we have made the announcement for, which is QCIL. Due to that, the c apex number and of course, because of depreciation, the numbers have come down. Bu t we have made investment in c apex, like I said.

There was an increase in investment that is because of our investment in Ethris. There was a comment made on bad debt. You may please go and see page 340. In fact, we've had recovery of bad debt as well this year and there's

a lot of regard that goes into following up on any receivable , which is overdue. Other expenses, there wa s a comment which has gone up because of traveling that has increased and professional fees also is included in that increase that is there. There was a comment on global revenue.
Global revenue or overall exports in FY ‘23 was about 56.6 %. And that broadl y reflects our ex -India revenue as well. Ye s, that's it from my side. On dividend, I would like to just comment that , we have increased the dividend payout from 16 % to about 25 % and we have also put up a revised policy of dividend on the website which talks about somewhere around 30 % dividend is an endeavor that we will make depending on the cash requirements of the company for various medium term and long term requirements. Thank you.
Rajendra Chopra: Thank you. I think we have answered all the questions from the shareholders. If there is any question , which has left unanswered, I request the shareholder to send the email to me, we will ensure that you get the reply. Chairman, over to you.
Y. K. Hamied: Thank you. I'd like to thank all the shareh olders for attending the AGM today, 10th of August 2023, and would like to conclude this AGM and the proceedings of the AGM has now been declared completed. As I mentioned earlier , the remote e- voting facility is still available to shareholders for the next half an hour. The shareholders who have not yet voted can proceed to vote by clicking the voting icon visible on the screen.
On behalf of the B oard, on behalf of Raj endra Chopra the C ompany Secretary is authorized to receive the scrutinizers report and announce the voting results. The resolution they set forth in the notice shall be deemed to be passed today subject to receipt of the requisite number of votes. I thank all the participants for attending our 87th Annual General Meeting and look forward to the next one next year. Do take care and stay safe and happy.
Thank you, gentlemen.

Call: Oct 2023

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 24826000 F +91 22 24826120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r
L24239MH1935PLC002380

31st October, 2023

(1) BSE Ltd
Listing Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 500087
(2) National Stock Exchange of India Ltd
Listing Department
Exchange Plaza, 5th floor
Plot no. C/1, G Block
Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Scrip Code: CIPLA
(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q2 FY24 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 2 FY24 earnings conference call dated 27th October 2023. The transcript is also available on the Company's website i.e., https://www.cipla.com/sites/default/files/Earnings -Call- Transcript -Q2-FY24.pdf .

Kindly take the above information on record.

Thank ing you,

Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Pavankumar Yadav

"Cipla Limited's Q 2 FY'2 4 Earnings Conference Call"

October 27, 202 3

MANAGEMENT : MR. UMANG VOHRA – CIPLA LIMITED
MR. ASHISH ADUKIA – CIPLA LIMITED
MR. AJINKYA PANDHARKAR – HEAD (INVESTOR
RELATIONS), CIPLA LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Cipla Limited Conference call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ajin kya Pandharkar – Head (Investor Relations) from Cipla Limited. Thank you and over to you, Mr. Ajinkya.
Ajinkya Pandharkar : Thank you, Zico. Good evening and a very warm welcome to Cipla's Q2 FY24 Earnings Call . I'm Ajinkya Pandharkar from the Investor Relations team at Cipla.
Let me draw your attention to the fact that on this call, our discussions will include certain forward -looking statements, which are predictions, projections or other estimates about future events . These estimates reflect management current expectation about future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Cipla does not under take any obligation to publicly u pdate any forward -looking statement, whether as a result of new confirmation, future events or otherwise.
I hope you have received the "Investor Presentation" that we have posted on our website.
I would like to request Umang to take over please .
Umang Vohra : Thank you, Ajinkya. Good evening to all of you. Thank you for joining us today for our Second Quarter Earnings Call for the year.
In Q2 FY24, we have continued the trend of strong performance and we have recorded our highest ever quarterly revenue at Rs.6,678 crores with a year -on-year growth of 15% and an EBITDA margin of 26%. This was made possible through double -digit growth across our core markets of India, North America and South Africa.
In our One India franchise, I'm pleased to share that the franchise has yet again posted a healthy year-on-year growth of 10% despite a weaker anti -infective sale and a slower consumer growth for our CHL business. This growth was largely supported by continuing faster than market growth in branded prescription where we grew at 11% against the IPM growth of 10% as per IQVIA MAT .
The share of chronic therapies in our portfolio has improved by 140 basis points year -on-year to 60%.

Trade generics consolidated its leadership position in the market despite the season which continued to be muted, G x posted a strong year -on-year growth, supported by performance across realization , volume and a lower cost of goods.
Our generics business has embarked on a journey of constant evolution through new product introductions, leveraging partnerships with our associate company GoApptiv and deepening our distribution network.
Our priority has been to grow our big brands across all the branded prescription and the OTC businesses. In India, branded prescriptions, we have 22 brands with revenues over Rs .100 crore as per IQVIA MAT September '23. Our leading inhaler brand , Foraco rt, is one of the fastest growing amongst the top 10 IPM brands.
Trade generics now has seven brands over Rs.50 crores in the trailing 12 months.
Cipla Health derives its growth from five brands, which are flagship and well above Rs.100 crores in the trailing 12 months.
In North America, in this quarter , we progressed further on strengthening the core by delivering

quarterly revenue of $229 million, which represents a 28% growth over last year.
Our key asset of Lan reotide has improved its market share to 20% as per IQVIA August 2023.
There is generic Revlimi d performed in line with Q1.
We continue to execute multiple work streams in Albuterol

where market share has improved
by 90 basis points to 12.9% compared to Q1 of FY24.
In our South Africa in Global Access business, we continue to outperform the market at a significant pace. We registered a solid 12% year -on-year expansion in top line led by South Africa private market where the secondary market grew at 10% versus the market growth of 4%.
Private market growth was achieved through a n uptick in focused therapies in our prescription business, new launches as well as solid performance in the OTC portfolio. Our aim is to reach the top position in the prescription bus iness. In our South Africa OTC business, brands of BRONCOL and CORYX continue to gain market share. BRONCOL has now captured close to 50% market share as per IQ VIA MAT August '23.
One of our most important focus areas in the past has been efficient capital allocation. Most recently, we announced the acquisition of Acto r Pharma in South Africa. The market there is poised for growth in the OTC side and Actor has strong OTC brands which complement the existing offerings and have potential to grow bigger leveraging Cipla's existing marketing network.

We also divested our stake from Cipla Q CIL in Uganda and Saba Investment Limited for our business in new DMF . While it has helped us in derisking our asset base, we will continue to service these markets via our B2B market.
R&D investment has also been consistently increasing . In terms of pipeline for North America , we have made significant progress on clinical trials across some of our complex pipeline . We have three complex products undergoing clinical trials, with filings targeted in F Y24 and '25.
Generic Symbicort being one of them, where we have successfully completed our clinical studies. Filing for this asset is planned for Q3 of this year. In addition, we're likely to file another generic inhalation asset shortly where hopefully we can aim to be among the top filers .
On our peptide portfolio , we plan to launch one product in Q4 of FY24, while there are three, four launches planned in F Y25.
Derisking of generic Advair, a partnered inhalation asset and generic Abraxane has been progressing as per our expectation.
On the compliance front, at Long Island, New York, all our units at InvaGen have recently completed their CGMP audits . While the Unit -3 inspection resulted into classification as VAI, the Unit -2 inspection has no observations by the US FDA.
We received an OAI in our Indore facility, which was audited in February 2023. We have already initiated corrective measures for observations as performed 483 from the US FDA and have made satisfactory progress as on date .
At Goa, the CAPA implementation and remediation exercise has completed. We will soon be submitting requisite data to enable the reinspection.
I would now like to invite Ashish to present the financial and operational performance .
Ashish Adukia : Thank you, Umang, and good afternoon to all. Continuing with the strong Q1 performance , we progress ed further with exceptional performance across core businesses with expansion and profitability.
Coming to the key numbers for the quarter, we are pleased to report a quarterly revenue of Rs.6,678 crore s, highest ever in Cipla history. The overall revenue growth for the quarter was at 15% YoY. Our ex QC IL sales stands at Rs.6,490 crore s with Y oY growth of 14% and EBITDA at Rs.1,690 crores or 26% of EBIT DA. EBIT DA margin stood at record 26% for the quarter on a reported basis. As always mentioned by me, this EBITDA margin does not include other income.

Calibrated price actions in core portfolio across branded and generic markets combined with easing input cost, continued freight decline and favorable forex have contributed to improved operating profitability.
One India franchise further expanded its

market share by growing at healthy 10% and
exceptional performance in an acute -heavy quarter which was difficult for the industry due to inconsistent seasonality. This growth was supported by mix shifting to chronic portfolio , gross

margin improvement and new launches.
North America yet again reported the highest ever revenue driven by traction in the differentiated portfolio with revenue of $229 million growing at 28% YoY .
South Africa grew by 9% Y oY in local currency, powered by a solid performance in private market and OTC. Private market growth was supported by a strong secondary channel performance in oncology, CNS and C VS, as well as the hospital segments. OTC continue to focus on big brands as well as new launches. Our free cash flow generation and operating efficiency has helped us to drive healthy net cash position.
R&D investments for the quarter are at Rs.379 crore s or about 5 .7% of revenue driven by ongoing clinical trials on differentiated asset as well as other developmental efforts higher in the quarter by 13% versus last year.
Depreciation, impairment and amortization expense includes a partial impairment of a non - operational domestic manufacturing unit. And it also includes an impairment of an acquisition cost of an intangible in the form of product in the US. Both these totals up to impairment of about Rs.53 crores .
Reported gross margin after materials cost stood at 65.4% for the quarter, which is 240 basis points above last year's figures, driven by overall mix change , contribution from new launches as well as lower procurement cost on key APIs. Total expenses for the quarter include employee cost and other expenses which stood at Rs.2,631 crore s, up by 1% on a sequential basis. Profit after tax for the quarter is at Rs.1,131 crore s or at about 17% of sales . ETR is constant sequentially at 27.5%.
As of 30th September 2023, debt primarily constitutes ZAR 720 million in South Africa with cash equivalent balance of about Rs.6,811 crore s overall post payment of dividend in this quarter.
Key focus areas and growth levers in the subsequent quarters will include the focus area for One India would be to recoup the growth in the Wellness portfolio , while maintaining the market beating growth in R x and G x.

In North America, our focus would be to grow the core revenue, resolve the US FDA observations, maximize our partnered launches and also derisk assets in order to accelerate new launches. We will continue to derisk our key launches for FY25. Sustaining perf ormance of Q2 for South Africa with focus on private markets and select tender business with focus on margin expansion. While margins in EM EU have been very strong, the focus of H2 would be to drive growth in top line there. So, we are increasing our guidance o n EBITDA from 23% what we had given earlier to 23 % to 24% with bias towards the higher end. Our R OI continues to be strong and in this quarter on an LTM basis comes up to about 27%.
I'd like to thank you for your attention and request the moderator to pick up the questions now.
Moderator: We will now begin the question -and-answer session. Our first question is from the line of Sa ion Mukherjee from Nomura Securities. Please go ahead.
Saion Mukherjee : Just my question is on India. You mentioned 10% growth in India. Now , if I were to exclude the acquisition that you did, it looks like the growth is around 7% and you mentioned trade generics growing in double -digits. Does it mean that the overall prescription and the consumer business is trending around 5 % to 6%? And if that's the case, what's the reason for the slowdown and how do you see this moving forward in the second -half?
Umang Vohra: Actually, Sa ion, the internal growth estimates for the branded prescription and the generic business are well over 11%. If you take out the acquisition, which is what we're do

ing, I think
you have to take out from last year we had a certain tender position in one of the products we had won and that's basically replaced by the acquisition we've made. So , core business growth both on the R x and G x side is close to an over 11%. So , those businesses are growing stronger and much higher than market. I think on a consumer franchise , we've seen a fairly significant slowdown more because of the weather pattern. We sell a lot of the ORS product and I think we've not seen that level of sales of that product because of the weather pattern in Q2. And this result is fairly consistent with the category of beverage and with some of the other consumer products we've seen in this quarter. Having said that, I think this quarter we are looking at it bouncing back quite significantly. So , no, I think the branded growth and the generic growth is very strong in the previous quarter, it's the consumer growth which had a little bit of an issue.
Saion Mukherjee: The other question I had on expenses and on the margins. So , your other expenses are quite flattish quarter -on-quarter despite a seasonally sort of heavy quarter in terms of revenues and also R&D cost moving higher. So , is there anything there and how should we read this going forward?
Ashish Adukia: So, I think it's a combination of two things. One is you must have noticed the improvement in your gross margin which is flowing through to your EBITDA and that's primarily because of the

mix change that has happened in the favor of chronic in India as well as in North America, some of our high margin products, we've been able to do better. So , it's combination of these two things that led to improvement in gross margin and there is some bit of operating leverage that

exists due to which the increase in sales, your other expenses have got absorbed . And if you are comparing to just previous quarter , the previous quarter had some recall cost sitting out there of Albuterol that we had talked about, which of course is not sitting in this quarter. That has also led to improvement if you're looking at it from quarter -to-quarter.

Umang Vohra: Overall , Saion , I think if you were to take the employee benefit expenses and the other expenses and total it between last year and this year , we're seeing about 11 % to 11 .5% increase. From our business perspective, I think that's roughly the range that we will see year-on-year for the expenditure to expand.

Moderator : Our next question is from the line of Tushar Manu dhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane : Just with respect to the product which you have highlighted to be launched in FY24 the peptide product, if you could share some market size competitive scenario for o ther product s?

Umang Vohra: I'm sorry we can't give that detail due to the competitive nature of the product.

Tushar Manudhane: The market size at least?

Umang Vohra: The market size of that product could be anywhere upwards from $300 to $400 million , so, I would say the available market size for us ; pre-our entry and pre-generic pricing could be somewhere in the $300 to $400 million.

Tushar Manudhane: And this is after some years already ?

Umang Vohra: Sorry?

Tushar Manudhane: This is after some generic player here already in the market ?

Umang Vohra: I think there might be a player, but the market is fairly complicated.

Tushar Manudhane: With respect to one comment of generic filing, which Cipla is expected to do shortly , so will that be subject to litigation , would it be more like a par a-IV filing?

Umang Vohra: Yes, you could expect that, it would be a par a-IV filing.

Tushar Manudhane: Lastly, considering US$230 million , any ballpark range you would like to give in terms of the annualized r un rate for the US generics?

Ashish Adukia: I think we're guiding to US$220 to U

S$225 million as a sustainable range at least for the next quarter going forward . We don't know what will happen in Q4 because Q3 typically also has a little bit of buying on account of the holiday season.

Tushar Manudhane: And then post that you'll have this peptide launch . So effectively then this run rate should ideally be much better, right?

Umang Vohra: Well, yes, depending on how the peptide will scale and if it depends on when it launches within that quarter . If it launches right at the end, then the impact will be muted. If it launches right at the beginning, then obviously , there will be a full quarter impact.

Moderator: Our next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: My first question is on our diabetes portfolio. So , if you can talk about how are we place d to take the advantage of the upcoming GLP -1 opportunity -- will we be participating in both the oral and injectable form , if you can talk about the same?

Umang Vohra: The first one that's probably going off -patent is like in India is likely to be S emaglutide. Liraglutide, anyway is only available as an injectable. You have Semaglutide, and then you have Teduglutide . I think we will do Sema . We definitely have plans for the oral version of the product. And if required and based on our current understanding if the market is there for an injectable, we will hopefully also try and introduce the product there.

Aman Vij: On this part only , so oral , do we plan to file the FTF on that si de? And also, do you think this market itself for us can become like a $100 million market plus over the next five years as a company?

Umang Vohra: I think my answer was more for India. We can't give you a view of the US . I think some Semaglutide is a very exciting product, no doubt. If there are multiple players on day one, then obviously the market size will reduce significantly.

Aman Vij: Sorry, just a clarification part on this before I move to the second question. So , you are only focusing on the India market, not US and the other markets for this opportunity ?

Umang Vohra: No, I think we will focus on all markets, but our strategy is maybe a little different for each market. But in the US, depending on how many people are first -to-file, it will decide what the

competitive nature of the product will be.
Aman Vij: But, we will be also participating in US first -to-file market also, right?
Umang Vohra: Yes.
Aman Vij: My second question is on one of the biosimilar product s in osteoporosis. I think US opportunity is coming up . So, if you can talk about what is our market share in India of this product and are we looking at the US filing of that product as well?
Umang Vohra: So, which is the product you're talking about?

Aman Vij: Terip aratide itself.
Umang Vohra: No, I think what the product we sell in India for Ter i is not that large. So , I don't think we will provide too much commentary. In fact , I don't think it's a very large product for us in any case. We are not providing too much color on the US pipeline right now. I think as the launches of the peptides happen, we'll be able to give you some color o n that.
Moderator: Our next question is from the line of Kunal D hamesh a from M acquerie. Please go ahead.
Kunal Dhamesha : First one is on the gross margin improvement. So , we have cited that there was favorable product mix, et c., But would you say that improving US generics environment was one of the key driver s in this quarter in our sequential gross margin improvement ?
Ashish Adukia: It does contribute to the improvement, but it's a mixed bag in US on certain cases, we've got volume improvement like in case of Albuterol , we've gone from 12% to about to 12.9% share . On Lanreotide there has been increase in vol

ume and then there is price improvement in certain other products. So , it's a combination of volume and price. Overall , the gross margin improvement is on account of a price like I said in India in select products and mix has also played a role where the volume increa ses happened more in the high margin products.
Kunal Dhamesha: We have mentioned that we are getting good traction with respect to several contracts in US and business development and everything . So, is that on account of lot of shortages that you are seeing or there is kind of pre -buying that is more driving that , what would be your assessment , so would it continue, let's say beyond Q3 in your sense or the activity is going to probably be muted little bit in Q4?
Umang Vohra: No, I think the shortage situation until there are new capacities that come up will probably continue. I think there's a list that the FDA puts out quite routinely about shortages in the US . At least for those product families, we are not seeing price erosion. That's why there's a balance, because there's a fair number of products that are on the shortage list for various reasons that there is an equal counterbalance to lesser price erosion. So yes, I think from a US portfolio also there has been some amount of margin expansion. The other thing is I think if you broadly look at our India business , as the ratio of chronic in our overall mix begins to increase, margins will go up in the business , because if you look at high chronic businesses in India, they operate at much higher margins than high acute business. So , as your chronic mix, the last two to three quarters, we've seen a chronic mix improving because our teams are focusing in building those therapies. I think the natural impact of this is also on some amount of margin expansion.
Kunal Dhamesha: The second question is on the generic Symbicort filing . So as a risk management, would we be filing it from multiple facilities?
Umang Vohra: Yes, the idea is to file it from multiple f acilities .

Kunal Dhamesha: Multiple facilities would be internal or -?
Umang Vohra: Both would be internal.
Kunal Dhamesha: Just a clarification, so we said that there were 43 crores impairment and then there was some 10 crores other charge. What was that ? I just missed it.
Ashish Adukia: One is one of our domestic units where we have taken impairment, which is non -operational unit. So, it was not operating since some time . That's the major part of the impairment. And the other one we constantly keep testing for impairment of intangible. So , one of the products in the US which we had acquired , we had one of the products there we have impaired the intangibles that was created when we acquired that product from the partner.
Moderator: Our next question is from the line of Damaya nti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My first question is on your Advair investment which you mentioned are progressing as for your expectation. So, if there are no incremental query , hurdle , etc., is it safe to assume like these opportunities will likely come in first half of next fiscal?
Umang Vohra: Depends on the review cycle at the FDA. I think we would have finished the transfer process . After that we filed with the agency . Depends on the agency's view with respect to shortage in the market , with respect to competition and the data that they see. So, it's difficult to predict. But

we are hoping that this comes as soon as it can.
Damayanti Kerai: But from your perspective, you are broadly done with the transfer process or a lot needs to be covered ?
Umang Vohra: They are still on.
Damayanti Kerai: My second question is, in the US business, obviously you are seeing good pick up or good contribution from depreciated products. So , can you just broadly indicate of the total US sales, how much contribution are currently

coming from the differentiated products and how does the US portfolio look in terms of profitability compared to the corporate average?
Umang Vohra: So, I think over 70 %, 75% of our pipeline in the US today is differentiated. So that's a significant portion. So , we've reduced the number of filings and gone on the side of differentiating our portfolio significantly.
Damayanti Kerai: In terms of current profitability of the US portfolio?
Ashish Adukia: EBITDA for overall US if you see , right, it's above the company average EBITDA margin today.
Damayanti Kerai: My second question is on India business. So , obviously , I guess you maintain ou tperformance against the broader market despite slowdown in volume. But , if we see similar muted volume

situation to persist in the market, how do you see your growth look for India getting impacted in near-to-medium term or you remain comfortable that because of increasing c hronic you will always be going better than the market ?
Umang Vohra: No, I think in the therapies where we are strong, pediatric , respiratory , urology , anti-infective , cardiac we will expect to grow significantly higher than market. And I think if we're able to do that, then it's easier to show the overall growth for India. So, volume this year is also the impact of the base of the previous year. I think as that begins to even out, we will probably see an expansion in volumes. See , we are sliding to a multiyear assumption of where India will grow somewhere aroun d the 12 -ish percentage range on a long-term five -year basis. We think a 12% CAGR for India is not uncommon. A ctually , our numbers are quite close whether the volume is low or the price is moderated. So, if you really look at it, our YTD growth will be somewhere at least, in the branded prescription business also around 12% range. And this is happening despite volume growth being lower. There might be a year where volume growth is higher, but price growth may be lower. So overall, the 12% number will probab ly hold as a CAGR over the next couple of years .
Damayanti Kerai: So, you remain comfortable with this 12% growth ? My last question if I can, can you comment on the US pricing environment? You said you saw mixed performance across products , etc., but across the market, should we assume prices are more or less stable compared to what we saw in recent quarter or there has been any change?
Umang Vohra: I think pricing in the US always there is some change quarter -on-quarter. So , there will always be some depression, but I don't think we are seeing accelerated compression and pricing in the US. I would say more or less the trend is the same.
Moderator: Our next question is from the line of Neha Manpur ia from Bank of America. Please go ahead .
Neha Manpuria: Umang, in the last call if I remember correctly, we talked about US base of about 200 , 215 and now I think you mentioned about 2 20, 2 25 given the momentum that you're seeing in some of your complex products. But other than that , has anything fundamentally changed quarter -on-quarter in the US or this is just improvement that you're seeing in the base portfolio that is driving this higher US guidance ?
Umang Vohra: Yes, I think Neha, it's basically a slight increase in our Albuterol shares, slight increase in the share of a few other product families , and also the share increases in Lan reotide .
Neha Manpuria: Is there scope to improve that further , I'm just trying to understand if there's upside to this 220, 225 number that we are mentioning?
Umang Vohra: Yes, I think on Lanreotide specifically we are looking at incremental gains that we've seen historically to play out. It's never going to be huge delta that comes in, but it would be something that creeps up over a period of time. And on Albuterol is the same , right , we used to be high ,

then we came back down from the beginning to go back up again a little bit. So , it will be that and then quarter -on-quarter buying patterns there's always a little bit at a 200 million base, there could be 3 -4 million here , there . So realistically from the previous quarter to this year, not so much of a delta, even though it was 215 to 230, I think some of these share increases, some of that 3 , 4 million , buying pattern shift so I think you'll roughly get there.

Neha Manpuria: It's not as if we've seen a material improvement in the pricing environment or a big upside from these shortage products that's driven this?
Umang Vohra: No, not really. In fact, there's also a fair amount of demand for a set of products which I don't think the industry can supply such as Budesonide , etc. , where frankly whatever you can produce can be sold.
Neha Manpuria: On the margin guidance , again we have raised the guidance . But i f I still look at the first half run rate, we're close to probably 25 versus the guidance that we've given based on your commentary everything that you've mentioned in terms of gross margins , the India momentum, US momentum, are we expecting spend to go up , is that the reason we're being conservative on the margin guidance particularly given what we've seen in the first half or is there some other dynamic that I'm missing out ?
Umang Vohra: I think , Neha , maybe I can add and then Ashish can comment . I'm not sure we will see expenditure going up. E xpenditure between last year and this year is up 11 .5% to 12%. I think we may see some seasonal , we do a "Berok Campaign" in this quarter which will probably result in a little bit of delta, but that's not significant to the overall expense hypothesis. First of all , the margin we've probably seen in the last quarter is the highest we've ever seen in our company. I think it's a large portion of it is due to mix. It's a mix and possibly some amount of abatement in the cost of procurement. I would not be surprised in the future quarters if our margin is not at the same level that it was in the quarter that's gone by because the mix may change of the way our business runs. The other thing is Q4 -
Neha Manpuria: Umang, to your point, because the mix in India, given a focus on chronic and the higher investment , 75% of the pipeline being complex, the peptide launch coming up , so it's not as if the gross margin comes off from here and if your costs are the same, leaving aside in the quarter - on-quarter volatility, s houldn't this quarter margin be sustainable?
Umang Vohra: Well, not really, because I think what we've been saying is that the sustainable margins the way we see it in this quarter is in the range of 24 to 25. Because if you look at the type of mix we've seen this quarter is very different, hardly any anti -infective and we know that there is some amount of anti -infective that comes in the winter months . So, we see a delta there. That's where we think our margin will be . Q4 is always , Neha , a reverse seasonality quarter for us. Some part of the margin will compress in that quarter as well.

Ashish Adukia: Umang has covered it. I think if you look at the second -half, it's a combination of Q3, which we believe will hopefully continue to be strong as it has been. But Q4 is something that we are mindful of and combination of the two will probably get us to about 24% overall for the year.
Moderator: Our next question is from the line of Surya Patra from Phil lipCapital. Please go ahead.
Surya Patra: About the US business, m y first question is that is it fair to believe that kind of thing that you would have seen in the Albuterol possibly that has been covered by new launches like Revlimid and all ? Is that the understanding right, sir because in terms of the prescription, there is more than 20% kind of de

cline in Albuterol that we are witnessing ?
Ashish Adukia: So sorry, your question is that the market share loss in Alb uterol , has it been made up by . So, there are other products which has made -up for that loss like we talked about Lan reotide which has increased in volume and there are other Excel a business as well, which has done very well in the first two quarters, which has helped us to get there .
Surya Patra: Since after Revlimid launch, we have crossed that 12 month s period , so generally there was a kind of a term that in the 12 month s period the volume limit means whatever the volume that one need to achieve , that will be based on the 12 month s period achievement. So , from that angle , is it possible to have a sense that okay what is the kind of volume that we would be tracking there in US so far as Revlimid is concern ed?
Ashish Adukia: For the balance of the year H2 will more or less like Umang talked about Q2 over Q1 is not a material and significant increase. So that trend will continue for the balance year.
Surya Patra: The second question is about the South African market. In fact, in the opening remarks, sir, you mentioned you are currently second in the private market and which has been consistently delivering double -digit growth and you are targeting to achieve the #1 position there . So, could you tell if that is achieved , then what would be the kind of scenario in terms of revenue mix, the South Africa business would be having for us?
Ashish Adukia: If you look at the growth in US and in India, has been fairly strong, right? And US is about 25% roughly , I'm just talking about 25% of revenue , India is about 40 %, 45% of the revenue. So, they form a significant portion and they're going at double -digit, right. So South Africa even at 10%, they will still be at p ar or in terms of growth with them. So , therefore, the share of South Africa will remain same even if they become #1 for us. I think the constant focus in South Africa is also a margin for us and we want to get close to company average margin. Therefore , the growth out there will always be calibrated to make sure that the margin is not compromised and that's

why you've seen over last many years the shi ft that has happened from tender business to private
market and now looking at OTC as another lever of profitable growth out there. Actor Pharma
that we have acquired, which comes with a portfolio, there is a huge synergy th at sits out there
to actually leverage our distribution network to push those products in. And the success that
we've seen in CORYX and BRONCOL is likely to get replicated in Actor Pharma. So, OTC is

another l eg of growth like I said for South Africa, which will help us with both growth as well
as margin.
Surya Patra: Sir, is it possible to s hare that what could be the gap in terms of size, scale between the number
one and the second place so far as the private market is concerned ?
Ashish Adukia: I think it's about ZAR 200 in prescription. That's the gap that we have between #1 and #2.
Surya Patra: About the domestic formulation s business , from the various studies what it is available that
respiratory segment which generally is one of our leading segment s has seen some kind of a
moderation in terms of growth possibilities because of the high base of the last period . Despite
that, we have seen a kind of improved margin scenario what you are mentioning about the
domestic formulation s business. So , is it not right that respiratory is one of the most profitable
business considering our scale and the kind of end -to-end integration what we are having?
Ashish Adukia: If you look at the IQ VIA data, respiratory and cardiac are the two therapies where we've grown
faster than the market in this quarter . So not sure why you're saying that it's been subdued. Of
course, like you have said, which is a

bsolutely right, the margins in respiratory, because it's
primarily in -house is better. So , we get the benefit of that.
Surya Patra: So, that means once we see the revival in the respiratory, then possibly that will support the
margin profile going ahead?
Ashish Adukia: Yes, which we've already witnessed partially in this quarter and hopefully we'll continue in Q3.
Moderator: Our next question is from the line of Nitin Ag arwal from DAM Capital. Please go ahead.
Nitin Agarwal: Umang , just following up on the US , I think if I remember correctly for the last two quarters you
mentioned that the Revlimid sales have been broadly in line with what we were in Q4 and there
is almost $25-odd million delta we've done in th is quarter versus Q 1. So, I just want to double
check, is it fair to assume that all of this $24 or $25 -odd million delta which has come through
versus Q4 is all on our regular business primarily driven by the non -Revlimid business ?
Ashish Adukia: No, no , it's a combination of increase in Revlimid as well as other products as well. I'm referring
to Q4 to Q1. So, there was some increase in Revlimid as well . In Q1 to Q2, t here has been
insignificant increase in th e Revlimid , yes.
Moderator: Our next question is from the line of Krishn endu Saha from Quantum AMC. Please go ahead.
Krishnendu Saha: Most of the questions have been answered, but just t wo follow -up questions . In Albuterol, we
had a market share of 16 %, 17%, but I heard you said 12.5% or 9%. So , when do we get back to
the number? And #2 another question is that the Goa plant capacity increased by 200 %, 128
million what I read . What does that Goa plant, which region does it actually related to ? If you

could just tell us the plans where the inhalers are file d for, so Indore, Goa, above all, so just you
can let us know w ith the future filings for the FD A?
Ashish Adukia: I'll just take the second question first and then maybe Umang can give some color on Albuterol.
The capacity that we're talking about in Goa, that's primarily for the international EM EU market.
And that's where we had a n increase in the capacity. On the first question on Albuterol market
share -
Umang Vohra: I think the market shifts between three versions of Albuterol . We sell one of the smallest versions
of Albuterol. Every time the market shifts between these, that market share gets impacted. So ,
that range is always 2 % to 3%. Now , we are hoping to build our share.
Krishnendu Saha : So, we hope to get back to 6 %, 7% in the near future ?
Umang Vohra: I think that fortunately or unfortunately is not completely in our control because the market
buying behavior is dependent on which variant they keep . So, in the event that they decide to
keep the variant, obviously , the share will go up . In the event they don't, then the share will only
increase marginally as it has been doing.
Krishnendu Saha: If you could just talk us about the plants which are for the US FDA for the filings for the inhalers?
Umang Vohra: So, we have two inhaler plants and we are trying to file ; one is Indore and one is in the US.
Moderator: Our next question is from the line of Vishal Manchanda from Systematics. Please go ahead.
Vishal Manchanda: In the US, can you update on what's our market share in Lupro lide?
Umang Vohra: We are going to increase share now because there was price listing , etc., that needed to happen.
Current market share is sub -3%... actually, it's close to 1% right now, but it will be built up over

a period of time.
Vishal Manchanda: So, it starts ramping up as we have seen in case of Lanreotide , right?
Umang Vohra: The trajectories won't be similar, but yes, we will be increasing market share.
Vishal Manchanda: Just one more on the sub -Saharan market . Your sales have doubled on a Q oQ basis. So , one should assume the current cost of

run rate to remain stable over the subsequent quarters and what led to this doubling of sales on a QoQ basis ?
Ashish Adukia: SAGA is a combination of South Africa , sub-Saharan, you have CTA also sitting in that where increase of sales has happened and QC IL is also sitting there. So , we've seen some growth out there. Main growth is in QCIL, which is anyways under sale. So , we will discontinue showing QCIL from next quarter . But, of course, that is mainly tender business , so, it comes at a lower margin. So ye s, that's how you should look at the SSA numbers.

Vishal Manchanda: Any broad sense on what could be a sustainable quarterly run rate for this market for the current year?
Ashish Adukia: It's a very small contributor to our overall revenue. Of course, it's a tender dependent, so it can be lumpy as well. So , keeping that in mind, it's difficult to talk about sustainability of that. But , of course, like I said, QC IL will go away from the numbers.
Vishal Manchanda: What is the number that we should knock off for QCIL ?
Ashish Adukia: We've given those numbers in the investor deck, right , and the press release as well. So, 6,678 crore s become 6,490 crore s after knocking off QCIL.
Moderator: Our next question is from the line of Ankush Mahajan from A xis Securities. Please go ahead.
Ankush Mahajan: Sir, with this year, we are launching one peptide product and except this product what is in the pipeline, will you throw some light on the pipeline of the products?
Umang Vohra: I think we've mentioned that we have four to five partnered products in the peptide range and hopefully one we will launch in the next quarter and then in the next two years we will launch the others.
Ankush Mahajan: Despite these peptides, what are the other products?
Umang Vohra: We have inhalation assets as well and some will be filed shortly , some are in the process of filing and then we have some other products.
Ankush Mahajan: So, in the initial commentary s ir, it was mentioned that logistic cost has improved. So , would you throw some light on it , how it will take shape in the upcoming quarters?
Ashish Adukia: We monitor our air -to-sea mix, right , of all the products that we export out of US to our geographies internationally. So , over a period of time has obviously moved in favor of sea, which has actually helped us with the reduction of overall freight. That's one factor . The second factor is that overall the air rate as well as se a rate, both have actually come down substantially ; on YoY basis, air rate has come down, close to 8 % to 9% and se a rate has actually come down by almost 60 %, 70%. So t hose are the advantages that we're getting and at least in near term we are expecting this great advantage to continue.
Moderator: Our last question for today is from the line of Kunal Dhamesh a from Macquarie. Please go ahead.
Kunal Dhamesha: So, sir, directionally, when we started the year and gave the guidance of 21 % to 22% EBITDA margin and we are currently giving guidance of 24% and if I look at the various moving parts, the biggest delta which has come from US, right . So that kind of speaks that there is improvement in pricing, there's improvement in volumes of existing product, but then your commentary is mix

on pricing. So , can you throw some light because if it 's just volume improvement , it might not have led to a lot of EBITDA improvement , right, because some of these products would be low margin and we have kind of lost market share in the high margin products on a year -on-year basis. So , what explains the delta in EBITDA margin guidance improvement?
Ashish Adukia: So first of all, it's a combination of US and India market , it's not just the US market , I would like to just clarify that point . In India as well, like we said, the chr

onic mix has gone up , right . With the chronic mix going up, which has higher gross margin that leads to better EBITDA margin as well and there is some bit of operating leverage also that we're seeing in India . Likewise, in US , certain products we have better volume albeit could be with some price erosion, but there are certain products where we have taken price actions as well. So , overall, these two geographies have driven the margin because the y are a large portion of your business as well . At the same time, there are other businesses where like South Africa I talked about where the margin improvement is clearly visible between Q1 and Q2, and hopefully that trend will continue there for three and four as well.

Kunal Dhamesha: Let's say in the current guidance of 24%, I think what we are baking in is probably a good $220 million to $225 million in US in Q3 . But let's say if the trend continues in the US into Q4 as well, would it be fair to say that there could be upside to this 24%?

Umang Vohra: If the trend of buying changes, there could be an upside, but it's difficult for us to estimate that at this stage.

Kunal Dhamesha: So right now , we are just building in Q3 because that's what we are seeing kind of good trends ?

Umang Vohra: If the certainty of launches in the US improves because of the remediation we are doing at our sites and the transfers , obviously , our confidence in the margin will increase as well. So, to answer your question, there are at least three of our businesses are running ahead of their internal estimates both on the top line and also on the bottom line ; one is India, the second is the US and the third is South Africa. So, there is a margin beat on account of all three that we have seen . On our emerg ing markets business, even though we are running slightly lower than the internal estimates on top line , on bottom line we are running because of expenditure control almost to the same extent. So , that is the reason that I think the margin trajectory has improved. If you look at our costs overall, the cost basis is 1 1.5% over the previous year. Realistically, in our business, we never increased more than 11 %, 12% of cost year -on-year. I think the real increment we're getting is on the margin . Also, in the previous year we had a fair amount of remediation cost built in on account of our facilities which now is reducing because a lot of the remediation is already underway.

Kunal Dhamesha: What is the PLI benefit that we would have recognized in this quarter?

Ashish Adukia: So that's part of the other operating income and it has increased versus Q1. We're not giving out the specific numbers, but there is an improvement because of the products that qualify for this

thing. Just on the OPEX part just to complete the picture what Umang was saying, I think with derisking that 's happening in the US, there could be marginal increase in the OPEX as well in the coming quarters.

Moderator: Ladies and gentlemen, that brings us to the end of the Q&A session. I would now like to hand the conference over to Mr. Ajinkya P andharkar for closing comments.

Ajinkya Pandharkar: Thank you for joining in. If you have any questions, please e -mail us on investor.relations@cipla.com. Thank you once again and have a very good evening.

Moderator: On behalf of Cipla Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 24826000 F +91 22 24826120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r
L24239MH1935PLC002380

29th January , 2024

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Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q3 FY24 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 3 FY24 earnings conference call dated 25th January 2024 . The transcript is also available on the Company's website i.e., https://www.cipla.com/sites/default/files/Earnings -Call- Transcript -Q3-FY24.pdf .

Kindly take the above information on record.

Thank ing you,

Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Chirag Hotchandani

"Cipla Limited
Q3 FY '2 4 Earnings Conference Call"
January 25, 202 4

MANAGEMENT : MR. ASHISH ADUKIA – GLOBAL CHIEF FINANCIAL OFFICER – CIPLA LIMITED
MR. UMANG VOHRA – MANAGING DIRECTOR AND

Moderator: Ladies and gentlemen, good day and welcome to Cipla Limited Q3 FY '24 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajinkya Pandharkar, Head Investor Relations from Cipla Limited. Thank you, and over to you, sir.

Ajinkya Pandharkar : Thank you, Yusuf. Good evening, and a very warm welcome to Cipla's Q3 FY '24 Earnings Call. I'm Ajinkya Pandharkar from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussion will include certain forw ard-looking statements, which are predictions, projections or other estimates about future events.

These estimates reflect management's current expectation of the future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or i mplied. Cipla does not undertake any obligation to publicly update any forward-looking statements, whether as a result of new confirmations, future events or otherwise. I hope you have received the investor presentation that we have posted on our website.

I would like to request Umang to take over.

Umang Vohra: Thank you, Ajinkya, and good evening to all of you. I thank you for joining us today for earnings call for quarter 3 fiscal year '24. Let me address the issue of the results released at the outset. On Saturday, it came to our attention that there was a pot ential leak of parts of our stand alone results on the social media. We took prompt action to inform the stock exchange and took a decision to advance our results in order to avoid investors trading on the basis of unapproved results. We're investigating the matter and would like to highlight that the leak was not attributa ble to internal employees or systems of Cipla.

Coming to the results of this quarter, we continued our growth trajectory across the flagship businesses of India, North America and South Africa and improved our operating margins . So, this was our seasonal ly strong quarter across all our markets .

I would like to cover themes which played out into our financial performance for this quarter. These themes include continuing market -leading growth in our core markets, focus on growing our large brands, investing in our future pipeline organically and inorganically, and regulatory resolution at our facilit ies. In-line with our theme on delivering growth across key markets , our One-India business posted a healthy growth of 12%, backed by traction across branded prescription, trade generics and our consumer health business. In our branded prescriptions business, we grew ahead of the market with our Chronic portfolio outpacing the market with a growth of 13% against the IPM growth of 11% as per IQVIA MAT December '23. Respiratory, cardiac and urology were key drivers of the growth for the quarter. Share of chronic therapies and portfolio has improved by 115 basis points year -on-year to 60.3%. Our trade generics business further consolidated its leadership position in the market by posting consistent year -on-year

growth. This performance was supported by execution of our order book, traction and new introductions and deepening distribution network and technology to improve reach. Business will further execute these work streams to expand their offerings and reach.

Consumer health franchise posted year -on-year growth supported by traction in leading brands and stronger reported brand equity,

albeit in a slower market. The operating profitability continues to be sustainable. In North America, we reported an all -time h igh quarterly revenue of $230 million, which represents an 18% growth over last year. This was the 15th consecutive quarter of year-on-year growth for the business. Positive volume traction due to seasonality in our products and demand and base business, which is usual for this quarter every year, propelled this consistent growth.

In Lanreotide, we have set a -- we now have a 20% market share. In SAGA, we completed our sale of QCIL during the quarter. Excluding QCIL, SAGA recorded 35% year -on-year growth in USD terms backed by growth in South Africa as well as Cipla Global Access. In our South Africa prescription business, our growth in secondary market was at a healthy 7% versus the market growth of 2% as per IQVIA MAT November '23. We are inching closer to the market leader. Our tender and OTC business has also witnessed positive traction during this period. In Cipla Global Access, our tender business for rest of Africa posted a year -on-year growth supported by execution of the order book.

Our next theme is growing our big brands bigger. Big brands continue to be at the forefront of our India story. In branded prescription, we have 20 brands with revenues over INR 100 crores as per IQVIA MAT December '23. Foracort, our leading inhaler brand, is now the biggest brand in IPM as per IQVIA Q3 FY '24, gaining 3 ranks year -on-year to reach the top spot. Cipla now has the highest number of brands in the IPM top 10, top 50 and the top 100 as per December '23 IQVIA report.

Our trade generics business now has over -- has 8 brands over INR 50 crores. Whereas Cipla Health derives its growth from 5 anchor brands, which are well over INR 100 crores in trailing 12 months.

In South Africa, big brands have been the key reason for growth in our OTC business. Cipla Actin, Coryx and Broncol are now tracking in the range of ZAR 100 million in the trailing 12 months.

Acquisition of Actor Pharma has recently received the approval of the competition commission, and integration is expected to be completed in quarter 4 of FY '24. Actor's portfolio includes products with great potential of becoming the next set of big brands.

Investments -- the third theme is the investments in the pipeline -- in the future pipeline, and this remains one of our key themes.

R&D investment is focused on funding developmental efforts and filing new products. In this quarter, we were successful in filing 2 products to complement our respiratory portfolio in the U.S. We have completed filing of generic Symbicort and 1 other generic inhalation asset for which we should provide details in our next call.

In line with our strategy of lung leadership, we have continuously focused on investing in the pipeline over the years with number of assets in high single digits. Some of these assets are already

filed. On our peptide portfolio, we are ready with one peptide asset and waiting for its approval to launch, while there are 4 launches planned in FY '25. We are also working on several other peptide 505(b)2 opportunities and complex products, which are currently under development and will be key to the future portfolio.

Our focus continues on regulatory efforts in Goa and Indore. Earlier in this quarter, we have updated you of the warning letter we had received for the Indore facility, which was audited in February '23. We have duly responded to queries from U SFDA and are now focusing on remediation. In Goa -- at Goa, we have submitted all the pending acquisitions.

Derisking our top launches remains our top priority.

Derisking of Advair has been progressing as per expectation. We expect to file this asset in mid FY '25. For generic Abraxane, we are more likely to launch this faste

st from the Goa facility.

Given the complexity of the product, third- party transfer has been time consuming and will take longer compared to a launch from our Goa facility.

I would now like to invite Mr. Ashish Adukia, our CFO.

Ashish Adukia : Thank you, Mr. Umang Vohra. This quarter, we progressed further with exceptional performance across core businesses with expansion in profitability. Coming to the key financial highlights for the quarter, the numbers are adjusted for QCIL disinvestment, which was completed in this quarter.

We are pleased to report a quarterly revenue of INR 6,544 crores, with a healthy growth of 14% driven by flagship businesses of India, North America and South Africa.

EBITDA margin stood at impressive 26.3% for the quarter. As per practice, this EBITDA margin does not include other income. Expansion and operating profitability is largely due to favourable mix, calibrated price action across branded and generic portfolio, and impact of easing cost inflation.

Gross margin after material cost stood at 66.3% for the quarter, which is 90 basis points above last year's figures, driven by overall mix change, again, contribution from new launches as well as lower procurement cost of key APIs.

The total expenses for the quarter include employee costs and other expenses, which stood at INR2,621 crores, which was flat on a sequential basis. R&D investments for the quarter are at INR400 crores, which is 6.1% of the revenue, driven by product filings, development efforts and is higher by 10% on quarter -- Y-o-Y basis. Extraordinary expenses mainly include impairment of intangible asset and winding down provision of Pulmazole, which was one of our products that we

were developing with Pulmatrix, Inc. for the U.S. market. While we've impaired the entire asset, we may look at continuing to develop and launch this asset in India and other markets.
Profit after tax for the quarter is at INR 1,049 crores or 16% of sales, and the ETR is constant at 27.5%. Free cash generation and operating efficiency strives a healthy cash -- net cash position. We've repaid all our long -term loans, including the term debt that we had in South Africa of ZAR 720 million. With this, as of 31 December '23, the gross debt on the balance sheet is only about

INR449 crores, which constitutes lease liabilities and working capital facilities. Cash equivalent balance as on the date stands at INR 7,591 crores.
The key focus areas and growth levers in the subsequent quarters will include priorities for One - India, would be to grow in Rx led by chronic portfolio, sustained leadership in GX, while working on further strengthening growth levers for wellness portfolio.
In North America, our focus would be on commercial execution of existing portfolio and resolution of U SFDA observations. Product launches through delisting strategy and as well as inorganic partnerships and acquisitions will remain one of our key priorities for the U.S. market.
Build on performance in South Africa, aided by growth in private and select tender business with greater emphasis on margin expansion. In emerging markets and Europe, top priority is to improve top line while margins are maintained at sustainable levels. A s per the yearly trend, quarter 4 will have an impact of weaker seasonality in India and North America.
EBITDA margin for the full year is trending at a higher end of what we had guided earlier, which was a range of 23% to 24%. The RoIC continues to be very healthy at about 29% for the trailing 12 months.
I would like to thank you for your attention and request the moderator to now take the questions.
Moderator: First question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane : Just clarity on Abraxane, if you could just highlight any particular reason for delay -- rechange in the plan as far as filing for the alternate site is concerned? And secondly, if it is so, then it would be again subject to the reinspection of Goa facilit ies. So accordingly, is there a change in timeline as far as the approval is concerned for Abraxane?
Umang Vohra: Yes. I think, Tushar, that what you're saying is correct. I think the fastest route that we are guiding is the fastest route is in approval from Goa because of the fact that we might have to do clinical studies if we transfer the product to another site, etcetera. The process of getting a reapproval is significant. Having said that, our activities are ongoing for transition.
Tushar Manudhane : And -- but now then the reinspection of Goa and then subsequently the approval so likewise, any change in the timeline for approval for Abraxane?
Umang Vohra: No. I think the timeline -- see, if Goa -- our thinking is that Goa should be due any time for inspection from starting with quarter 1 of the year because it was inspected in August of 2022. So, on a 2-year clock -- sorry, it should be ready for reinspection starting from a quarter 1 of fiscal year -- of the next fiscal. So therefore, actually, that is -- if that inspection clears, then actually nanopaclitaxel will be ahead of market -- ahead of our estimate if that inspection clears.
However, if there is no inspection or that inspection does not clear, then nanopaclitaxel will be further delayed because there will be additional requirements of regulatory to do the trials on that product, etcetera.

Tushar Manudhane : All right, sir. And the market price for this -- the product, which is expected to be launched in which quarter, the potential launch? [Will be there a competition of the week]?
Umang Vohra: Are you talking about the peptide asset, Tushar?
Tushar Manudhane : Yes, sir. Yes, sir.
Umang Vohra: Yes. That asset should hopefully launch, I think, when the quarter 1 -- will definitely be launched, we think, in the quarter 1 of fiscal year '25 -- quarter 1 of next year, which means basically the next quarter.
Tushar Manudhane : Just if you could share the market size for the product? And if there are any existing number of players for that product in the market?
Umang Vohra: Well, as of now, Tushar, we feel we are the first -- we will be the first generic, if they have given approval for it. The market size is fairly significant ..
Tushar Manudhane : At least $100 -plus sort of million?

Umang Vohra: Tushar, I cannot guide to that. It's not because I don't want to, but because it's -- there will be different market dynamics that will play out.
Moderator: Next question is from the line of Amey Chalke from JM Financial.
Amey Chalke : First question on Lanreotide. There is an orphan drug exclusivity expiry somewhere in September 2024. So, what is our strategy here? Are we going to launch generic as well instead of promoting 505(b)2? Or we will wait for other generic players to enter this plan?
Umang Vohra: Actually, Amey, I'm not so sure that the orphan drug -- I mean, I think the orphan drug expiry is with reference to certain indications. I think -- so I'm not sure that, that holds up the generic for other indications that are already -- that the patents h ave already expired.
Amey Chalke : Okay. So, you may see that the products which we have launched it doesn't have any binding on the orphan drug exclusivity if any other generic wants to launch...
Umang Vohra: So, I cannot comment on that because the -- right now what is allowed for launch the product that we are selling is allowed for one set of indications. It is not allowed for all indications. And I think when you say orphan drug exclusivity, you mean to say that other indications may also be allowed for the same product as and when they expire. And I don't think that -- I don't think we have to introduce a new product for that. I'm not sure

about that.
Amey Chalke : Sure. So, you mean to say the filing of 505(b)2, can we convert it to generic products without launching it to it?
Umang Vohra: No, no, no. The 505(b)2 and generic products are 2 different products. We are currently selling a 505 (b)2 product. Because the orphan drug exclusivity protects a certain indication, whether you are a 505 (b)2 product or any NDA product, you cannot sell -- your product cannot be used in that

indication. So, when the orphan drug exclusivity expires for that indication, we believe at that point in time, the product could be used to sell in that place.
Amey Chalke : And then second question is related to Symbicort. How easy or difficult it is to get an approval for Symbicort vis -a-vis Advair, if you can give some colour on the same.
Umang Vohra: They're similar. The clinical trial requirements and the clinical trials that have been done for both products are very similar. I'm saying the sizes of the product population. So, we have done it once before with Advair where, of course, the issue more with facility. We believe that the file has cleared all the other -- taken all the other reviews but for facilities. So, I think we are fairly confident. But it will take the time that the FDA needs to review it.
Moderator: Next question is from the line of Damayanti Kerai from HSBC Securities and Capital Markets India Private Limited.
Damayanti Kerai : Umang, can you clarify your comment on the Advair opportunity? So, you're saying you're looking to file it by mid of FY '25 from alternate site? And also want to understand the way for Abraxane, if you transfer it to a CMO site, you might require to do some clinical trials, etcetera. For Advair, is there any such requirement for additional studies, if you transfer to a different site?
Umang Vohra: No, we don't think so. I don't think any additional studies are required for Advair. And your -- what you've picked up on the timing is correct.
Damayanti Kerai : Okay. And say like you filed within the stipulated timeline , mid '25. And then it will again go through the entire review cycle by the FDA? Or how should we think about the...
Umang Vohra: Unlikely that this will go through a review cycle. I think we will be submitting data from the new site versus data from the old site. And then the FDA should take a 6-month, 9-month period to review it. Our sense is it could be closer to the 6 months.
Damayanti Kerai : So very broadly, we can assume, if everything goes well, we don't run into any other queries by the FDA, this approval could come by end of next fiscal, right -- towards the end of next fiscal?
Umang Vohra: Towards the end of next fiscal is correct. Yes ..
Damayanti Kerai : Okay. My second question is on Lanreotide 505(b)2. So, you are at now at 20% market share, I guess, which is very similar to what we saw at the end of second quarter. So, do we see further headroom for growing market share? And what kind of visibility you have to improve on -- from this level?.
Umang Vohra: Yes. We have guided earlier that the market share will be going up incrementally, and we will not see big takes of market share every quarter. So marginal increases from this are still on the cards for Lanreotide 505(b)2.
Damayanti Kerai : Okay. My last question is on leuprolide. So last quarter, you said you have resolved some supply bottlenecks, etcetera, but we are yet to see any pickup in the market share. So how are things moving there for that particular product?

Umang Vohra: I think we are seeing higher offtake on leuprolide. And hopefully, in the next -- in this quarter or the next quarter, we will begin to scale up. But in this quarter, we have seen higher offtake compared to the last quarter.
Damayanti Kerai : Okay. So, all supply issues were resolved and market share and

prescription trend, etcetera, should
pick up from here on ?
Umang Vohra: Yes, yes.
Moderator: Next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria : Umang, On the Indore warning letter, the FDA has brought out the Advair customer complaints -- the recurring complaints, and the fact that we didn't recall it despite the recall in March, which was -- I know you mentioned it was unrelated.
Do you think there's a risk to the albuterol market share that we have now because of the warning letter? Is that something that we should be concerned about? And have you addressed the -- or do you think the FDA expects you to recall Abraxane given the wa y they've mentioned it in the warning letter?
Umang Vohra: Okay. So, Neha, just -- the warning letter in Indore site is albuterol.
Neha Manpuria : Yes, sorry, albuterol. My bad. Apologies.
Umang Vohra: Yes. So, on albuterol, Neha, I think we have submitted revised data to the FDA. And of course, the FDA has to make its determination post our response of the warning letter. And the company submitted even during the earlier recall analysis of the recall specifical ly, and of the factors that impact the product. At this point, we are -- we can safely say that all parts of the product are safe and efficacious and that we believe that there is a natural phenomenon of these products.
At times, they get clogged like the product information leaflet say so for any inhaler, right? So, we are waiting for the FDA to review the application in total. And company believes that we do not have an issue with the product.
Neha Manpuria : Understood. And post the recall of albuterol in March, we did see market share obviously go down as expected, that seems to have improved. Do we think we can go back market share that supply had in the product before the recall issue? Or is there any const raint to that?
Umang Vohra: So, I don't think -- I think there was a period where there was one customer that may have derisked their supply. But at this point in time, we have actually recovered a little bit of share between the last quarter and this quarter. So, we think it's stabilized. And yes, I think my guidance to the team is clearly to try and see how to improve the share, but we are in no hurry to do so..
Neha Manpuria : Got it. And my second question is on the U.S. base, in the current 225, 230, I know there was some benefit from seasonality this quarter. But if I were to look at next year, given the peptide launches that we have, we'll have probably 5 peptide launches ne xt year based on your guidance and probably a couple of more launches -- bread and butter launches, do you think that helps us push

the U.S. sales above the $1 billion mark in the next few quarters? Is that a fair assumption? Or do you think it will be a little longer than that?
Umang Vohra: Well, I think, Neha, difficult question to answer, more probably appropriate to answer this at the end of this quarter when we give our guidance. We'll have a good idea of where we think the U.S. market can be for us. We will see some attrition on a few pr oducts as is typical of the U.S. And I think we will form a view on this possibly closer to when we come back in the next analyst call.
Moderator: Next question is from the line of Surya Patra from PhillipCapital.
Surya Patra: Sir, my first question is on -- let's say, on Advair. So given the recent SAR price cut -- list price cut by the innovator, so whether this is a kind of a risk to the kind of a potential opportunity, what we have been targeting in case of Advair.
Umang Vohra: Surya. I think the issue with the generic market, Surya, is that the innovators price cut matters, but in the end, it is the net price that a customer is buying it. And so, rebating on this product, at least the way we've understood it is significant already and discount in the ma

rketplace is also significant. So, our estimate of where the Advair price is somewhere right now at around $30 per inhaler mark as a net price...
Surya Patra: This is the net price?
Umang Vohra: Yes. So, I think it offers some opportunity for us as well, depending on the share you take.
Surya Patra: Okay. In fact, my understanding was that in the current financial year or current calendar year, even the net prices have seen a kind of some meaningful impact so that's why my question...
Umang Vohra: Correct. Yes, yes. And that's why I'm saying it's roughly around $30 depending on the mix of the customer. But -- I mean, if you're seeing -- if there is something that is more recent that you have

seen, then I may not be fully aware of it.
Surya Patra: Yes. Okay. Secondly, sir, in fact, the Symbicort filing that you have done, well, which sites that you are linking this product to? Is it Indore or...
Umang Vohra: I think it's a 2 -site filing. And we have also done it from -- we are also going to -- or sorry, let me correct myself. It is a single site filing as of now, and the second site transfer has also happened, and it will be added to the file once we receive t he queries.
Surya Patra: Okay. Okay. And just last one...
Umang Vohra: By the time we are approved -- so just to clarify, assuming that this will take 2 years plus to approval, by the time we are approved, we will have 2 sites in the file.
Surya Patra: Okay. Okay. And just last bit on the domestic formulation business. See, we have seen very strong growth in the -- during last 2 years period, during the COVID time, in terms of volume. And this year, while the industry is facing volume challenge, because of the respiratory mainly, we have still maintained a kind of positive growth in terms of volumes.

So, going ahead, what is the kind of momentum that we should see for our overall domestic business? Is it possible to sustain double -digit growth, let's say, if we exclude the fourth quarter, which is generally the soft quarter?
Umang Vohra: I'll request Mr. Ashish Adukia to answer this, please.
Ashish Adukia : Sure. I think in your -- Indian market is very attractive. So, if you take a little bit of a longer -term view, okay, then you will get the price as well as volume growth in the market, right? And we are also going and expanding into Tier 2 to Tier 6 to realize that potential of volume growth. Coming to a more near -term next year horizon, we'll have to see because we'll have to see where WPI lines up and assuming that's flat so on the portfolio that constitutes a WPI portion.
We may not be able to take the increase in price, but we'll try to push volume out there. And for the balanced portfolio, we'll take a combination of volume and price. So, we are still -- will target higher than the market growth next year for ourselves.
Moderator: Next question is from the line of Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Umang, just a clarification on Symbicort. Did you say that it is as of now file from Indore?
Umang Vohra: Bino, yes. The asset originally is an Indore filing, and it will be -- we're already taken batches at the -- our site in the U.S. and that will be added. As and when required, we will alter the strategy for the product. Either it will be 2-site file product or it will be a single site depending on which one we keep and which one we withdraw.
Bino Joseph P : Got it. Second, an accounting question. I can see that your total depreciation and amortization expense has come down for the quarter as well as for the 9 months for year -over -year. What is leading to this decline?
Umang Vohra: I'll request Mr. Ashish Adukia to answer that.
Ashish Adukia : Thank you. Thank you, Mr. Umang. We had some impairment last year Bino which has led to the higher depreciation that you see in the previous year. But generally,

it's a flat to declining trend of depreciation.
Bino Pathiparampil: Okay. So that impairment is gone. So, on this year's base then, as we do more CapEx, we should see this moving up as we go along, right?
Ashish Adukia : Absolutely. Our CapEx typically is in the range of INR 1,000 to INR 1,500 crores type of a range, is what we should estimate and that...
Bino Pathiparampil: Understood. And finally...
Ashish Adukia : As well as the maintenance.
Bino Pathiparampil: Got it. And finally, from your note, I can see there is some INR 18 crores -odd loss from sale of an asset, which we have recorded, which line item does that fall into?

Ashish Adukia : Yes, yes. So that's the sale of QCIL that we completed. We sold that entity to our partner. That sale is being booked, and the loss of that is sitting in other income.
Bino Pathiparampil: Sorry, other income?
Ashish Adukia : Yes, that's right. That loss is sitting in other income.
Moderator: Next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: The first one on the other expenses, excluding R&D. If I look at the first 9-month runway, we are almost close to 50 basis point savings in terms of other expenses as a percentage of revenue. So,

is this more driven by some of the external moving parts like logistic, power, fuel cost? Or would you say a lot of this is coming from synergies of One -India business? How should we look at the sustainability of this number?

Ashish Adukia : I think more specifically -- we'll have to unpack numbers to give you more specific answers where it has come down. Overall, there has been cost control, R&D. Probably few quarters, we had the clinical studies cost, which has come down when you compare it to the percentage of revenue growth.

There's some operating leverage benefit also that you're seeing out there because the revenue has grown significantly and cost has not as much, which you'll see in some of the other line items as well. So that line item that you're referring to other expen ses has many items sitting out there. So, without being specific, I'm just giving you a general trend.

Moderator: It seems that we have lost the line for Mr. Dhamesha. Next question is from the line of S. Mukherjee from Nomura.

S. Mukherjee: Umang, this peptide assets that you talked about, are they 505(b)2 or substitutable generics ?

Umang Vohra: There is a mix , Saion .

S. Mukherjee: Okay. And the opportunity that we are expecting in quarter 1 FY '25, will that be a 505(b)2?

Umang Vohra: No, that is an ANDA.

S. Mukherjee: Okay. My second question is on the R&D expense at INR 400 crores a quarter. How should we think about from the next 2, 3 perspective? Are you thinking about any major investments, new areas, if you can guide on R&D expense in absolute terms, how should we think about it?

Umang Vohra : I'll request Mr. Ashish Adukia please to answer the question.

Ashish Adukia : Sure, sure. See, we try to stay in the zip code of 6% of our revenue. And more importantly, try to also see how U.S. revenue is doing when we look at the R&D because R&D is primarily allocated to our U.S. revenue. So, we stay around 6% range.

And then, of course, we have some flexibility. If we're getting a good growth, we can actually toggle it up because it's actually an investment into future. So that's how we look at it, but you should maintain 6% because U.S. market has been growing as fas t or faster than the company. So likewise, R&D would also follow.

S. Mukherjee: Yes. But Ashish, R&D spend I would assume would depend on your aspiration of the products you are trying to build and you have to invest for it from a longer -term perspective because U.S. revenues can go up and down depending on whether you get approval or you get market share, e

tcetera, but R&D spend has to be sort of decided, right? So, this -- as a percentage of sales, it's not very clear to me.

Ashish Adukia : See, that flexibility is with us. But at the same time -- see, your -- our R&D is mainly focused on fewer products but with higher potential, right? And of course, we keep watchful eye on launches that you're having so that there is no erosion or reduction in the revenue that you have on the U.S. to balance both R&D costs that you're incurring and -- as well as maintaining the U.S. revenue overall and maintaining a growth rate out there. I think for the next couple of years, at least, we see this trend continuing..

S. Mukherjee: Okay. And my final question would be on the cash balance. So, what are your thoughts around that? How are you going to use this or pay out dividend, if you can give some colour ?

Ashish Adukia : See, I think we still to kind of -- by end of the year, we'll take a call on -- board will take a call on distribution of cash. However, the -- our growth aspirations in India, some of the inorganic launches that we talked about in U.S., some of the market s in international as well where we may look at opportunities plus CapEx, etcetera, we'll factor all that in when we are taking a call on distribution.

Moderator: Next question is from the line of Aejas Lakhani from Unifi Capital.

Aejas Lakhani : Umang, I just want to get a sense of the U.S. and the pricing pressures in the U.S. And if you could double into a little more about how the regulators thinking there? How are the buyer groups thinking? Is the pressure easing? Or is it the same like you suggested last quarter?

Umang Vohra: Well, there's not too much difference quarter -on-quarter. All I can say is that in the U.S., we typically see in quarter 1 of every year, which is when the new budgets come out for every buying group that there is always more number of price challenges com pared to the rest of the year. But as of now, we have not seen anything onto it.

Aejas Lakhani : Got it. And the environment, is it even a little -- has it changed a little for the last, say, 2, 3 years? Or is it the same that you feel?

Umang Vohra: No, I think it's a little -- so it's like this. It's a little calmer, but I don't think that this will -- between 0 -- we always see this -- the price compression in the range of 0 to 10 every year. Years are extreme bad pricing environment, which means wh ere we see more compression, is 8 to 10 . Years, which are normal compression, are about 4 to 6. So that's how I would put it .

Aejas Lakhani : And we are today in the 4 to 6 band?
Umang Vohra: That is correct. We are today in the 4 to 6 band. And this is a commodity cycle. It starts shifting quickly to the -- over a period of time to the 6 to 8 band, and then the 8 to 10 band.
Aejas Lakhani : Got it. And if I would just to ask you to hazard a guess of how this band may play out, given the data around ANDA filings and how the competitive intensity is as you see it today. Do you think it can continue to be in the 4% to 6% range? Or can it inch up towards 6% to...
Umang Vohra: It'll never be -- it'll never constantly be in the 4% to 6% range, that I'm clear about. I think the general trend is that every 3 or 4 years, there's a full up cycle or a down cycle. I think we are almost an year -- I would say, year 1 plus or year 2 of t his down cycle. And my guess is within a year, things will be very different.
Moderator: Next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal : Umang, when we look through the 9 months of the year, we've had 2 very exceptional quarters from a profitability perspective. I mean, overall, when you look back at the start of the year versus the way the year has panned out, I mean, in your assessment, w hat has really gone much better than what you really expected at the

start of the year?
Umang Vohra: I think the -- actually, from a -- to be honest, from a budget perspective, we are largely on track with our budget. I don't think we are -- our assumptions are marginally different. I think our assumptions, where they are different, I'll tell you, they ar e around, let's say, the launch of Advair. That's an assumption that is different because of issue for us.
And that frankly got compensated with potentially some launches that we were able to launch through our partners in the U.S. and possibly a better pricing environment. I think what's also better for us is the volume -- is our India growth and if it's in much better. And India is a huge business for us. Every 1% over delivery creates a fair amount of length on top line as well as on the model.
Nitin Agarwal : And if I would just probably push that point, Umang, we've seen a reasonable expansion in our gross margins over the last couple of quarters. Is there anything which is not sustainable, you want to call out in terms of the gross margin, especially for this quarter, 66%, almost -- we are almost -- it's amongst the highest we've done in a while.
Umang Vohra: Ashish?
Ashish Adukia : Yes. No, I think it's a combination of pricing. So, growth that you see out there is driven a lot by pricing, which flows through to your gross margin. And there is a better mix of the business in both quarter 2 and quarter 3. We got a better mix of Chronic. So that has also helped us. So -- and of course, we talked about reversing seasonality in quarter 4. So, these are the things that have helped us, and it's likely to sustain the gross margin levels that you talked about, that's the whole idea. We are pushing for sustainment or even better gross margin ..

Nitin Agarwal : Ashish, the way the business mix is, in your assessment, evolving as you go forward, do you see opportunities for meaning expansion of gross margins on an annualized basis from where we are in FY '24?
Ashish Adukia : No, no, you're not seeing meaningful expansion of gross margin. Like I said, right, in next year, we'll not have pricing advantage as we did -- as we got from -- through WPI this year. So, it will be more, hopefully, volume -driven growth apart from some pricing advantage.
Nitin Agarwal : This is going to be the last one. Umang, on the U.S., there is a fair bit of peptide launches, you've talked about, over the next few quarters. Whereas the salience in the business along with respiratory, then -- I mean how large does peptide start to beco me as big a component of respiratory for us when you go forward from here -on?
Umang Vohra: I -- let me ask -- well -- no, I think, respiratory will still be much larger for us as a category because we've got other flow on assets that are -- follow -through assets that are also coming in respiratory, which are fairly significant. So, peptide will be a meaningful category for us, but the largest category will always be respiratory and so to margin-wise -- so to margin-wise. Because we own a large portion of the chain in the respiratory side. We own some part of the chain on the peptide s.
Moderator: The next question is from the line of Nithya from Bernstein.
Nithya : Congratulations on a strong print this quarter. On U.S. specialty, Umang, I think we saw that Tramadol didn't work out. And more recently Pulmazole also you are backtracked in terms of what you're thinking about it for the U.S. So broadly, stepping back, how are you thinking about U.S. specialty? Is it still part of your

long -term growth strategy? What has changed, if anything?
Umang Vohra: I think what's changed, Garrett, is that we'll have to build our own -- sorry, what's changed, Nithya -- my apologies. Garrett is our team member in specialty. But what's changed, Nithya, is really the ability to actually to get our own assets into the mar ket. And actu

ally, we've got 3 now.
None of them are going to be -- our strategy was to pick winners and bigger value assets. I don't think that's played out for us. Maybe our understanding of this therapy is not -- of therapies is not strong enough to do diligence on these assets.
So, I think it's better that we focus our attention on generating these assets from within and be content with the fact that no one asset will be higher than 50 million or so and try to build a portfolio. And when we have critical size, then pick up something that we feel more comfortable about. If we had to pick up an asset today in spec, it would have to be an asset that is already approved. I don't think we want to take any more approval risk for any of the assets we decided to pick up.
Ashish Adukia : And to go up the value chain, we are anyway focusing on complex 505(b)2s, which gives us that advantage of market share, right?

Nithya : See, this new strategy of growing it or developing it in-house, obviously, has a much longer gestation cycle, do you believe then that you have enough PEGs for growth before that strategy starts to kick in for you?
Umang Vohra: For the rest of the business, Nithya, yes, because look '26, '27, '28, you'll see the other range of inhalers coming. Before that, hopefully, Symbicort around that time. So, then you have the -- so you have those assets. And I think we have the other peptide portfolio. So, I think around the '27, '28 period, yes, I'd like to think that if we can get 1 or 2 assets in the market, it will be a validation of what we can create in this space.
That may be a good time to perhaps go and acquire some in -market assets at that point in time. Right now, I'm not clear if we're fully understanding this market the way it should be understood. So, we're shy of investing anything more which has a development risk attached to it.
Nithya : Got it. Umang, I know you've been asked this before and I'm going to ask it again. Are the promoters still looking to sell their stakes in Cipla? And should we be reading anything more into -- Samina is stepping down as -- from her executive vice-chair rol e?
Umang Vohra: No, I don't think so. I think Samina's decision -- so firstly, there's no sale. There is no -- as of this moment, there is no sale, and there hasn't been any discussion or any information or any dialogue over the last at least 2 to 3 months that we are aware of. Samina's decision -- Samina is still continuing as a nonexecutive director. I think she has switched roles from being an executive to a nonexecutive and that is driven more with the overall promoter family plan to create an institution for Cipla that survives various promoter transitions. And as much as they are planning for it, I have to also plan for the management continuity of this company through -- so that the company stays professional and as an ever growing and everlasting phenomena to it.
Moderator: Ladies and gentlemen, we will take last 2 questions for the day. The next question is from the line of Kunal Dhamesha from Macquarie.
Kunal Dhamesha: Sir, just continuing on my last question about the other expenses. I mean, we had expected that other expenses might move up in the second half of FY '24. At least in quarter 3, we have not seen other expenses, excluding R&D, right? So, is it more, you can say, this quarter phenomena or we continue to run cost efficiency programs, which is now starting to kick in?
Umang Vohra: Mr. Ashish Adukia will address your question.
Ashish Adukia : So, we can see -- like I said, this is a sustainable number, okay? And more specifically, we can unpack the numbers and discuss.
Kunal Dhamesha: Sure. And...
Umang Vohra: Sorry -- just one minute. I think his question is, you have reached a sustainable level of expenditure on other expenses. So is there a need for you to relook at these expens

es from a perspective of

creating some productivity. That's the question I think he's raising, which frankly is -- I mean -- yes, I mean we should -- yes. Yes. No.
Ashish Adukia : No, sure. I think there is an opportunity for us out there. And as we get into the next year's numbers,

we'll be able to give you a better idea.
Kunal Dhamesha: Sure. And one more on the peptide assets that are being launched -- that have been planned for launch next year. This year, we are just waiting for approval. But for those other 4 assets, which are the pending tests for us to commercialize those assets? Is it just the approval? Is it IP -related issues? How should we think about it?
Umang Vohra: So, I think most of the IP -related issues for the assets that we have selected will resolve in the '24, '25 time frame. And the -- there are some where there are no IP issues. Those are clearly linked to approvals.
Kunal Dhamesha: Would you quantify between the 4, how many are just approval related?
Umang Vohra: We are not giving that quantification, but obviously, the assets that we are hoping to launch recently is completely linked to approval, not to IP. The other assets that we'll drive -- there are 2 assets that probably are not linked to IP anymore because w e believe the patents would expire for those. And the assets after that are clearly linked to IP.
Kunal Dhamesha: Sure. And just the last...
Umang Vohra; I'm sorry, but it's close to 50- 50.
Kunal Dhamesha; Okay. Sure. Sure. And just the last one on the cash we have, I think the other participant also asked in terms of what would you decide. But let's say in terms of inorganic, if we have to think would it be more bolt -on acquisition, which we have done in the past or now the thinking has specifically on some of the branded market that we can deploy more capital there? What's the current thinking?
Umang Vohra: See, our discipline towards approaching some of these opportunities will not change just because we have excess cash, just not that we will compromise on our IRRs. We follow the same approach, and it will be bolt- on in some of the markets where our capital allocation is limited, but some BU like in India, there, we are quite confident of the growth that it offers, and therefore, we can go aggressive in India in terms of the size.
But of course, the value creation, etcetera, is an important element when we are looking at any acquisition opportunity. And yes, one more like the CHL is again -- and we see that -- Cipla Health that as we see that as a growth of the share, continuously looking at brands out there to acquire as we speak. Again, more bolt -on and addition of brands, not very large platform out there. But that's one area where we see a good potential.
Kunal Dhamesha: Sure. Since we just touch up on Cipla Health, I think last year quarter 4 for Cipla Health was quite weak, right? Would you say that trends are better this time around versus last year, quarter 4?

Ashish Adukia : See, this business is in a growth trajectory. In fact, this year, we saw a bit of a slow start of the year because of the overall beverages market was slower and we had some inventory rebalancing also that took place because of the transfer that happened f rom generic business to Cipla Health. But after that has gone back to its path of growth with their top products, that is all about INR 100 crores.
Kunal Dhamesha: My sense is completely different on this . Probably I will touch base on the numbers once again. But my view is , the first quarter was exceptionally strong in terms of growth, and then quarter 2, quarter 3 has seen some more moderate growth for the CHL business for India, not including South America, just consumer business in India.
Ashish Adukia : Okay. You're talking about country as a whole, okay. No, tha

t's fair enough. I think that...
Kunal Dhamesha: No, just the consumer business in India, I'm talking about CHL in India.
Ashish Adukia : Yes. So CHL in India, I think quarter 1 -- we'll give you set of our numbers Kunal offline. I think CHL business probably services India by and large. There's no other market.
Moderator: Ladies and gentlemen, we'll take a last question from the line of Smit . from RDA.
Smit. : My question is on U.S. generics. How was the pricing environment in Q3 for inhalation products?
Umang Vohra: I think it's more or less -- well, when you say pricing environment, it's going through its regular price compression. No, nothing accelerated or accentuated at this stage.
Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Mr. Ajinkya Pandharkar for closing comments.
Ajinkya Pandharkar : Thanks, everyone, for joining. If you have any further queries, you may reach out to investor.relations@cipla.com. Have a great evening ahead and Happy Republic Day to everyone.
Umang Vohra: Thank you, Mr. Ajinkya.
Moderator: Thank you. On behalf of Cipla Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2024

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 41916000 F +91 22 41916120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r L24239MH1935PLC002380

15th May , 2024

(1) BSE Ltd
Listing Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 500087
(2) National Stock Exchange of India Ltd
Listing Department
Exchange Plaza, 5th floor
Plot no. C/1, G Block
Bandra Kurla Complex
Bandra (East), Mumbai - 400 051
Scrip Code: CIPLA
(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q4 FY24 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 4 FY24 earnings conference call dated 10th May 2024 . The transcript is also available on the Company's website i.e., https://www.cipla.com/sites/default/files/CiplaLimited -Earnings -May10- 2024.pdf .

Kindly take the above information on record.

Thank ing you,

Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Chirag Hotchandani

"Cipla Limited
Q4 FY '2 4 Earnings Conference Call"
May 10, 202 4

MANAGEMENT : MR. ASHISH ADUKIA – GLOBAL CHIEF FINANCIAL OFFICER – CIPLA LIMITED
MR. UMANG VOHRA – MANAGING DIRECTOR AND GLOBAL CHIEF EXECUTIVE OFFICER – CIPLA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Cipla Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajinkya Pandharkar. Thank you, and over to you, sir.

Ajinkya Pandharkar: Thank you, Sagar. Good evening, and a very warm welcome to Cipla's Q4 FY Q4 Earnings Call. I'm Ajinkya Pandharkar from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussions will include certain forw ard-looking statements, which are predictions, projections and other estimates about future events. These estimates reflect management's current expectations of the future performance of the company.

Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Cipla does not undertake any obligation to publicly update any forward -looking statement, w hether as a result of new confirmations, future events or otherwise. I hope you received the investor presentation that we have posted on our website.

I would like to request Umang to take over.

Umang Vohra: Thank you, Ajinkya, and good evening to everyone. Thank you for joining us for our fourth quarter earnings call for financial year 2024. In FY '24, we recorded our highest ever revenue and EBITDA, including major milestones across our flagship businesses o f One -India, North America and South Africa. Our One -India revenue reached the threshold of INR10,000 crores, North America crossed $900 million and South Africa reached the top spot in Prescription business in the country.

To make this journey sustainable, we are continuing our investments across the complex pipeline, the CapEx, the big brands and the operations. I'm pleased to share that we finished this fiscal with significant progress in our top priorities. Our first priority, we continued market -leading growth in our focus markets. Our One -India bu siness posted a healthy growth of 10% for this year, propelled by traction in the Branded Prescription and Trade Generics, while Consumer Health was impacted by seasonally slower market.

Our Branded Prescription business continued to outpace the market growth in this quarter with Cipla growing 100 basis points ahead of the market as per IQVIA Q4 FY '24. This performance was largely backed by respiratory and cardiac therapies, which grew 10 % each, respectively. Chronic therapies now have a share of 61% in the portfolio, higher by almost 100 basis points year-on-year and grew at 10% year -on-year versus IQVIA MAT March '24.

To improve our offerings, we were adding a niche set of innovative products like inhaled insulin, plazomicin, et cetera in our portfolio. We have a pipeline of similar assets which are currently under various stages of development.

In this fiscal, our Trade Generics recorded a double -digit year -on-year growth, further consolidating its leadership position in the market. Strong execution in key therapies, deepening distribution network in Tier 2 -6 cities and 40 -plus new launches as we ll as technological interventions were the key drivers for the growth this year.

With a view to consolidate our distribution channel, we recently changed our model to increase the direct touch points, which will help us with improved trade visibility and will position us closer to the market. We are confident that this change will help us unlock the immense potential in the Trade Generi

cs market in India. The consumer health franchise was flat year -on-year in a year adversely impacted by seasonality while operating profitability continues to be sustainable. Recent improvement in the de mand cycle and inorganic investments will help this business scale up further in the upcoming fiscal.

In North America, we reported an all -time high annual revenue of $906 million, which was 24% growing over the previous year. The performance was led by traction in differentiated portfolio and sustained demand for the base business. In Lanreotide, we have scaled the product to achieve

a market share of 20.8% as per IQVIA Feb '24, which itself is a benchmark in the 505 (b)(2) market.
In Abuterol , our market share was in the range of 12% to 13% at the end of the year. We have a strategy in place to improve this market share by a few more percentage points. The market share has already increased to 15.5% as per the prescription data for April '24. Overall, we continue to be one of the fastest -growing among the top 5 companies. Rec ently, we achieved a leadership position in the pharma prescription for the South Africa market as per IQVIA MAT March '24.
Here, again, we recorded 11.2% year -on-year growth in secondary versus a market growth of 2.1% as per IQVIA MAT March '24.
In OTC, we have fastest growth amongst the top 5 players in the market and aspire to be ranked #2 in the near future. Our second priority has been about investing in the future organically and inorganically. Our organic investments have been focused toward s investing in R&D, primarily for our U.S. markets. In Respiratory, we have filed 5 assets, including Symbicort and generic QR with launches expected within 3 years. Further, we are targeting to file 2 respiratory assets with significant revenues in the n ext 12 to 15 months. In peptides and complex generics, 12 assets are already filed with most launches in 2 to 4 years.
As alluded earlier, we strive to launch 4 peptide assets in FY '25. We are also working on several 505 (b)(2) opportunities in complex ANDA products, which are currently under development and will be key to our future portfolio. For organic partnerships an d investments, we have been very mindful of the choices to allocate capital. Earlier this year, we invested in Actor Pharma, which stands fully integrated as on date and is expected to help accelerate our South Africa OTC portfolio in FY '25.
Recently, we entered into a marketing and distribution partnership with Sanofi to expand the reach of CNS portfolio in India. In line with our focus to enhance our chronic portfolio. In Cipla Health,

we entered into a brand acquisition for the cosmetic and personal care business of Ivia Beaute Private Limited, which includes their flagship brand Astaberry to bolster our India OTC portfolio.
During the year, we disinvested our QCIL portfolio and focus on allocating our capital to other growth projects, while we continue to serve Africa through our Global Access business. In the past year, the U.S. FDA audited 3 of our facilities based in the U .S. and issued either a VAI or 0483 observations. Our new facility in China, which has capabilities in manufacturing respules for local markets as well as the U.S. also cleared the U.S. FDA audit with 0483 observations. We expect to start supplies of the respules to U.S. from China a strong amount in the second half of FY '25.
Meanwhile, a Goa Unit 5 unit cleared GP audit by the MHRA U.K. earlier this year.
Recently, 2 of us the Patalganga and Kurkumbh also underwent the U.S. FDA audit. The Patalganga facility was issued with six 483 observations and the Kurkumbh audit ended with 1 observation. We await the official classification for both the sites.
In Goa, we have now finished remediation equities and are ready for the U.S. FDA while at indoor, we are focusing on getting the plant remedia

ted. I would now like to invite Ashish Adukia to
present the financial and operational performance.
Ashish Adukia: Thank you, Umang. I would like to now present key financial highlights for the quarter and financial year 2024. To clarify, the numbers are adjusted for QCIL disinvestment, which was completed earlier this year. We are pleased to report our quarterly reven ue of INR6,163 crores with a healthy Y -o-Y growth of 10% driven by our focused markets. As a result of this quarter, we ended the year at INR25,455 crores with revenue growing 14% Y -o-Y. The EBITDA margin for the quarter stood at 21.4% versu s last year of 20.45%, almost 100 basis points improvement. And for the year, the EBITDA margin was 24.5% as against last year of 22.2%, again, 200 basis points beat.
Gross margin after material costs stood at 66.7% for the quarter, which is 192 basis points over last year. The gross margin for the year is at 66% higher by 200 basis points Y -o-Y. Expansion and profitability is largely due to favorable mix, calibrated pr ice actions across branded and generic portfolio and impact of easing cost inflation. Total expenses for the quarter include employee cost and other expenses, which stood at INR2,797 crores, higher by 6.7% on sequential basis.
Annually, the expense were INR10,572 crores, higher by 13% Y -o-Y. R&D investments for the quarter are at INR444 crores or 7.2% of revenue against our yearly average of 6% to 7%, driven by product, filing costs and developmental efforts higher in the quarter by 19% versus last year.
Overall for the year, the R&D investment stood at INR1,571 crores or at 6.2% of the revenue.
Profit after tax for the quarter is at INR939 crores at 15% of sales, ETR at 25.8%. Full year profit after tax stands at INR4,106 crore s at 16% of sales and ETR at 27.1%. Our capital investments for the year were INR1,315 crores, out of which 70% was invested towards growth and improving our

capacities and capabilities while the balance was deployed towards maintenance and sustainability. Free cash generation and operating efficiencies has resulted in a healthy cash position, as at the end of the year, the gross debt on our balance sheet is INR559 crores, which also constitutes the

lease liabilities and working capital facilities. Cash equivalent balance as on the date stands at INR8,267 crores.

Looking forward, our key focus areas for FY '25 will be growth for One -India led by Rx, where our aspiration continues to grow higher than IPM backed by chronic portfolio. Efforts in Trade Generics will be channelized towards smooth transitioning to the new operating model for a long - term benefit. This may have an impact for a quarter, but over the year, we hope to recover.

Cipla Health should be backed by -- on its growth trajectory after a difficult year impacted by seasonally slower demand. In North America, the aspiration will be to grow our top line, Y -o-Y, primarily backed by commercial execution of existing portfolio a nd new launches. We remain focused on resolution of U.S. FDA observations, derisking our product launches. We would continue to explore inorganic partnerships and acquisitions. Growth in South Africa supported by private and select tender business with pr iority on margin improvement.

In EMEU, the top priority is to improve top line while margins are maintained at a sustainable level. ROIC continues to be very healthy at around 31% for the last year. We aim to deploy INR1,500 crores in capital investments to enhance our manufacturing capability and improve sustainability.

EBITDA margin for the full year is expected to be up 200 basis points over last year, which should result in the range of about 24.5% to 25.5% to EBITDA margin. I'd like to thank you for your attention and would request the moderator to open for the questi ons.

Moderator: The first question is from the li

ne of Saion Mukherjee from Nomura.

Saion Mukherjee: Sir, can you explain the dynamics in the Trade Generics segment. You talked about some restructuring on the channel? What exactly is that? And what's the impact you expect in the first quarter here? And secondly, what's the total contribution to the One -India number from the Trade Generics and given that many players are focusing on that in this segment, what's the -- if you can comment on the dynamics you're holding here.

Ashish Adukia: Sure, we are on Trade Generic, okay, the model change that we're talking about is that we used to earlier have a sole CFA agent, which used to earn the commission and they used to handle the collections as well as inventory, et cetera. And now what we have done is that, that converts into only a marketing agent, okay? So it will only be a commission, and we'll directly deal with the stockist underlying that sole agent.

So we will have direct connect with the stockist now. Now this requires a little bit of administrative changes, et cetera due to which there can be some hiccups in the first quarter as we transition with the Direct Connect. But over a period of time, like I said, it will ease out to normal growth. On the second question, this split, we usually -- we don't give that split. It's the same split as both have grown trade carriers slightly higher than the Rx market. So the split is broadly same as it has been in the previous year.

Umang Vohra: Yes. Maybe I can add, Ashish, just a couple of points. So Saion, the attempt is to move closer to the trade in generic. We'd like to actually consolidate distribution across our Rx and Gx, and we think that by us taking the operation over, we will be able to make closer to trade and that's the change that's happening in Gx.

I think that your question is how much is it going to be an issue in the quarter. It's not significant enough for us to get concerned, right now. There might be some impact as and inventories get reshaped, but not significant for us to be worried about. I think on your next question, just very quickly on the generics business is also a branded business. You have to fundamentally understand this. medicines don't sell as paid generics as Gx, Rx, they sell as still branded GX. And I think the dynamics of that business are still highly dependent on the brands you sell.

So as long as there's brand saliency, competition may impact you, but our thesis of big brands going bigger continues to shape the trajectory of that business.

Moderator: The next question is from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir, my first question is on your inorganic investments. So while you get the door open and you

want to be judicious about it, few years back we have made some forays in semi -specialty products like IV tramadol, prednisone. So while I understand it didn't work out, are you still keeping your options open? And if so, perhaps you would like to maybe tell us which kind of assets you would be interested in and the amount that you'll be comfortable investing?
Umang Vohra: Ashish bhai, maybe you can answer that.
Ashish Adukia: Sure. See, I think with India, we are fairly comfortable with the growth, et cetera, that is available in the market. So we can make a large acquisition in India to make sure that in the white spaces, the therapies, et cetera, which is our focus areas wher e we're not a leadership position, we'll go ahead and we can make large acquisitions out there.
When it comes to U.S. portfolio, partnership or in -licensing, products, et cetera. There, I think it won't be a large acquisition, and it will be a lot focused on product where there is some differentiation available, either it could be supply constraint o r lower competition due to many reasons. I would be interested in such opportunities out there so that it has a longer

life in the
market. Umang, if you want to add, please go ahead, yes.
Umang Vohra: No, I think what you've covered is great. I think that's very elaborate. Thank you.
Kunal Randeria: Sure. And my second question, with so many players coming in Trade Generics in India, how do you see this market shaping up? Because at some point, it will cannibalize -- it had already started to cannibalize the branded market for the industry. So it's ju st your thoughts on how the market will shape up in the next 2 to 3 years?
Umang Vohra: Actually, I have a different view on this. And let me offer it. We don't see more than a 20% overlap between what sells in the Tier 2 to 6 cities in our generics business versus what sells in these cities

from our Rx or Prescription business. There is very little of the Prescription business that filters down to Tier 2 to 6 towns.
And therefore, we believe that the generic bus iness, as penetration of health care deepens, is only going to expand in volumes. It's not going to decrease. Having said that, and as I mentioned earlier to Saion, the business is still a branded business. And the salience and relevance of brands is very important. So the older the bran d and the more current of therapy, the business will continue to grow. And over the last 2 years or 3 years, we have been diversifying ourselves away from a pure chronic orientati on in this part of the business.
So we feel competition is good. It will drive definitely growth higher, but we don't see this business as cannibalizing the branded business in any way -- the Branded Prescription business in any way. That's number one. Number two, we think the market is b ig enough to drive further penetration through the competition activities; and three, businesses, which have been historically present and have large branded franchisees because that's essentially what the generic business is, are actually on a firmer gro und compared to some of the newer entrants.
Moderator: The next question is from the line of Nitesh Dutt from Burman Capital.
Nitesh Dutt: I have a question on the manufacturing strategy of our India business, both the Prescription and Trades and Generics side. So what percentage of the manufacturing is currently being done in -house and what percentage is outsourced and will you be maintainin g the same mix going forward? And second, also I want to understand if the -- for the outsourced portion, is that fragmented across a lot of suppliers or consolidated amongst a few top players?
Umang Vohra: So I'll try and give you an answer. I think the -- we have a larger share of the Prescription business manufacturers in Cipla facilities than the generic business. I think we have strategic partnerships with a lot of people, some of whom consolidate with u s. And typically, it's easier to consolidate manufacturing in sales in U.S. than it is in injectable facility than it is in dermatological facilities.
So I think we have a strategy of consolidating facilities here, but in -house facilities supp ly a much larger share of our Prescription business than the Generic business. But in -house facilities supply both businesses as of today.
Nitesh Dutt: So it's just possible to give any number on what percentage might be getting outsourced and what is getting manufactured in -house?
Umang Vohra: So I can give that to you. The only issue is that it varies quarter by quarter. And the reason for that is that it's seasonal. So when you see a huge amount of the respiratory season, most of that comes from in -house. When you see a season, which is more c hronic -heavy, again, a large portion of that comes from in -house. So I think it's difficult to give you a picture other than just perhaps say that a large share of our -- a larger share of our prescription business comes from in -house than the Generics.
Nitesh Dutt: Understood. And sir, fi

nally, the government has been placing a lot of emphasis on cracking down
upon some of the smaller CMOs, et cetera, and focusing on stricter implementation of schedule

and norms, et cetera. So can it impact our procurement strategy or contract manufacturing in any way? Consolidation or increasing the procurement cost?
Umang Vohra: No, it's a great question. I think by and large, the industry and the IPA is moving to facilities that have as a minimum WHO approval. So that's the first step that started happening. So if there's a facility that at least have WHO approval, it's going to be preferred. If it's got an approval, which is WHO plus Europe plus something else, then obviously, that's Gold standard. It starts getting closer to Gold standard. So that's 1 that most companies are now looking at and this will hopefully push the standard of manufacturing in the Indian diaspora.
The second is a more heightened oversight of quality, including release tests, et cetera, at these facilities, where most companies are now adding a lot of requirements and more spontaneous quality checks, including audits by -- including unannounced audit s by other respective companies.
So I think those are the 2 models that perhaps are immediately impacting the industry, but I think that's -- I'll leave it at that.
Moderator: The next question is from the line of Kanha Agarwal, who is an Individual Investor.
Kanha Agarwal: Sir, why is there an increase in the other expenses for the quarter versus Q3?
Umang Vohra: I'll request Ashish Bhai to answer.
Ashish Adukia: That has manufacturing cost, that has S ND, that has even CSR sitting out there. So it has many items out there. So R&D also is sitting there. So there's increase in R&D because of one of the filings also that we have made. So it's due to this combination of reasons that we have an increase in the cost out there.
Kanha Agarwal: We should subside in the next quarter?
Ashish Adukia: Yes, absolutely. It will -- so quarter -on-quarter, this can change. But if you look at the entire year, it is going to be in line with the sales growth, and we maintain the percentage that discipline is maintained.
Moderator: Next question is from the line of Damayanti Kerai from HSBC Securities and Capital Markets India Private Limited.
Damayanti Kerai: My first question is you mentioned in your presentation 12 assets were filed in peptides and complex generics, which would likely see launch during FY'25 to FY'27. So just want some more colour on like the market opportunity for some of these critical assets and whether these will be manufactured in -house or you'll be getting it done through CMO.
Ashish Adukia: Yes. So peptides -- all of our peptides is manufactured by our third -party partners. And on market opportunities, there are some of them that can be large opportunities like in case of our current portfolio, but there's a long tail as well.
Damayanti Kerai: Okay. So mix of some significant assets plus smaller assets here?

Ashish Adukia: Yes.
Damayanti Kerai: Just coming back to U.S., with $900 million of base now, you mentioned like you will sustain growth, but whether for that new launches like your Abraxane, et cetera, should come in? Or you believe current portfolio has significant headroom to sustain growth fro m this $900 million base even for FY '25?
Umang Vohra: I think we -- Go ahead, Ashish. Go ahead.
Okay. So yes, I think the -- we think the current portfolio has opportunity within the set of products because as we mentioned, we think Albuterol can be slightly higher in share. We think that Lanreotide can still increase its share. And so I think there is a fair amount we can build out of the current portfolio, but also from new tranches. I think the step function jumps in growth will com e more from new

launches. So we will have a very normalized growth rate from existing portfolio,
but the new launches will add the step functions to it. So both -- the answer would be both.
Damayanti Kerai: Okay. That's helpful. And my final question is any update on Goa plant from FDA side when they would likely come? And do you still expect Abraxane to potentially see launch in this fiscal year?
Umang Vohra: So the timing of Abraxane is going to depend on Goa inspection. We've earlier -- Goa is the earliest path for a launch. I think so -- that can happen earlier part of the year. There's a good chance for Abraxane to visit this in the later part of the year, maybe not. So it's all linked to the Goa inspection.
We think the Goa inspection from our last inspection, we will be completing roughly about 2 years

in July, August of this time frame. So that would -- around that time or beyond that is prob ably the time to expect reinspection.
Damayanti Kerai: Okay. So most likely in the first half of this fiscal, if FDA visits the unit, then there's a good chance of Abraxane will come this fiscal year.
Umang Vohra: Yes. I mean I would say that, but I think we -- please keep in mind that inspection needs to happen, then there is a 90 -day process post inspection for a company to respond and then the EIR comes and then the asset has to be approved. So you just factor th at time line, it's very sensitive to when the plant is audited.
Moderator: The next question is from the line of Surya Patra from PhillipCapital India Private Limited.
Surya Patra: My first question is about the potential business opportunities in the specialty areas. Earlier, we have already talked about biosimilar alliance and spending towards CAR -T kind of therapies, mRNA. So is there any update on that side or are we seeing any k ind of meaningful progress on those front as a growth driver for our future business?
Umang Vohra: Happy to answer on that and Ashish can add. So we are beginning to see -- to make choices on capital allocation in that side and it's not so much with the perspective of the next 1 to 2 years, but really the transition of medicine that's happening where bi ological sciences are perhaps becoming more and more relevant in the field of pharmaceuticals. So we are now in the process of setting up an mRNA lab in Germany. That process has started. We have recruited a few members of the team.

Biosimilar asset is now hopefully going to enter Phase I soon, which is an asset that is likely to launch around the 2030 time frame. And that's 1 asset that we are working on, and there are a few other. And on CAR -T, we are evaluating what we can do in th at space as well.
So this whole area, along with our investment in Stempeutics is the new area of science which will become relevant 5, 7 years later in the area of medicine. And I think we want Cipla to have a chance to be able to play a formidable role, just like it does in the chemistry side of the world, but also to play that role in the biology side of the world.
Surya Patra: My second question is on the, let's say, since it is the fourth quarter full year call that we are discussing. So can you give some sense Respiratory as a portfolio what would be its revenue share, let's say, for U.S. and for your Global business? And sinc e our developmental pipeline is also focused around it. So let's say, over the next 3 - to 5-year period, what is the revenue mix that you would like to have from this respiratory portfolio?
Ashish Adukia: See, overall, if you look at our Respiratory across global revenue, it should be somewhere around circa 30%. That's the kind of share that we have and in the U.S., it's the respules, it's Albuterol, these are the key products that we have, Arformoterol. These are the key products that we have in Respiratory and then, of course, we talked about Symbicort QR and some of the ot

her products
also that we are working on.
So Respiratory is certainly -- we are leaders out there. And the whole idea is to retain and grow that leadership in all the markets that -- where we are selling these products.
Surya Patra: Sir, just an update or a clarification rather, in terms of the Lanreotide, see, we have certainly seen a kind of study progression. But is there any risk that one should think about the pricing situation? Or is there any risk to the current pricing that yo u are having for Lanreotide?
Ashish Adukia: So it's a 2 -player, broadly a 2 -player market as we see it. So depending on the other players, the prices may vary. But we look at it as a total value that we have and the whole idea is to actually grow that value this year.
Surya Patra: Okay. On your permission, sir, just one clarification. So what is the update on the inhalation line that you are trying to set up in U.S., whether it has been set up already?
Ashish Adukia: Yes. No, that's underway. So like this was part of our derisking plan to actually set up these lines in our Fall River facility. So basically, our InvaGen facilities that we have across 2 locations. And one of them will be more focused on inhalation -- in the inhaler asse ts that we have, which we are filing for the approvals. This is part of the derisking, it's very much on track as we speak.
Surya Patra: Sure, sir.
Umang Vohra: Ashish, can I maybe just clarify a little bit more on that. So 2 lines, as Ashish mentioned, the first is in line for MDI, which -- where we have already taken reg batches for several assets, right? And the line has been approved by the FDA, and it's -- the plant has gone through an audit possibly 2

times already. The second is a new facility for DPI, which is summing up and where the --
equipment qualification is happening now, feasibility batches are being taken. That's for the DPI.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Firstly, sir, there has been some news flow about this GST relief coming through. Any thoughts on this?
Ashish Adukia: We have not got any specific GST incentive circular relevant to us.
Tushar Manudhane: Okay. Secondly, sir, just to know how much investment you would have done for your facility in China.
Ashish Adukia: About $40 million to $50 million, somewhere around that ZIP code. And it's got its approval now and both for the facility as well as for the product.
Tushar Manudhane: And how many more products you are going to file or awaiting approval from this side if you can give some more colour ?
Ashish Adukia: Sorry, your voice.
Umang Vohra: Let me take that. I'll take it. I think what he's asking is how many products you expect to file from the facility. I think this facility is only a respules facility. So our strategy is to -- there are fewer respule products than many other OSD products. W e will file respule products, which are basically steroids, but we would also be filing products. We are taking the same product to multiple geographies where we can service the demand.
Tushar Manudhane: I understand. Sir, given the cash continuity in the balance sheet and while the investment, let's say, in the new areas, let's say in biosimilars is relatively smaller, is there any thoughts or strategy in terms of adding new geographies per se, apart from India, North America, South Africa?
Ashish Adukia: So we don't have any -- we already operate in many countries. So we don't have any strategy to add a new geography. We will look at some of our key markets, growing market in international where we want to go deeper, and definitely, China would also featur e in that. Now we have a facility there. We're looking at growing that geography for ourselves more than what we are today. Other than that, there is no really active str

ategy to look at more geographies.
In terms of your question around capital allocation. We have stepped up the dividend by -- from INR8.5 per share to almost INR13 per share. And beyond that as well, I think the whole idea is to focus on some large growth opportunities, not just smaller investments, but large M&A growth opportunities that we have. So we have -- we are actively looking at many growth opportunities which should consume some of the capital that we have.
Tushar Manudhane: Understood. So just lastly, on the capital allocation point of view, let's say, next 2 to 3 years? How much do you intend to invest in the biosimilars both product development as well as, let's say, building the manufacturing capability?

Ashish Adukia: See, it's difficult to give out those numbers. We have already indicated that currently we're working on 1 global biosimilar asset. There are -- we have plans to add more. And as you may know, how much it takes to per asset in terms of development. So we -- it's difficult to give a number to it, but we always look at the new horizon growth to be core part of our strategy, which includes biosimilar specialty, CAR -T and what Umang had talked about shift from chemistry to biology.
Moderator: The next question is from the line of Amey from JM Financial.
Amey: Congratulations on a good set of numbers. I have first question on the EBITDA guidance, which was given in the opening remarks around 24.5% to 25.5%. Does the guidance include the higher sales of Revlimid in FY '25 or in FY '24? And the second question is on the Sanofi tie -up, which we have done for CNS products. If we can give more colour on this tie -up, are these complement -- are these products complementary to our portfolio? And also, what will the contract structure for these kind of products?
Ashish Adukia: So see, this is an overall EBITDA guidance that we're giving of 24.5% to 25.5% across all markets. And on your second question on Sanofi CNS portfolio, that's something that as per IQVIA is about INR250 crores of sales for us. And the whole idea of what we have been mentioning that therapies, which we have identified as our focused therapies, we would like to increase our share because that helps us in a longer term to not just gain share, but have be tter growth as well.
Amey: But when these contracts would be like royalty driven or you will be getting mark up? Like how would be the profitability for these kind of contracts?
Ashish Adukia: Sorry. So I have one correction.
Umang Vohra: Let me take that. Ashish, let me take that question, but complete your point.
Ashish Adukia: INR250 crores -- INR150 crores IQVIA MAT. Go ahead, Umang.
Umang Vohra: Yes. No. So these will be very typical to licensing arrangements that we have on other products. There's going to be not much difference in the terms here versus the other. But I think what it adds a strategic value to us is the ability to be present in a category of products where we believe that,

for example, we are very strong in epilepsy, and we aim to become stronger in neurology. And I think these are better products like this, which allow us to complete the offering in the CNS space.
Amey: Got it. But the Frisium is for epilepsy, right?
Umang Vohra: That's what I'm saying, so epilepsy and neurology. That's where we want to be in the CNS space. So for example, within the CNS space, at this point, we don't have either the portfolio or the muscle power to be -- to compete with others who have stronger portfolio s in the psychiatry space, for example, right? Or even in the Parkinson's space. But our portfolio is more present and allows us to compete in the space of epilepsy and possibly other conditions of neurology. So that's why this portfolio was important to u s in those categories.
Amey: Got it. And just one more follow -up on the first answer on the ov

erall guidance. The reason I'm asking because the incremental sales, if you assume the 10% kind of a growth next year, for that

kind of a margin, the incremental sales will be coming at around 30% plus EBITDA margin, 35% plus EBITDA margin. So it will lead a good amount of sales from high -margin products. So that's why I was asking whether the Revlimid increase in sales for you in this guidance or no?
Ashish Adukia: So we have certain cost measures also. There is overall focus on improvement of COGS as well as other costs as well that we'll focus on to try and achieve the margin that we have guided towards.
Umang Vohra: I think the answer will be yes. The answer will be yes. It is fairly comprehensive of what we think we can achieve based on various factors that are coming. I think one of the things that we are also guiding towards is a sharper investment in India and the field force. We will be expanding our field force in India. And I think the numbers that we've indicated to you are consummate number of that.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: US will have 2 more years of reasonable Revlimid contribution with whatever growth plans we have in place, I mean, how do you see a potential F Y'27 be? Do we have enough levers in the business to grow beyond whatever we do in FY'25, FY'26 and FY'27 on top of that?
Umang Vohra: Yes. Maybe I could go first and then Ashish can comment. Look, I think while we have Revlimid in our numbers today, we are also constrained by the inability to launch several products from our facilities due to their citation. And some of these products ar e fairly -- can be fairly material to the trajectory of this -- of our company. So I think that's the first thing that we should just keep in mind that as some of these facilities become citation free, there will be an opportunity to launch th ose portfolios.
Second, as Ashish mentioned, we're also preparing for a post Revlimid scenario. It is not just pipeline and portfolio, but also a fair and significant amount of effort for the organization on the cost front and that exercise has started.
The third aspect is we continue to see robust growth in India, and a large portion of that growth hopefully will stay and continue to stay profitable as we expand into the interiors. So we are seeing growth coming from there. We are seeing growth coming fr om our emerging markets and new franchise, which has historically been flat. And we see a pipeline that will support Revlimid going away. Some of which is pending just inspections, some of which is actively under review along with our cost program. So tha t's how we look at our business transformation.
Nitin Agarwal: And just another one, you mentioned about in your previous call, a largish launch coming through in Q1 on a peptide. I mean, are those -- is there -- those plans still on track for that launch?
Umang Vohra: Yes.
Ashish Adukia: Yes.
Nitin Agarwal: And if I can, last one, you did mention a little bit in your comments about emerging markets in Europe. I mean, relative to peers, I mean, this has been a relatively underperforming segments for

us. How do you see -- is there anything that we are looking to do to incrementally move up the momentum here? And where do you see these 2 segments really moving forward?
Umang Vohra: So the problem with emerging markets over the past 3 to 4 years has been Cipla's presence in a lot of geographies, which got impacted by the economic environment in the world. Where we are today is that we believe most of these have bottomed out. And we se e that this is a very good base to possibly show growth now going forward. Also, our pipeline in Europe should hopefully unlock. We've been building that over the past 2 to 3 years. And so if you add th

ose 2 together, while we
are not guiding to say that the business is going to triple or double or that's not where we are going,
but I think we should hopefully be able to see a respectable double -digit growth in this segment.
Moderator: Ladies and gentlemen, we'll take the last 2 questions. The next question is from the line of Kunal Dhamesha from Macquarie Capital.
Kunal Dhamesha: So the first one on the revenue growth has been put out. Have I missed something as to what our expectations are in terms of revenue growth for FY '24?
Ashish Adukia: So we do not give revenue growth guidance, but certainly, for our core markets of India, U.S. as well as South Africa, and then especially India, South Africa because that's actively tracked in
IQVIA, we would like to grow faster than the market and we are guiding towards that.
Kunal Dhamesha: Okay. And in terms of the R&D expenses for the next year, how do you expect to trend? I think this year was 6.2%.
Ashish Adukia: So it should be in the range of 6% to 7%. We continue with that range.
Kunal Dhamesha: Okay. And then if I may, the last one on the -- when you say this 24% and up to 25.5%, would it be contingent on Goa plant clearance, EBITDA margin increment?
Ashish Adukia: No, no, this is not contingent on Goa plant clearance.
Kunal Dhamesha: That should provide an upside if it happens. Right?
Ashish Adukia: So yes, certainly, there could be some of them. But we..
Umang Vohra: It depends on the timing of the inspection, right, completely? Because if the timing of the
inspection is later in the year, we are unlikely to receive any impact out of this. If it's slightly earlier
in the year, again, keep in mind the 90 -day process pos t inspection and then the file movements,
right? So you could actually say that after the audit, it will still take about 3 to 6 months for assets
to start getting clear. So it completely depends on the timing of the audit. But as of now, we'v e
assumed that this only will come in the later half of the year. The asset progression will start only
in the later half of the year.
Kunal Dhamesha: Sure. And the last one on the generic Advair filing. So between Imdur and the new line that you have put up in U.S., which in your view would be faster and when are we putting that launch into
our future framework?

Umang Vohra: So I think we are hoping that the batches in the new site can happen -- can start since we are already at the feasibility stage. And I think the timing will start from there.
Kunal Dhamesha: Okay. And when are you putting it as a broad range.
Umang Vohra: I'm sorry?
Kunal Dhamesha: In terms of launches within the next 3 years, where it will be, it will be in the third year, second year?
Umang Vohra: Well, I think we have a good shot at launching it towards the end of this year for sure, for sure,
fiscal year for sure. I think that we have a good confidence of doing , but it depends on the line.
Moderator: The last question is from the line of Alankar Garude from Kotak Institutional Equities.
Alankar Garude: Sir, when you talk about increasing share in Albuterol and Lanreotide in FY '25. Are you factoring in incremental competition in both these products?
Ashish Adukia: Yes, like whatever new players are likely to come in, we are cognizant of that. And with that, we are aiming to increase our market share.
Alankar Garude: And in both these products, right?
Ashish Adukia: Yes. So albuterol, we've already, in April, seen some growth like we have suggested from 12% to 13%, we are at about 15%, and we see that trend of going up continuing.
Alankar Garude: No, I meant, I mean in terms of facing incremental competition that can be expected in both the products, right?
Ashish Adukia: Albuterol has got all your competition already in the market, so we don't have any incremental competition there.
A

lankar Garude: Understood. Understood. And maybe a second question there, Ashish, I mean, linked to the inhalation portfolio. Now with innovators lowering prices for out of patient -- out-of-pocket
patients starting June, is there a risk to generic pricing in both Albuterol and maybe Advair later
on? And conversely, I mean if there is a possibility of lower rebates, can that actually lead to higher
generic share for some of these inhalers?
Ashish Adukia: So in case of Advair, we've already seen the market over a period of time to have come down, besides, so I don't think it will go down further. And Umang, you may add if you have any
perspective.
Umang Vohra: No, actually, the other trend may start. If the rebating is lower, then actually the generic share would go up. So it could go either way. It's not necessarily that the generic is today in a category
like Advair still only 50% or 60% of the market with 2 o r 3 players already, right? So we think
there is volume play there. On Albuterol, I'm not sure we are looking at significantly increased

competition, at least in the category that we are playing in.

Alankar Garude: That's helpful. Maybe one last question with your permission. So you have been speaking about pursuing in -licensing opportunities within GLP -1 in India. Now considering that there would be many more companies interested in such tie -ups what would be Cipla' s USPs here? I mean in your picture to these innovators, what would be the point for you to highlight?
Ashish Adukia: So we have excellent in -licensing partnerships already and built over a period of time and that relationship will definitely give us, hopefully, an edge over others. And we are a large player in the country. And at the same time, we are evaluating from our side all possible options, our own partnerships, et cetera, because it's a large opportunity overall that we would like to play in India.
Moderator: Ladies and gentlemen, we would take that as a last question. I would now like to turn the conference over to Mr. Ajinkya Pandharkar for closing comments.
Ajinkya Pandharkar: Thank you, Sagar. I thank you all for joining this call. If you have any further queries or questions, please reach out to investor.relations@cipla.com. I wish you all a very happy weekend.
Moderator: On behalf of Cipla Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 41916000 F +91 22 41916120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r L24239MH1935PLC002380

29th July, 2024

(1) BSE Ltd
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Phiroze Jeejeebhoy Towers
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(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q1 FY25 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 1 FY25 earnings conference call dated 26th July, 2024. The transcript is also available on the Company's website i.e., https://www.cipla.com/sites/default/files/earnings_call_transcript_q1_fy25.pdf

Kindly take the above information on record.

Thank ing you,
Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Chirag Hotchandani

"Cipla Limited
Q1 FY '25 Earnings Conference Call"
July 26, 2024

MANAGEMENT : M R. UMANG VOHRA – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – CIPLA
LIMITED
M R. ASHISH ADUKIA – GLOBAL CHIEF FINANCIAL
OFFICER – CIPLA LIMITED
M S. DIKSHA MAHESHWARI – INVESTOR RELATIONS
TEAM – CIPLA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Cipla Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an ope rator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Diksha Maheshwari from Cipla Limited. Thank you, and over to you, ma'am.

Diksha Maheshwari: Thank you, Yusuf. Good afternoon, and a very warm welcome to Cipla's Q1 FY '25 Earnings Call. I'm Diksha Maheshwari from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expr essed or implied. Cipla does not undertake any obligation to publicly update any forward-looking statements, whether as a result of new conformation, future events or otherwise. I hope you have received the investor presentation that we have posted on our website. I would like to request Ashish to take over.

Ashish Adukia: Thank you, Diksha, and good afternoon to all. Just -- Umang should be joining shortly. So in the meantime, I'll just start off. Let me just touch upon some of the highlights of the quarter before I get into the details. Our branded prescription business grew by 10% year-on-year, over a high base of last year with chronic share, further improving by 106 basis points year-on-year to about 61.5% as per IQVIA MAT June '24. The transition of the India trade generic business into a new distribution model is fully complete, and it got completed towards the e nd of quarter 1. The business is already back on its trajectory growth in quarter 2.

North America reached all-time high quarterly revenue of $250 million. We also launched the generic version of Lanreotide injection during this quarter. South Africa prescription business continued to outpace market growth, thus consolidating its number one position as per IQVIA MAT May 24. From our recent inspections at Pata lganga and Kurkumbh facilities, the U.S. FDA has classified them as VAI. This further builds on our past inspections at our overseas facilities of InvaGen and China.

I'd like to cover the performance in a little bit more detail now, starting with updates on our performance in key markets. India branded pres cription business grew at 10%, like I said, Adjusting for our GX model change, if you had assumed a normalized growth rate of trade generic, the quarter 1 growth of One-India would be close to about 9% versus a reported figure of about 5% Y-o-Y. We continue to outpace market growth in key chronic therapies. Respiratory grew by 9%. Growth for cardiac was at 11%, while urology recorded a growth of 15%.

Supported by improvement in chronic mix, we have been able to breach the revenue threshold of INR12,000 crores in the IPM IQVIA MAT June '24. Performance of our big brands was one of the highlights for the quarter again. In branded prescription, we have added 2 new brands in

the category of revenue over INR100 crores. We now have a total of 24 brands in this category. As for IQVIA MAT June '24 forecast continues to lead IPM followed by our 20 brands in the IPM Top 300.

Through the transition of distribution model in the trade generic business, we have increased the direct touch points with the distributors. This helps us in deepening our c

hannel connect with the help of retail task force, which connects more than 1.5 lakh chemists. Furthermore, the business is expected to generate operational efficiencies due to delayering of distributors. We have completed this transition at the end of Q1 FY '25 ahead of our internal estimates. I would like to thank the business leadership as well as our partners for smooth completion of this process.

While business has been slow in this quarter, we are already back on track to accelerate the journey through continuous expansion in offering and reach to further consolidate its leadership position in the market in upcoming quarters.

Our Consumer Health franchise posted a growth of 3% Y-o-Y due to high base and an exceptionally strong summer in the last year. Anchor brands of Nicotex, Omnigel, Cisplatin grew to leadership position in their respective segments. The business continues to look for opportunities to invest in products and channels to bolster its distribution network. The operating profitability remains consistent in the range of 15% to 16%, and we expect higher growth

quarters in the rest of the year.
In North America, we yet agai n achieved an all-time high quarte rly revenue of $250 million by
growing 13% over last year, supported by positive traction in our differentiated portfolio. In albuterol, we have captured or rather recaptured our gaining -- our market share by gaining it by
4% in this quarter. Our market share now stands at 17% as per IQVIA week ended 21st June
2024. In our 505(b)(2) asset of Lanreotide, we maintained our market share of 20% during the quarter. To enhance our Lanreotide franchise, we also launched a generic version, which is the
biggest peptide launches for FY '25. The product continues to witness strong demand signals in
the market.
In South Africa, we recorded strong double-digit growth of 19% Y-o-Y in local currency terms,
led by private market. In private market, our secondary growth was at a healthy 7.8% versus the
market growth of 1.7%. While our prescription business maintained its number one ranking
asked by IQVIA MAT May '24. This growth was propelled by uptick in key therapies, new
launches as well as significant growth in OTC portfolio.
A part -- a key part of our global wellness agenda, our South Africa OTC business demonstrated
a growth of 19% during the quarter. Our big brands have been a key success to our success in
this region with 8 brands with revenues over ZAR100 million. In addition to this, we have the
highest number of brands in top 10, top 50 and top 100 with the generics segment as per IQVIA MAT May’24. Our EMEU business delivered a healthy growth of 7% in USD terms with
accelerated growth in DTM segment, along with sustained overall margin.

The business has also added China as one of its key markets during the quarter. Resolution of
regulatory issues remains our to p priority. Our Goa facility rece ntly underwent reinspections by
U.S. FDA. The facility was issued six 483 observations. Official classification is awaited. And while at Indore, our focus remains on remediation and implementation of CAPA.
Coming to some of the key numbers. We reported a quarterly revenue of INR6,694 crores, with
a growth of 7%, driven by our core businesses of India, North America and South Africa. Our
EBITDA margins, excluding other income, stood at impressive 25.6% for the quarter, increasing
by 154 basis points. Our EBITDA improved by 30% Q-o-Q and 14% Y-o-Y. And all these numbers, let me clarify, is ex QCIL, both revenue growth that I talked about as well as EBITDA.
Calibrated pricing actions in core portfolio across branded and generic market, lower operating
costs and favorable forex led to improve operating profitability. Reported gross margin after
material costs stood at 67.2% for the quarter, which is 226 basis points above last year's figures, driven by overall mix change. Tota

l expenses for the quarter include employee costs and other
expenses, which stood at INR2,785 crores, which is in line with the revenue growth. Our R&D
expenses for the quarter are at INR353 crores at 5.3% of revenue, driven by product filing costs and development efforts, higher in the quarter by 1% versus last year.
The profit after tax for the quarter is at INR1,178 crores or 17.6% of sales with effective tax rate
at 27%. Our free cash flow generation and operating efficiency continues to drive healthy net
cash position. As at 30th June 2024, debt on our balance sheet is INR547 crores constituting
lease liability as well as working capital. Cash equivalent balance is touching close to about
INR9,000 crores.
Key focus areas and growth levers in the subseque nt quarters will include priority for One-India
would be to continue to grow ahead of market. In branded prescription, swift recovery from
momentary softness due to moderate change in trade generics while working on strengthening our growth levers for wellness portfolio, including ramping up the recent acquisition of
Astaberry. In North America, our focus would be on commercial execution, expediting the
launches from our U.S. facilities and maximizing value from our launches in peptide portfolio.
Derisking key launches for FY '25 continues to remain our key priority.
In South Africa, our focus state that margin expansion in EMU, our top priority is to maximize
top line with focus and deepening penetration in core markets with sustai ning the strong margin
trajectory. As guided, our EBITDA for the year is trending in the range of 24.5% to 25.5% and
ROIC is well over 30%.
I'd like to thank you and hand it over to the moderator for Q&A.
Moderator: Thank you very much. First quest ion is from the line of Tushar Manudhane from Motilal Oswal
Financial Service. Please go ahead.
Tushar Manudhane: Sir, just on the gross margin front, is it to do w ith relatively lower RM co st or largely to do with
the product. If you could explain that?

Ashish Adukia: Sure, sure. On gross margin, it's mainly the product mix. Quarter 1 of last year, we had some tender products in there from CGA and other mark ets, which were at a lower margin. So for a higher sales here, we have a better mix due to which the material cost is lower. It's mainly the factor of product mix.
Tushar Manudhane: Just a clarification here. So let's Revlimid share as a percentage on absolute basis, that was largely stable quarter-over-quarter or whether it has increased?
Ashish Adukia: So Revlimid has increased quarter-on-quarter by some small margin, yes.
Tushar Manudhane: Okay. And any thoughts on Abraxane post U.S. restriction on Goa site?
Umang Vohra: We don't -- the inspection we have answered the queries, and I think we hope to put remedial action, and we hope to hear so.
Tushar Manudhane: So the timeline as we have guided that didn't change as we stand?
Ashish Adukia: No, as of now, it's the same what we had talked about last time. So it's dependent on Goa. So when we hear back, we have responded to all the queries. So when we hear back, we'll have better clarity on the timeline.
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie Capital.
Kunal Dhamesha: First one, on the R&D expense. The R&D expense in this quarter seems to be quite subdued as compared to the last quarter. So do we expect the activity to pick up in the rest of the year and it is expected to be higher?
Umang Vohra: Yes. I think R&D activity will be higher. We will see a ramp-u p in projects. I think because some projects that finished end of last year an d early this year, that's the reason you are not seeing the uptick, but also remember that most of our clinical trials that happened last year are now over. And the current ones that are ongoing ar e not as extensive as the ones that we did earlier. So

we will see an uptick in the coming quarters.
Kunal Dhamesha: Sure. Can you suggest any range for this full year for the R&D expense?
Umang Vohra: We have always given a guidance of up to close -- max level for us would be about 6%, 6.5% of sales quarter-on-quarter, but you could take 5% to 6% as a good range for
Kunal Dhamesha: Sure. Perfect. And on Goa plant, have said that we'll share at the appropriate time. But what is the internal assessment? Are you confident that we'll get clearance without any inspection? Or do you think that there's the inspection requirement once we complete our remediation measure?
And are we currently employing any consultants -- third-party consultants for the plant?
Umang Vohra: Sorry. Sorry, I was speaking as we were on mute. My apologies. Yes. So on Goa, we have given various corrective and preventive actions. We have external consultants who are working with us who are experts in their field. In Goa, we've been working with those experts for 2 years, and an Indore for over a year. And th ey continue to be assisting us in our response and remedial

measures. I think the FDA will come to its conclusion by end of September. That's the time that we hope to hear from them further.
Kunal Dhamesha: Sure, sure. And then just on the U.S. product pipeline in terms of the 2 peptides that we have. What is the update there? Have we got the approval? Or are we waiting for the approval and the launch will be imminent post approval? And secondly, on generic Advair, what is the update in terms of filing from the Invagen plant?
Umang Vohra: So the Invagen filing, I think th e batches are in prog ress. We should be sh ortly filing from our Invagen site. And the update on the peptide products, yes, the moment we receive approval, we should be launching these peptides . But I believe that the real la unches will start only starting quarter 3, quarter 4 of this year, not before that.
Ashish Adukia: Yes. And to be more specific on Advair, we had -- we maintained quarter 4 kind of a launch and maybe at best half 1, we should be able to -- half 1 of calendar next year could be the potential launch period.
Moderator: Next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: As one clarification, this Advair time line which you have given, that's for launch or for filing from the InvaGen site, 1H next calendar year?
Ashish Adukia: No, Advair filing will -- so we will take batches now. The filing with the 6-month stability will happen probably closer to December or January.
Damayanti Kerai: Okay. So filing by end of this year or Jan and then like you will wait for the approval to come
Ashish Adukia: Yes. I would just say, before end of this year, we will be filing Advair.
Damayanti Kerai: Okay. That's helpful. My question -- first question is on U.S. business. So this 25 million delta, which you have seen quarter-on-quarter, was it more driven by the existing product pickup or Lanreotide generic played a big role there?
Umang Vohra: Two big products made the difference. Lanreotide the ANDA launch, the generic ANDA launch as well as the gain in albuterol market share. Those were the two big contributors here, and then there was, as Ashish mentioned, a marginal increase in Lenalidomide.
Umang Vohra: U.S. business quarterly run rate to be somewhere close to the $235 million to $240 million mark going forward. So we might have seen a little bit of th e Lanreotide end up billing in this quarter.

But on a sustainable basis, I think the sustainable run rate in the U.S. is $235 million to $240 million.
Damayanti Kerai: That's helpful. And my second question is on very strong gross margins, which you have explained earlier. So is this a sustainable rate? And on back of very strong performance in first quarter, do you have any plan to revise your EBITDA margin guidance for the full fiscal?
Umang Vohra: I don't think

we are doing anything on the EBITDA margin guidance, but I'll let Ashish clarify on the gross margin.

Ashish Adukia: No, on the gross margin, see, I think it's also dependent on the product mix. So as the sales from some of the markets, tender markets kick in, you'll see some margin dilution out there. So it depends on the product mix. And then, of course, when the respiratory quarter picks up at that time, margin will likely be similar levels.
Damayanti Kerai: So broadly, you expect to see similar margins in coming quarters. That should we understand?
Ashish Adukia: No, it can -- what I'm trying to say is that tender business will pick up in the next 3 quarters. So there will be dilution to overall gross margin in that sense. In Q3, when there's respiratory, at that time, they can be similar margin to Q1, but that's broadly what the trend would be.
Moderator: Next question is from the line of Surya Narayan Patra from PhillipCapital.
Surya Narayan Patra: Congratulations for the great set of numbers. Sir, my first question is on the generic Lanreotide what we have launched. So if you can just qualitatively can give some sense that how big this opportunity could be, the quarter end, what impact the branded Lanreotide would have seen because of this product? Because my understanding -- if you can just clarify that, understanding that the pricing of these two products would be meaningfully different. So is the generic version you see kind of a rapid progress in that inflation that I'm getting. So then what the impact to the branded version of the in how would one think progress progressively for this equation in the subsequent quarter?
Umang Vohra: Yes. I think -- so look, the -- and the ANDA product was launched see -- overall, if you look at it, we are about 20%, 22% share before the ANDA launch of the total market. The B2 has stabilized at this share. And now with the ANDA launch, I think the ANDA launch should hopefully add to this overall share. I think the ANDA also less like any other product, has the time to ramp up. It can't ramp up immediately.
We certainly have been able to -- it is less difficult to sell the ANDA comparatively compared to B2 product because the B2 product has to take share, it's fundamentally a product which is not substitutable to the brand. So we will ramp up. And obviously, these type of products also are dependent on supply. So like we had suggested a phased ramp -up on Lanreotide B2, we will also suggest -- we are also stating that there w ill be a gradual ramp-up for Lanreotide, ANDA as well.
Surya Narayan Patra: Okay. Sir, have you seen any change in the pres cription writing put in by the doctors because 2 products and the different pricing, of course, for the prescriber, the pricing will not matter, but -- any change in the prescription pattern?
Umang Vohra: See, there cannot be a prescription pattern change because the prescription pattern will still be around the Lanreotide prescriptions itself. So we're not seeing any pattern shift because even before the ANDA entered, there were 2 products in the market. And the ANDA is substitutable to one of them. So I think there's not going to be any pattern shift in prescription. Okay.
Surya Narayan Patra: And just on the domestic combination business, with the transition process. So what was the actual implication and impact that we would have seen in this quarter? Whether any further

continued impact that could be seen in the subsequent quarter? Or it is just a quarter of the transition -- transitioning quart er and hence, whatever impact that we are facing at the time?
Umang Vohra: I'll request Mr. Adukia to answer this, please.
Ashish Adukia: Thanks, See, the impact, whatever needed to be taken is there sitting in your quarter 1. So now towards the end of quarter 1 itself, by June, we've had some pickup

in the sales and normalization of sales. So I think we are back in our growth trajectory out there. I think this was a matter of also communicating and discussing with the channel partners on the change, et cetera. So there's always that this is a little bit of a disruption th at takes place. So that ha ppened only in the first couple of months in April and May.
Damayanti Kerai: Okay. So is it the nature in th e nature of inventory adjustment and post the trans ition we'll have a better predictability about the inventory in the channel and the profitability. How should we

think progressively?
Ashish Adukia: Yes. Absolutely, it gets us closer to our customer. So we'll definitely have a better inventory visibility and demand trend, we'll also start colle cting more direct data rather than through the partner that we had. So all this will help us in better predictability and better penetration. And on the other hand, right at the end, at the chemist level, we've also, like we 've talked about in the past, instituted a retail task force, which will also give us on-ground market information and we'll be able to promote the produc ts also directly at the chemist le vel. So this will give us better control over the channel and the data, yes.
Moderator: Next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Umang, just a follow-up on Lanreotide. The economi cs for supply is the same for the generic as well as the 505(b)(2) product, right? So -- and given the prescription pattern does not change, is there a risk that the generic cannibalizes on the 20%, 22% market share that we have with the 505(b)(2). Is that something we should be worried about? Or am I thinking this incorrectly?
Umang Vohra: In a market where Neha, supply is abundant, that could happen. But in a market where supply ramp-up is very slow, it's unli kely that, that will happen.
Neha Manpuria: And is this a strategy because we foresee generi c competition in Lanreoti de? So to some extent, shields us from other competitor launching a generic Lanr eotide, would that be correct me to think about this from a more slightly longer-term perspective?
Ashish Adukia: No, actually, the issue is the ability to get adequate amounts of both the B2 and the ANDA product in the market. That is the first thing which is driving whether -- how much we can sell of the ANDA on how much we can sell of the B2. The ANDA and the B2 both come from the same partner. So the capacity is shared and post-a pproval, you have to file certain supplements, et cetera, to get the capacity up.
So right now, it is dependent on that. But if we go back to the B2, the B2 was launched almost 2 years back, I'd like to believe. So it preceded the ANDA, and that was a product that got an approval earlier than the ANDA. So no, there is no conscious strategy of trying to keep the

market -- to create a B2 then launch an ANDA, and it's all dependent on what product was approved then.
Neha Manpuria: Understood. And my second question, sitting on close to $1 billion of cash. How should we think about capital allocation for, let's say, slightly more medium-term growth? Again, what would be your focus areas if you have to allocate this capital in your balance sheet?
Ashish Adukia: Sure. So we are all continuously looking at strategic opportunities both India as well as outside, and mainly India. So I think that scanning continues, and in branded generic space in India, we are very keen to grow our therapies where we don't have leadership. So we'll continue to look at both small as well as large opportunities.
Neha Manpuria: And outside of India, what areas would this be the usual OTC that you've done or some other -- are you open to even generic opportunities in the U.S.?
Ashish Adukia: Not generic opportunities in the U.S. But in U.S., we would possibly look at -- it can be sterile injectable fa

cilities, which we don't have, and it could be on the specialty side 505(b)(2) and in-licensing opportunities, those kind of things is what we would look at in the U.S.
Umang Vohra: So the U.S. will be more capability linked, whic h means that you come with the facility. The India piece will be more therapy and branded. We will also dedicate a little bit of our capital to innovation.
Neha Manpuria: Okay. And do we want to quantify this? And what areas we could probably look at? Do you have anything in your pipeline?
Umang Vohra: No. So for example, on innovation, we did the investment in Ethris. We would be happy to evaluate opportunities in other types of areas si milar to cell and gene th erapy, et cetera. But capability buys, it could be facili ty buys with some bu siness. And then brand buys is, of course, we -- our track record, unfortunately, is not as stellar as we had wanted it to be. But we are part of every process that runs in India in terms of the branded markets, et cetera. And wherever we find that there is going to be value out of the synergies we can bring, we will be bidding for those assets.
Ashish Adukia: And just to add to Mr. Vohra's comment, on the size, innovation, et cetera, it would always be a smaller sum because we played more in partners hip or option value. But -- and when it comes to acquisition in India, in branded generic, that can be sizable. So just to give you a relative size comparison because you asked that.
Moderator: Next question is from the line of Aman Goel from Axis Securities.
Ankush Mahajan: This is Ankush Mahajan. Sir, last quarter, we have seen, there is some data, that also the price erosion has increase drastically. So would you th row some light on the price erosion, how the things are in the market now for the January, especially in terms of price erosion?
Ashish Adukia: See, again, price erosion like we've been maintaining is dependent on -- so there can be a very

wide range of price erosion, if you look at prod uct by product. So on an average -- on a Y-o-Y

basis, we could be about roughly around 10% or so. On a Q-over-Q basis, it will be more mid
about 5%, 6%, somewhere around that kind of a range. But then again, it depends a lot on product
by product.
So some of our products in one of our categories that we've seen, few orals and very old products,
you've seen some larger erosions, which are more, again, contract-based, where new contract kicks in. But in most of the other, it's -- so at a portfolio level, it's about the number that I
mentioned. Going forward, I don't -- we don't think that it will be touching double digit.
Ankush Mahajan: Sir, in terms of Advair and Abraxane, I mean, we had at we are launching, what of the target
date, launching da te, launching time?
Ashish Adukia: It's conditional as we seek on Goa and of course, getting it righ t in the third-party facility. So
therefore, it is difficult to give a timeline to it, but if Goa clear, then it can be fairly quickly.
Bharat Sheth: I see. And we more have four more peptides in the pipe -- in the launch line pipe. So any view -
- on light on it sir?
Umang Vohra: Sorry, could you repeat?
Ashish Adukia: So it's 3 peptides that we're talking about this year. So there will be more likely to be in Q3, Q4
kind of a timeline. Unless Umang, do you want to add anything on this?
Tarang Agrawal: No, I think the 2 -- we are expecting to launch 2 by the end of the year and the other 2 will follow
in the -- 1 will follow the year after that, and there will be another 1 which will hopefully come in either '25 or '26. So I think that is the guid ance for the overall 4 peptides, of which 2 belong
possibly to related family of ours. So I think that is the guidance on the peptides products.
Saion Mukherjee: So 1 peptide that we already launched. So any light on it, sir?
Ashish Adukia: The one peptide that we launched is Lanreotide A

NDA.
Moderator: Next question is from the line of Bi no Pathiparampil from Elara Capital.
Bino Pathiparampil: Most questions answered. Just a couple of clarifications. Umang, in the next few months, we
probably will see one or even two more players entering the albuterol inhalation market. What
do you -- what are your thoughts around that? Do you think th ere could be another round of little
price erosion market share loss, et cetera?
Management: So it will depend on the category they enter in. So for example, if they enter in -- right now, I'd
like to believe that category that we are selling in is one of the lowest price categories on
albuterol. And the category is after that, which is -- the ProAir as well as the Ventolin, they will
be slightly more higher price than our category of So it depends on what categories they enter
in. And my guess is that it will depend on which specific categories they enter and what type of
price decrease will happen there.
But quite honestly, this is a market we've only seen increase. When we launched into this market
about 3 years back or 4 years back, the market size is about 58 million inhalers. We're now

seeing this market at almost close to 68 million to 70 million inhalers. So the market is expanding
significantly as well as -- and has continued to grow . So just those 2 or 3 things to keep in mind.
Bino Pathiparampil: Understood. Second question on domestic market. You had done a deal with Sanofi for the CMS
products. Is the full benefit of that reflected in Q1 revenues?
Ashish Adukia: Yes. I think Q1 has the benefit of the Sanofi transaction, or whether the full amount as what we
had expected has come may not have been the full amount, but yes, it is in the numbers of Q1.
Moderator: Next question is from the line of Aman Vij from Investment Management.
Aman Vij: Sir, my first question is on the site portfolio, okay? So you mentioned one, we have launched
two more in H2. So one and then one you delayed. Is my understanding correct, out of the four?
Umang Vohra: No, no, it's not delayed. It's planned for launch later. Not all of them wi ll launch at the same
time. We have planned for launch later.
Aman Vij: Sure, sure. And this includes the osteoporosis product also?
Umang Vohra: Sorry, which one?
Aman Vij: Osteoporosis product.
Umang Vohra: So I see, I can't -- I'm not sure that we are public with our peptide categories and therapies. So I
can't comment on that specifically.
Aman Vij: Sure, sir. And just out of this, any of the GLP-1 products we are launching this year?
Umang Vohra: I don't believe that there will be a market where these products can be launched in this year.
That's just my opinion as of now. But I think you may see some launches next year, but I'm not sure the market will form for

this in the current year. And I'm assuming you're talking about the
domestic market.
Aman Vij: No, both, sir. So I was not talking about the leader side. So because that approval is coming
sooner. So we don't have any products for that for the
Ashish Adukia: Sorry, is your question specific to U.S.? Or is it specific to India?
Aman Vij: No, no. For outside India, sir?
Umang Vohra: Yes, yes. So yes. So when I meant GLP-1, I meant basically the new therapies of semi and
Tirzepetide. That was my answer was linked to th at with the formation of our market in India.
And my belief currently is that I don't believe that market will form this year in India. But on
the other peptides, yes, I mean, as we have guided to and 2 leading to 4 over a period will happen.
Again, I will not confirm whether it is an osteop orosis drug or a diabetes drug or a GLP-1.

Aman Vij: Second question is on the Lanreotide again. So -- on the generic side, sir, so we had -- we have
like 2 markets market share on the So can this also achieve similar market share? Or do y

ou
think this will remain a mu ch smaller product for us?
Umang Vohra: So I think it will depend completely on our supp ly ramp-up. As we said, there are two types of
-- the capacities are similar for both. And so as much as we can ramp up, we'll be able to do it. But we see a gradual ramp up,
I think the ANDA would be -- our general sense is the ANDA is
-- because it's a substitutable product, it is something that can -- that possibly can take more
share. But it is completely de pendent on the supply plan and the
Aman Vij: Sure. And any word on the competition, I believe there are 3 more ANDA filers. So when are
you expecting the competition to come in for the generic version?
Umang Vohra: We are not -- we don't have much uptick on that as yet.
Moderator: Next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: On the U.S. business, the 2 peptides that you talked about for this year and the 1 that you talked
to subsequent ones. From a size and scale perspective, are they kind of similar to what the Lanreotide opportunity for us?
Umang Vohra: No, I think Lanreotide is a more significant opportunity dependent, of course, on the supply. But
in terms of quantum of size, of course, and Lanreotide is far higher.
Nitin Agarwal: Okay. Secondly, and on Lenalidomide is it fair to assume that this year and next year, we'll have
volume -- higher volume shares versus what you've sold in '24?
Tarang Agrawal: I think may be very marginally higher. That's what -- I don't know about next year, but I can
only tell you about this ye ar is margin ally high.
Nitin Agarwal: And if I just take a look forward, we've got a hi gh base of Lanreotide this year with both our
version being there maybe as well as Lena is there. On this base, does that base start to become
a challenge for us to grow at some point in time? I mean, how do you see that, say, a couple of
years out? How do we grow on this -- on the base of where a significant proportion is being contributed by these B2 products?
Umang Vohra: I think that's a good question and observation. What typically will happen is base, whether it is
linked with 1 product or 2 products or if overall, is a very difficult number in the U.S. market
because what happens is that the price erosion begins to impact your growth. So I think your question is more on the high
base. I think that is a correct observation, but I'd also say at the
same time that we have nanopaclitaxel, we have Advair, we have a couple of other respiratory products that we also hope to
launch, which could be meaningful opportunities as well as soon
as we can launch them. So it really depends on how that progression happens in -- for us vis-a-
vis what is going to go off.
Moderator: Next question is from the line of Kunal Dhamesha from Macquarie Capital.

Kunal Dhamesha: On Lanreotide, my understanding was that the economics will be slightly better than ANDA
versus products? Is it a good assumption? Or would it be very similar to what we have in
Umang Vohra: Actually, see, we are not -- the economics should roughly be the same. I mean there would be -
- because the time window in which the products are launched is different, right? And pricing
gets reset quarterly or 6 monthly or whatever, depending on the type of product you have. So I don't think the economics are
that vague, that's hugely different. But I'll request Ashish if he can
give a comment on this.
Ashish Adukia: See, they are both from same partner and partnered products. So the contracts are slightly
different in terms of share, et ce tera, that you have of -- with the partner, the share that we have.
So on that basis, it is different, the economics. But then that 's on the cost side. But like Umang
ji said, on the pricing side, also there can be some difference.
Kunal Dhamesha: Sure, sure. And on the generic side, there is a sl ight difference in terms of indication

versus the
innovative product, right? So will it have any impact in terms of what we call a skinny label
generic wherein you have to be kind of very sure that it doesn't end up with that indication,
which is not covered in our label?
Umang Vohra: Is your question on Lanreotide?
Kunal Dhamesha: Lanreotide, yes.
Umang Vohra: Yes. So there is -- see, the label itself will clas sify whatever the current product can be used for,
and what it can't deals. So I think that is already taken into account by people who are using the
product.
Moderator: Next question is from the line of Saha from Quantum Mutual Fund.
Krishnendu Saha: Most of the questions have been answered. Just when you say supply for Lanreotide. So am I to
assume that there is a supply constraint, there's manufacturing capacity with your partners for
Lanreotide? Is it correct to say?
Umang Vohra: Yes, I think you could make that assumption. I think the supplies will ramp up slowly. And they
are not -- and this is approximately 14,000 vials per month market now. So supplies will ramp
up slowly.
Krishnendu Saha: So right now we are manufacturi ng constraint, which slowly will ra mp up. That's the way -- and
we're creating a couple of more in the basket. Just for my understanding, if we have a couple of more peptides, does it help in
the peptide basket, does it help in any way to marketing or desire.
I don't track in details. But just thinking, does it really help because are different? Does it help?
Umang Vohra: No. See, you mean help -- you mean the help from a market penetration perspective, right?
Krishnendu Saha: Yes, obviously at profitability. And does it make sense, does it give you leverage we have 4, 5,
6 peptides in the basket to they're using different therapies and on and so forth. Does it help?

Umang Vohra: So it would help provided your selling into the same channel in the market. So for example,
Lanreotide is to clinics and hospitals, some of the other peptides may be retail products. as well,
maybe more doctor clinics. Maybe -- and therefore, if we were to sell more, let's say, more oncology 505(b)2s that go to
clinics and hospita ls or we sell more ANDA products that go to
more clinics and hosp itals, definitely, a basket would help in that area. But if it is a dispersed
collection of therapies, then may not.
Krishnendu Saha: Yes. It's just a way of doing business. Just on the Indian front, we are acquired, I suppose -- has
the acquisition gone through? And do we in the business? What is the run rate? Any thoughts on -- any number you are
trying?
Umang Vohra: Sorry, on what product?
Krishnendu Saha: The you acquired a cosmetic and personal care business, business, I suppose.
Ashish Adukia: No, that's basically CHL's acquisition on the -- so this is more cosmetic kind of business, beauty
business, sunscreens, skin care the et cetera. It 's a small business focused on regionally focused
right now. I think the whole idea is to leverage the brand, leverage their grocers network to find
synergies and to actually grow that business and take it to other regions as well. So right now,
it's just very, very early. So it's -- over a period of time, you'll see scale and synergy there.
Krishnendu Saha: It is very small. And the last question on the raw material cost price, do you see just -- I know
the product mix is better off, that's why the gross margins are better. But you see the material
cost being lower compared to last year? Is it the same?
Ashish Adukia: So material cost has been lower last year as well. It's more a factor of, like I said, product mix.
So there is -- we have not seen any elevation or major reduction in raw material or packing
materials. Freight has slightly increased. That's about it.
Moderator: Next question is from the line of Sumit Gupta from Centrum.
Sumit Gupta: I have two questions. First is on the domestic side. So what is the current MR

base? And how
do you -- so do you plan to expand the MR base?
Ashish Adukia: Yes. So we are at about -- roughly about 8,500 now. We increased in quarter 1 '25 -- we are
close to about 10,000 after the -- the increase will be close to 10,000 people. And look, our strategy is to gradually increase
this wherever we see pockets of growth.
Sumit Gupta: 1 Okay. And sir, on the U.S. side, so on the overall capex side, so how much cap do you plan to
invest over the next 2 to 3 years?
Umang Vohra: I'll request Mr. Adukia to please answer the question.
Ashish Adukia: Thanks, Mr Vohra. See, our run rate has been about INR1,000 crores to INR1,200 crores. So I
think that would be -- that will go up slightly because we're looking at -- see, we've had some
capex in InvaGen in the U.S. now for the derisking. Then we're looking at some more strategic
capex in India, mainly on the resp iratory side. So all this will actually take it to possibly about
1,500- 1,800, somewhere around that kind of a range.

Sumit Gupta: Okay. And Major, how much would be growth capex?
Ashish Adukia: Most of it would be growth. So almost 70% would be about growth capex and 30% is more compliance-related, e nvironment-related.
Sumit Gupta: Okay. So this incremental 5 billion to 7 billi on, which is going towards the capex, so this majority will be in U.S. or it would be 50-50, U.S. India?
Ashish Adukia: No, no, no. Mostly, it will be in India. Capex is mostly in India. U.S. capex is not very large. Because that is just adding a few lines, right?
Moderator: Ladies and gentlemen, that was the last questi on for today. I would now like to hand the conference over to Ms. Maheshwari for the closing comments.
Diksha Maheshwari: Thank you, everyone, for joining us. If you have any further questions, please write it to investor.relations@cipla.com. Happy weekend.
Moderator: Thank you. On behalf of Cipla Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2024

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 41916000 F +91 22 41916120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r L24239MH1935PLC002380

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L-1840 Luxembourg

Sub: Q2 FY25 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company’s Q 2 FY25 earnings conference call dated 29th October, 2024. The transcript is also available on the Company’s website i.e., https://www.cipla.com/sites/default/files/earnings_call_transcript_q2_fy25.pdf

Kindly take the above information on record.

Thank ing you,
Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Chirag Hotchandani

“Cipla Limited Q2 FY25 Earnings Conference Call ”

October 29, 202 4

MANAGEMENT : MR. UMANG VOHRA – MD & GLOBAL CEO, CIPLA
LIMITED
MR. ASHISH ADUKIA – CFO, CIPLA LIMITED
MS. DIKSHA MAHESHWARI – INVESTOR RELATIONS ,
CIPLA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Cipla Limited Q 2 FY 25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Diksha Maheshwari from the Lead Investor Relations. Thank you and over to you ma'am.
Diksha Maheshwari: Thank you, Rayo. Good afternoon and a very warm welcome to Cipla’s Q2 FY 25 earnings call. I am Diksha Maheshwari from the Investor Relations team at Cipla . Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements which are predictions, projections, or other estimates about future events. These estimates reflect management's current expectations o f the future performance of the company. Please note that these estimates involve several risks and uncertainties that would cause our actual results to differ materially from what is expressed or implied. Cipla does not undertake any obligation to publicly update any forward -looking statement, whether as a result of new confirmations, future events, or otherwise. I hope you have received the investor Presentation that we have posted on our website. I would like to request Umang to take them on .
Umang Vohra: Thank you, Diksha. Good afternoon to all of you. We appreciate you joining us today for our 2nd Quarter Earnings Call .
This quarter, we yet again delivered a strong profitability. The reported EBITDA margin stood at 26.7% for the quarter , which is our highest ever quarterly EBITDA margin that's reported by Cipla. Growth in EBITDA outpaced topline growth of 9% year -on-year, which was primarily impacted due to a change seasonal pattern.
I would now like to start with the updates on our key markets :
Our One India business witnessed a slow seasonal growth, especially in the acute category. In anti-infectives, one of our largest therapies, the market growth came at 4.9% as against the last year growth of over 12% as per IQVIA MAT September ‘24 . This impacted both our branded prescri ption as well as the trade gener ics business.
On an overall basis, On e India growth stood at 5% year -on-year. Our endeavor is to outpace the market growth on a full year basis. With the revival in the season and the respiratory uptick starting in quarter 3 of this year, we should revert back to our growth trajectory. While we are seeing slower growth, we have continued to invest both in field for ce and investments in the field. Our number of people on the field has now reached 8,700 people.

During the quarter, our branded prescription business continued to outpace market growth in chronic therapies. Respiratory grew by 9%, cardiac grew by 11, and urology by 15%. Our share of chronic also improved to 61.5% as per IQVIA MAT September ‘24 . Performance of our big brands was one of the key highlights for this quarter. In our branded prescription business, we have added three new brands in the category of revenue of over Rs. 100 crores. We now have a total of 25 brands in this category, along with 2 1 brands in top 300, as per IQVIA MAT September ‘24 .
Cipla continues to be the largest pharma company in terms of volume and the only player with 2-billion + unit sales in IP M as per the IQVIA MAT September ‘24 . In our trade generics business, the business is impacted by the season. However, we expect it to revert to the usual growth trajectory in the coming quar ters.
Our Consumer Health business witnessed strong traction with anchor in transition brands continuing to grow bigger. The business posted a rob

ust growth of 20% plus. Anchor brands of
Nicotex, Omnig el, and Cipladine maintained their leadership position in their segments. The business is focused on driving a very healthy secondary growth and tries to look for opportunities to invest in products and channel to strengthen the distribution network. The operating profitability of our business is consistent at 15%.

In North America, we delivered a quarterly revenue of $237 million. Barring a temporary supply issue in Lanreotide , the sustenance in revenue has been supported by continued positive traction in our differentiated portfolio. Albuterol further enhanced its market share to 19% in this quarter. The Lanreotide franchise consisting of 505(b)(2) and ANDA assets reached the market share of 35% during the quarter as per IQVIA MAT -24. Currently, we are facing some supply challenges in Lanreotide , and hence we expect the Quarter 3 Lanreotide franchise sales to be lower than quarter 2. However, these issues are anticipated to be resolved by the end of Quarter 3 , and starting quarter four FY25, we should be able to recover sharply in the Lanreotide franchise. We're also working to increase the overall capacity of Lanreotide through CAPEX investments made by our partner. During this quarter, we also received four new generic drug approvals, including one peptide in the US market.

Progressing on our journey of strengthening the Africa story, we now have merged the North Africa business, which was part of EMU with the S AGA region and renamed it as One Africa. Our overall One Africa business recorded a vigorous growth of 22% with South Africa also delivering a similar growth in local currency terms. In the private market, our secondary growth was at a healthy 8.6% versus the market growth of 0.5%. Our South Africa private market now ranks number two in the market with the prescription business maint aining its number one position. North Africa also demonstrated a st rong growth during this quarter.

In EMEU, our deep market strategy has started paying off with the business delivering a solid growth of 18% in US dollar terms, with a pickup in both our DTM and B2B categories.

I will now cover some of the issues regarding the regulatory inspections. Resolution of our regulatory issues remains our top priority. Our Goa facility recently underwent re -inspection by the US FDA. The facility was issued six 483 observations. We are still waiting for the classification of the inspection. At Indore, our focus remains on remediation and implementation of the CAPA .

De-risking of generic Advair , our major inhalation asset, has been progressing as per expectations. We expect to launch this asset in the half -one of FY 26. For generic Abrax ane, while we are more likely to launch it from our Goa facility, this may require approval for the facility, impacting the timeline of the launch. We have continued with our efforts to de -risk the product through the CMO site.

On the sustainability front, we have had some good progress. During the quarter, Cipla achieved ranking with the S&P Dow Jones Sustainability Ind ices, and the score has improved to 79 from 70 that was there in the previous year.

To summarize :

The overall company outlook, we are on track to achieve our margin guidance for the year. That is between 24.5 %, 25.5%. Last 12 months have been audit heavy with our facilities of Invagen, Kurkumbh, Patalg anga, China and Goa audited. All these facilities have cleared with either a VAI or NAI except for Goa where the classification is still awaited. In Lanreotide , we are in the process of resolving our supply issues. Our trade generics business, the model change has been successfully implemented and we now h ave a better control on the channel.

With this, I would now like to turn the call over to Ashish for the financial and the operating performance.

Ashish Adukia: Thank y

ou, Umang . Just coming to the key Highlights of the quarter. And please note that the growth percentages that I am going to talk about are all adjusted for QCIL, the divestment that we did last year in Quarter 3 .

We reported a quarterly revenue of Rs. 7,051 crore with a growth of 9% driven by our core businesses of India, North America, South Africa, as well as EM EU. The EBITDA margin excluding other income stood at an impressive 26.7% for the quarter , up by about 70 basis points YoY and 111 basis points Qo Q basis. The reported gross margin after material costs stood at 67.6% for the quarter which is 159 basis points above last year's figures, mainly driven by overall better mix.

Total expenses for the quarter include employee expense as well as other expenses that stood at Rs. 2882 crore. The employee expenses includes our strategic investments which Umang also mentioned in the India branded prescription business via field force , especially on the chroni c therapies. Between FY23 and H 1 FY25, we have added almost 1,500 plus feet on ground. As

highlighted earlier, we have also introduced retail task force in India trade generic business, a team of almost 500 plus feet on ground for better visibility and control over business, leading to improved customer relationship. These investments will help us meeting our long -term organizational growth goals. Increase in other expenses is on account of new launches in India branded prescription business, so it's an investment towards that. It also includes commencement of our plant operations in China, whic h is expected to start supplies in this financial year itself, and investment in our MDI facility in Fall River for filing new products and de -risking some of our existing pipelines.
R&D investments for the quarter are at Rs. 385 crore or 5.5% of the revenue, driven by product filing costs and developmental efforts higher in the quarter by 2% versus last year. Profit after tax for the quarter is at Rs. 1,303 crore or about 18.5% of sales with the effective tax rate at 27%.
Our free cash generation and operating efficiency continues to drive healthy net cash position.
As at September 2024, a debt on our balance sheet including the lease liabilities stood at Rs. 461 crore with net cash eq uivalent balance of Rs. 7950 crore. This quarter we had paid out a dividend of Rs. 1000 plus crore.
Now I will conclude with key focus areas and growth levers in the subsequent quarters.
The priority for One India would be to continue to grow ahead of the market in branded prescription and accelerating the growth trajectory in trade generics while further working on solidification of the growth levers for wellness portfolio including rampi ng up in new launches.
In North America, our focus would be on commercial execution, expediting the launches from our US facilities, and resolving the supply issues that we talked about. De -risking key launches for FY25 remains one of our key priorities. In South Africa, our con tinued focus stays at margin expansion, and in EM EU, our top priority is to maximize top line with focus on deepening our penetration in identified core markets while sustaining the strong margin trajectory. Our ROCE for the quarter on an annualized basis w as 30% plus. And like Umang said, our EBITDA guidance remains unchanged at 24 .5% to 25 .5%.
I would like to thank you for your attention and would like to hand over now to the moderator for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My first question is on Ambraxane opportunity. So obviously I think we are waiting for Goa clearance for this particular product. But can you comment in case we don't heard back favorably from the USFDA regarding classification etc. How far this product can

be pushed in terms of
launch in the market ? If I remember correctly, earlier you said this launch could possibly come in second half of FY25. So what is your recent thought on this product?

Umang Vohra: Yes, I think it depends on the clearance of Goa. And I think from the time of the clearance, the clock starts pretty much for this product. So from a timeline perspective, th is is the fastest possible way.
Damayanti Kerai: Okay, in case Goa takes slightly longer, then you proceed with the CMO route, then how long I guess we have to wait?
Umang Vohra: So the CMO route is going to take much longer. That, you know, it will have to be filed as a supplement. So that is definitely over a year.
Damayanti Kerai: My second question is on the supply issues which you mentioned on Lanreotide . Is it purely the capacity constraint or there are some other issues and are you remain confident about preserving this in a quarter and then supplies going back to the normal level? And then a quick question on the four approvals which you got during the quarter. So I believe one is the peptide product, Calcitonin . So do you have manufacturing capability for that particular product or it will be again done through CMO?
Umang Vohra: The most Calcitonin (Salmon) is likely from a CMO because the source of the API itself is different. So yes, we are not doing it. It's being done through a partner. So that's on Calcitonin.
Damayanti Kerai: And on Lanreotide issue?
Umang Vohra: So Lanreotide is, I think there are two things that are happening. One is as we are expanding capacity, we have to reconfigure, the partner has to reconfigure the lines. I think some part of it is that. Some part of it is also that there is more demand than we anticipated. So I think it's a mixture of both. So it's capacity creation plus also maybe maintenance at the site because of which this quarter is down. I think we are confident that quarter four onwards we are good with this.
Damayanti Kerai: You are investing in the partner side for capacity expansion o r how is the arrangement there?
Umang Vohra: No, our partner is investing. Our partner is investing. It is their site.
Damayanti Kerai: My last question is on India business. So again, I guess we expect to see better seasonality in 3Q. So are you seeing like initial sign of better pickup in the respiratory for third quarter and that's why you believe you could still outpace market growth in the full year basis because after

3Q, I believe, fourth quarter is g enerally a lean quarter, right?
Umang Vohra: That is correct. So the seasonal triggers for respiratory, the pollen alerts, the pollution environment typically starts after Diwali. So we are beginning to see some of that rising, but hoping that, I don't know how we will hit the season, but we are hopeful that this particular time of the year will mimic the other. Unlike the acute season, this is not solely a seasonal trigger. It is also the impact of pollution in the air. It is also an impact of allergens and pollen.

Moderator: Thank you. The next question is from Anubhav Aga rwal from UBS. Please go ahead.
Anubhav Agarwal: Good evening. Just continuing on the question, Lanreotide , I am just trying to reconfirm that at your partner, there is no external constraint because of which the supply has been impacted because for European partner, supply was impacted in the June quarter. Now you face constraint in September and you're guiding for the December quarter also being impacted. So first, sounds strange that partner is expanding that's why 9 months of total capacity being out and severe shortage in Europe and you also facing shortage. So confirming that there is no external dependency for the partner, it is just because they were expanding that's why they're facing so much shortage.
Umang Vohra: So I think what we

can confirm to you Anubhav is that the issue is not a supply chain related issue in terms of material or anything. The issue is linked completely to the partner's production .
Anubhav Agarwal: And Umang, how do you get confidence that this will come back to full normal level ?
Umang Vohra: Because we visited. Because our teams have visited, they've made an assessment, and we are on regular calls with the partners. So we have our confidence in that.
Anubhav Agarwal: And what would be the impact for you guys? For example, $237 million revenues this would put it go down. But let's say about below 225 next quarter, what kind of impact will it be for …
Umang Vohra: Yes, I mean, we are going to see a fairly reduced number on Lanreotide for Quarter 3 . And I think, yes, it could be lower than the 220 mark. Depending on how quickly we get supply back, we could be looking at something in lower than 220.
Anubhav Agarwal: And just one more clarity, in this quarter was the generic Revlimid was this quarter -on-quarter higher in September versus June quarter?
Umang Vohra: I will ask Ashish. Ashish, do y ou want to comment on this one?
Ashish Adukia: Yes, we don't give guidance on lenalidomide sales because of the contract that we have with them. And on the previous question, just want to clarify that quarter one , quarter two has not been impacted in Lanreotide while we may have talked about some anticipated supply issue in on our calls, but the numbers we achieved 35 % share in Lanreotide franchise of both assets , and that's what we should revert back to after we have the supply issues sorted out in quarter 4.
Anubhav Agarwal: Thank you, team. That's helpful. Just one more last clarity of this. So once capacity is expanded, are we talking about, let's say, just a ballpark understanding? Can our market share go up by 20%, 10%, some ballpark understanding in next 1-2 years on this product?
Umang Vohra: Yes, market share could be higher. That is for sure in this case.
Anubhav Agarwal: No, that's obvious, right?

Umang Vohra: Anubhav, just one thing. I think one of the reasons we have attributed is to capacity increase. Not all the reasons on production not being there is solely linked to capacity , just to be very clear. There are no reasons on supply chain that constrain the product. The reasons that are constraining the product is production at a partner site. One of the reasons the production is there due to increased plans for capacity. But there are other reasons as w ell which may have perhaps, which may be the same that you may have picked up on from the European partner for this for our manufacturing part.
Moderator: Thank you. The next question is from Ameya from JM Financial. Please go ahead.
Ameya: First question I have on the Africa region. So this quarter we have seen a good amount of uptick in the Africa segment. So you expect the sales to normalize in the coming quarter because there has been some about 10 million jump in the tender s ells as well as there is a 17% -18% growth in the private revenue while the secondary growth has been in single digits. So if you can clarify ?
Ashish Adukia: Sure, see, a couple of things I would like to highlight. One is, like you rightly said, there's been a significant increase in the tender business. Okay, this is more opportunistic, where we make good margin is where we participate. And we did some vaccine tenders as well, which has helped us to grow that. And tender business will always depend on tenders coming in as well as the margin that we are ma king. So, it will sustain, but it can also certain quarters may be different. The other reason for the performance is also now a fully integrated actor, which was not there in the previous quarter. So that has also added to OTC as well as Rx. And this is going to be sustained, this will sustain because actor is now part of our p

ortfolio. So we'll add to growth
through actor. And the third thing I would like to highlight is that we have been constantly focusing on new launches in South Africa which has also helped us to grow faster than the market. So yes, it is a big difference but these are some of the l evers which have helped us and will continue to help us to grow fast for other market.

Ameya: So is it fair to say that Rs. 800 crore to quarterly run rate is largely a new base or vis -à-vis some movement in the tender side?

Ashish Adukia: No, we can assume this to be the base. There will be no de -growth, I would say. But anyways, like we always have said, the focus on Africa will always be margin for us because it is margin dilutive on an overall basis. So it's lower than 25% at the company level. So the whole idea is just to focus on margin to get it back to track . So if that means that we have to give up some revenue, we may give up, but we don't anticipate degrowth in One Africa.

Ameya: Sure, thank you so much. The second question I have is if you can provide the updates on some of the filings like, respiratory filings like Dulera /Qvar and Symbicort?

Ashish Adukia: Yes, so the timeline has not changed for us. So the guidance that we had given earlier that of FY27, that continues to be there for Symbicort and Qvar , and one more partner inhaled asset that we have talked about.

Moderator: Thank you. The next question is from Surya Narayan Patra from PhillipCapital. Please go ahead.

Surya Narayan Patra: First question about the sequential decline in the US sales for the quarter what we have seen. Could you clarify what would have impacted? Because sequentially, we have seen improvement on albuterol, w e have seen sequential improvement in Lanreotide and obviously the Revlimid would be sequentially remaining flat or slightly improved. So what would have impacted the QoQ performance in the US? Whether it is any pricing?

Umang Vohra: So one is definitely Lanreotide.

Surya Narayan Patra: Press release indicates our Lanreotide market share has improved quarter -on-quarter .

Umang Vohra: That is as of August.

Ashish Adukia: Yes, it's a matter of August.

Umang Vohra: That is as of August. I think the issue here is largely on account of a reduction in Lanreotide and potentially one other product which we may have and also please keep in mind though we did the 250 number in quarter 1, we were very cl ear that that was not the trend line for the US business and the real trend line for the US business was between 230 and 240.

Surya Narayan Patra: Okay, so that was my first. Second question was about the removal of the patent for this Advair as well as Albuterol by GSK and Teva on the request of USFDA. So because of that, have you seen any kind of finance competition or any pricing implication or do you even expect any kind of if not seen so far , going ahead, do you see an enhanced competition price or what impact that you do see because of those developments?

Umang Vohra: It's difficult to quantify at this stage, but as of now, we don't see really a big impact of this. Because even if the patent is off, for anybody to develop the product, it's going to take 3 years or 4 years. So I don't think that will impact us.

Surya Narayan Patra: And just last one point I wanted to clarify a bit about this Africa integration, the One Africa thing , see, what is the kind of synergy that we can have, having seen the success here in One India, while it sounds similarly for Africa, One Africa, but what synergistic benefit that that can flow out of these initiatives may not be on the revenue side on the profitability side and your strategic initiatives for that, because new product launches in licensing for Africa market. Those have b een the kind of strategies that you have been anyway following for those markets. So now with this One Africa, what one
should really think and what changes that one can see ?

Ashish Adukia: See, I think I can probably, and Umang you can add, so one is a little bit more focused approach to Africa because in EM EU it's like 85 countries sitting out there. Okay, so when you just bring it along with Africa, you get a better leadership focus to actually grow that region and we see some potential out there. So that's one. Second is some supply chain benefit you will get

especially products going from India to Africa. So there can be some benefits out there. Yes, apart from that, our One Africa strategy broadly is top cities rather than top countries within Africa . So rather than going deep in each country, you go deep in top 20 cities. So this actually helps us to achieve that focus on top 20 cities as well enough.

Moderator: Thank you. The next question is from Ankush Mahajan from Axis Securities. Please go ahead.

Ankush Mahajan: So my question is related to we have Revlimid sales and Lanreotide . I try to understand that what about our base business sir, how it performed in the last quarter?

Ashish Adukia: We covered that question on Lanreotide like we already covered. I think is there anything speci fic that you would like to add?

Ankush Mahajan: I am talking about the base business .

Ashish Adukia: Yes, so base business has overall done well. In some parts, we have seen some erosion, especially in the business where we have government supplies. We have seen more in the oral solids. We have seen some erosion. Otherwise, in Albuterol , one of our key assets, we have grown in our market share . Budesonide continues to be a strong franchise for us where we can supply as much as we can. And overall erosion has been roughly in the low double digit, maybe 10%, somewhere around that.

Moderator: Thank you. Next question is from Neha Manpuria from Ba nk of America. Please go ahead.

Neha Manpuria: Umang, on generic Advair , once the filing timeline from the US facility was towards the end of this calendar year, is that still on? I mean, are we on track to file Advair ? And that would then trigger an inspection for that facility, right? So despite that, we expect that we'll get approval, we'll be able to launch the product in first half fiscal 26. Is that correct?

Umang Vohra: Yes, the facility inspection will have to be triggered. You're right about that. I think our filing batches are currently underway.

Neha Manpuria: And my second question, Ashish, on the gross margin, the quarter -on-quarter improvement, I know it's sort of flattish , slightly better, despite US being lower, even though acute wasn't as strong, there is some acute impact in this quarter. Tender business is higher. So what exactly happened? Is there anything else? Have we seen a better API pricing environment? What's helping the gross margin trend?

Ashish Adukia: The mix benefit that we have got and like I said in in South Africa there's been tender , but there are other tender businesses elsewhere which may have come down , but overall it's the mix that has benefited us for the margin as a gross margin .

Neha Manpuria: Okay, that's the only driver that there's nothing else in terms of the API cost etc . that we're seeing ?

Ashish Adukia: API cost has moderated overall, okay, but there are other costs too . Propellant that has gone up . Freight that gets captured in the thing has gone up because of the red sea issue . So it's been a mixed bag out there .

Neha Manpuria: Understood. And from an EBITDA margin guidance perspective, given that we are a little overshadowed over 26% for first half, I know the fourth quarter tends to be seasonally slow for you. But then, other than the one -off impact that we talked about in the US because of Lanreotide given that India will be significantly stronger. Any reason to still keep the guidance at 24

.5 to
25.5? Is there any other cost that we're anticipating which would keep ma rgins lower in the second half?

Ashish Adukia: No, we are expecting a normalized Quarter 3 and quarter four. I think quarter four is usually sometimes up 20% kind of a margin. So on an overall basis, we are still staying with the guidance that we have given.

Moderator: Thank you. Next question is from Bi no from Elara Capital. Please go ahead.

Bino: First question, have you seen any pricing impact in Albuterol after the recent competition entry?

Ashish Adukia: Albuterol , see, already there is multiple players out there. Because there is competition, we see some erosion in Albuterol franchise.

Bino: Okay, so I assume nothing major afte r the latest competition entry?

Ashish Adukia: Yes.

Bino: Got it. And second, between your Lanreotide 505(b)(2) and generic products, is there a pricing difference or is it more or less the same?

Umang Vohra: Bino, there will be a difference, but we are not going to comment on that. I think we are determined by market factors. It's not so much that what we control. I think it's a function of the market and I don't think that's somethi ng that we necessarily control.

Bino: And last question, I believe second wave of GLP1 generic which is Liraglutide towards the end of this year. Would we be one of them?

Umang Vohra: Bino, can't comment.

Ashish Adukia: We have not disclosed the pipeline.

Moderator: Thank you. The next question is from Vishal Manchanda from Systematics. Please go ahead.

Vishal Manchanda: A question on the US, basically to understand the concentration risk. Can you share what your top three products would contribute to the US sales ?

Ashish Adukia: No, see again I think it's a differentiated portfolio approach that we have. So we have large products in our portfolio, but we don't give indication of what concentration level is, again because of the reasons that we have mentioned earlier.

Vishal Manchanda: Some broad numbers like 40% plus or less than 40% somewhere ?

Ashish Adukia: So see, I think the vintage portfolio of oral solids that was there earlier, where there is enough competition, we mentioned that , that is subject to erosion and that is about 30% of our portfolio.

So, 70% would be mor e differentiated assets for us.
Vishal Manchanda: And second on your plant in China, would you have filed for approval for the China markets for the respules , like the Pulmicort respules ?
Ashish Adukia: We have got the US FDA approval for facility as well as for the product. And yes, of course, we look to get China approval as well in the future.
Vishal Manchanda: But we have filed or you are yet to file for the product ?
Ashish Adukia: China approval?
Vishal Manchanda: Yes, let Pulmicort respule.
Umang Vohra: We're not giving that level of detail. I am sorry, but you can expect us to be a player in that market be cause of the facility in China.
Vishal Manchanda: And just one final one on India. Any thoughts on how do you kind of intend to play in the GLP -1 space, any in-licensing opportunity that you would be seeking or maybe participating in the Semaglutide generic opportunity?
Umang Vohra: Yes, Sema generic we will be participating and I think hopefully we will be amongst the first wave of people to enter in India. In-licensing is always an option for us in deepening our partnership with large multinational corporations that sell categories of GLP -1 drugs. So I think that is where we are right now from a GLP perspective.
Vishal Manchanda: Are opportunities available for out -licensing ? Are innovators open to out -licensing in India ? I understand Eli L illy which normally out -license d their produ cts to India hasn't done so far.
Umang Vohra: Yes, I think part of you're right, part of it could be a recalibration of whether they'd like to launch by themselves or

have another partner. But it's also linked to how they view global capacity.
Because the initial period, partners are not able to supply product to market for their existing demand. So now that we believe that it resolved, I think maybe some of the discuss ions could commence again with the partner, with the rest of the people in India who could potentially be partners for the ir drug.

Moderator: Thank you. Next question is from Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Just one back on Lanreotide . So the August market share is what you've disclosed. So where did say September market share for Lanreotide 505(b)(2) plus generic end up at?
Umang Vohra: It will be far lower.
Ashish Adukia: But we have not received the data as well.
Shyam Srinivasan: Should we think of it like at Q1 levels, 20% or even lower than that?
Umang Vohra: No, I think Shyam, the full flow through of what that share would be in September may not come out because there is still stock that we had a little bit of stock with us. But you will start seeing that perhaps in October quite significantly.
Shyam Srinivasan: And Umang, your comments that there'll likely be a Q4 bounce back. And are we again talking about similar market shares like 35 or you think we ca n go higher post the expansion?
Umang Vohra: I think we can go higher, but it will take some time to ramp up to that. So I think because we are expecting a period of a month or two months where there would have been no production at all, which we now have crossed because of September and October. So building that stock back into trade and channel, I think it will take a little bit of time. So quarter 4, the bounce back will not be higher than where Q2 was if that's your question.
Shyam Srinivasan: So maybe we're gunning for 35% share back in Q4. That's what you think.
Umang Vohra: Well, we want to gun for that, but it completely depe nds on how quickly the partner.
Shyam Srinivasan: My bad. 35 was just one month. So maybe for the average for the quarter slower. So, okay, I get it. Sorry, my bad. And the second question is just on cash. We have now a billion dollars of cash on the balance sheet. So I just want to understand how are we thinking about capital allocation , either dividends or buybacks or even M&A , if you could outline some of the key priorities for us?
Ashish Adukia: Sure. So now I can go first on this one. I think it's again what we have mentioned earlier, key market for us is India, where we would like to grow. So we would look to make acquisitions in India in the domestic formulation space mainly followed by in US. We keep looking at differentiated portfolio , which comes with some stickiness in the revenue and not facing enough erosion where there is some entry barriers. So I think we look at those kind of portfolios in the US and as we speak we are lo oking at some. And then of course on the return of capital to the shareholders , we have talked about 30% dividend payout. We are already close to that and with the improvement in profits, that should continue to go up. Buyback is a matter of discussion at our board. So that's an active discussion we always keep having when we look at our use of cash.

Shyam Srinivasan: Ashish, last follow up . So valuations for assets, is it something that you're seeing as frothy or is it comfortable or are you seeing a lo t of assets that are available?

Ashish Adukia: No, so, just because we have cash, I don't think we will pay more than we think the value of the asset is and the value of the asset depends on what it can do at the base level and what synergies that are available with our business. So in India, certainly there will be synergies. So there can be some value that you can attribute to that. In the US, we're looking at assets that are in the institution side.

So more injectables kind of asse ts where we have built an infrastructure of institutional business through Lanreotide now. The idea would be to also feed that with products so that you can actually realize some economies of scale out there. So yes, these are the strategies that we focus on to make sure that we achieve our internal hurdle rate.
Moderator: Thank you. Next question is from Saion Mukherje e from Nomura. Please go ahead.
Saion Mukherjee: Hi, good evening. My first question was regarding the India business. If you can give some color, particularly on trade generics and consumer, so do you think trade generics has recorded growth this quarter compared to last year given the restructuring we have done? And also on consumer, I remember last year was muted. We had seen like 21% growth this quarter. Why are we seeing sort of that volatility and what's more of sustainable growth here?
Ashish Adukia: So trade generic I think couple of things, one is season, while distribution model issue that we talked about in the quarter, one which had impacted the financials is complete and there is no reason, that's not the reason for growth not to be normal. I think the season like we talked about in anti -infectives has been weak and it's primarily an acute portfolio so that's been an issue. And also it's certain regulatory changes in certain F DC products etc. has also impacted part of the sales. So overall trade generic is more or less a very small increase over on YoY basis . On CHL , I think we have seen a very smart rebound . I think last year like you said was muted so now this is more normalized growth that we have seen, it's also the growth has been supported by the Astaberry acquisition that we made albeit it should not be very large. But yes, we have seen some growth coming from there as well, out of the 21% growth that we saw in overall CHL. And this growth should sustain because there are strong brands and we are working on growing them.
Saion Mukherjee: Thank you, Ashish. And my second question was on the tender business. So in South Africa, the vaccine tender, so has that scaled up the kind of numbers we are seeing this quarter or this go for it to sort of go up further? And also if you can share like what percentage of your other business, like outside of South Africa International Business, Ex-US, what is the quantity or what is the percentage of tender sales there approximately?
Ashish Adukia: See, we got the benefit of certain tenders in this quarter. So tender may remain flat or may come down as well. Overall, like I said, we will still continue to grow between 5 % to 10 % in Africa. EMEU is a very large market, it's a mix of DTM, B2B primarily, not a lot of tender out there. And that has grown overall as a market that has grown for us at about 18% , but more normalized

growth out there would be, because the dollar market, you should expect about it , again about under 10%, I would say.
Saion Mukherjee: So this is the overall growth in the EM EU, you're referring to Ash ish?
Ashish Adukia: Yes, overall EM EU market. We don't give out the breakup because it's large number of categories like I said out there, DTM, B2B. In different geographies , we have different approaches.
Saion Mukherjee: Right, but overall on a console basis, you're saying the contribution from tender is not very significant?
Ashish Adukia: It's not quite significant, yes.
Saion Mukherjee: And if I can just ask one more question. This is on R&D. So that the growth is quite muted. So how are we thinking? What are the new areas you're planning to invest? And, over the next two quarters and also going forward in fiscal 26, what's the trajectory on R&D spend that you're expecting?
Umang Vohra: I think the comparison on R&D , yes, Ashish, let me take this. I think, Saion , the comparison on R&D is also linked to a la

rge -scale trial that was happening in the previous year. So from an already elevated base of R&D numbers, we're showing that muted growth which you're referring to. That's one. Second, I think the to pline has expanded quite significantly, which is why you're seeing the percentage coming down a bit. But overall, I think in terms of new areas, oligonucleotides, we're looking a t that. Peptides, we have almost completed our full portfolio. We're looking at respiratory assets next year, that's coming up. Our bio asset that we are developing, that has moved into, we'll be moving to phase one. So I think a lot of those for diversification are happening.
Saion Mukherjee: And do you expect any step up here because of these things or it will take time before the trial starts on a larger scale?
Umang Vohra: I think the big contributor we have seen Saion is basically when you have to do large scale

clinical trials. That gets added to this base of R&D . So as your products reach to get to that phase
3 or the PD studies, that's when w e realize that this gets added.
Saion Mukherjee: Right, so that's a few years out, right? Or do you think …?
Umang Vohra: Well, yes and no. Because the recipe assets may also start in about a year or so, right depending on the patent outlook. Those would start, I think the phase three on the bio asset could be in the
27 timeframe. So I think some of these will start coming up, depending, some will come in 2026,
some in 2027, I think 25, we should have another 20% .

Moderator: Thank you. We'll be able to take the last two questions. We take the next question from Tushar Manudhane from Moti lal Oswal Finan cial Services. Please go ahead.
Tushar Manudhane: So just on Goa, the 483 observations, so in terms of resolving this or sharing the data with US FDA?
Umang Vohra: No, I think from a Goa perspective, we believe that we have responded to the FDA. And the FDA has to make its determination.
Tushar Manudhane: So subsequently, has there been any communication from the US FDA in terms of the response appropriateness or anything of that sort?
Umang Vohra: Yes, the FDA does send us follow -up questions, which we have also replied to. But the FDA has to make its own determination, which the process is ongoing .
Tushar Manudhane: Sorry to drag on this, but just that, so this is basically the course of actions the company is going to take as far as resolving the issues on Goa side. But what could be the timeline to implement those measures and get the issues resolved ?
Umang Vohra: So the timelines we have committed to the FDA with over the next six months to a year perspective from aspects that we have determined are important, but those are, I think the classification of the inspection by the FDA, that data is awaited from the FDA. So we will always have regular, corrective and preventive action.
Tushar Manudhane: And lastly, sorry, a lot of questions being asked already on Lanreotide , but just maybe one from my side in terms of the partners facility. Is that the dedicated facility for Lanreotide or is it a multi -product facility?
Umang Vohra: No, the facility is multi -product. I think the production equipment is dedicated to us or to the category of product, let me put it that way.
Tushar Manudhane: So, I mean, the expansion of the facility is not just because of the demand, which maybe like C plus product is seen for the partner is looking for the demand for the other products as well. Is that the way to understand?
Umang Vohra: Well, on the line specifically, it is to this product, right? But on the overall capacity that the partner may be planning, it may be linked to other products.
Moderator: Thank you. Next question is from Alok Dalal from Jefferies. Please go ahead.
Alok Dalal: Uma ng, just to confirm, did you mention about 10% price erosion for the quarter on a portfolio

-
wide basis?

Ashish Adukia: So Yo Y is about 10% on a blended basis overall. S o that's on an average basis. Qo Q is a low single digit, so about 3% to 5% roughly.
Alok Dalal: So not much change with respect to price erosion in the US ?
Ashish Adukia: Yes and this is including your Exelon portfolio, everything the government tender, everything put together is 10% YoY.
Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference to Ms. Diksha Maheshwari for closing comments.
Diksha Maheshwari: Thank you everyone for joining in. If you have any further questions, please write it to investor.relations@cipla.com and wishing you all a very Happy Diwali.
Moderator: Thank you very much. On behalf of Cipla Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2025

Cipla Ltd.
Regd. Office - Cipla House, Penins ula Business Park, Ganpatrao Kadam Ma rg, Lower Parel, Mumbai-400 013, India
P +91 22 41916000 F +91 22 41916120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r L24239MH1935PLC002380

31st January, 2025

(1) BSE Ltd
Listing Department Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001 Scrip Code: 500087 (2) National Stock Exchange of India Ltd
Listing Department Exchange Plaza, 5
th floor
Plot no. C/1, G Block
Bandra Kurla Complex Bandra (East), Mumbai - 400 051 Scrip Code: CIPLA
(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme 35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q3 FY25 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company’s Q3 FY25 earnings conference call dated 28th January, 2025. The transcript is also available on the Company’s website i.e. https://www.cipla.com/sites/default/files/Cipla-Earnings-Jan28-2025.pdf .

Kindly take the above information on record.
Thanking you,

Yours faithfully, For Cipla Limited

Rajendra Chopra Company Secretary

Encl: as above

Prepared by: Sharina Dsilva

“Cipla Limited Q3 FY25 Earnings Conference Call ”

January 28, 202 5

M
ANAGEMENT : MR. UMANG VOHRA – MD & GLOBAL CEO, CIPLA
LIMITED

MR. ASHISH ADUKIA – CFO, CIPLA LIMITED
MS. DIKSHA MAHESHWARI – INVESTOR RELATIONS ,
CIPLA LIMITED

Cipla Limited
January 28, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Cipla Limited Q 3 FY25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" and then " 0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Diksha Maheshwari – Head, Investor Relations Team. Thank you and over to you ma'am.
Diksha Maheshwari: Thank you, Michelle. Good afternoon and a very warm welcome to Cipla's Q3 FY'25 Earnings Call. I am Diksha Maheshwari from the Investor Relations team at Cipla.
Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations o f the future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Cipla does not undertake any obligation to publicl y update any forward-looking statement, whether as a result of new information, future events or otherwise.
I hope you have received the "Investor Presentation" that we have posted on our website. I would like to request Umang to take over.
Umang Vohra: Thank you, Diksha. Good afternoon to all of you and we appreciate you joining our Q3 Earnings Call.
I'm pleased to share that 2025 marks our 90th year in the journey of "Caring For Life." It's an exciting time for us to move forward on our innovation- led and care driven commitment to provide the best healthcare solutions across the globe. We are fully co mmitted to do our best in providing healthcare with a focus on equitable access so that no one should be denied of medication. Cipla looks forward to another decade of science, innovation and technology.
Over the past three years, we have been we have been derisking our manufacturing network and products to our US facilities. Between fiscal year '20 to year -to-date fiscal year '25, we have spent almost $100 million of CAPEX in these facilities. With this e nhancement, we now have DPI, MDI and existing large volume OSD facilities in the US. Filings from these facilities have already commenced, including the filing of generic Advair, a major inhalation asset.
The backlog of our key assets of generic Advair, generic Abraxane and one partnered inhalation asset have the potential to help us grow the US top line post -generic Revlimid.

We also have created a well -diversified business portfolio. As you're aware our EMEU and One Africa businesses put together accounts for more than 25% of the company's total revenue, similar in size to our U.S. business. In nine months of fiscal year '25, both of these markets combined have delivered a strong growth of 15% year -on-year in INR terms. Our diversification and backlog of our launch pipeline gives us confidence of a resilient business model.
In FY'26, we retain our guidance to grow our top line. We will further provide guidance on profitability once we finalize our budget.
Coming to the "Quarter Performance." Despite seasonal headwinds, especially in the acute category, our One India business delivered a healthy growth of 10% year -on-year.
In our Branded Prescriptions business, we continue to outpace market growth in our key therapies of respiratory, urology and acute with the overall chronic mix improved to 61.5% year -on-year as per MAT IQVIA December '2 4.
Our big brand franchises continue to achieve key milestones during the quarter. Foracort continues to be the number one brand in IPM. We add

ed five brands with the revenue of over 100 crores in the IPM to reach a total of 26 brands with revenue greater than 100 crores. We now have seven therapies with the top five rank in the IPM.
We continue to be the largest pharma company in terms of volume and the only player with 2 billion plus unit sales in IPM as per the IQVIA MAT December '24.
During this quarter, we launched CipAir, an AI powered mobile application to simplify asthma screening in India.
In our trade generics business, we are back on the growth trajectory. The performance was supported by execution excellence in distribution, new introductions and technological interventions.

Our consumer health business witnessed strong traction with anchor brands continuing to grow bigger. Our anchor brands Nicotex, Omnigel and Cipladine maintain leadership position and ranked number one in their market in the respective segments.
We continue to build on this by driving healthy secondary growth and thrive to look for opportunities to invest in products and channel to strengthen our distribution network.
The operating profitability of our consumer health business remains consistent.
In North America, we delivered a quarterly revenue rate of $226 million. If adjusted for the supply disruption in Lamivudine, our revenue would have been on a growth trajectory. Albuterol market share further enhanced to 21% as per IQVIA MAT week ended 27t h December 2024.

The business is on its way to resolve the supply issues related to Lanreotide and come back to normalized supply levels towards the end of Q4.
We have also received various generic drug approvals including Phytonadione Injectable, Esomeprazole Granules and Potassium Phosphates Injection.
Our One Africa business recorded a significant growth of 9% in U.S. dollar terms with South Africa growing at a rock solid 21% in ZAR terms.
In our private market, our secondary growth was at a healthy 8.8% versus the market growth of 2%.
Our South Africa private market now ranks #2 in the market with the prescription business maintaining its #1 position as per MAT November '24.
North Africa also demonstrated strong growth during this quarter.
In EMEU, our deep market focused strategy laid a strong foundation with the business delivering us a strong growth of 20% year -on-year in U.S. dollar terms with the uptick in both our TTM and B2B categories. We also sustained our operating margins. We cont inue to invest in our pipeline for these markets with a focus on execution excellence.
I'll now provide an Update on our Regulatory Front. As highlighted in the beginning, our Goa facility has been cleared by the US FDA with a VAI Classification.
During this quarter, the USFDA also inspected our manufacturing facility located in Virgonagar, Bengaluru and issued eight 483 observations. Official classification is awaited.
During this month, we were also inspected at our Medispray facility by the US FDA and issued one 483 observation. Official classification of this facility is also made.
I will now request “Ashish to present the Financial and Operational Performance for this Quarter.”
Ashish Adukia: Thank you, Umang.
I would like to present the key financial highlights for the quarter. This quarter has been yet another quarter of highest ever quarterly revenue, and all -time high EBITDA margins, that's excluding the other income as we always do. All numbers as I talk about are adjusted for QCIL divestment, which is sitting in the previous year.
So, we reported quarterly revenue of 7,073 crores with the growth of 8% YoY, driven by our core businesses of India, North America, South Africa and EMEU. Each of our markets other

than the US, which we already talked about grew at double digit YoY, One India at 10%, One Africa grew at 10% again and EMEU grew at 22% in INR terms.
The EBITDA margin stood at impressive 28

% for the quarter, up by 184 basis points YoY and 138 basis point QoQ.
Reported gross margin after material cost stood at 68% for the quarter, which is 166 basis points above the last year's figures driven broadly by overall mix change.
The total expenses for the quarter include employee cost and other expenses, which stood at 2,820 crores in line with the revenue growth. Employee cost includes our strategic investments in India, branded prescription business, field force especially on the chronic therapies. From FY'23 to nine months FY'25 we have added 1,800 plus feet on ground.
As highlighted earlier, we have also introduced retail task force in India and create generics business. A team of 500 plus feet on ground has been added for better visibility in the business.
In addition to that, as we completed our trade generics model change, the employees of our marketing agent were onboarded, adding the cost to the employee cost, which will be set off against the reduction in the commission going forward.
The R&D investment for the quarter is at 360 crores or about 5% of the revenue. It is primarily driven by product filing costs and developmental efforts. The R&D cost is likely to moderate as the requirement of clinical trials are relaxed, but we retain ou r guidance of 5% to 6% as it actually gives us an opportunity to add more product programs to our pipeline.
The profit after tax for the quarter is at 1,571 crores or about 22% of sales and adjusted for one -

off the effective tax rate is at 25.5%.
Our free cash flow generation and operating efficiencies continues to drive a healthy net cash position. As of 31st December 2024, the debt on our balance sheet including lease liability stood
at 466 crores with net cash equivalent balance of about 8,947 c rores.
Our unwavering efforts continued on derisking our assets for generic Advair, the derisking has been progressing as per expectation and we plan to launch this asset in late half one of FY'26.
And for Abraxane, we expect to launch it from our Goa facility post few months after the approval and the launch should largely be towards the back end of half two FY'26.
Now, I will conclude with the key focus area and growth levers in the subsequent quarter. The priority for One India would be to continue the growth momentum to be ahead of the market in growth, branded prescription and trade generic. We will further work on solidification of our growth levers for business portfolio, including ramping up in our new launches.

In North America, our focus would be to resolve supply issues, maximize the commercial execution and expedite the launches from our US facility.
In South Africa, our focus stays at margin expansion.
In EMEU, our top priority is to maximize top line with focus on deepening our penetration and identify growth markets while sustaining the strong margin trajectory.
EBITDA for the year FY'25 is trending higher than our earlier guidance that we have given, which was 24.5% to 25.5%.
ROIC continues to be strong at 30%.
Thanks for your attention. I would like to just hand it back to the moderator for Q&A.
Moderator: We will now begin with the question -and-answer session. The first question is from the line of Saion Mukherjee from Nomura Securities. Please go ahead.
Saion Mukherjee: My first question is around the US revenue trajectory. So, we understand the slowdown this quarter. But if you can give us some details with regard to Advair, Lanreotide , and Revlimid, how that trended sequentially? And also, it seems like there is some delay in your key product launches in the US. How should we think about the next few quarters in terms of the US revenue trajectory?
Umang Vohra: Revlimid is sequentially more or less the same. I think there's no increase in Revlimid quarter -on-quarter sequentially. On the rest of the assets, Advair, we have still not launched and we

're
signaling half two launch from the US facility. On Abraxane, we have a definite launch at least by the end of this next year and a few months after approval. I think the delays are largely due to regulatory clearance and filin g and post that should follow. So, we believe that if we were to add a full year basis of Abraxane, and a full year basis of Advair, and a full year basis of the partnered inhalation asset, we believe that this is quite meaningful in the ability to offset share of the generic Revlimid production. It may not offset the total amount, but it will offset a significant portion.
Saion Mukherjee: Also, on the contribution from Global Access in PEPFAR in particular if you can share because there is some news on funding constraint there, any views if you have and how will that impact Cipla?
Umang Vohra: We have only less than $1 million worth of PEPFAR supplying products from Cipla. And whatever this 1 million comes at basically no margin. So, there's no impact to Cipla basically on this.
Moderator: We'll take the next question from the line of Kunal Dhamesha from Macquarie. Please go ahead.

Kunal Dhamesha: First one, can you provide your view on the recent comments from the US President on tariff on the pharmaceutical products and what is your base case scenario here and what could be a strategy in the worst case scenario?
Umang Vohra: I think we can't comment specifically because I think we have to let the policy framework of the new administration set in. And whatever we're hearing right now is through the press and through media. So, we just like to see what's coming out as documented plan of action from the government. So, we can't comment on that. But just the other thing that maybe I would like to add is that the last three years we have now been setting up facilities in the US. So, there will come a time when we begin to understand the economics of shipping straight from India and having potential duties or whatever and the freight with it, linking up with what the cost of manufacturing and supplying from the US is. So, in some ways our model is derisked to a large extent for our portfolio, whether it's the MDI or the DPI portfolio and the USD portfolio. So, I think we're just waiting for more color from documented activity. But I think we are well derisked to be able to offset some of this as and when it comes on. And i n addition to that, if you look at the supply which US gets, it's about a third of supply from India. Otherwise, we have partner products, CMOs and we have of course InvaGen, our local facility out there also, which meets the balance.

Kunal Dhamesha: And second is on the FY'26 outlook which you provided on a broad based you expect to see revenue growth in FY'26, could you provide more color on probably the segment wise growth
expectation primarily US, I know you have indicated that Advair and Abraxane seems to be like
more H2 FY'26 product. Beyond these couple of names, do we have other products which could
help us grow? And second part to that question is how is the pricing erosion in the US market
evolving in Q3 and in January?
Umang Vohra: I don't think we have seen anything abnormal on the price trajectory within the US so far.
Depending on the channel you are in, whether you're in retail, institution or the government business, pricing action differs on that. There's nothing unusual we have seen. Maybe on your
other question of whether we have a pipeline asset beyond the three or four assets that we
mentioned, yes, for certainty we have a pipeline asset and notable in that is two or three star
respiratory assets that hopefully can come in 18 to 24 months and have been filed. And we also
have other peptide assets, etc., within that mix.
Moderator: We'll take the next question from the line of Damayanti Kerai from HSBC. Please go ahead.
Damayanti Kerai: My first question is on Albuterol

. So, in last two quarters, you have gained significant market
share, now like you are at 21% market share as per your presentation. So, do you see further
room to gain market share? And also if you can comment on the pricing environment in the Albuterol market?
Umang Vohra: The pricing other than marginal erosion is stable. And in terms of our market share, I think we
are slightly more recently ahead of 21%, but that's where we see it stabilizing.

Damayanti Kerai: So, like with this broadly stable pricing, and if you gain further market share, do you think you
can gain like it will remain a substantial contributor for the US business that we can assume,
right?
Umang Vohra: Yes, you can, Damayanti. I think the one thing here is that we were at something like 16%, 17%
share and then the share began to moderate a bit just after the inspection we had in Indore and
then we built back from there to the share that we have right now, but from here I think share
increases will be very moderate also supply dependence. and it's a fair number of inhalers that
are going out. So, I think it'll be more moderate from here.
Damayanti Kerai: My second question is on Lanreotide. So, you mentioned the supply issues are evading and then
maybe towards the end of March quarter, you'll be back to normalcy. But just want to understand
how should we assume the trajectory ahead, whether it will happen in phases, or you are
expecting say a quarter down, you'll be back to the level where you have dropped?
Umang Vohra: Well, the endeavor is to come back to the level that we had earlier. The question is the timing to
get there. I think based on the manufacturing set up there, there are two lines that manufacture we have been working with a partner very closely who put in a lot of effort into rectifying the
supply situation. And we believe that from a supply perspective, we are probably about 50%,
60% there and what is not there is rapidly the partners rapidly working to bring that on line as
well. So, our expe ctation right now is that the full capacity of the partner probably comes in,
starts getting delivered pretty much from the end of March and so that allows us the ability to
potentially see the ramp up in Q1 as also gives us the ability to build a little bit of inventory.
Damayanti Kerai: And just a clarification. This supply is for 505(b)2 or it will be for the generic formulation as
well?
Umang Vohra: For both products pretty much share supply chain.
Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Umang, just a clarification. Did I hear correctly that Abraxane launch is at the back end of second
half fiscal '26?
Ashish Adukia: Yes, yes, it will be your second half FY'26, that's more like the outcome.
Neha Manpuria: And the reason for delay given that Goa has cleared, is there anything in the application, the
ANDA that is required and you also mentioned there'd be a little bit of lag post approval to
launch the product? Just trying to understand the reason for the de lay in the launch.
Umang Vohra: Yes, I think, Neha, there are two things that have to happen. One, we have to first get approval
for the file. So, while Goa is cleared and the earlier intimation to us was that there is nothing
pending in the file from an FDA perspective, we still have to get approval for it and I think

obviously we are waiting for that approval. Once that approval comes, we will need to take a
few batches, etc., because we have not really manufactured the product, and the site was under
remediation. And so I think that to get ready for launch it may take us some amount of time. So, depending on the approval, we'd have to add some time to it, so it could be nine months from
now, it could be six months from now, the approval comes tomorrow, it could be six months
fr

om now, the approval comes a little later, it could be nine months from now, but we definitely expect to launch the product by Q4 of FY'26.
Neha Manpuria: There's nothing pending from an application perspective from the USFDA on Abraxane?
Umang Vohra: Yes, and I think the first validation of that will be the approval hopefully whenever we get it.
Neha Manpuria: And is there PAI required in your view for the approval, could that be a roadblock?
Umang Vohra: Neha, we're not clear about that which is why we're waiting to hear from the agency and our belief is that if it is required, it will follow very shortly, now, since the site has already got of the OAI sta tus.
Neha Manpuria: I think, Umang, last year we had also mentioned a couple of 505(b)2 assets and a few peptide assets that we expect to launch this year other than the Lanreotide generic launch, we haven't really seen any other large launches coming through. Can you give us an update on when do we see the 505(b)2 assets and the rest of the peptide assets coming through for us?
Umang Vohra: So, we have launched about two this year, right? We have one which we still need to launch and we're hoping to launch it perhaps the remainder of this year, and then we have two planned in terms of peptides in FY'26, and then we have got the rest of the assets, but the peptide ones looking at one… or let me put it this way, looking at approximately three over the next 15-months.
Neha Manpuria: On the trade generic business, now that it's getting back to normal growth trajectory, are we seeing a slowdown in growth even in trade generic, previously there were numbers floating around that the trade genetic market is growing 15% to 20%, has that gr owth for Cipla in your view now in a steady state basis more like high single digit loading, low double digit, how should we think about the trade generic business growth from here?
Umang Vohra: So, there are some factors, Neha, which are difficult to us which was a transition that we were going through in the first quarter or second quarter. I think in the third quarter, the trade generics and the branded are more or less matching, I think the trade is slightly faster than the branded. So, that trend is continuing. But, relative to the previous year where there was perhaps a higher pricing impact in the market than this year, that element of growth has slowed. So, for example, if the overall price increase that was allowed in the market last year was 3% or 4% versus that of this year, the general average is 1%, that 2% or 3% is offset from the overall growth in the market. We did see a slower volume offtake due to the season largely in the first two quarters of

the year, but that may have also been because of our transition, but it may have also been because there was a very, very slow season in this year too.
Moderator: We'll take the next question from the line of Ankush Mahajan from Axis Securities. Please go ahead.
Ankush Mahajan: Very strong margins this time that has led to the expansion of EBITDA also. So, sir, what are the reasons behind it and how do we see gross margins stand in upcoming quarters?
Ashish Adukia: I think it's a combination of the mix that we have in the business. This is always the best quarter for us because of the respiratory uptick. So, that actually helped us. There is also some phasing impact of the cost as well that has helped us to achieve this margin. And like I said, Q4 is seasonally low. So, overall for the year, if you look at it, we should land at higher than the guidance that we have given of 25.5.
Ankush Mahajan: So, sir, what is the sustainable trend now? So, are we increasing our EBITDA margin guidance or something?
Ashish Adukia: Like we said in the beginning of the call, for next year, once we finalize our budget, we should be able to give you the guidance.
Ankush Mahajan: Sir, last one is how i

s the price erosion in the base portfolio?
Ashish Adukia: I think price erosion is dependent on the basket. So, while some of our products may have faced some erosion and the others have not. On an overall basis, it's a moderate erosion that we had of high single digit. While like I said, in certain segments, we saw higher erosion.
Moderator: The next question is from the line of Anubhav Agarwal from UBS. Please go ahead.
Anubhav Agarwal: First question is on Lanreotide. Just trying to understand, let's say the index are production or supply to 100 before the problem started. Once you come back and let's say in April, would you be back to 100? That's Part A. Part B is, I think all the prob lems with the partner was driven by capacity expansion for Lanreotide. So, at what point of time would you let's say 100 will become 120 or 150 for you guys?
Umang Vohra: Yes, Anubhav, I think right now we are at roughly close to 40% to 50% of their overall index of 100 and we expect that by the end of March, we would be back to the 100. Right now, capacity expansion at the partner is a function of two things. It's a funct ion of the capacity train, which is now in place. It's also a function of batch size which is the ongoing work that will also happen post-April. So, I think that the capacity will go up in stages, but right now the train, etc., is all in place to allow that capacity increase. So, we're going to be back at the index level and the batches will start for capacity expansion post -April.

Anubhav Agarwal: So, let's say in second half next year or let's say in FY'27, would you be like 50% higher than this 100, closer to 150, just as an idea, right?
Umang Vohra: I'm not sure we will be 50% higher. This is a pretty tough product, but yes, it could be 20%, 25% higher, and at the same time, we're also examining other options beyond just this partner for overall capacity which means the partner and us are examining expansion of capacity at alternate sites as well.
Anubhav Agarwal: Second is on the respiratory portfolio. Today, in the US ballpark, we are about $150, $200 million,. I'm talking an annual number. Let's say once we launch Advair, Symbicort, your partner inhalation asset also right FY'28 for example, what kind of ramp up could we see - this $200 can become $400 million, let's say double from here. can you just roughly talk about the scale up?
Ashish Adukia: Today, we are slightly more than that number because we have got Albuterol, we have got Budesonide both falling in that category of respiratory. And without getting into numbers, if you look at the pipeline itself, some of our larger assets that are coming out of pipeline are actually respiratory. We have talked about generic Advair, we have talked about generic Symbicort, you are one of the p artered inhalation product and there is just one another large asset that we are looking at. So, all put together, this large portfolio of respiratory. The share of respiratory overall is likely to go up with all these coming, which could all come over a period of time.
Anubhav Agarwal: No, I was just trying my luck that can this portfolio double, is that a possibility there because all assets are large, is there potential to double the respiratory contribution?
Umang Vohra: I think, Anubhav, the way to look at it is depending on the type of the asset. For example, we have Albuterol which is a large asset, but if you were to look at the type of asset, keep in mind that we are likely to have three more over the next maybe 15 t o 18 months launching in the US and they're all kind of sizable categories of assets. So, depending on the timing, it could be. And the problem with this is that it's very binary to each asset. So, if nobody else comes in, in the asset that we are in, right, then it's a much larger delta compared to if others show up before us. But, if your question is whether th

is will double, triple, it’s going to be moving up step functions, it's not going to be moving marginal increases with each asset being approved.
Anubhav Agarwal: Just one clarity is on the India business on the consumer wellness side. Last year, quarter wise we were doing about 250 crores now the run rate has increased to 380 crores. Just trying to understand that. So, we made one acquisition in Q4. So, is there more shift which has happened from trade generic to consumer wellness that it's like 70, 80 crores per quarter which has shifted there, what is leading to such a high growth in consumer wellness in India?
Umang Vohra: So, if you remember in last year in Q1, we had transitioned two big assets to consumer health. And when we transferred two big assets to consumer health, anytime you transfer assets from one division to another, you do tend to take time to regain distribution and that was the problem that was reflecting us in Q3 and Q4 of last year. So, the base went down a bit. It was a base

impact. And then in this quarter, not only is the base impact of last year there, but also we have grown quite significantly faster on some of these categories because of the branding effort, etc., we put in. So, yes, and then there was this acquisition that we had as well. So, we had an acquisition, we have one or two BD deals that we have done and we have our natural growth that is coming. But our endeavor is to continue to grow the wellness franchise because I think I think Cipla has a good formidable position for it now.
Moderator: We'll take the next question from the line of Bino Pathiparampil from Elara Capital. Please go ahead.
B Pathiparampil: Umang, could you explain how the Abraxane market is now, because already there are three, four players and you will be another here more to launch, what's the sort of price erosion, market share gain by generics, etc., as of now in the market?
Umang Vohra: I think the understanding we have of the market is that there is possibly one, fully entrenched by 505(b)2, one, Teva product which effectively is an AG and one, standard generic. That's our understanding today of the market. We believe this market is lik ely to move more towards generic alternatives and not necessarily 505(b)2 till the time the generic player launched, the market well could have been just a 505(b)2 market. But post a generic launch, we do think that a large section of the market begins to convert to generic. I do think that this market will still be attractive because Nanopaclitaxel is now a fairly significant capacity to ramp up. It is not an easy product to ramp up. And I do think that there will be opportunity for generic pla yers in the market as well.
B Pathiparampil: But when you enter, what do you think the price erosion could be, or pricing could be compared to the original innovator levels before then we can reap, even if you give a rough, it could be just 30% lower or more like 50%, 60% lower or it could be 80% lower?
Umang Vohra: Well, the issue with the price conversion is it also depends on how the families of assets, whether the (b)2s or the generics, are tagged from a perspective of insurance in the market, right? I kind

of think that we will not see more than one or two playe rs enter this market. So, I'm not sure this is going to be hyper -competitive, but then we have to wait as the market begins to pan out. We are aware of what the rough ratio in the market is today. But, we'll be able to provide more color to it. But, right now, we think that it's fairly attractive for us still.

B Pathiparampil: South Africa market has been exceptionally strong growth this year, all three quarters. So, if you have something really happening because it's higher than usual current growth there?

Ashish Adukia: The growth has been basically coming from two areas. One is that we have had new launches out there. So, that's

basically taking away share from others as we launch new products out there.

The second has been we are being selective about tender. We want to maintain the margin that we have in the overall business. So, therefore the tender businesses have gone up, but our focus

has been to make sure that we do the tender business at the right margin. So, that has also led to the growth in the South African market.

B Pathiparampil: One last book-keeping question. What would be the consolidated tax rate for full year? This quarter was especially low, so -

Ashish Adukia: We're guiding to 27%, 28% ETR for the full year.

Moderator: The next question is from the line of Chirag from DSP Asset Managers. Please go ahead.

Chirag: So, two questions. First is on the US FDA issue. We kept on seeing these crop up every once in a while and this is quite unlike what Cipla historically has been. So, Umang, what is it that you're trying to do to make sure that these issues we fix these longer -term? Recently, we got approval for one of the larger facilities, but the other one still continues to remain under issue. So, how are you thinking about the reasons, why these we have frequently gotten into these issues, and what are we doing longer term to make sure that these don't repeat? And the second one I had was on capital allocation. We have 9,000 -odd crores almost of cash. How are you thinking about capital allocation going forward?

Ashish Adukia: Chirag, let me probably address the capital allocation bit. So, you've seen that in the last two years, gradually we have increased our dividend in line with the profit increase and we have given guidance of about 30% to the market as well and we are sticking to that. I think we see a lot of growth opportunities yet in many areas in India which is our core market and now we see some gaps in our portfolio which we want to address through acquisition in many forms, not just old company acquisit ion, but product acquisition, in- licensing, etc., and then in the US any differentiated asset we are looking at acquisitions there, overall in rest of the world as well, any attractive market, we're looking at opportunities there, and then we want to land some allocation for innovation as well. Very recently, we have looked at certain assets on the innovation category and we continue to scout for those. So, that's the dry powder that we have kept and we are constantly looking at those and I think a lot of our growth will come from these acquisitions as well in the future.

Umang Vohra: Chirag, on the first, just on the quality piece, Chirag, actually the last we had two inspections where we have received citations and an adverse rating. One was Indore and one was Goa, and Indore happened in 2023, February. So, where we are right now is that the Indore facilities have to be reinspected by the FDA and there were some observations in Indore which were kind of similar to Goa in terms of sterile practices, etc., which we're hoping that will probably be addressed by t he time the FD A comes to inspect again, and it then depends on how that inspection is assessed by the FDA. So, I think there's been a lot of progress made and certainly we have had many other inspections from the USFDA at several of our other facilities and while we have received observations we have been able to remediate and secure a compliance certificate from the FDA that allows the new product launches and operations to continue. Structurally, how we are solving this is quality is a function of practice equipment an d talent.

And we have worked on all three of them. The more you can automate your equipment, the less there is a chance of any errors that happen, the more that you can build in sensitivity to your talent about how to do proper root cause investigations and observe your processes, the less you will have disruptions, and

the more that your practices converge with what your guidelines are,
the more you will be able to confirm. So, we have worked on all three aspects and we will continue to work on this.

Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

A Puranwala: Sir, just quickly on generic Revlimid. I heard your commentary. Previously it has flattish revenues for the quarter on a sequential basis. But if we have to look at the nine monthly number,

if you could throw some light as to where are we on the overall target for shipment of this
particular product, would we kind of see some sales moving up in Q4 from this product or large
part of is already booked in the nine months?
Ashish Adukia: No. So, see, I think like Umang mentioned that Q3 was a similar number to Q2 and that's what
we expect going forward. Specific numbers, we avoid the guidance because as by the contract
we can't share those numbers.
A Puranwala: Sir, in the past, you have spoken about filing a couple of Oligonucleotides. and in terms of your near-term
launches, when you're calling about three or four products, so by when should we see
launches of these products happening into the US market?
Ashish Adukia: We're looking at filing some of these products in about three to five years timeframe. So, there
is still time for Oligonucleotides launches to come through.
Moderator: The next question is from Umesh Laddha from Nirmal Bang. Please go ahead.
Umesh Laddha: Sir, actually I wanted to know that how much of our One Africa and emerging market sales are
constituting of antiretroviral agents, API and FDF combined?
Umang Vohra: Sorry, API and -
Umesh Laddha: API and (FDF) fixed dose formulations combined, how much are we exporting ARVs to
emerging markets and South Africa?
Ashish Adukia: We will have to come back to you with that exact number. Largely, the number is going to be in South Africa
and African continent and very little in emerging markets and Africa is about 11%,
12% of our total. We don't sell any antiretrovirals in North Afr ica, primarily it is sub -Saharan
and South Africa. So, we can come back to you, but I would not expect that number to be more
than 3% to 5% of overall revenues. At max, it cannot be higher than that.

Umang Vohra: To the rest of the world, we do it through our Global Access. I'll come back with specific
comments.
Umesh Laddha: Sir, what are the margins which we are getting from this portfolio if you could just give some
color?
Ashish Adukia: See, it's competitive. These are all tendered. All I can tell you is that the margins we make here
are very low and they are significantly lower than company average. And we do it for a different
reason, we do it to ensure access for these products in the countries that we operate.
Umesh Laddha: Lastly is on the India business. Are we planning to launch Semaglutide and there is a 10% revenue growth in
the India business. Can you just give a split like how much of this has come
from price and volume if that's possible?
Umang Vohra: Sema, we can give you. Just to clarify it, I want to also be very clear that PEPFAR is a portion
of Cipla's business is less than 0.2%. So, we do less than 1 million of PEPFAR. So, while your
question was broader on HIV, just wanted to also clarify that in PEPFAR, the business that Cipla
has exposure to is less than 1 million. On Semaglutide I think we believe the market will form in 2026 and there will be
obviously depending on who all gets approval in India, I think Cipla is
aiming to be in t he first wave of launches.
Ashish Adukia: I think you had a question on price and volume in India.
Umang Vohra: The obesity as a category, it's very difficult to estimate volume.
Ashish Adukia: The overall growth for the company. I think this was a weak season overall like we had mentioned. So, the
volume growth was

around 2% and the balance was coming for us from price
and NI. So, that was a balance growth. So, we see some improvement in the volume growth in
the coming years.
Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital (India) Private
Limited. Please go ahead.
Surya N Patra: Sir, my first question is about the Horizon 2 initiatives that we have taken and based on which
we have been anticipating CDMO opportunity, leveraging our peptide levels injectable
capability. So, could you give some update on that if any?
Ashish Adukia: In the last call also, we had clarified on the CDMO. We are not looking at CDMO as business opportunity for
us. What we have said is that in peptides we partner with CDMOs on
development and manufacturing of the products, but it's not a business for us to be in.
Surya N Patra: Second question is on the injectable side. So, how big is the injectable portfolio right now or in
terms of let's say in business mix in the US currently? And could you give some sense about the pipeline in the complex
injectable side that we're talking a bout?

Ashish Adukia: It's likely going to be peptides to start along with Nanopaclitaxel. Those would be the two
injectable portfolio and then we have got a few that are partnered outside which will be in the
area of general injectables.
Moderator: The next question is from the line of Shashank Krishnakumar from Emkay Global. Please go

ahead.
S Krishnakumar: I think we touched upon Advair. I just wanted to check on our Symbicort and Q VAR filings as well. So, have we also made progress with the site transfer for these two assets?
Ashish Adukia: Yes, on Symbicort we have. On Q VAR, we believe that Indore will be the site that we will get approval from. So, yes, on Symbicort we have already done that.
S Krishnakumar: The second question was on the trade generics business. Is it possible to sort of call out what was the growth rate in the trade generic business this quarter, any ballpark number would be helpful, either on a YoY or a QoQ basis?
Ashish Adukia: I think QoQ you can probably take One India growth number as a good surrogate.
Umang Vohra: Even on YoY, I think RX and GX both grew at a similar number growth rate.
Moderator: The next question is from Harsh Bhatia from Bandhan Mutual Fund. Please go ahead.
Harsh Bhatia: Sorry to harp on this, Umang and please correct me if I'm wrong. Abraxane, you mentioned even if the plant gets cleared tomorrow, it is six months to launch. Again, is there a margin of safety that we are working with, which is why we are building in six to seven months year -over -year or is it because the complexity of the product is such that six months is a primary condition? In addition to that, are we already building in a PAI to this timeline, like, could you help us understand what are t hose two, three assumptions over here for the six months' time gap?
Umang Vohra: So, I think the first is that, look, obviously it will take us to ramp up. Once the approval comes, we will have to ramp up. We'll have to take some batches to ensure data. The API that we have is an API lying for a fairly long time. So, we are anticipating that and have given this guidance on the ramp up, but we are quite confident that if we get the approval, the launch is definitely going to be before the end of the year and the sooner the better.
Harsh Bhatia: Just one clarification is for the InvaGen facility. I think the filing is done from the InvaGen facility in terms of the site change or the site transfer. Again, over here also our launch timelines are building in on FDA inspection or they are not buildin g on FDA inspection?
Umang Vohra: Here, we are building in on FDA, because this is a new site. So, 100% they are building in on FDA inspection.

Harsh Bhatia: Just one lastly on Revlimid. Since Jan '26 would be the period when the patent comes off, so FY'26 sales pattern is going to be similar to FY'25 sales pattern, very qualitatively, without getting into the numbers or would it be very different as compared to FY'25, again, it was the sales pattern that we are looking at?
Umang Vohra: I think it will be different for the right reasons, I think that the market will have more competitors, so I think yes, the pattern will be different.
Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal: Umang, just following up from the Symbicort point as you mentioned, what would be a rough timeline in your expectations for Symbicort approval in the US?
Umang Vohra: I would say about we should be tracking within a period of 18 months.
Nitin Agarwal: More like a second -half '27 launch?
Umang Vohra: Yes.
Nitin Agarwal: Secondly, on the India business, we have done reasonably well over the last few years from a revenue growth perspective. I mean, if you can give us some color on qualitatively how is the profitability of the business sort of changed over the years -- has the profitability improved a fair bit? An d what kind of opportunities do you see in this business? I mean, one assumption is that typically these are branded businesses and the branded businesses as scale comes, profitability keeps increasing a little bit disproportionately, is that the right way to think about it?
Umang Vohra: I think scale is a very big scale and growth is a very big driver for profitability. But we have also been taking a lot of actions about optimizing our productivity, we have been taking actions about automating our processes, about improving the way our reps detail, and in the last 1.5, 2 years we have also expanded our field force, right, we have added fairly significant number of people. I think our view on India is that as the penetration in the market increases, the market offers a lot of o pportunity. So, for us, yes, profitability has improved, but largely due to the fact that we have optimized our own productivity. Because if you really look at the last two years or three years, there have been hardly any price increases that anyone has been able to take. The weighted average ratio of price increases would not be higher than 2% or 3% in our case and so we have had to drive profitability growth just out of optimizing our productivity. And that's what our team has done in our India business. And I think as a result of that, we have kind of expanded our margin and use that to reinvest for more reps in the market.
Nitin Agarwal: And is it sort of fair to assume India profitability would be higher than our overall profitability numbers, should be in line with that, how should we think about it broadly?

Ashish Adukia: We don't provide margin -specific guidance. You have to also keep in mind this year has Revlimid it has base U.S. business, it has got India business, then there was a transition in the generic business, but it would be safe to assume that our India busine ss profitability is kind of higher than the overall company average.
Nitin Agarwal: In the past you've talked about licensing in possibly Mounjaro facility decides to launch in India. There are talks that Lilly would be looking to launch sometime this year, actually take their launch, any color on by when if we still are there in the rec koning to become a partner for that and how important will that be for us as a business?
Ashish Adukia: Obesity as a category will be important because I think it's one area which is very closely related to cardiology, very closely related to metabolic. I think we want to be there when the market forms and obviously Lilly is a very trusted partner, we'd like to believe the same of ourselves with them. But it is completely Lilly's decision

on who they would choose as a partner and we have always maintained that should they need support to launch in the market, we are always available.
Nitin Agarwal: In a television interview, there was a flash that we talked about margins for Q3 not sustainable. So, this is more in the context of Q4 being a seasonally soft quarter or there were certain elements in the Q3 which were not sustainable in the first place?
Ashish Adukia: No, I don't think Cipla can do 28% EBITDA margins and that is what I mentioned because the question was with respect to quarter, whether you'd be able to do 28% EBITDA consistently and I said no, that's not a sustainable margin profile for us. And it's be cause of the mix of respiratory season in India, it's because of a larger share of growth from EMEU in the previous quarter of year-on-year growth and these type I don't think we can sustain that level of margin going forward. That is what I had mentioned. But at the same time we also said that we will exceed our guidance range for the current year and based on what we had guided earlier. So, 28% is not a sustainable margin for us. That's what I meant.
Moderator: As that was a last question, I would now like to hand the conference over to Ms. Diksha Maheshwari for closing comments. Over to you, ma'am.
Diksha Maheshwari: Thank you, everyone for joining in. If you have any further questions, please write it to investor.relations@cipla.com.
Moderator: Thank you, members of the management. On behalf of Cipla Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: May 2025

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 41916000 F +91 22 41916120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r
L24239MH1935PLC002380
16th May , 2025
(1) BSE Ltd
Listing Department
Phiroze Jeejeebhoy TowersDalal StreetMumbai - 400 001
Scrip Code: 500087(2) National Stock Exchange of India Ltd
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Plot no. C/1, G BlockBandra Kurla Complex
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Societe Anonyme
35A Boulevard Joseph IIL-1840 Luxembourg
S
ub: Q4 FY25 - Earnings Call Transcript
Dear Sir/Madam,
W
e are enclosing herewith copy of the transcript of the Company's Q 4 FY25 earnings conference call
dated 13th May , 2025 . The transcript is also available on the Company's website i.e.
https://www.cipla.com/sites/default/files/CiplaLtd -Earnings -May13- 2025.pdf
Kindly t ake t he ab ove in formation on re cord.
Thanking you,
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For Cipla L imited
Rajendra C hopra
Company S ecretary
Encl: as above
Prepared by: Chirag Hotchandani

"Cipla Limited
Q4 FY '25 Earnings Conference Call"
May 13, 2025

M
ANAGEMENT : M R. UMANG VOHRA – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – CIPLA LIMITED
M R. ASHISH ADUKIA – GLOBAL CHIEF FINANCIAL
OFFICER – CIPLA LIMITED
M S. DIKSHA MAHESHWARI – HEAD, INVESTOR
RELATIONS – CIPLA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Cipla Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-on ly mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Diksha Maheshwari, Lead Investor Relations from Cipla Limited. Thank you, and over to you, ma'am.
Diksha Maheshwari: Thank you, Rutuja. Good afternoon, and a very warm welcome to Cipla's Q4 FY '25 Earnings Call.
I'm Diksha Maheshwari from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussion will include certain forward-looking statements, which are
predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the company.
Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expres sed or implied. Cipla does not undertake any obligation to publicly update any forward-look ing statement, whether as a result of new confirmations, future events or otherwise. I hope you have received the investor presentation that we have posted on our website.
I would like to request Umang to take over.
Umang Vohra: Thank you, Diksha. Good afternoon, everyone, and thank you for joining us on our fourth quarter's earnings call for financial year 2025. FY '25 marks a year of high milestones across our flagship businesses of One India, North America, One A frica and EMEU. Our One India business surpassed
the landmark of INR11,000 crores revenues, reflecting our strength in the domestic market.
North America saw remarkable progress with 3 key new drug approvals, further solidifying our foothold in the region. Meanwhile, our One Africa and EMEU businesses maintained strong growth momentum throughout all the 4 quarters, highlighting our commitment to sustainable
expansion.
Coming to our business performance. Our One Indi a business posted a healthy growth of 8% year-on-year this quarter with a full year growth of 7% year-on-year, driven by substantial progress across the branded prescription, trade generics and consumer health business. This growth was realized despite seasonal challenges, particul arly in the acute category, demonstrating the
resilience and derisked business mix in a dynamic market landscape.
In our branded business, our key chronic therapies of respiratory, cardiac and urology continued to outpace market growth. Our overall chronic mix further improved to 61.5% as per IQVIA MAT '25. Foracort, our leading inhalation brand became the first brand in the history of IPM to cross INR900 crores, reaffirming its position as a mark et leader. This year, we expanded our presence

in the IPM by adding 4 brands with revenues exceeding INR100 crores, bringing our total to 26.
Additionally, we have increased our footprint to the top 300 ranks where we have 23 brands in the top 300 ranks.
During the year, Cipla took strategic strides in expanding its portfolio through key partnerships with global players. We collabor ated with Orchid Pharma for cefepime-enmetazobactam. In India, we joined forces with Takeda to bring vonoprazan, and we signed a multiregional licensing deal with Formosa for clobetasol suspension. To elevate our offerings, we will be launching innovative products like inhaled insulin and plazomicin backed by -- and are backed by a good pipeline of high potential assets in various stages of development.
Our trade generics business continued its upward trajectory du

ring the quarter on the back of
vigorous execution and distribution, new launches and technological advancements. Expanding our portfolio remains a key pillar of our growth with 19 new introductio ns this year, further elevating our market presence.
Our Consumer Health business delivered strong dou ble-digit growth for the quarter as well as FY '25. Our anchor brands of Nicotex, Omnigel and Cipladine maintained leadership positions in their respective segments, securing the number 1 position in the market again.
North America business achieved a quarterly revenue of $221 million with an all-time high annual revenue of $934 million, propelled by strong traction in the differe ntiated portfolio and consistent demand for our base business. Our albuterol market share remained steady at 18%. The quarter, we have begun to see supply normalization for Lanreotide, and we remain optimistic about

reaching the previous levels from the earlier quarters.
Additionally, apart from receiving a number of smaller approvals, we obtained 2 significant drug approvals this quarter, nano paclitaxel ANDA and the Nilotinib NDA approval. We have already launched and started selling nano paclitaxel in a couple of EMEU geographies and are hoping to do the same in the U.S. soon.
Our One Africa business grew at an impressive 15% year-on-year during the quarter with a full year growth of 12% year-on-year in USD terms. In the private market, our secondary growth outpaced market growth at 6.7% versus 4.9%, enhancing our co mpetitive edge. No rth Africa also recorded robust growth during the quarter, fortifying our presence across the region. In our EMEU business, a strategic focus on deep market penetration has established a solid foundation, delivering a quarterly revenue growth of 16% year-on-year and an annual revenue growth of 15% year-on-year.
After 4 years of stable performance, our EMEU business is now entering a phase of growth. This performance was led by expansion across both DTM and B2B categories alongside consistent margin, stability and internal pipeline assets.
I'd like to update you about our U.S. pipeline. We remain committed to our organic investments with a strong focus on R&D for the U.S. market. In respiratory, we have filed 6 assets, including

Symbicort and Qvar, the generic versions of both, with launches expected in line with the review process.
Four more respiratory assets will be filed in the next 12 to 18 months. We are now closer to commercializing generic Advair and are pleased by the promulgation signed with the administration for approving launche s from U.S. facilities faster.
In peptides and complex generics, 9 assets are already filed and some launches projected -- with some launches projected between FY '26 and '28. We aim to file 10 more peptides and complex generic assets in the next 12 to 24 months. We remain committed to launching 2 to 3 peptide assets in FY '26.
Coming to the regulatory front. As you're aware that during the year, the U.S. FDA audited 5 of our manufacturing facilities based in India at Patalganga, Kurkumbh, Goa, Virgonagar and Medispray and all of these inspections have been classified as VAI. This accomplishment reflects our dedication to quality, compliance and operational excellence.
I would now like to invite Mr. Adukia to present the financial and operational performance.
Ashish Adukia: Thank you. Thank you, Mr. Vohra, and good afternoon to all. I'd like to present the key financial highlights for the quarter and the financial year 2025. And as highlighted earlier in other quarters as well, this is adjusted for QCIL numbers.
In early part of the year, we had issued a range of performance, which we are happy to inform that we have now executed as per plan. We are pleased to report a quarterly revenue of INR 6,730 crores with a healthy Y-o-Y growth of 9%, driven by our focused market

s. As a result, we ended the year at INR 27,548 crores with revenues growing 8% Y-o-Y.
The EBITDA margin stood at 22.8% for the quarter, higher by 150 basis points Y-o-Y and 25.9% for the year, marginally exceeding our guidance which was higher by 139 basis points Y-o-Y. As per practice, this EBIT DA margin does not include the other income.
Gross margin after material costs stood at 67.5% for the quarter, which is 74 basis points above last year's figure. The gross margin for the year stood at 67.6%, which is higher by 150 basis points -- 157 basis points Y-o-Y. Expansion and profitability is largely due to favorable mix, calibrated price actions across branded and generic portfo lios and impact of easing cost escalations.
Total expenses for the quarter include people costs and other expenses, which stood at INR3,003 crores, higher by about 7.4% on Y-o-Y basis. Annually, the expenses were INR11,491 crores, higher by 8.7% Y-o-Y. The R&D investments for the quarter are at INR426 crores, which is about 6.3% of revenue, driven by product filing cost, developmental efforts. Overall, for the year, the R&D investments stood at INR1,524 crores, which is at 5.5% of the revenue.
For the quarter, PAT stands at INR1,222 crores, representing 18.2% of sales, with the effective tax rate of 18.6%. On a full year basis, PAT amounts to INR5,273 crores, accounting for 19.1% of sales, and the effective tax rate for the year is 22.4%. The slightly lower ETR in FY '25 is due to

reversals of previously recognized tax provisions and certain other adjustments. And even after

adjusting for this impact, PAT continues to grow strong double-digit growth for the year, reinforcing the company's so lid financial performance.
ROIC continued to be strong at 30% plus for the year. Our free cash generation and operating efficiency endures to drive healthy cash net position. As of the year-end, debt on our balance sheet, including the lease liabilities stood at INR438 crores with net cash eq uivalent balance after adjusting for debt at INR10,369 crores.
Looking forward, our key focus areas for FY '26 wi ll continue to be priority for One-India, would be to continue the growth momentum to be ahead of the market in both branded prescription and trade generics. We'll further work on cementing gr owth levers for wellness portfolio, including ramping up our new launches.
In North America, our focus would be maximizing the commercial execution and expediting our new launches. In South Africa, as was the year before, our focus will be a margin expansion. EMEU, our top priority is to maximize top line with focus on deepening our penetration in identified core markets, while sustaining our strong margin trajectory.
In terms of our FY '26 guidance, our business model and product pipeline remains resilient, leading to our revenue trajectory continuing in the growth path, and this is desp ite the generic Revlimid losing its exclusivity during the year. Our outlook for projected EBITDA margin is in the range of about 23.5% to 24.5%.
That's it from my side. Thank you for your attention, and now I'll request the moderator to please take the questions.
Moderator: The first question is from the line of Dr. Kunal Dhamesha from Macquarie.
Kunal Dhamesha: The first question on the nano paclitaxel launch that we are anticipating in U.S. in the near term. Umang, how are we looking at this market, given there are other players with a 505 (b)(2) kind of product. And then with our product, how are we positioned to gain market share? And is there any technicalities regarding a channel -- a particular channel of selling? If you could highlight those aspects would be great.
Umang Vohra: Sorry, we were on mute. Bulk of the market is -- I think there are -- what we know there is 1 NDA player, and there are 2 generics. And I think one of the generics is, it will continue to -- it

will expand for ANDA generics, because they are substitutable. And actually, from a reimbursement perspective, it is our belief that all -- that ever ybody is reimbursed like a generic. But we feel that the market is large enough for us to take meaningful share.
Kunal Dhamesha: What would be your estimate of the total addressable market now?
Umang Vohra: No. At least -- the market was $800 million, $900 million pre generic. I think the IMS would still show it at that level, but there would be a gross to nets to bring the mark et down which typically is not very high on the institutional side of the business, unlike the retail, where the gross to nets

are really high. But here, the gross to net is going to be very significant -- I mean it's going to be closer to the overall IMS reported number. Our belie f is that we should play for fair market share on this product category. So I wouldn't be too surprised if our share reflects that.
Kunal Dhamesha: Sure. That's great. And secondly, I think I missed any commentary on Advair, and then overall on the respiratory pipeline that we suggested. Could you please...?
Umang Vohra: So Advair, as we mentioned, will be commercial ized from our site in the U.S. And the product, obviously, we've taken our batches and we've gone through the regulatory process. I think the -- depending on how the U.S. prioritizes domestic site filings, we definitely see it as an FY '26 launch. The question is depending on the priority of the fi lings, we will probably either be launching it in the early part of the year or the later part of the year.
Kunal Dhamesha: Sure. So we have filed an amendment to ANDA, right, and not the CBE-30?
Umang Vohra: No, no, it can't be a CBE-30 because it's from a new site. So that filing has already gone where it is filing from a new site. So it can't be a CBE-30. I think there was a recent promulgation from the U.S., which said that when you make filings from domestic facilities, right, then your files may be prioritized. So we are -- we yet to see what happens basis that at this filing.
Kunal Dhamesha: With your permission, if I may, one more on the potential pharma tariff. Is there any update, I mean, on your side in the U.S. market, if you are getting something from your partners or distributors? Any color would be helpful there.
Umang Vohra: Actually Ashish is closer to those discussions. So maybe Ashish, you can give a view on that.
Ashish Adukia: Yes. So we -- see we have not, in any way, got impacted by any -- and this is an evolving situation. We have to yet to see on what gets decided finally. But in our portfolio, we've not got impacted. And I think the most recent announcement doesn't really impact the generic players. In fact, it may just benefit. So we're yet to see this evolving situation.
Moderator: Sorry to interrupt, may we request Dr. Kunal Dhamesha to please rejoin the queue. We have other participants waiting for their turn. The next question is from the line of Damayanti Kerai from HSBC.

Damayanti Kerai: My first question is on Lanreotide. So Umang, you mentioned you have started supplies to few markets. But if you can talk -- so rry, for Lanreotide, how should we look at the normalcy or -- normalcy coming back in the supplies for the U.S. market?
Umang Vohra: Yes. Damayanti, I think my comment in the scri pt was more about nano paclitaxel. Yes, nano paclitaxel, we've already supplied to a couple of markets and we are ready to supply to the U.S. as well. I think on Lanreotide, as I mentioned, this quarter is -- the quarter that went by, quarter 4,
was significantly higher than quarter 3 and -- in terms of volume. And also this quarter, we are coming back to normalcy. I think the -- our mix of products is something that we are managing, but the product is quite significantly back into the channel.
Damayanti Kerai: Okay. So in first half itself, should we assume i

t will go back to the level where you left?

Umang Vohra: Well, yes. I mean, remember that, that level was built as a common strategy between the NDA product and the ANDA product. And for some time, the ANDA product took over, and that was -- and now we're coming back into both the NDA and ANDA. So eventually, we will reach that
level, if that answer your question.
Damayanti Kerai: Sure. And just a related thing, which product wi ll prefer, like the NDA 1 like the 505(b)(2) or NDA in terms of gaining market share quickly in the market?
Umang Vohra: No, I think the ANDA always gain share faster because it's just -- it's like the brand product. So -- but we are selling both right now.
Damayanti Kerai: Okay. And my second and last question is, if you can comment on your R&D outlook. So fourth quarter, in general, I guess, is more than what we saw in the previous quarters. It could be lumpy.
But in terms of spend in, say, '26-'27, how should we look at the R&D cost? And then which are the focus segments in near term?
Umang Vohra: So I think we're generally in the range. And see, we are usually guiding to not being ever higher than 6, 6.5, right? And that's for a full year basis. Some quarters may be slightly higher than that, some may be lower, right? But overall, we never do R&D more than that because that's what our business model allows us.
And quite honestly, we don't need spending more than that basis our pipeline and our portfolio.
Focus areas will continue to be respiratory, will continue to be injectable s, will continue to be products in the -- products which are for India, including the GLP-1s that are going to go off patent.
Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital India Private Limited.
Surya Narayan Patra: So first question is on the margin guidance what we have given. It looks like slightly lower than last year number. So is it because the Revlimid number is likely to be lower? Or is it because Revlimid has started seeing any kind of price corr ection in the last 12-month period of the given block?
Ashish Adukia: Yes, sure. So I can take that ques tion. So it's not the impact of like we mentioned the revenue will continue to be in the growth trajectory. It's basically a mix that is likely to change. And one of the key reasons is generic Revlimid, which will go out of exclusivity to wards the last quarter. So that will certainly have an impact on overall margin. And that's why we are guiding towards the margin number that we've given.
Umang Vohra: Maybe if I can just add to what Ashish said, I think in the current year, just to be in all transparency, we have possibly exceeded what we gave as a guidance range. And if you -- Ashish's commentary was about 150 basis points from where we guided is where EBITDA is higher, right? So if you were to just take the 150 basis points out, we're broadly in the same range that we had communicated as a possible guidance range for the last year.

Surya Narayan Patra: Okay. Sir, second question is about the capex for FY '26. What is our thought process there? And for the peptide as well as in th e GLP opportunity, how prepared we are? And also a last question, if I just -- since it is the final year -- I mean fourth quarter results that we are discussing, what would be the overall respiratory revenue that we would be making out of the consolidated revenue?
If you can give that number, please?
Ashish Adukia: Okay. So I think there are probably 3 questions in that one question. So let me start with the first one on capex. I think -- so see, if you see in the last couple of years, we've actually increased our investments on the capex side. And these are all very strategic calls that we are taking to actually -- and to increase our capacities in respiratory capacities. And so most of

the capex that you see are actually -- growth capex that you see are actually oriented to increase the respiratory capacity in MDI, DPI and rescues.
Other than that, we also have our capex oriented towards derisking to the outside India facilities.
So we have the China facility that got capitalized recently and the product supply has started from there. And then we have both facilities in the U.S. getting r eady to start supplying MDI and DPI from there. And then you have a large maintenance capex as well, which is ongoing. So that's been our capex strategies, all oriented towards our strategic plan that we have in the future.
On your second question, which was on GLP-1, okay? So I think Umang has covered in the past that we'll be ready whenever there is a first wa ve of launch that will come through. And we are looking at both in-house as well as third-party partnerships out there to make sure that we are in the first wave of launch. And your third question...
Surya Narayan Patra: Was about the respiratory revenue share?
Ashish Adukia: Yes. So it's about -- see, respiratory is one of our top strategic -- continue to be our top strategic pillar. So we continue to be 30% kind of a revenue overall that comes from the respiratory on a global level. So that's what we track very closely.
Surya Narayan Patra: Okay. Sir, did you share any number for the capex for the next year? No?
Ashish Adukia: So about 4% roughly of your -- 5% of your revenue, yes, somewhere around that would be the figure for the capex, 5% of revenue you could take.
Moderator: The next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Umang, on the India market, now that the trade gene ric restructuring that we were doing is behind, if I look at this year, obviously, that was impacted by seasonality. How should I think about growth? While we have mentioned higher than IPM growth, what's your overall sense on what the market growth can be, therefore, what the trade generic and branded generic growth for Cipla could be?
Umang Vohra: So I think I was just mentioning this a little earlier to someone else, the market -- overall market growth rate range of 10 to 12 has now moved to 8 to 10. And the reasons for that is that we've gone through pretty superlative new introduction movement in the market because you had everything

coming off patents, dapagliflozin, empagliflozi n, right? You had sacubitril/valsartan. A lot of products went off patent and therefore, NI growth actually went up. And so therefore, you lost right -- compared to that and now you will see -- possibly 1%, 1.5% lower future growth due to the fact that the NI season, as you may call it, of expiries is gone.
The second aspect is inflation us ed to be higher. So companies were given pricing adjustments, which was at inflation then. Inflation numbers are now lower, so you lose another 1% to 1.5% there. So what was a 10% to 12% range is now somewhere in the 8% to 10% range going forward for the industry. And Cipla will do be tter than that overall in India.
Neha Manpuria: Understood. And in trade generics, we have regained all the -- whatever lower volume that we have, so it's fully back to normal?
Umang Vohra: It is fully back to normal, and the whole distribution channel now is completely internalized to Cipla.
Neha Manpuria: Understood. My second question is on capital allocation. Given th e cash that we are sitting on, I know you've indicated in the past. But as you just refreshed through what your priorities are, has there been any changes in terms of where you'd look at opportunities inorganically to deploy that cash?
Umang Vohra: Ashish?
Ashish Adukia: Yes. So I think, again, we see India as our growth market. And I think it always gives you a good return on capital as you invest capital in India. We've invested on people. We've been investing on capex that I talked

about. And we'll also continue to look at small to large M&A opportunities out there, which can come in the form of not just companies, but product portfolio, etcetera, that we may acquire out there.
I think the second opportunity that we see is always adding to the portfolio in the U.S. So we keep looking at partnerships where complex -- where we can acquire complex generic ANDAs or NDAs, which requires you to pay some sort of mi lestone upfront, but then the asset is yours and you start to commercialize those assets. I think other than that, EMEU, we look at opportunistically acquisitions out there as well.
It won't be large in size, but more midsized kind of an opportunity that we'll invest in. So we have many avenues to look at from a capital allocation point of view. And you would have seen that we have also accordingly maintained the dividend that we had increased in the last 2 years.
Moderator: The next question is from the line of Shashank Krishnakumar from Emkay Global.
Shashank Krishnakumar: My first one was on the partnered inhalation asset, which we had filed a few quarters back. Just wanted to check if we are on track to commercialize this asset sometime next year. And also just

wanted to check which facility is this asset now filed sir?
Umang Vohra: Yes. The asset is on track for commercialization. And also the asset was originally filed from Goa.
It will be commercialized from Goa. We're also creating a new filing for -- we are also

supplementing the file if -- where needed by also having the option of doing this from our U.S.
facility.
Shashank Krishnakumar: Got it. My second question was on the domestic business. I think we mentioned in the opening remarks that the Consumer Health business saw do uble-digit growth this quarter. Would it be fair
to assume that the trade generic business also grew in double digits this quarter?
Umang Vohra: No, I don't think so. I think the trade generic business did not grow as much as the Consumer
Health business. It did not grow double digit.
Ashish Adukia: Yes. So trade generic business, if you see Y-o-Y basis, okay, so the model change that happened impacted quarter 1 of FY '25. So quarter 4 was broadly a normalized quarter of FY '24. So therefore, the Y-o-Y growth out there in trade generic is a normal growth that you would see.
Moderator: The next question is from the line of Sidharth Negandhi from Chanakya Wealth Creation.
Sidharth Negandhi: This was again on the domestic business. How are you thinking of the schedule extension that was given up to 31st December for MSMEs in context of whether that can be a tailwind for further growth on the trade generics business as well as the branded generics business? Do you see that a
tailwind coming in should that implementation happen? And how are you thinking whether that is likely to happen?
Umang Vohra: No, I don't think we see that as a big driver for our growth. In fact, I think not having the ability to
create more uncertainty in the market. So not -- I don't think we see that as a big headwind -- as a
big tailwind for us this year.
Sidharth Negandhi: And the second question was on what you mentioned about the recent most U.S. regulations, right?
Now while it is an advantage for generics as far as the MSME is concerned, given certain parts of
the portfolio at supplies, also specialty, does that most favored nation policy create any impact on that specialty part of the portfolio?
Umang Vohra: We don't have too much share of new drug spec. I think the focus of the legislation is on new drug
spec as against simple 505 (b)(2)s, which are either with different salt forms or with different
delivery systems, because most of those 505 (b)(2)s are reimbursement -- that's reimbursed at the
same manner in which the ANDAs are reimbursed. So I think the focus of the legislation is on new
drug NCs and we don't -- a new drug products, and we

don't have those.
Moderator: The next question is from the line of Devang Shah from Asit C Mehta Investment Limited.
Devang Shah: Just I want to know that the way you have mentioned as far as your EBITDA guidance the -- as
far as overall revenue for next FY '26, can we expect that your top line is going to go in the range of 7% to 9% kind of thing.
The way you already mentioned that you are going to continue the
same growth trajectory. So I'm just talking about the overall growth, will be in the same range as
far as top line revenue is concerned?

Ashish Adukia: Yes. So Devang, we don't give revenue guidance. And then we usually every year give EBITDA
margin guidance, because our focus is on profitability to ensure that we maintain that. So that's why we continue to give the profit margin.
Devang Shah: Okay. And my second question, the way, sir, the U.S. in which the situation somewhere right now
evolving related to pharma-related aspects, can you throw some light that it is going to affect the
-- our U.S. business or we do not have any kind of challenges due to that?
Umang Vohra: No. I think there are 2 things that are happening in the U.S. One is the tari ffs for which right now,
there are no tariffs on generic products from India, by and large, and from -- actually a lot of
countries other than perhaps one odd country. So I don't think we're impacted by tariffs as yet. And we don't see the markets as being ve ry different in the future on that.
The second one is the recent executive order on pricing reductions that companies are to
voluntarily take. I think that is -- generics, quite h onestly, is a beneficiary of that order because it
creates a market where generic drugs would be preferred. We're not seeing this in -- we're not seeing that impacting our business at all.
Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Umang, are we still expecting to launch Symbicort in FY '27?
Umang Vohra: '27, yes. We should be hopefully there.

Bino Pathiparampil: Okay. And sir, there is this product Teduglutide in which you and your partner have filed a -- filed for a declaratory judgment. Could you give some details about when do you expect to launch this?
Umang Vohra: Actually, Bino, I would rather not provide, since the product is competitive. I think it's -- but if you follow the court and what the summary judgment is being -- or the details being asked for, I think, you might be able to figure it out. So yes...
Bino Pathiparampil: Understood. Understood. Okay. And if I can put it this way, I believe the product has an orphan drug exclusivity to May 2026. So is it slightly before that or after that?
Umang Vohra: Yes. I think you're on the right track, Bino. You're on the right track. I'm not -- yes, I think you're on the right track, and it might be a little bit longer than that also -- after that also.
Bino Pathiparampil: Got it. And finally, with Lanreotide coming back, are we looking back to getting to our peak U.S. run rate of $250 million a quarter starting next quarter or something like that?
Umang Vohra: Well, if lenalidomide stayed at where it was now, yes, we would have got there and crossed it. But you also have to see the next 2 or 3 quarters is when we will see a compression in lena. And that will be offset by these new products that are coming up. So our current guidance range is different for the overall U.S. market. We don't comment specifically by product. But as of now, we are looking at something like $220 million for the U.S. going forward in the next quarter or so.
Bino Pathiparampil: Sorry, you said $2 20 million around?

Umang Vohra: That's right. For the next quarter, considering what we know is going to happen to lena, etcetera.
Moderator: Next question is from the line of Dr. Kunal Dhamesha from Macquar

ie.
Kunal Dhamesha: Just one clarification on Lanreotide. We said that by quarter 1 or the current quarter, we have enough product in the channel to reach the previous market shar e. Is that correct understanding?
Umang Vohra: No, I don't think we said enough product in the channel. I think we said we have resumed our supplies back. The channel, quite honestly, is quite -- does not have too much product of Cipla because we are getting back into the business. So right now, we have -- we are projecting enough supply to be able to star t building towards that range.
Kunal Dhamesha: Okay. So basically our revenue ramp up would be mo re or less in line with our market share ramp-up? Is that the correct way to understand?
Umang Vohra: So let me -- yes, so let me probably say that we are right now at a stage where we are beginning to produce to roughly the same levels that we used to produce when we had the market share that you have in mind. And from that -- to go through that market share, b ecause we have to keep a little bit of stock spare as well as fill the pipeline and f ill the channel, it will take a little bit of time. But production is roughly coming back to the level that we used to have when you saw the market share you have in mind.
Kunal Dhamesha: Great. Another clarification on Advair. When di d we file the amendmen t to the U.S. FDA?
Umang Vohra: It was -- I don't think we are giving that level of guidance specifically because, again, the product -- the launch time lines can be calculated from that perspective. But I can ju st tell you that it's already into the FDA, and it's been filed.
Kunal Dhamesha: Sure. And lastly, the 3 peptide assets that we expect to launch in FY '26, any indication as to how should we think about the size of these products with respect to the currently launched peptide products?
Umang Vohra: Ashish, you may have better color on this.
Ashish Adukia: Yes. Sorry, you...
Umang Vohra: 3 peptide.
Ashish Adukia: Yes, yes. so I think it's -- we're not giving guidance of size, but these -- one of them is likely to be a large asset for us. And the other 2 would be smaller assets.
Moderator: The next question is from the line of Anubhav from UBS.
Anubhav Agarwal: One question on Nilotinib. I'm just trying to understand this as an opportunity. Is it a $10 million, $20 million opportunity revenue size or...?

Moderator: Sorry to interrupt you, Mr. Anubhav. Can you speak a bit louder? We are unable to hear you clearly.
Anubhav Agarwal: Yes, sure. Sure. I repeat my question. So first, is this okay? Am I audible now?
Moderator: Yes, you are.
Anubhav Agarwal: Okay. So first question is on Nilotinib, just trying to understand how big is this kind of opportunity? Is it like on reve nue, roughly about $10 million, $20 million opportunity annually or this can be a $20 million, $5 0 million scale opportunity? Just trying to understand this.

Umang Vohra: Anubhav, we are not giving product level guidance or specifically on this, but there are multiple factors that can play out on this. And I think they are related to how soon an ANDA enters versus how soon a B2 product can exist.
Anubhav Agarwal: And you will be launching this product when?
Umang Vohra: It's imminent. It's imminent.
Anubhav Agarwal: And just on the U.S. sales, last year, we did $934 million. When do you expect to reach this level in, let's say, FY '27, '28, '29? When would you again reach that level, roughly?
Umang Vohra: Well, the hope will be to obviously reach at -- to reach the same level. But depending on the challenges in the market, we don't think that there's enough definitive and predictive analytic to suggest where we'll reach because there's -- lena is fairly significant, and it depends on how the lena trajectory unfolds in the U.S. But we've given you a range for next quarter. I think if you use that and add some of our new launches

and take an estimate of where lena goes, you might be able to come to a conclusion.
Anubhav Agarwal: Just one last question on the semaglutide in India market. So when you launch it, would you be pursuing both the target and the injectable versions there or only one of them?
Umang Vohra: We will be in whatever variant forms for the mark et. And I think it will likely to be the injectable first. And I think we'll definitely be in that. And also in -- as and when the market opens for the oral, we'll also be there in that.
Moderator: The next question is from the line of Sanjay Kohli from Gold Stone Capital.
Sanjay Kohli: So this executive order, when does it get implemented? And it's very interesting that you said that generics will actually benefit out of it because the innovator prices are -- if it's going to really target the innovator pricing then ju st give some -- can you give some color on this...?
Moderator: Mr. Kohli, sorry to interrupt you. Your voice is sounding very muffled, sir.
Sanjay Kohli: Muffled? Okay. Better now?
Moderator: So what is happening there is echo also, which we are getting from your line, sir.

Sanjay Kohli: Just a second, let me come near the window to have a better signal. My question -- am I audible now?
Moderator: Yes, please go ahead, sir.
Sanjay Kohli: So the question is directed about the executive order, which is proposed. How quickly do you expect this to get sort of implemented? And on a voluntary basis, could you give some color on this and how it affects pricing on generics?
Umang Vohra: Well, right now, we don't think it affects pricing on generics. We think that the executive order is probably more towards branded drugs as against generic medicines. And we believe that in the long run, generics will be a beneficiary to this.
Sanjay Kohli: How?
Umang Vohra: Well, look at it this way that if you -- if your overall prices are promulgated to reduce, why would branded companies be interested in spending massive amounts of promotion, etcetera, into it. And therefore, the newer -- the categories of drugs that cannot be -- they may actually move over to those drugs which are already generic but -- yes, go ahead.
Sanjay Kohli: So would it mean that the system is recognizing a certain inefficiency innovator and that is also likely to -- they're likely to -- something to be happening there also for lowering the cost.
Umang Vohra: I don't know. I mean look, I think right now, it's been 1 day since the orders come. They're also digesting it. Maybe we'll be in a better position to speak about it over the period of the next month. It's too recent. I wish them to review it after earnings call today. This has got a lot of questions on it, but we really don't know much about it. Sorry.
Sanjay Kohli: So can I get -- slip in another question, please, on the proportion of your U.S. sales, how much of it do you manufacture in the U.S. close to $1 billion?
Ashish Adukia: Yes. So about 25% comes from U.S. Right now, it's mainly orals, and we'll be adding, like I said, MDI and DPI as well. And about -- roughly about 33% -- 1/3 of roughly comes from India currently. The balance we have CMOs, etcetera.
Sanjay Kohli: And my question was of the 29% of North American sales, what percentage of that is supplied by your facilities over there?
Ashish Adukia: Yes, that's what I'm saying. So if you -- so 25% to 30%, like I said, it's 1/3, 1/3, 1/3 of U.S. sales.
Sanjay Kohli: Right.
Umang Vohra: So 1/3 of U.S. sales. So for the 29%, let's say, 10% will be made in U.S., right, and 10% in India and 10% is the rest of the world.
Moderator: The next question is from the line of Krishnendu Saha from Quantum Mutual Fund.

Krishnendu Saha: Quickly on the India piece, the 7% Y-o-Y growth, is it largely attributable to volume growth?
Umang Vohra: No, actually, it's a mix of all

3. If your question is whether the volume growth is majority in India,
no, I think pricing is also there and so is new in troduction. So no, I don't think it's all volume.
Krishnendu Saha: Okay. Just one more thing on China, the plant you said it started supplying. What does it exactly supply, to which region? Any color on that?
Umang Vohra: It's a respiratory plant. So it supplies respiratory medication and is built with the intention of supplying the China market and other markets that require that product, including the U.S., if required.
Krishnendu Saha: And this will include the future filing s also, which you target for the U.S.?
Umang Vohra: Not really. This is only for the current filings. The future filings are going out of our sites in the U.S. and India. Yes, the China market itself is also quite big for the type of products that we will be managing.
Krishnendu Saha: I see. And just a double check on the Revlimid have we filed for -- sorry , not Revlimid, I mean, sema, have we filed for Canada or some Brazil market?
Umang Vohra: No, we have not.
Krishnendu Saha: And on the Revlimid, do you get any volume increase this year?
Umang Vohra: Yes, I think the -- if your question is, has there been a volume increase as per this, I think for us, very marginally compared to some of the other players who've had huge amounts of -- who have commented on larger volume share. For us, it's very marginal as per the agreement that we've signed with them.
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: On the Europe and emerging market business as well as South Africa, we've had a pretty strong recovering growth this year. How should we look at these markets from here on? These are the -- has something really changed in these businesses?
Ashish Adukia: See, I think South Africa, there are a couple of port folios that helped us to grow at those numbers. So 3 levers actually -- let me put 3 levers out th ere. So one is the Actor acquisition that we had made that helped us to grow out there on the OTC side primarily. Second is some opportunistic tenders that we did out there, which also helped us to grow out there. And the third is new launches that we've been doing.
So our new launches share has been higher than our competition. So that has actually also helped us grow. But overall, if you look at the market, it's a 4%, 5% market -- growth market. So I think on a normalized basis, we should take 4% to 5% kind of a growth for South Africa and not necessarily the beatin g growth that we have done because our focus will also be on the profitability there.

EMEU is a multitude of many markets. So therefore, it is difficult to give a number because there will be different growth rates in different markets. But I think we -- last year, we focused a lot on execution, which has helped us to achieve a 15% growth on USD terms. And like we've said that it has entered the growth phase. So next year also our target is to actually grow that in that market.
Nitin Agarwal: And secondly on the U.S. with the guidance that you put out about $220 million thereabout for Q1. Do you see a lot of the impact of lena actually getting factored probably in that number? So with some of our bigger launches coming through the year, do we see this number picking up as we go along? Or this is a number which potentially can down further depending on how lena plays out?
Ashish Adukia: I think Umang has covered that question. I think we are not giving guidance right now beyond quarter 1. for U.S.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal.
Tushar Manudhane: So just on the peptide assets, if you could elaborate in terms of the investment done till date as far as R&D or manufacturing is concerned? And what ki nd of investment sort of we are targeting over the next 2 to 3 years?

Umang Vohra: Ashish bhai?
Ashish Adukia: So peptide is -- a lot of our peptide portfolio, we go outside to the CMOs. We -- like we said that we don't have injectables facility. So therefore, a lot of our investment is on the development side on peptides. And -- so there are 3, 4 broad categories of R&D expenditure that we have. Peptides is one of them, respiratory, bio is there. And then there are other complex and long-acting injectables, etcetera, that we have. So it's part of the R&D expenditure that we incur.
Tushar Manudhane: Got it. And one last -- in the earlier comments, you referred to some large assets probably we can be there for FY '26. So this approval, what is the -- if you could share the expected time line for

the approval for this product?
Umang Vohra: No, I think there are -- we have 2, 3 products which are peptides, which we are expecting this year. Then we've got -- we've just recently been given the approval of nano paclitaxel, and there are a few others that we have in our pipeline. So we are hoping that these approvals can come in the second half of the year. And -- I mean, they will come when -- as they are approved in the first half and second half. But some of the -- you will see the full impact of a lot of these products in our second half of the year numbers.
Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Vishal from Systematix.
Vishal: So basically, my question is on the inhaled insulin...
Moderator: I'm sorry to interrupt you, Vishal. We are unable to hear you. Can you speak a bit louder?

Vishal: So on the inhaled insulin that you got approval for in the last quarter, just wanted to get the sense on the opportunity size. How are you going to price it versus the other injectable insulin? And largely because the asset has not done well globally so anything that you can kind of make it work in India?
Umang Vohra: Well, I think the -- obviously, on pricing, etcetera, we have an idea of where the market needs to be. I think we are working towards that. I think the launch is somewhere around -- should hopefully follow in 3 to 4 months, and we have a market plan for this. The idea of inhaled insulin is never to replace the way insulin is served in the market in India. So we don't -- by its very nature, the asset is a niche asset for people who cannot take injectable drugs or people who are hesitant to take injectable drugs. So that is the reason and the niche where it will be positioned. It's not a mass product. So I don't think the product needs to do hugely well in any market because it's not intended to do that. It's intended to serve a section of population and an unmet need for that population.
Vishal Manchanda: Okay. All right. So kind of any number as to like, can it be a low single-digit market share product in terms of volumes?
Umang Vohra: The overall insulin market, yes, probably that's wh ere it will end up. It's not going to be a huge market share product. But the insulin category is huge. And our research says that there is a list of people who have injectable phobia and who might actually benefit from inhaled insulin.
Vishal Manchanda: Right. And just a follow-up on GLP-1. Have we init iated the clinical trials on the -- for the India market?
Umang Vohra: Well, as I mentioned between -- we will be on th e day of the market creation. We are not giving specific detail on the product per se right now.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Diksha Maheshwari for closing comments.
Diksha Maheshwari: Thank you, everyone, for joining in. If you have any further questions, please write it to investor.relations@cipla.com.
Umang Vohra: Thank you.
Moderator: On behalf of Cipla Limited, that concludes this conference. Thank you for joining us, and you may now d

isconnect your lines.

Call: Jul 2025

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai- 400 013, India
P +91 22 41916000 F +91 22 41916120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r
L24239MH1935PLC002380

28th July, 2025

(1) BSE Ltd
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Bandra (East), Mumbai - 400 051
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(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q1 FY26 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 1 FY26 earnings conference call
dated 25th July, 20 25. The transcript is also available on the Company's website i.e.
h
ttps://www.cipla.com/sites/default/files/Cipla- Earnings -25Jul -2025.pdf

Kindly take the above information on record.

Thanking you,
Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Sharina Dsilva

"Cipla Limited
Q1 FY '2 6 Earnings Conference Call"
July 25, 2025

MANAGEMENT : MR. UMANG VOHRA – GLOBAL MANAGING DIRECTOR
AND GLOBAL CHIEF EXECUTIVE OFFICER – CIPLA
LIMITED
MR. ASHISH ADUKIA – GLOBAL CHIEF FINANCIAL

OFFICER – CIPLA LIMITED
MR. ACHIN GUPTA – GLOBAL CHIEF OPERATING
OFFICER – CIPLA LIMITED
MS. DIKSHA MAHESHWARI – HEAD INVESTOR
RELATIONS – CIPLA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Cipla Limited Q1 FY '26 Earnings Update Conference Call. From Cipla's management, we have with us today Mr. Umang Vohra, Global MD and CEO; Mr. Achin Gupta, Global COO; Mr. Ashish Adukia, Global CFO; Ms. Diksha Maheshw ari, Head, Investor Relations.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touch-tone phone Please note that this conference is being recorded.

I now hand the conference over to Ms. Diksha Maheshwari, Head, Investor Relations. Thank you, and over to you, Ms. Maheshwari.

Diksha Maheshwari: Thank you, Renju . Good afternoon and a very warm welcome to Cipla's Q1 FY '26 Earnings Call. I'm Diksha Maheshwari from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking stat ements, which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the company.

Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Cipla does not undertake any obligation to publicly update any forward-looking statements, whether as a result of new confirmations, future events or otherwise. I hope you have received the investor presentation that we have posted on our website.

I would like to request Umang to take over.

Umang Vohra: Thank you, Diksha. Good afternoon to all of you, and we appreciate you joining us for our quarter 1 FY '26 earnings call. As Cipla marks its 90th anniversary, we take a moment to reflect on our journey. What began with a simple yet powerful purpose of cari ng for life has evolved into a global movement, reaching millions through accessible high -quality health care.

FY '24 -'25 was a defining year, marked by record financial performance, deliberate growth across geographies and a robust innovation pipeline. Our One Cipla approach continues to drive excellence, agility and collaboration. This quarter, we delivered a steady revenue of INR 6,957 crores with an EBITDA margin of 25.6%.

What makes this performance commendable is that it builds on a strong prior year -on-year quarter where we achieved our highest ever U.S. generics revenue. This was achieved despite facing price erosion in one of our large products in the U.S., and it refle cts our ability to sustain momentum and navigate market dynamics with precision, powered by the relentless commitment of our team.

Coming to the quarter performance. Our One India business delivered a growth of 6% year -on-year for the quarter, breaching the threshold of INR 3,000 crores for the first time ever in the -- in opening quarter of the financial year, which is -- and it's now 44% of our global revenue. In our

branded prescription business, we have a higher concentration of respiratory and anti -infective therapies, which is almost 30% higher than the broader market. This skew has naturally impacted our overall growth trajectory given that these therapies saw modest market growth of just 5% each as per IQVIA MAT June '25 for this year.

We remain deeply committed to respiratory, a space where we continue to invest and evolve. This quarter, we launched Voltido Trio Ciphaler, an innovative addition to the differentiated triple therapy offerings, complementing products like Foracort G in our Synchrobreathe franchise. All future therapies and triple combo products are set to be launched via a new division that we have rec

ently created.

This transition was completed in April and May, and we expect to see strong benefits from this strategy in the upcoming season. On a MAT basis, we have outperformed the market in several key therapies, including respiratory, anti -infectives, diabetes, cardiology, urology, dermatology and pain, reaf firming the strength and breadth of our branded portfolio.

Let me also share some key highlights on the market performance this quarter for our branded business. The chronic segment continues to dominate and now has 61.5% share of our total sales as per IQVIA MAT June '25. Within this landscape, our flagship brand franchisees have delivered a strong uptick.

Foracort maintained its leadership as the number 1 brand in the IPM. We've added 5 new brands to the INR 100 crores club, taking our total to 29. Our presence in the brands ranking in the top 300 has also expanded, now reaching 23. Cipla leads in 6 therapies with top 5 rankings in IPM, underscoring our deep therapeutic expertise and the consistent execution across the portfolio. These achievements reflect our relentless focus on building strong brands, driving scale and delivering value to patients across India. Our trade generics business continues to deliver strong growth during the quarter on the back of vigorous execution in distribution, new product launches and technological advancements. Expanding our portfolio remains a key growth driver with 7 new launches this quarter addressing specific patient needs.

Our Consumer Health business continued its strong upward trajectory with Nicotex, Omnigel and Cipladine securing number 1 positions in their segments. We are driving healthy secondary growth and actively exploring opportunities to invest in products and channels to expand our distribution network.

Operating profitability improved, reflecting the strength and scalability of our consumer health strategy.

In North America, as expected, we delivered a quarterly revenue of $226 million. Albuterol ranked number 1 in the overall U.S. Albuterol MDI market with a 19.5% market share as per IQVIA. With over 50 million inhalers supplied from launch till now, Cipla continues to play a pivotal role in advancing respiratory care across the nation. In the U.S. we are adjusting to the older, larger

products substituting themselves due to price erosion. And what is balancing these in is the new launches that is helping us sustain momentum.

Lanreotide has already matched last year's average quarterly sales, and we see room for growth ahead. We expanded our portfolio with 2 key launches, Nano Paclitaxel and Nilotinib, strengthening our presence in complex generics and oncology. We also signed an agreement to launch Cipla's first biosimilar in the U.S. expected in quarter 2 FY '26, a key milestone that marks our entry into this high potential segment.

On our U.S. pipeline, we are now closer to commercializing generic Advair and welcome the promulgation signed by the administration for approving U.S. facilities faster. In parallel, we remain committed to launching 2 to 3 peptide assets in this year.

We are also preparing for key respiratory launches later in the fiscal year, including generic Symbicort and a couple of more inhalation assets. Normalized Lanreotide full year of g Abraxane, Nilotinib, peptide launches and our respiratory pipeline will cushion our generic Revlimid top line impact and fuel the long -term growth story for the U.S. market.

On the supply front, our U.S. business is well diversified with roughly 1/3 of our U.S. revenue from -- each coming from our U.S. facilities, India operations and strategic partners. We have also begun receiving supplies from our U.S. FDA facility in China , further enhancing the scalability and resilience for our North America business. Our China facility now i

s fully utilized.

Our One Africa business recorded a growth of 11% year -on-year in U.S. dollar terms, with South Africa growing 6% in ZAR terms.

In the private market, we delivered a robust secondary growth of 5.6%, significantly outperforming the market growth of 3.8%. Growth in One Africa was fueled by significant progress in key therapies, expansion of our tender business and successful new launches, demonstrating our ability to unlock opportunities and deliver value across diverse markets. In the EMEU business, our focus on deep market penetration is laying a solid foundation for sustained growth.

This quarter, we delivered a healthy 8% revenue growth in U.S. dollar terms, driven by impressive performance across both the DTM and B2B segments. This is notable since it was achieved despite ongoing geopolitical headwinds. Our ability to maintain margin stability by leveraging internal assets reflects the ability of our operating model.

On the regulatory front, the U.S. FDA inspected our Medispray facility located at Kundaim, Goa in this -- in the last quarter -- sorry, in quarter 4 of FY '24. And during this quarter, the inspection was classified as a VAI. During the quarter, the U.S. FD A also inspected our analytical testing facility of Sitec Labs located in Navi Mumbai, and this inspection has also been classified as VAI.

I would like to invite Mr. Adukia to present the financial and operating performance.

Ashish Adukia: Thank you, Umang-ji. Now I'd like to present the key financial highlights for the quarter. While this quarter faced a lower revenue growth in 2 of our core markets, we continue in the path of

strengthening our fundamentals and firmly focused on building long-term strategic gains. We reported a quarterly revenue of INR 6,957 crores, with a growth of 4% Y -o-Y. Out of this revenue, we -- for One India, we breached the threshold of INR 3,000 crores for the very first time in the opening quarter of any financial year. The EBITDA margin, excluding the other income, stood at impressive 25.6% for the quarter, which is broadly flat on a Y -o-Y basis.

Our strong EBITDA performance reflects the strength of our diversified business model and sharp execution. Notably, we surpassed our internal EBITDA targets by a healthy margin, reinforcing our ability to deliver quality earnings even in a subdued demand e nvironment.

Reported gross margin after material costs stood at 68.8%, an increase of 156 basis points Y -o-Y, largely attributable to a favorable shift in product mix and strategic portfolio management. Total expenses for the quarter stood at INR3,009 crores, reflecting an 8% increase over last year. This was primarily due to annual employee increments and increased investment in R&D.

We remain committed to innovation and future readiness. Our R&D investments for the quarter were INR432 crores, accounting for 6.2% of revenue. These investments were directed towards product filing and developmental efforts that will strengthen our pipeline and support long-term growth.

The profit after tax for the quarter stood at INR 1,298 crores, representing 18.7% of sales. This marks a solid 10.2% Y -o-Y growth with an expansion of 106 basis points.

ETR stood at 27%, which was same as on a Y -o-Y basis. Our free cash flow generation and operating efficiency continues to drive healthy net cash position. As on 30th June, debt on our balance sheet included lease liabilities and the total debt stood at INR 459 crores with net cash equivalent balance of INR10,379 crores.

Looking ahead, our priorities for FY '26 will include, for One India, the aim is to focus on execution to regain the growth momentum and outperform the market in both branded prescription and the trade generics.

In North America, we'll concentrate on enhancing commercial execution and accelerating the new product introductions.

In South Africa, the emphasis remains on expanding the margin.

EMEU, the top priority is to drive top line growth by deepening penetration in core markets while maintaining strong margin trajectory.

For the full year, we continue to maintain our EBITDA margin guidance of 23.5% to 24.5%, which is consistent with what we gave in the last quarter.

I would like to thank you for your attention, and over to the moderator for Q&A.

Moderator: Thank you. The first question comes from the line of Kunal Dhamesha with Macquarie. Please go ahead.

Kunal Dhamesha: The first one on the U.S. business now that we have seen some bit of price erosion in Revlimid and potentially, I think everyone is trying to sell their license quota here. How our outlook on the U.S. business growth remains for FY '26 and FY '27? And were Abraxane and Nilotinib already launched in Q1 or they were launched in July?

Umang Vohra: We have launch ed partially in Q1. We've not launched -- the Q1 does not reflect the full momentum of the launch for Nilo and Pacli. I think on the other question, yes, Revlimid will be a critical phasing. And I think it might phase out the way you had suggested, where the re might be -- in the first 3 quarters or so, there might be more Revlimid and quarter 4, it will peter off. But I think that's how generally we think it will play out, although prices have already started correcting in the mar ket.

Kunal Dhamesha: And so our aspiration to achieve closer to $1 billion sales in U.S. in FY '27, we still believe that's possible?

Umang Vohra: Yes. And that's largely out of our pipeline opportunity. So we believe that our pipeline should hopefully get us closer or surpass that, depending on how the -- depending on the launch timing.

Kunal Dhamesha: Sure. And this agreement to launch a biosimilar in the U.S. market?

Umang Vohra: Sorry, you mentioned $1 billion this year?

Kunal Dhamesha: FY '27?

Umang Vohra: Yes, closer to '27. Yes, yes. So I just wanted to clarify that the comment was for the year after -- the years after this year, not for this year. Yes.
Kunal Dhamesha: Sure, sure. And that would include $1 billion would bake in Symbicort right?
Umang Vohra: It would bake in a lot of our respiratory launches, including Symbicort. That is correct.
Kunal Dhamesha: Sure. The second question is if you can provide more details on the imminent launch biosimilar where you have suggested that we have done a strategic agreement with a partner. So who is the partner? What product is it, competitive landscape, Cipla's role and the economics of the product, if you can provide details.
Umang Vohra: So I believe our partner has made a disclosure. And I think the product name is -- it's in supportive therapy. It's not -- for us, this is just the first launch -- the segment of supportive care in oncology. It's -- as I mentioned, in filgrastim and the pa rtner has disclosed this in their release. So it's not a launch by any player. There are many other players in this category of the market.
Kunal Dhamesha: Understood. And one more if I may squeeze in. On the India business, we have seen strong momentum in consumer. But if I exclude that consumer business, then we are at roughly 3% growth. And then again, you have suggested trade generics has a strong momentum.

So it seems branded generic has been muted. And within respi, you have highlighted, but within Respi, shouldn't be our portfolio be more chronic which is inhalers, et cetera, and hence, the volatility should be less for us versus the IPM respi therapy?
Umang Vohra: Yes. Ideal

ly, for us, so firstly, I think on a full year basis, we think that respiratory and the overall growth story will be very strong. I think we have very strong conviction on that. I think in this quarter, 2 things happened. I think the impact of the seasons being a little different, the fact that there were rains in the summer, the respiratory season, etcetera, didn't really take off as much, and that impacts how the trade stocks your product.
And if you're the largest player in that category, I think it begins to impact you, right? And that's what's happened to us. As I mentioned, in IQVIA, we saw respiratory and acute growing around 4% to 5%. That's pretty much reflected in our numbers.
The other thing is we also strategically aligned our team to further our growth of our triples combination. And now we have several triple launches coming in as well, which should also unleash the growth for us in the market.
So not -- it is a slower quarter for us. But from a full year perspective, based on the realignment that we've done of the -- of these new divisions we set up for the teams as well as the fact that the season has recovered, we are very confident of where t his year being strong.
Moderator: Next question comes from the line of Tushar Manudhane with Motilal Oswal Financial Services.
Tushar Manudhane: Sir, just on respiratory again, at the industry level itself for the last 12 to 15 months or like for the past 2 years, the growth has been a bit slow. So if you could throw some light on that aspect.
Umang Vohra: Yes. I think -- let me put it this way. We are coming off a fairly significant respiratory quantum in the industry. There were some adjustments to price that were made on some of the large inhalers in the last 12 to 15 months by government notifications an d by DPCO certifications, et cetera. So that has impacted some of our brands as they adjusted to the lower pricing.
And the other thing is that volume growth is there, but also it's coming from categories where now we've repositioned to get more program growth. So the growth is slightly slower in the industry, but may be a phenomena of perhaps a year or 1.5 years, but I think we are quite bullish about this going forward.
Tushar Manudhane: Understood. Sir, just on U.S. sales, given that we had good launches as well. So maybe specifically for FY '26, if I may ask, like would we be able to like maintain this normalized -- annualized run rate of $226 million for FY '26?
Umang Vohra: Actually, it's a little indeterminate. And it depends on when Revlimid -- the impact of Revlimid and how it comes off. If we could see a larger impact of Revlimid in quarter 3, we could see it in quarter 4 or in quarter 2, right? So we don't know that, and it's very difficult to give a guidance range. But we are sticking to what we said at the beginning of the year for an overall U.S. trajectory and growth.

And I think what's more important for the market, which we realized at the last quarter was to give a range of guidance on our profitability, which we have given because I think the timing during

the year will be difficult to predict. But on a full year ba sis, we believe that our margin should
come into the range that we have set.
Moderator: Next question comes from the line of Damayanti Kerai with HSBC.
Damayanti Kerai: My question is on your respiratory launches planned in the U.S. So starting with Advair, will it likely be a 1H launch or it will go to 2H? And then for remaining launches, Symbicort and other inhalation products, I remember a few quarters back, you mentio ned that for critical filings, launches, et cetera, you will go for dual filing. So have you done dual filing for these products for risk management?
Umang Vohra: Yes, we have done double filings for most of our products from a risk management perspective on the respiratory side. And yes, generi

c Advair, it will obviously -- the way we are looking at it,
maybe an H2 launch in this year.
Damayanti Kerai: Okay. Likely be a second half launch, fine. My second question is on Lanreotide. So I guess we have seen good pickup. So when do you see it going back to the level where you have come off?
And then like how do you see market share gain from there on? Like do you think there is sufficient visibility for you to gain more market share here?
Umang Vohra: Well, it's a 2 -player market right now, right? It's a 2 -player market with -- we had the problem with our manufacturing. And before that -- before we had that issue, we were at 30%, 35% of the market.
And I think we are evaluating the market on fair share from a value perspective. And we intend to, over a period of time and not immediately, reach to a more respectable share of the overall market.
Damayanti Kerai: Okay. Just a related query. Now you have both 505(b)(2) as well as the generic version. So where do you see more room to gain the market share?
Umang Vohra: Well, the generic always has the maximum room because it's a completely substitutable product.
And I think it depends on the production mix between the 2 and your ability to supply it to the marketplace. So generic always has -- in any product category, ge nerics will always have the ability to gain more market share.
Moderator: Next question comes from the line of Surya Narayan Patra with PhillipCapital.
Surya Narayan Patra: First question is on the albuterol in the U.S. We have seen this quarter, there is a kind of meaningful ramp -up. Is it -- is there any reason that we are seeing a kind of meaningful ramp -up because of the competition factor? Or it is some aggression from o ur side that is helping us achieving this sequential ramp -up? Could you please give some sense about it, sir?
Ashish Adukia: We've been on the path of this recovery for almost now, I think, about 12, 13 months or so. So our share had dropped about a year back. And then after that, we have consistently gained the market share. So yes, it's just maximizing the supplies that we hav e.

Surya Narayan Patra: Okay. Second question is about our GLP plan. Let's say, competitors have indicated their plan. So if you could share what is our strength about this product opportunity? And what is our plan? And are we kind of trying to play on the strength of the cost position or it is the distribution strength or it is a market reach. So if you can provide some idea and what is the kind of TAM that we are targeting through this product opportunity, if you can share some of your thought process about it.
Umang Vohra: I think I'll just start by saying that for us, the entire GLP -1 category is more important than just looking at individual products within that, right? I think this category will shape up in a manner depending on several pipeline assets. Our own endeavor i s to be among the first wave of launches, both for the GLP -1 drugs. And right now, the earliest opportunity to launch GLP -1 drug is presented by semaglutide, right? But -- so it depends on how this market begins to -- how this market is created between semaglutide and GLP -1 of the innovator brand as well as the GLP -1 of the second innovator company. So we think this market is going to be very attractive, and it will be a large market, and Cipla will have a very definitive play here.
We are not providing commentary because most players may have mentioned to you that they've integrated the full chain of the GLP -1 opportunity. Our -- of semaglutide and the value chain there.
Our belief is that if it's going to be a huge opportunity, I think the value chains perhaps may need to be shared as against this one person investing in it. But at the same time, so we have parts of the chain that we have internalized and we have parts of the chain that come from a partner.

So we are playing a mix and hybrid strategy at places we are filing -- at places we have our own product as well as we've also got a product from partners value chain as well. So we're trying to maximize the opportunity in total between trying to manage our own supply chain, partner supply chain, supply chains of others as well as even taking a hard look at GLP -1 as a category as against just a single product that would launch in the near future.
Surya Narayan Patra: Sure, sir. Will it be a kind of significant driver of growth for domestic business in FY '27 itself?
Umang Vohra: Sorry, could you repeat your question? We lost for a minute.

Surya Narayan Patra: This will be a kind of a significant growth driver for domestic business in FY '27 itself.
Umang Vohra: Yes, hopefully. I mean, if the market forms early next year, it will be a significant growth driver for the business.
Ashish Adukia: We've seen that in other markets as well, similar markets where we've seen when GLP launch has been done, it has shaped the market.
Surya Narayan Patra: And we will be there in the first wave of Canadian launch and Brazil launch, sir?
Umang Vohra: Yes. I think we will not provide that level of color, just to say that the Canada opportunity for some of our competitors is real. I think it's out in the public domain, and we are not in the first wave launches in Canada that we are sure about. But some o f the other markets, we will be among the first set of launches.
Moderator: Next question comes from the line of Neha Manpuria with Bank of America.

Neha Manpuria: First question on the India growth. Umang, if I remember correctly, last year, we had the low base from the trade generic restructuring. While I understand that the industry growth has been slow this year and the respi realignment that we have done, should n't the India growth has been a little better than the industry given the low base in the trade generic segment? And this respi realignment that we have done, is that likely to impact our growth for a couple of quarters? Or is it just restri cted to this quarter that we saw the same impact?
Umang Vohra: Yes. So Neha, I wish I could have said -- when you said shouldn't the growth have been, I wish I could have said no. But actually, yes, the growth should have been higher. And I think when we isolate the problem, what we've -- as we mentioned, we are stron g on the Gx. We're strong on the CHL. But on the prescription business, yes, largely because respiratory and acute is almost 59%, 58% of the total mix. And unfortunately, this quarter, they've both grown at 4%, 5% level.
So that impact has come into our numbers because that's the percentage of our business in it. It's been a little different this year because of the seasonal impact and may have got a little bit exacerbated because we were also restructuring and realigning teams. And when you put new teams, you also take people from other teams to position these together.
So -- but where we are today, seasonal triggers have kicked in. We are seeing the impact in our growth now. We are seeing the ability of the Triples team. We have already got a very strong share in Voltido Trio and hoping to replicate that with the other 3 launches that are hopefully coming there and launching through the team.
So I think overall, we are confident. But yes, if your question is, should the quarter not have been higher in India growth, for sure. Absolutely. I think it was a slower quarter than what we thought it would be.
Neha Manpuria: And for the full year, we think we can grow in line with the industry now that -- or it still depends -- I mean, I understand it depends on the seasonality. But do we have confidence based on what we are seeing right now to grow that India business can grow in line with the industry?
Umang Vohra: Yes, yes. At least for the next 3 quarters

, we think that we can grow in line with the industry, for sure.
Neha Manpuria: Okay. Understood. My second question is on the margins. Ashish, I think if I look at this quarter's margin and the pipeline that we have mentioned with the U.S., shouldn't the margin be higher? I understand that Revlimid will go away. But given that we have Advair that we get launched, we already have Abraxane and Nilotinib probably even Symbicort, shouldn't that margin be a little higher than the range -- guidance range that we've given last quarter?
Ashish Adukia: No, in here, I will stay with no, Neha. I think we optimize the margin out here with the product mix and some of the other expenses targeting that we did. And this is despite keeping in mind that our R&D expense were also higher this quarter because of cer tain R&D, APIs, et cetera, that we procured for developmental efforts. So -- and we had also expected that in line with Revlimid, the first quarters, 1, 2, 3, whatever, as Umang said, about the phasing, those quarters would be higher than the balance of the year.

Neha Manpuria: Understood. if I were to look at margins for next year, given the U.S. pipeline and if we get to that $1 billion U.S. sales number, is the lower end of the guidance achievable? I mean, can we keep margins at 23.5% in fiscal '27 as well?
Ashish Adukia: A little early for us to give guidance for next year. So closer to the year -end when we're in a position to give that guidance, seeing how the market shapes up after that is when we'll be in a

better position to do that.
Moderator: Next question comes from the line of Bino Pathiparampil with Elara Capital.
Bino Pathiparampil: Just following up from a couple of previous questions. Umang, Revlimid, has it changed Q -o-Q over the last 3 quarters, say, Q3, Q4, Q1? Or is it broadly similar?
Umang Vohra: Is your question, what is the value of Revlimid in this quarter versus the last one?
Bino Pathiparampil: Yes, correct.
Umang Vohra: Yes, that's more or less the same.
Bino Pathiparampil: Okay. And from your statement that the new launches in the U.S. will compensate for the loss of generic Revlimid. Should we read that this year's total U.S. will be more or less similar to last year's total U.S. despite Revlimid being there only for part of the year ?
Ashish Adukia: No, Bino I think -- see, your launches will come at different time lines, okay? So it's difficult to say in terms of time lines. But we have plans for all our launches that are coming in will make up for the revenue loss that you have for Revlimid. And tha t will happen in a short to medium term.
Bino Pathiparampil: Understood. Sir FY '27, that $1 billion number is the number to go by more like. One last question, if I may, just come in. You must have seen one of the Indian players has taken a significant stake in Adcock Ingram in South Africa. Does this change the ma rket in any way or the competitive dynamics for you in any way?
Umang Vohra: Well, I would think that -- so Adcock, from what we understand, already had a significant relationship with Natco. And so I'm not sure that the competitive dynamics will change significantly. Also, Adcock has a large share of the OTC portfolio as much as i t does on the branded side. So maybe, yes, I mean, in the sense that if they get more pipeline from Natco, then yes, I mean, competitive dynamics would change. But otherwise, the existing relationship also has a significant support to the Adcock engine from Natco.
Moderator: Next question comes from the line of Maitri Sheth with Choice Institutional Equities.
Maitri Sheth: Just a few questions. Once again on albuterol. Given that we have a 19.5% market share, what is the kind of revenue outlook that we can expect from this drug? And how much is it contributing to our North America revenue currently?
Umang Vohra: Ashish?

Ashish Adukia: So we don't give out molecule -wise data. It's one of our strategic respiratory assets in the U.S. and we would like to maintain the market share out here. And if capacity allows us, then we'll obviously grow that as well.
Diksha Maheshwari: Maitri, you can hear us, right?
Moderator: We have lost the line of Maitri. We'll take the next participant. That is Ankush Mahajan with Sanctum Wealth . Please go ahead.
Ankush Mahajan: So sir, next quarter, we are going to launch one biosimilar in the U.S. market. What is the strategy for another biosimilars to launch in the U.S. market? Would you throw some more light?
Umang Vohra: I think maybe I can answer the question in this manner that we will probably in-license a few assets through partnerships in the near term and maybe launch our own biosimilar assets somewhere towards the '29, '30 time period.
Ankush Mahajan: So in terms of the licensed biosimilars, what are the other -- what is the timing line, sir, for this license biosimilars? We are launching 2 or 3 or something like that?
Umang Vohra: No, no. We are -- what we are saying is right now, we're launching one. And that's through partnership. And we will have a few partnerships through which we will launch in the near term. And in the longer term, it will be our own assets.
Moderator: Next question comes from the line of Tushar Manudhane with Motilal Oswal Financial Services Limited.
Tushar Manudhane: Sir, just on this on this biosimilar again, this is not an interchangeable drug as such. So it would be like we'll have to create prescriptions. So what gives us sort of right to win on this product? And in fact, just to the earlier participant question, like the in -licensing product, how does it help for supply in overall scheme of things? And one more similar that how much overall investments are we earmarking for biosimilar as well?
Umang Vohra: Let me answer the first one. So the -- look, I think the way it would help us is the right to win is our oncology presence and our team presence in the U.S. We have been selling into the institution channel. We sell Lanreotide, which is a very large business f or us, and we sell 2 variants of it, the ANDA and the 505(b)(2).
And we have several other products that we sell. It's essentially the same channel in which the biosimilar goes. As we begin to unfold our plan for biosimilars, I think the first asset always is an asset that gives you the ability to begin to create a port folio as well as understand and grow the market, and that's what we're trying to do with the first asset.

We have committed to a joint venture almost -- the joint venture has had a plan where we had committed almost upwards of $100 million to the joint venture for the develop -- towards our share of the development of the biosimilars. And we are holding with t hat, and we might actually even increase our outlay in the next couple of years towards it. So we are actively building a biosimilar

pipeline in the long term. And in the short term, we are launching biosimilars in partnership with others. So I think that is our overall strategy for biosimilars.
Moderator: Next question comes from the line of Sidharth Negandhi with Chanakya Wealth Creation.
Sidharth Negandhi: Just following up on the questions on trade generics. Just wanted to understand, given what you mentioned about a possible sort of impact on the branded generics, what would be the quantum of growth in the trade generics business? And how do you see this g oing forward in context of the overall IPM growth?
Umang Vohra: Yes. Maybe there's just 2 or 3 things that you should keep in mind before I try and answer that question. Last year, the pace of the trade generics business was quite significantly lower because of the fact that we had reacquired the distribution oper

ation from our partner.
So therefore, a superior growth rate that we are seeing in this time is also a function of the base of that -- the base of the previous quarter plus the ability to get back to significant growth by our trade generics business in this year. Going forward, w e think that the trade generics business will grow at IPM or about IPM. I don't see any reason why it should be different than the prevalent growth in the IPM at all. So if the range you're asking for, it could be between 8% to 10%.
Sidharth Negandhi: Okay. Because -- sir, just a follow -up on that. We've been seeing trade generics grow faster than IPM in the past. And do we believe that given the additional competition that's coming into trade generics, our trade generics business is likely to grow at t hat rate? Or do you see overall trade generics as a space growing at that pace?
Umang Vohra: I think when you look at the IPM, just as a fact, I think a large share of the IPM volumes are actually from -- overall IPM is from products which are more acute and are distributed inside the country. So we believe that trade generics will continue to grow at the same rate as the IPM. Now obviously, trade generics do not sell as many of the chronic therapies as you've seen in the branded side.
But we think that the trade generics will grow at the same rate. And we are not -- while competition is great, it expands the market for trade generics. And we have some very large brands within the trade generics segment. So I think we are quite hopeful o f this segment as well going forward.
Sidharth Negandhi: Got it. My second question was on GLP -1s and semaglutide. Given the relative competitive strength for Cipla is in other therapies, right, and diabetics sort of is a much smaller percentage of sales as per IQVIA. How do you believe there is a path in terms of creating a superior right to win in this? And do you see any differentiation possible for you to create a superior market share for yourself in that GLP -1 space?
Umang Vohra: Yes. I think we -- it's a good question. I think we do think that the GLP -1 market will be crowded. I think the way you make portfolio choices here will be -- will perhaps be the most important. So right now, the way we are thinking of this market and the reach that we are trying to assign with it, I think we may -- we are looking at GLP -1, as I said, as a full category as against just sema or just the other variants within it. So I think that's how we plan to play this market.

Moderator: Next question comes from the line of Shashank Krishnakumar with Emkay Global.
Shashank Krishnakumar: My first question is again on the domestic piece, particularly the trade generic business. This quarter on the relatively lower 1Q base last year, would it have grown at low single digits? Or was growth a bit higher than that? I just wanted to check that.
Umang Vohra: Yes. Achin, do you want to comment?
Achin Gupta: I think what Umang has already explained, there was a lower base last year. And on that, there was a significant growth, which was delivered this year. The seasonality, which we saw on the anti - infective side also affects the trade generic side. So typical ly, Q1 is not as strong a quarter for this business. And I think going forward, we will see it growing in line with the market and hopefully beat the market as well.
Shashank Krishnakumar: Got it, sir. Sir, my second question was on the Indore facility. Now given that it's been slightly more than 2 years now. So is that facility up for a reinspection this year? And how prepared are

we in case we face a reinspection sometime this year?
Umang Vohra: Yes. I think you're right. We do expect a reinspection. General time lines are within the 2 -year period. So we are expecting a reinspection from now -- any time from now all the way until we were inspected in February, I

think. So any time from now till February, yes. We are prepared for the inspection, and we're looking forward to it.
Moderator: Next question comes from the line of Kunal Dhamesha with Macquarie.
Kunal Dhamesha: A couple of logistic questions. One on the INR 120 crores other income, could you share how much of that is PLI? And then what would be the sustainable PLI contribution that we can factor in for the coming quarters and maybe coming years?
Ashish Adukia: See, on other income, first of all, it is below EBITDA. I just want to clarify that. So that has treasury income sitting there mainly, and that also has exchange gains that will be sitting there. These are the 2 big elements. And then there will be a few others as well, smaller items. So that's on the other income. You had one more question, which I missed. I'm sorry. Can you please repeat that?
Kunal Dhamesha: So I don't think I framed it. I think other -- I referred to other operating revenue of INR120 crores.
Ashish Adukia: Okay. Other operating income has mainly your PLI sitting out there, okay? And export incentives and small bit of scrap sale, et cetera. So yes. So PLI is a material component as part of other operating income.
Kunal Dhamesha: So how should we think about this because it is linked to the growth in export revenue, right? And with Revlimid coming down...
Ashish Adukia: Yes. You're absolutely right. It is linked to the complex portfolio that you sell in India or outside of India. But of course, there is also a cap of how much benefit you can get from the government. So it's as per the scheme. And it was there last year as well.

Kunal Dhamesha: Sure. And then the other expenses, which have come down by almost around INR 80 crores, excluding R&D on a sequential basis. So is there any -- was there any one-off in Q4? Or this is a run rate that we should take going forward, what we have seen in Q1?
Ashish Adukia: Run rate should continue if that's the question. Of course, in Q4, there may have been some one - off that gets eliminated. But more or less, every quarter will have some one-off, et cetera. But overall, this run rate should continue. Hopefully, after Indore , what will happen is your remediation costs should come down. That is one trend that should be noticeable.
Kunal Dhamesha: Sure. And the last one on the India business. So it's good to see that we have added 5 brands in the INR100 crores plus category in the last 1 year on a year -on-year basis in this quarter. My question is how much time on an average does it take to reach INR 100 crores kind of scale for a particular brand in India now?
Achin Gupta: So it depends on the category that you're talking about, the therapy area and our strength in the space. Some of the new launches that we've done recently have been quite successful, like Voltido Trio has started very strong.
We launched empagliflozin brands in March when the LOE happened, we are already up to fourth rank in that. So it depends. But typical for a new brand, it takes a while to reach INR 100 crores. And if you see all of the INR 100 crores brands we have, we have amongst the maximum number of them in the market.
Kunal Dhamesha: Sure. So is it also fair to say that while GLP -1 could be a very big category for India market as such, but given the competitive landscape and given that there's no readily available market, which is already formed, the ramp -up or the kind of brand that we can see would take some time to reach kind of higher levels? Is that a fair assessment?
Achin Gupta: So this is a very unique space where if you see the last 3 months of reported IQVIA data, already the innovator brand has clocked around INR 50-plus crores. So this is one of the fastest ramp -up that has been seen in India and similar trajectory has been seen in other parts of the world. So given the disruptive nature of

this category and not too many older products, which address the same unme t medical need, one would expect this ramp -up to be much faster.
Moderator: Next question comes from the line of Saion Mukherjee with Nomura Securities.
Saion Mukherjee: Umang, I mean, the initial market share that you're seeing for the new launches, paclitaxel and Nilotinib, if you can share how should we think about how big these 2 products are likely to be for Cipla in fiscal '26?
Umang Vohra: Saion, Nano Pacli is already -- there are 2, 3 players in the market already. I think 1 of -- 2 of them are basically selling the same innovative product and the other 2 are 505. One is an ANDA and one is a 505(b)2. So if you take the total market, I think price has -- is not the same as the innovator price at this point in time. I can't give you a ballpark sort of an estimate. But I can tell you that the market is big enough to accommodate perhaps more vials than what we can produce.

Saion Mukherjee: Okay. And Umang on Nilotinib, how should we think given 505(b)(2) and limited competition at this point?
Umang Vohra: Yes. So I think on Nilo, perhaps the market opportunity may be more limited, Saion, because the B2 will have a lot of relevance when there are not too many ANDA players. But once you have more ANDA players coming in, then the B2 opportunity goes down a lit tle bit. So I think maybe if you model it out to say that others launch 6 months later, the B2 opportunity will probably maximize itself in the first 6 months, relatively more than what it will do after.
Saion Mukherjee: Right. Understood. And my second question, Umang, also on the biosimilars front, you mentioned about filgrastim licensing and a couple of more. And then through the JV, you are committed to invest $100 million. And then you also mentioned about your own pr oduct coming to the market sometime in '29, '30 time frame. I'm just wondering what's your -- so what -- how are you thinking about the space? And what are the key milestones that we should look at for Cipla over the next, say, 2, 3 years as far as biosimilars are concerned?
Umang Vohra: Saion, let me put it this way. Let's talk about the enabling areas in the business, right? I think when we first set up our decision to get into biosimilars 3 years back, most biosimilars had very extensive Phase III requirements of the U.S. -- from the U. S., right? I think that is beginning to change. When that changes, 2 or 3 things happen. You can expand your pipeline faster because now you don't have to pencil in 2 years of Phase III studies or 1 year of Phase III studies, right?
So that happens. Second, you don't need to spend the same amount of money for one product, and therefore, you can increase your engine a bit. So the way we are looking at this now is that in some way, a biosimilar engine for a company like us will begin to mimic an investment return ratio a little bit more than a complex generics product, but not too far from it.
So you could be spending $15 million, $20 million, $25 million, depending on the product minus Phase III, which is pretty much what will be ballpark roughly what you would spend on a complex generics product if the Phase III requirement gets waived. The second big trend is interchangeability because of which market access becomes easier.
And I think what this will cumulatively do, Saion, as conjecture is that if you have more number of people coming in the market, the relative share that innovators keep holding on to of the biosimilar universe becomes significantly lesser. And there is mor e room for generics to grow because rating reduces significantly.
So I think that's the overall trend we are looking at. We don't have any product out of our own engine, Saion, which will come out before '29-'30 because that was by design. So we will deploy capital towards in -licensing. But by and l

arge, our pipeline wil l only start coming in '29-'30.
Saion Mukherjee: And Umang, just clarification of $100 million that you have committed and maybe it will be a little more. So this will be invested over what time frame?
Umang Vohra: In the next 3 years. We -- out of that Saion, we've already spent, I'd like to believe maybe 20%, 30% of that. This was 3 years back, we had committed cumulatively with our partner about $180

million or so. The partner share was 40%, ours was 60% -- and so -- and that assumed at that point in time that Phase IIIs would be very expensive. Now that requirement has changed, so we can put more assets into the pipeline. And Saion, it's part of our R &D budget. So it comes as that.
Saion Mukherjee: It's coming into our...
Umang Vohra: Within that. It's in our numbers.
Moderator: We'll take the last question. That's from the line of Krishnendu Saha with Quantum.
Krishnendu Saha: Did I hear correctly that there was some lack of capacity in albuterol. So because of that, we could not take a larger market share. I could have missed that.
Ashish Adukia: Yes, no, Krishnendu, let me clarify. What I meant was that we are maximizing our capacity out there and able to supply all of it. And of course, we have been able to ship it for ourselves. So if we have -- if we build more capacity, we can increase out there. But from a market share point of view, at 19.5%, maybe some more improvement, but that's where we can go to with the current capacity.
Krishnendu Saha: So will you be putting up capacity or you are okay with this in the partner specifically?
Ashish Adukia: Sorry, this is our own capacity. We supply from India out here. And of course, we have capacity in Fall River as well.

Krishnendu Saha: So this is the capacity we'll keep right in the future also.
Ashish Adukia: Absolutely.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Ms. Diksha Maheshwari for closing comments.
Diksha Maheshwari: Thank you. Thank you, Andrew. Thank you, everyone, for joining in. If you have any other questions, please write it to investor.relations@cipla.com.
Moderator: Thank you. On behalf of Cipla Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2025

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 41916000 F +91 22 41916120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r L24239MH1935PLC002380

3rd November , 2025

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(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q2 FY26 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q2 FY26 earnings conference call dated 30th October , 2025 . The transcript is also available on the Company's website i.e. https://www.cipla.com/sites/default/files/Cipla- Earnings -Oct30 -2025.pdf .

Kindly take the above information on record.

Thank ing you,
Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Chirag Hotchandani

"Cipla Limited
Q2 FY26 Earnings Conference Call"
October 30 , 202 5

MANAGEMENT : MR. UMANG VOHRA – GLOBAL MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – CIPLA LIMITED
MR. ACHIN GUPTA – GLOBAL CHIEF OPERATING OFFICER – CIPLA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY 26 Earnings Conference Call of Cipla Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
We have with us from the management team, Mr. Umang Vohra, Global MD and CEO; M r. Achin Gupta, Global COO; Mr. Ashish Adukia, Global CFO; Ms. Diksha Maheshwari, Head, Investor Relations. I now hand the conference over to Ms. Diksha Maheshwari. Thank you, and over to you, ma'am.
Diksha Maheshwari: Thank you, Rutuja . Good afternoon, and a very warm welcome to Cipla's Q2 FY '26 Earnings Call.
I am Diksha Maheshwari from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking stateme nts, which are
predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the company.
Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Cipla does not undertake any
obligation to publicly update any forward-looking statements, whether as a result of new conformations, future events or otherwise. I hope you have received the investor presentation that
we have posted on our website. I would like to request Umang to take over.
Umang Vohra: Thank you. Good afternoon, and a very warm welcome to Cipla's Q2 FY '26 earnings call. And Diksha, thank you for the introductions. First of all, I would like to introduce Achin to all of you.
He's held two key leadership roles at Cipla as CEO of One -India and subsequently as the Chief Operating Officer, demonstrating both strong strategic and operational leadership.
With over 20 years of experience in the pharmaceutical industry, Achin brings a wealth of insight and operational excellence. He will take over as the designated CEO effective the 1st of January and assume full responsibilities from the 1st of April as the CEO and MD of the organization.
Please join me in welcoming Achin to this new role.
This quarter, we delivered an all -time high quarterly revenue of INR 7,589 crores, supported by a robust EBITDA margin of 25%. What makes this performance truly noteworthy is the breadth and balance of growth powered by contributions across all our priority markets of One -India, U.S. Generics, One Africa and EMEU. This unde rscores the core advantage of our diversified portfolio, driven by the relentless commitment of our teams across the globe.
Coming to the quarter performance. Our One -India business delivered an improving growth trend with 7% year -on-year increase for the quarter. In our branded prescriptions business, while the overall market growth of Cipla is at 8%, our key therapies grew at strong double -digit growth.
anti-diabetes grew by 10%, cardiac by 13%, urology by 17% and dermatology by 18% as per IQVIA MAT September '25. Our overall chronic mix further strengthened to 61.8% yea r-on- year.
Foracort ranked the number one brand in IPM.

We added four new brands to the INR100 crore s plus club, taking our total to 29. Our presence in the IPM's top 300 brands also improved with a total of 22 brands now. In terms of volume, Cipla continues to be the largest pharma company and the only player with 2 billion plus unit sales in IPM as per IQVIA MAT September '25. Respiratory remains a cornerstone of our portfolio where we continue to invest with conviction.

Our triple combo products, Voltido Trio Ciphaler and Foracort G are gaining strong traction. And with Q3 traditionally being our best quarter for respiratory, we are optimistic about the season supporting our performance. Alongside respiratory, we have boosted our presence in chronic care through strategic investments in anti -diabetes and the cardiac therapies.
These segments have delivered a robust CAGR of 16.4% from MAT of September '21 to MAT of September '25 with revenues almost doubling. Flagship brands like D ytor, Trulicity, Humalog and

Galvus continue to lead this growth, which will accelerate further with the new launches such as Empaci p and Afrezza.
Building on this momentum, we are entering the obesity care segment with the launch of Yurpeak, which is tirzepatide. This is a significant milestone in our partnership with Eli Lilly and marks our commitment to addressing one of the most pressing health c hallenges of our time. Additionally, we are expanding across multiple therapies through strategic introductions.
In the CNS segment, we strengthened our portfolio with Doloneuron and Zolsoma, addressing neuropathic pain and sleep disorders. In urology, we launched XTIKTR, a minimally inva sive treatment for urethral stri ctures. Up coming launches include Elbicip , in gastroenterology, a first -in-class molecu le for constipation management.
Aprela in dermatology, which is going to be India's first topical Apremilast for psoriasis; and Rizontem and Tedispan to reinforce our leadership in anti -infectives. Antimicrobial research is a very strategic cause for Cipla and we are deepening our focus on combating this. R ecent launches like Huena , ZEMDRI and Cipenmet underscore our science-led approach and responsible stewardship in anti -infectives.
Cipla welcomes the government's progressive GST reforms and a meaningful step towards making health care more affordable and accessible to all. For over 90 years, Cipla has stood by its purpose of caring for life, and these reforms align closely with that commitment. We are fully dedicated to ensuring the benefits of these changes reaching every patient, reinforcing our belief that quality health care should be within everyone's reach.
The GST rate transition led to a brief disruption in the sales trend, mostly within -- mostly which was resolved within the quarter. Our trade generics business delivered strong double -digit growth during the quarter on the back of rigorous execution in di stribution, new product launches and technological advancements. Expanding our portfolio remains the key growth driver with 6 new launches this quarter, addressing specific patient needs.
Our Consumer Health business continued its upward trajectory with Nicotex, Omnigel and Cipladine consolidating their number one positions in the segments. The business is driving

healthy secondary growth and actively exploring opportunities to invest in products and channels to expand our distribution network. Operating profitability continued to improve, reflecting the strength and scalability of our consumer health strategy.
In North America, we delivered a quarterly revenue of $233 million. In the overall U.S. albuterol MDI market, Cipla emerged as the number one player with our market share rising to 22% as per IQVIA data for the week ending September 19, 2025. With over 50 million inhalers supplied since launch, Cipla continues to be a driving force in respiratory care, reaffirming our commitment to improving pa tient outcomes and making quality health care accessible across the nation.
Our lanreotide market share has now risen to 22% as per MAT August '25. We remain focused on fortifying our position and aspire to further build on this momentum in the coming quarters. This quarter also marked a significant milestone in our growth journey with the launch of filgrastim,

our first biosimilar in the U.S. market, signall ing a strategic entry into high potential segments.
During this quarter, we received the generic drug approval for glucagon and a tentative approval for liraglutide through our partner, which could enable a launch in -- as and when the exclusivity period expires. In Q3 FY '26, generic Revlimid is expected t o have a very small contribution to the U.S. revenue. The base business, excluding generic Revlimid, is expected to continue its growth trajectory in quarter 3 over quarter 2.
Over the next four quarters through our upcoming launches, which are subject, of course, to U.S. FDA approval, we will be able to alleviate the decline in the generic Revlimid revenue, though there may be timing gaps before the full benefit is realized. A quick update on our U.S. pipeline.
By calendar year '26, we expect the launch of four major respiratory assets, including generic Advair in quarter 4, '26 and three peptide assets, including liraglutide.
Importantly, three of the four respiratory assets are filed from our U.S. facilities, which derisk these launches. These launches will strengthen our portfolio and support long-term growth. Our one Africa business recorded a growth of 5% year -on-year in U.S. dollar terms with South Africa growing at 6% in ZAR terms.
In the private market, we delivered a robust secondary growth of 6.2%, significantly outperforming the market growth of 4.7% Growth in One Africa was fuel led by significant progress in key therapies, expansion of our tender business and successful new launches demonstrating our ability to unlock opportunities and deliver value across diverse markets.
In the EMEU business, we delivered our strongest quarterly revenue till date at USD 110 million, registering a solid 15% year -on-year growth in U.S. dollar terms. This performance was fuel led by impressive execution across both D TM and B2B segments. Our continued focus on deep market

penetration has laid a strong foundation for sustained growth.
Notably, we maintained margin stability while effectively leveraging internal pipeline assets, demonstrating the strength and agility of our operating model. On the regulatory front, the U.S. FDA inspected our manufacturing facility located at Bommasandra, Bengaluru in quarter 1 FY '26. And during this quarter, the inspection was qualified as VAI. We expect the reinspection of

our Indore facility any time in this year and the early next. I would like to invite Ashish to present the financial and operating performance now.
Ashish Adukia: Thank you, Mr. Umang Vohra, and very warm welcome to Mr. Achin Gupta. Now I would like to take the key financial highlights for the quarter. So this quarter, we delivered yet another highest ever quarterly revenue. We reported a quarterly revenue of INR 7,589 crores with a growth of 8% Y-o-Y.
The EBITDA margin, excluding other income, stood at 25% for the quarter. The reported gross margin after material cost stood at 67%, largely on account of product mix and some of the R&D materials that we had purchased. Total expenses for the quarter stood at INR 3,197 crores, reflecting an 11% increase over the previous year.
This was primarily due to increase in R&D investments, including the litigation costs and some elevated marketing spend, which is in line with the growth in the sales. We remain committed to innovation and future readiness. Our R&D investment for the quart er was INR 539 crores, accounting for 7.1% of the revenue. These investments were directed towards product filings and developmental efforts.
The R&D spend is trending higher this year, driven by some additional select opportunities that enhance the vibrancy of our pipeline. We have accelerated certain filings into this financial year to capitalize on these opportunities, resulting in R&D expend iture b

eing higher by about 500 basis points of the revenue over the planned R&D percentage. Profit after tax for the quarter stood at INR1,351 crores, representing 17.8% of sales.
The effective tax rate was 27%. Our free cash flow generation and operating efficiency continues to drive healthy net cash position. As at the quarter end, the debt on our balance sheet, including lease liability, was INR 467 crores with net cash balance at INR 9,901 crores after adjusting for cash outflow for over INR 400 crores and dividend payout as well, which happened this quarter.
Looking ahead, our key priorities for FY '26 will include, for One India, the aim is to focus on execution to regain the growth momentum and outperform the market in both branded generic and trade generics. In North America, we'll focus and concentrate on enhancing the commercial execution and accelerating new product introductions that we're expecting.
In South Africa, the next two quarters are critical for execution towards margin expansion. And in EMEU, the top priority is to drive top line growth by deepening penetration in core market while maintaining a strong margin trajectory. Like I said, that we have accelerated and increased our product introductions in our R&D pipeline and driven by additional programs.
And following a review of our other operations, we are revising our full year EBITDA margin guidance to about 22.75% to 24%. The earlier guidance was 23.5% to 24.5%. And this guidance excludes the -- Yurpeak business plan that I talked about because it is a little early to comment on that.

I would like to now thank you for your attention and would now hand over to Rutuja for the Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Gautam R from Leo Capital. Please go ahead.
Gautam R: I have two questions. For your GLP -1, do you onl y plan for fill and finish or we also manufacture API and other drug substances? That would be my first question?
Ashish Adukia: Sorry, your question was not quite clear. If you could just repeat on GLP -1, are you asking whether we manufacture ourselves?
Gautam R Yes. For GLP -1, do you plan for only fill and finish or do you also manufacture API substances?
Ashish Adukia: Okay. No. So I think -- so we don't manufacture API ourselves. We procure it and it is easily available in quantity. So it's not an issue. And then we may have some arrangements with CMO, et cetera, to formulate that. So that's the current arrangement, whi ch...

Gautam R: Fill and finish is through CMO, right?
Umang Vohra: Yes, yes. Fill and finish right now is through CMO. Yes, fill and finish is through the CMO. And over a period of time, we are also looking at whether we internalize this fill and finish for certain categories of products. The Lilly partnership is all completely sourced from the Lilly franchise.
Gautam R: Understood. And this CMO fill and finish, what would be our capacity through them? And what are the markets you'd be targeting?
Umang Vohra: Are you saying the capacity?
Gautam R: Yes.
Umang Vohra: No. So capacity, we -- our checks revealed there's enough capacity that we have signed up for, both from the CMO network as well as from partnerships with players such as Lilly. And I think that is adequate for us to supply the market.
Gautam R: And which markets would you be targeting globally?
Umang Vohra: So for the non-Lilly partnership molecules, I think we will pretty much supply to most of our ROW markets, the U.S. market as well as Europe, India, of course.
Moderator: The next question is from the line of Saion Mukherjee from Nomura Securities.
Saion Mukherjee: Firstly, congratulations, Umang, for a great innings at Cipla, which saw a significant transformation for the company. And congratulatio

ns, Achin, as well for your appointment and wish you all the best. My question is, if you can talk about the India business, Umang, I mean, we have seen probably some slowdown in the branded business because your other businesses seem to be growing in double digit. Is that a right assessment? And is there is a reason behind it? And

also for your tirzepatide tie -up, how are you thinking about that opportunity? And are you also planning to launch semaglutide on patent expiry now?
Umang Vohra: Yes. I think the second one is perhaps easier to answer, Saion. But thank you first for those kind words. And of course, Achin is on the call as well, and thank you for welcoming him. On the -- let me start by saying, as soon as the Cipla file is approved and we are able to supply the product, which we now think may be a little delayed beyond March, April, depending on when the approval comes for semaglutide. At that time, Cipla will evaluate its launch into the market.
I think on tirzepatide, I think it's safe to say that we are hoping to launch as soon as we can. And our prediction for the market is that this is a fairly material opportunity for the company. And we believe that there is enough potential for this product in Tier 2, Tier 3 towns and based on our assessment and the research that we've been carrying out over the past 6 months.
And maybe on the first topic on the India slowdown, yes, there is -- in the first quarter, we had mentioned it that respiratory was a very large share and the fact that there was not that much of an acute season that we could see, we had the impact of this coming in. I think the business is recovering strongly in quarter 2.
And hopefully, in quarter 3, we should be at or higher than the India market growth rate. So yes, there was a little bit of a slowdown, maybe because of the new teams that were being formed, et cetera, but I think we are ready now from a perspective, and w e should begin to see growth coming forward.
Saion Mukherjee: Okay. And if I can ask on the U.S. market, if you can -- if you would like to talk about how should we think about revenues now, if you can give a number for next quarter for the U.S. market? And also any time line you have in mind for launch of generic Q VAR now?
Umang Vohra: So generic Q VAR , I can't speak about it because it's more -- it's in the court. What was the first question, Saion? Sorry, I missed it.
Saion Mukherjee: About revenues once the Revlimid goes out? And also, if you can comment this quarter, was it Yes
Umang Vohra: No, no, much lower. I think this quarter, it was lower. And I think a safe thing to build in would be virtually nil to very marginal Revlimid in the next quarter. I think from whatever we've seen, we can't guide to it specifically, Saion, but from whatever we see as a consensus view emerging within analysts of what Revlimid could be, ballpark, it's in that range. It's not as if those estimates are way, way off what Revlimid could be as an impact to the business.
Moderator: The next question is from the line of Damayanti Kerai from HSBC.
Damayanti Kerai: My first question is on tirzepatide deal with Eli Lilly. So can you discuss a bit about the sort of arrangement you have, like you will be booking the revenue or how the partners will be sharing the economy?
Umang Vohra: Ashish?

Ashish Adukia: Yes. I am requesting Achin to take the question, please.
Achin Gupta: Yes, thank you for that question. So we will be launching a brand called Yurpeak, which is exclusive to Cipla, and we have nationwide distribution rights and the full rights to promote and distribute the product in India. It's like any of our other partner ships, product will be supplied by Lilly and marketed by Cipla.
Da

mayanti Kerai: Okay. But the sharing arrangement is at the revenue level or it will be more at the EBITDA or PAT level, if you can clarify that?
Ashish Adukia: No, no. So it's like any other licensing agreement where the product would be supplied to us at a price, okay? So that will be our material cost. And then we'll be selling it and whatever arrangement that we have in terms of margin will reflect in the gross margi n. After that, of course, the free fort that we put in place to sell, et cetera, that's our marketing cost.
Damayanti Kerai: Okay. Got it. And Ashish, my second question is...
Ashish Adukia: If that was your...
Damayanti Kerai: Yes, broadly understood.
Ashish Adukia: We have built in -- whatever it is of the material that we get.
Damayanti Kerai: My second question is on your revised EBITDA margin guidance. So it's, I think, a wide margin guidance which you have given. And looking at your 1H performance, do you anticipate much higher R&D spend and some other spend in the second half and that could be contributing for this wider margin guidance?
Ashish Adukia: No, it's not because of what you mentioned, that is one of the reasons why you will have -- so see, in the first half of the year, you had the benefit of Revlimid also sitting out there, which will not be there in the second half. So that is one reason for the first half being at 25- plus-percent and second half being based on the margin guidance that we have given.
The second reason is R&D as well, where some of the programs that we have picked up, the expenses for that will also pick up. But some of the materials, et cetera, that we purchased for it is already sitting in the first half as well. The third reason is, as you know, that quarter 4 is usually - - so quarter 3 will be a season quarter. So hopefully, we'll be able to capitalize maximum on our respi season. So base business will actually ..should do well and should grow on a Y -o-Y basis.
But quarter 4 is usually the lowest in terms of both sales as well as in terms of margin for us. So historically, what you've seen in the margins and without Revlimid is something that you should factor in. And based on these factors, we're suggesting a ra nge. And of course, how your peak shapes up, which is a little early for us to comment on, will also play in the entire mix.
Achin Gupta: Sure. My last question is for both Umang and Achin. With change of guard at Cipla, any broader thought on company strategy over longer term? Any area where you are particularly looking to increase your focus, et cetera? If you can share some initial though ts, that will be helpful.

Umang Vohra: Maybe to not put Achin on the spot, I think it's -- we should allow Achin some time also to make his own strategy for the company. But by and large, I think we are a generic business and the intention on the generic side of the business is obviously to increase scale, increase size, improve our competitiveness, which will continue across our key markets of India, U.S. and some of the ROW markets , as well as South Africa.
I think on the innovation side, the world is so beautiful and there's so much happening in it. I think that probably requires a little bit of thinking, which Achin is already putting his mind to. So once he's ready with it, there will be probably some more thinking on the innovation side as well. So there will be no sudden changes...
Achin Gupta: Just to add there. So look, Cipla is an institution in and off by itself. So there will be continuity in what we are doing in terms of purpose, in terms of providing access in the leadership on respiratory therapy , in various segments that we've been building over the years. I think the final nuances, a lot of things change as the market itself shapes up, and we will look at what emerging opportunities arise in innovation and the

light area. So -- as Umang said, thi s is like 2 hours into the announcement. Allow me some time, we'll come back to you.
Moderator: The next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Ashish, just on the R&D guidance, I think I missed the number. You mentioned something about 500 basis points in your opening comments. I didn't quite catch what you mentioned in terms of spend being higher?

Ashish Adukia: The R&D spend that we had planned for the year, so now that we are estimating the R&D spend for the entire year now as against the plan, what we had planned, the spend will be about 0.5% -- sorry, I may have said 500 basis points, I meant 50 basis points, 0.5% of revenue higher basically.
Neha Manpuria: And what would be this -- the accelerated filing in which specific areas are we looking at? Is this the same U.S. generic and respiratory or is biosimilars? If you could give us some color on what the accelerated filings are in which area?
Ashish Adukia: In the similar areas as we've been working on, which is basically your complex generics, yes, so mainly in those areas and respi, oligo, peptides, those are the areas that we are working on and what we've added this year.
Neha Manpuria: Understood. Okay. My second question is on the India business. I think you mentioned that one of the strategic priorities is to -- I think even Umang mentioned that the focus is to grow the business, if not in line, higher than the market. Other than the s easonality, which again is a little bit outside of Cipla's control, we have seen a couple of quarters of like last year it was trade generic disruption, this year it's seasonality.
How do we ensure that there is -- that Cipla can go back to growing in line with the market, particularly on the branded business. We're doing all right on consumer health and trade generic. But on the branded piece, is the Eli Lilly bit that gives you confidence on being able to grow higher than the market?

Umang Vohra: Achin?
Achin Gupta: So look, I think our business has a very good diversification now. There is certain elements of it, which -- where we have leadership, which has been more seasonality dependent, particularly on the acute side and a little bit on the respiratory side. But if you see over the years, we're building a very strong franchise on diabetes, cardio, urology, et cetera. So the depth that we have in the franchise is quite solid.
We -- across all of these segments, we are growing faster than market already. Sometimes if the seasonality is highly unfavorable, the mix doesn't work for us. But over a period of 3, 4 years, we have been ahead of the market. So we're quite confident that in the coming quarters, we'll again start delivering the market -beating growth at an overall level.
Neha Manpuria: And this would be even without the Eli Lilly in -licensing, would that be a fair assumption?
Achin Gupta: Yes.
Moderator: The next question is from the line of Surya Narayan Patra from PhillipCapital.
Surya Narayan Patra: So the first question is on the Eli Lilly. So I was just trying to understand, obviously, the kind of first-mover advantage that we will be enjoying since the patent expiry here in India for tirzepatide in India is only in the mid -30s. So considering that it's a kind of a good move, the first -mover advantage, but what is the likely scenario that we would be seeing once the genericization of the semaglutide will happen in India? And post that, what is the kind of opportunity one can mutualize out of this opportunity?
Umang Vohra: Yes. Maybe I'll start and then Achin can add. See, I think we -- our endeavor is to go for products which bring superior science. Even today between doctors, tirzepatide based on our feedback within the market, there are a distinct set of people who will u se tirzepatide

, right? And there are -- and sema will be used for many others, right? So both molecules will stand on its own.
Tirzepatide, we believe, brings very strong and superior science. And it is our endeavor to leverage that science an d be able to create a market for the product.
The other dynamic that is important to understand is that semaglutide will be -- will also be a large market, but it will be a market that will be shared by many people. Whereas our version of tirzepatide, it is also a strong market and a product with stro ng science. And we believe that there will be -- between us and Lilly, there will be enough muscle to take this product into the market and create the opportunity. So when you look at those 2 contrasting aspects, the opportunity begins to look a little bit more attractive. Achin, do you want to add anything further to that?
Achin Gupta: Yes. Thanks, Umang. I think exactly that. So I would just underline this is tirzepatide is the first and only dual agonist of GIP and GLP -1, which makes it a very unique proposition. And while both products have been launched by the respective innovators, you can see from the uptake that the tirzepatide uptake is far ahead. So we see this as a market -shaping opportunity because the entire class of treatment is new.

And there will be a lot of eligible patients across the geographical -- different geographical areas as well as across different patient archetypes. So there's enough opportunity. And with Cipla's strength, with its reach, with our proven abilities on mark et shaping, we see a sizable opportunity for us irrespective of how the semaglutide market shapes up.
Surya Narayan Patra: Sure. Just an extended point on that. See, Cipla is a kind of established volume leader of domestic formulation business. And going ahead in the name of semaglutide as well as tirzepatide, two big volume opportunities are coming for us and for the industry as a whole. So given that, what is the kind of growth trajectory that one should think about the domestic business?
Umang Vohra: Achin, go ahead.
Achin Gupta: Umang, would you like to take this? Or can I take?
Umang Vohra: No, please go ahead. Please go ahead.
Achin Gupta: Yes. So I think the part of the response I had already shared that we are participating across the breadth of therapies. So respiratory, we continue to beat. And we are participating more and more in the chronic conditions, which are more related to lifest yle and the changing demographics.
So clearly, obesity falls in that category, diabetes falls in that category. And the market opportunity is there. So we would start seeing more volume growth as well. But the nature of treatments and the kind of drug that will be sought will change a little bit over time. So we are preparing ourselves to play in all the different segments of the market.
Surya Narayan Patra: Okay. So strong double -digit kind of visibility that you are indicating, sir?
Ashish Adukia: No, we're not giving any directional guidance on that. So I think if you look at it, the market grows at about 8% to 9% in the domestic formulation business. So I think we expect that to continue.
And there can be some top -up growth that may come from GLP -1. But usually, it should be -- you should pencil in for industry about 8% to 9% kind of growth.
Surya Narayan Patra: Sure, sir. Just one clarification on the gross margin front. Sequentially, we have seen there is a kind of 160, 170 basis point kind of decline. despite strong U.S. sales. So is it because of the price cuts that you would have witnessed in the Revlimid or something else that...
Ashish Adukia: No. So one of the reasons is, lena, there is some price decline that we witnessed in quarter 2. The other smaller reasons is also that the tender business in Africa had picked up. And generally, it tends to be not evenly sprea

d out. So it had picked up thi s quarter. And the third, which I had mentioned earlier in my speech as well is that, of course, the R&D material that you buy also sits at material costs in your -- so when you buy that cost a lot that impacts your company's gross margin. S o these are the reasons why. So there's no -- I think core is intact in terms of gross margin.
Moderator: The next question is from the line of Shashank Krishnakumar from Emkay Global.
Shashank Krishnakumar: My first one was on the pre -approval inspection that the Kemwell facility underwent recently. Just wanted to check which is the product that underwent a tech transfer to this site?

Umang Vohra: It's a fill-finish product. We are not giving the specifics. It's a fill -finish product. So it's not a biologic, if that's your question. It's a fill -finish part of the Kemwell facility.
Shashank Krishnakumar: Got it. My second question was on the capacity expansion that we are doing at our Fall River facility, particularly for respiratory. I think one of our peers has also announced c apex plans in the U.S. for inhalers. While inhalers, probably the level of automation is relatively higher, just wanted to get some sense of how would the economics look like manufacturing in the U.S. versus in India?
Umang Vohra: No, I think the U.S. -- it's safe to say that the U.S. is going to be more expensive, right, compared to India. The flip side is there's no freight. But even then, if you look at total costs, the U.S. is expensive compared to India. Magnitude -wise, I can g ive you a range to say it's not 100% more expensive, neither is it the same cost. So it's depending on the type of product. that's the type of range that one takes for the cost of goods in the U.S. versus India.
Ashish Adukia: I think if you look at it, your -- just to give you a perspective, your capex is the same. So there is no difference, a real difference in the c apex. In opex side, if you look at it, material costs are again same. You're procuring from the same. Even the running cost of power, et cetera, is pretty much similar because it's a not elevated power cost in the U.S. I think the key difference is the labor cost. So that's where the needle moves. Otherwise -- so labor is, of course, including your operations, your quality, everything that is involved in the plant.
Umang Vohra: Also these are fairly automated plants. I think that's just the other thing. The respi side is pretty automated also.
Shashank Krishnakumar: Right. If I could just squeeze in one more. So obviously, time lines are confidential. But just wanted to check if you still look to pursue both the Redi haler and the QVAR or would it just be one of these two whenever you come to the market?
Umang Vohra: No, I think both are independent files -- both are independent files and both are for us opportunities that we can onset .

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, given the quarter 2 having, as you indicated, much lower contribution from generic Revlimid, and we are at 25% EBITDA margin. Subsequently, acute seasonality was also negative per se in 2Q, which is expected to improve in the coming quarters. And plus probably in fourth quarter,
we're going to have respiratory asset launches. So still, you think that we'll be lower in terms of EBITDA margin compared to second quarter, even after considering the higher R&D spend that
is like just 0.5% of sales? That's my first qu estion?
Umang Vohra: Yes. I think just as an aside, the one way to understand the guidance range is to keep in mind that, that assumed a certain percentage of R&D and R&D is ramping up in the second half of the year even further compared to quarter 1. So we're, therefore, feel ing that R&D -- we have always been
range

bound with our R&D, and we've identified a few opportunities that we think are very compelling to go after from a timing perspective.

So therefore, these opportunities, and they will start becoming public as and when we file and litigate and whatever. But it is that 0.5% impact is what is coming in. So if I was to take away the R&D that we are spending, the margin is essentially the same range. So we have already, for the full year basis, factored in what Revlimid could do, and we are pretty close to that aspect. So our assumptions are playing out pretty similar to what we had thought Revlimid -- how the curve of Revlimid will play out.
Tushar Manudhane: Got it, sir. And to extend this question for FY '27, given the respiratory asset launches in fourth quarter onwards of this year. So directionally and given that some amount of R&D getting sort of preponed in FY '26. So directionally, the EBITDA margin for FY '27 would be higher or lower than the current guidance for FY '26.
Umang Vohra: Can we come back to you in the next quarter on this? Because I think there will be a budgeting exercise that will be done and maybe at the next quarter, maybe more guidance could be given.
Ashish Adukia: There's a correction I would like to highlight on the statement that you made, Tushar. One thing is that it's not that there's a preponement of R&D from -- so we've selected certain new programs into the portfolio, which has led to increase in R&D. And the re is some acceleration, but more importantly, there is also new programs that are there, which has led to R&D expense being higher. And the other thing that you had made a statement that in quarter 2, Revlimid is much lower than previous ye ar or whichever sequentially. It is lower than that, but it's not much lower.
So that also needs to be kept in mind. So there is a contribution of Revlimid sitting in your quarter 2 as planned. Only the tail is left now is for quarter 3, it will be significantly lower is what we had said.
Tushar Manudhane: Understood, sir. This is helpful. And secondly, great deal with Eli Lilly for India market. Just sort of like we also have significant and for a long period of time, established in South Africa as well or Africa market as well. So was there any scope to ex tend this deal for that market as...
Ashish Adukia: That deal has already struck out there in South Africa in the last year itself, where Lilly has partnered with another player for Mounjaro and Novo Nordisk has launched on its own out there, the ozempic franchise, yes.
Tushar Manudhane: Got it, sir. And lastly, it could be a repetition, but we have been evaluating semaglutide opportunity probably post approval. So is it to do with the kind of traction we have on Eli Lilly product.
Subsequently, number of players coming to the market? Is t hat what the factor will be determining whether we go ahead or not for semaglutide?
Umang Vohra: It will be linked firstly to our approval, right? And then secondly, we will be -- we will evaluate various factors, including the focus that we could put on tirzepatide, et cetera, right? So we will be doing that evaluation at that point in time.
Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital.

Bino Pathiparampil: A couple of questions. One on Abraxane launch. How is the product picking up? Is it in line with your expectation in terms of market share, et cetera?
Umang Vohra: Not quite. We are slightly behind where we wanted to be on the product. And I guess part of the reason was that we found the market had extra stock in it when we launched. Since then, I think since the last 2, 3 months, the situation has changed, we are be ginning to pick up share now. But initially, when we launched, the market was

oversupplied. It's now a lot better now.
Bino Pathiparampil: Understood. Second, on tirzepatide, would you -- or do you plan to add some specific sales force for that or your existing diabetes sales force is good enough?
Umang Vohra: We've added field force already. So is that the question, Bino? Did we add extra people? Yes, we did.
Bino Pathiparampil: Specifically for tirzepatide or rather specifically because of the tirzepatide deal, would you be adding more sales force?
Umang Vohra: No, we've already added. Actually, the field force has already added, recruited and has been trained. So we have been doing that over the past 3 to 4 months.
Bino Pathiparampil: Got it. And sir, in case you also launch semaglutide, wouldn't the sales force be a bit confused about selling the products when they go to the doctor's cabin?
Umang Vohra: Not really. This will be a difference. If we -- when we do semaglutide, the field force will be a different field force. It's not going to carry both products in the same field force. We are clear that the tirzepatide field force is a field force exclusively for tirzepatide and other products. And sema will be sold by a different division.
Bino Pathiparampil: Got it. And last -- sorry, I couldn't clearly hear the EBITDA margin guidance. Could you please repeat it?
Umang Vohra: Ashish?
Ashish Adukia: Sorry, EBITDA guidance.
Umang Vohra: EBITDA margin guidance.
Ashish Adukia: For the quarter?
Bino Pathiparampil: FY '26.
Umang Vohra: Yes, for the full year is 22.75% to 24%.
Bino Pathiparampil: Sorry, 22.75% to 24%?
Ashish Adukia: Yes. And earlier, if you recall, it was 23.5% to 24.5%. And that's the bridge which Umang was also trying to explain earlier...

Moderator: The next question is from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: So I have a question on Revlimid. Since you are expecting kind of immaterial volumes in Q3, so is it fair to say like for FY '26, our overall Revlimid sales would be less than 50% of what it was in FY '25?
Ashish Adukia: No. We have not seen . I think it was an annual share that you had every year over the last years that we -- since we have launched. So you could do the volume at any given time during the year. So that's what the trend has been.
Vishal Manchanda: So any color on the value decline that we'll see this year, maybe 25%? Is that -- would that be a fair...
Ashish Adukia: We've not given any such guidance in the past as we are also under confidentiality. So directionally, what we are saying is that quarter 3 -- anyways, it gives -- goes off patent in January, it's very close to that. So quarter 3, we'll not have any meaning ful contribution from Revlimid into our revenue.
Vishal Manchanda: Okay. So does that mean like on a quarterly basis, we are doing more than what we were doing last year? Does that imply sir?
Ashish Adukia: No, no, no. It doesn't. So more or less, the trend has been similar on quarter basis.
Vishal Manchanda: Understood. And second one on nanopaclitaxel, could you guide as to what share we expect by end of this year? And what would be the size of the market currently?
Ashish Adukia: So we can comment on -- please go ahead.
Umang Vohra: No, I'll try and comment on that. I think, see, the market size, depending on the pricing that is there for vials, I think IMS has a pretty accurate number of vials in the market. The -- I can give you a rough projection of a share, but we are -- right now , our share pretty much was negligible. Only this month we are beginning to take more share. And hopefully, we would like to get to a position where our share is a lot more respectable than that. So we are not giving a percentage target, but I think we are working towards making this a high share and sizable product for us.
Vishal Manchanda: So it can still be a meaningful o

pportunity for us?
Umang Vohra: Yes, we think so. We think so. It is -- it has a good monthly track rate, and I think it can be a meaningful opportunity.
Vishal Manchanda: Okay. And one more on lanreotide, whether we expect to be around 35% again or we'll be like at the current levels?
Umang Vohra: No, I think lanreotide will continue to go up. As more and more capacity now we are seeing the effect of the capacity unlock and it will continue to go up in scale.
Vishal Manchanda: Are we expecting any competition to come in here in the near term?

Umang Vohra: Well, publicly, there is information of other players who have filed. Depending on their timing, of course, the calibration will be done. But right now, even if Cipla reaches 30% or like your question was 35%. So even if we are 30% and the innovator is 70%, there's a sizable share that can be taken from -- in the market.
Vishal Manchanda: Got it. And like we would expect to be at $1 billion in U.S. sales next year, like what we guided in the previous quarter?
Umang Vohra: We are directionally there, depending on the timing of the launches, et cetera, we are directionally there, right? Now of course, the sale ends up being $50 million here or there, et cetera, then that is dependent on timing of the product. But directionall y, that is what we are building.
Ashish Adukia: And when we've given $1 billion guidance, it was also assuming that all our approvals will come through. And on the basis of that, it was a scenario built out. So if the some of those approvals get delayed or anything for any reason, then of course, it wil l impact your revenue. But on a run rate basis, we'll be able to get there during the next year.
Moderator: The next question is from the line of Kunal Randeria from Axis Capital.
Kunal Randeria: Sir, after this FDA's draft guidance on biosimilars, which have potentially lower entry barriers, do you intend to add more products to your portfolio or at least spend some of the R&D dollars on that front?
Umang Vohra: The answer is yes, both for our own portfolio as well as for partnerships with people who have their portfolios as well. Yes. The answer is yes.
Kunal Randeria: Sure, sir. Sure. And any -- I mean it's a bit early, but any kind of time lines that you are looking at add maybe 2 or 3 products? How should we look at it, maybe for the next 2 to 3 years?
Umang Vohra: I think our current pipeline, if I'm not mistaken, for the U.S. is right now about 2 to 3 products of our own development, and we've got a few partnerships, right, with parties outside. I think you could see that this -- the internal pipeline will continue to expand as will partnerships as well. I can't give an exact number other than saying that it will expand. We want to expand the number of own development as well as partnership and bio.
Kunal Randeria: Right. Right. Sure. And just one clarification to tirzepatide. Is it an exclusive agreement? Or can Lilly out-license a few more brands to other players?
Achin Gupta: Yes, at this point, we are the only partner, a different brand name. And I think the whole market is available for us to shape as we explained earlier. We have other partnerships with Lilly as well. So I think we would expect to make a significant difference to the availability and reach of the product and help create this market for them.
Kunal Randeria: So I understand that. What I meant to ask was, is there -- I mean, does your agreement stop Lilly from giving tirzepatide to someone else also or they are free to you ?
Achin Gupta: So we cannot comment on the specifics of the agreement.

Kunal Randeria: All right. Because if I remember correctly, a few years back, you had in -licensed Sacubitril Valsartan also from an innovator, and I think they have giv

en that brand to some other person. So I'm just kind of thinking out loud whether this is possible for tirzepatide or not.
Ashish Adukia: No, sure. So I think a lot of terms in the agreement are confidential. So something that we won't be able to share. But as you are aware that we are the only player which is going to shape the market along with them as we speak, and we have the length and breadth of distribution to take care of the entire national requirement.
Moderator: Ladies and gentlemen, that would be the last question for today. With that, I now hand the conference over to Ms. Diksha Maheshwari for closing comments.
Diksha Maheshwari: Thank you, Rutuja. Thank you, everyone, for joining in. If you have any further questions, please write it to investor.relations@cipla.com. Thank you.
Moderator: Thank you. On behalf of Cipla Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 41916000 F +91 22 41916120 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r
L24239MH1935PLC002380

27th January , 2026

(1) BSE Ltd
Listing Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001
Scrip Code: 500087
(2) National Stock Exchange of India Ltd
Listing Department
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Plot no. C/1, G Block
Bandra Kurla Complex
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(3) SOCIETE DE LA BOURSE DE LUXEMBOURG
Societe Anonyme
35A Boulevard Joseph II
L-1840 Luxembourg

Sub: Q3 FY26 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q3 FY26 earnings conference call
dated 23rd January , 2026 . The transcript is also available on the Company's website i.e.
https://www.cipla.com/sites/default/files/Cipla- Earnings -Jan23 -2026_0.pdf

Kindly take the above information on record.

Thank ing you,
Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Chirag Hotchandani

"Cipla Limited Q3 FY'26 Earnings Conference Call "

January 23, 2026

M
ANAGEMENT : MR. UMANG VOHRA - MANAGING DIRECTOR &
GLOBAL CHIEF EXECUTIVE OFFICER , CIPLA LIMITED
MR. ACHIN GUPTA - MANAGING DIRECTOR &
GLOBAL CHIEF EXECUTIVE OFFICER DESIGNATE ,
CIPLA LIMITED
MR. ASHISH ADUKIA - GLOBAL CHIEF FINANCIAL
OFFICER , CIPLA LIMITED
MS. DIKSHA MAHESHWARI – HEAD (INVESTOR
RELATIONS), CIPLA LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Cipla Limited Q3 F Y'26 Earnings Conference Call.

We have with us today from the Management, Mr. Umang Vohra – MD and Global CEO ; Mr. Achin Gupta – MD and Global CEO Designate ; Mr. Ashish Adukia – Global CFO ; Ms. Diksha Maheshwari – Head, Investor Relations.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Diksha Maheshwari – Head, Investor Relations. Thank you and over to you, Ms. Maheshwari.

Diksha Maheshwari: Thank you, Ranju. Good afternoon and a very warm welcome to Cipla's Q3 F Y'26 Earnings Call. I am Diksha Maheshwari from the Investor Relations team at Cipla .

Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements which are predictions, projections or other estimates about future events. These estimates reflect management's current expectations of the future performance of the Company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or implied. Cipla does not undertake any obligation to publicly update any forward-looking statement whether as a result of new confirmations, future events or otherwise. I hope you have received the investor presentation that we have posted on our website. I would like to request Umang to take over.

Umang Vohra: Thank you, Diksha . Good afternoon to all of you and we appreciate you joining us for our Q3 FY'26 Earnings Call.

Over the last five years, we have delivered strong performance, fencing our market position and significantly enhancing our profitability. Together, we built a strong leadership bench and sharpened our execution focus, consistently creating value for the Company. As I prepare to hand over my responsibilities, it is my privilege to invite Achin to take charge and lead the next phase of our growth and journey. I would now like to invite Achin to give a commentary on the business and subsequent to that, Ashish bhai for his commentary on finance.

Achin Gupta: Thank you very much, Umang, and thank you for your steady leadership and for strengthening the foundation on which the C ompany continues to grow. I look forward to carrying the momentum ahead.

Turning to this quarter's performance:

We have focused our efforts in growing our base business and we continue to invest for the future. Our diversified portfolio enabled us to deliver revenues of over Rs. 7,000 crores this quarter, despite the known drop in generic Revlimid sales. Our One -India business delivered a strong quarter with 10% year -on-year growth, reinforcing its momentum and commitment to sustainable long -term growth. In our branded prescription business, we delivered a double -digit growth of 10%.

Our key therapies continued to outperform the market with robust growth. Respiratory grew 11% while anti-diabetes and cardiac grew 13% each and urology grew 15%. Cipla respiratory crossed the threshold of Rs. 5,000 crores for the first time in IPM as per IQVIA MAT December '25. Respiratory also outperformed the therapy IPM growth by 400 basis points as per IQVIA quarter ended December '25. Our overall chronic mix further strengthened to 62.3% YOY.

Foracort continued its leadership as the number one brand in IPM. We added four new brands to the INR 100 plus crore club, taking our total to 30 such brands. Our presence in IPM's top 300 brands remains strong with 22 brands, reinforcing t

he depth and resilience of our portfolio. Cipla
continues to be the largest pharma company in terms of volume and the only brand with 2 billion plus unit sales in IPM as per IQVIA MAT December 25.
During the quarter, we entered into a strategic agreement with Pfizer for exclusive marketing and distribution rights of four well -established Pfizer brands in India. We also signed a definitive agreement to acquire Inzpera Health Sciences, a strategic move that brings together In zpera portfolio of pediatric pharmaceutical and wellness products within Cipla's robust distribution network.
We further strengthened our diabetes portfolio with the launch of Afrezza, India's first and only inhaled rapid -acting insulin, marking a significant milestone in transforming insulin therapy. In addition, through our partnership with Eli Lilly, we launched Yurpeak , a modern on ce-weekly tirzepatide therapy for obesity and type 2 diabetes, bringing a convenient and advanced treatment option to millions of patients across India.
Our trade generic business delivered healthy growth during the quarter, on the back of vigorous execution and distribution, new product launches, and technological advancement. Expanding our portfolio remains a key growth driver with 8 new launches this quarter, which address specific patient needs. Our consumer health business continued its upward trajectory, with Nicotex , Omnigel, and Cipladine consolidating number one positions in their respective
segments. The business is driving healthy secondary growt h and actively exploring opportunities to invest in products and channels to further expand our distribution network. Operating profitability improved, reflecting the strength and scalability of our consumer health strategy.
In North America, we delivered quarterly revenue of $167 million, which included a small contribution from L enalidomide. We faced certain supply challenge in some of our key products and increased competition in new launches, yet our base business, ex-lena, delivered a double -

digit growth Y OY. We expect upcoming launches to help cushion the decline in Lena revenues and provide long-term growth.
Cipla continues to hold number one position in the overall U.S. Albuterol MDI market this quarter, with our market share at 22%, as per IQVIA data for the week ending December '26, 2025. Lanreotide remains one of our key strategic assets. Recently, however, our partner, Pharmathen underwent a U.S. F DA inspection at their manufacturing facility, which resulted in nine 483 observations. As part of their remediation efforts, production has been temporarily paused. We currently expect Lanreotide resupply to res ume in H1 FY '27. Until this manufacturing restarts, the product will remain in limited supply, subject to quality clearance of existing stocks. While this may cause some short -term disruption, we are working closely with Pharmathen and all the relevant stakeholders to explore every viable option to restore normal supply levels as quickly as possible. And in parallel, we are evaluating alternate sites for this product.
A quick update on our U.S. pipeline :
By this time, our pipeline includes four significant respiratory launches, including generic Advair. During the quarter, we will be launching generic Victoza, and we further expect to launch three more peptide assets in FY '27. Notably, three of the four respiratory assets are filed from our U.S. facilities. These strategic introductions will not only strengthen our portfolio, but will also serve as key drivers of sustainable longer -term growth.
Moving to South Africa:
In the private market, we achieved strong secondary growth of 6.3%, outperforming the market of 5.7% as per IQV IA MAT November '25. The business -based weakness in primary revenues this quarter due to in-country channel destocking. However, we expect normalization by nex

t quarter.
In EM EU, we delivered our fourth successive quarterly revenue above $100 million, recording a 7% YOY growth in USD terms. This was fueled by exceptional execution across both DTM as well as B2B segments. Our continued focus on deep market penetration has provided a strong foundation for sustained growth. Notably, we maintained margin stability while effectively leveraging int ernal pipeline assets, which demonstrates the strength and agility for our operating model.
On regulatory front :
We are expecting the re-inspection of our Indore facility to take place anytime soon.
With that, I would like to invite Ashish to present the financial and operating performance.

Ashish Adukia: Thank you, Achinji, and t hank you, Umangji as well . Thanks for your leadership.
Now, I would like to present the key financial highlights for the quarter :

We reported a quarterly revenue of Rs 7,074 crores , which is flat YOY. The EBITDA margin, excluding other income, stood at 17.7%, to be precise for the quarter. The decline in EBITDA margin was primarily driven by lower generic Revlimid revenues. The reported gross margin after material cost stood at 62.8%, again, largely driven by decline in lenalidomide, as well as partly because of product mix. Also, notably, the gross margin or material cost also has your R&D material cost of APIs or R&Ds that we purchased sitting out there . The total expenses for the quarter stood at Rs . 3,187 crores , reflecting a 13% increase over the previous year. This was primarily due to planned investment in R&D, manufacturing, and talent to support our new launches and build readiness for upcoming products in the pipeline. We remain focused on innovation and future readiness. R&D investments for the quarter was Rs 494 crores at about 7% of revenue. This was a growth of 37.4% YOY, directed largely towards product filing and key development programs. As noted earlier, R&D spend is trending higher this year, driven by select opportunities that strengthen the depth and vibrancy of our pipeline.

The profit after tax for the quarter stood at Rs . 676 crores , representing 9.6% of the sales. This includes one -time impact of Rs . 276 crores from new labor code, which is sitting in the exceptional item rather than above EBITDA . The ETR for the quarter stood at 24.5%. Our free cash flow generation and operating efficiency continues to drive healthy net cash position. As of 31st December 2025, debt on our balance sheet includes lease liabilities stood at Rs . 489 crores , with net cash equivalent balance at Rs . 10,229 crores . And this is after adjusting for a dividend that we paid in the previous quarter and this quarter we paid for Galvus as well.

This quarter our EBITDA was lower than our internal expectation by about 1.5% to 2%, which will affect the overall guidance for the year. And this was primarily a reflection of lower -than -anticipated Lanreotide performance and the completion of generic Revlimid billing cycle, with most of the shipment concluding in September quarter and small portion in December quarter. In parallel, we stepped up planned investments aligned with our growth priorities, including spends towards the commercialization of our new launches and readiness activities at our U.S. manufacturing facilities ahead of near -term and imminent regulatory approvals.

In line with the last quarter's guidance, we continued to prioritize targeted R&D investments in select opportunities within our U.S. -focused oligonucleotide portfolio, where we see potential to secure an attractive and competitive market entry position. Now, these are deliberate strategic choices and will lead to FY ’26 EBITDA margin guidance to land at around 21%.

Going back to our key priorities for the market, for One India, the aim is to focus on execution to sustain the growth momentum and outperform the market in both branded generic and trade generic. We will further strengthen our presence in chronic therapies, including diabetes,

cardiology, urology and dermatology while maintaining the robust trajectory we have built in respiratory.

In North America, we will concentrate on enhancing commercial execution and accelerating the new product introductions that we are expecting. In South Africa, our focus will be on improving the private sector mix while being selective in tenders. EM EU, our top priority is to drive top -line growth by deepening penetration in core markets while maintaining a strong margin trajectory.

Lastly, on FY ’27 guidance, we will further provide that as we finalize our annual operating plan for FY ’27 in due course.

That's it from my side. Thank you for your attention. Over to moderator for Q&A.

Moderator: Thank you. We will now begin the question-and -answer session. The first question comes on the line of Tushar Manud hane with Motilal Oswa l Financial Services Limited. Please go ahead.

Tushar Manudhane: Thanks for the opportunity, sir. So, firstly, on the Q3 gross profit and gross profit margin, even the Revlim id related impact is there, is there further anything in the raw material may be related to Lanreotide which is dragging the gross profit much lower compared to earlier quarter outside Revlim id?

Ashish Adukia: Tushar , Revlimi d has a significant impact sitting out there in the gross margin that you see. I think apart from that, in case of R&D, this quarter was a quarter where we purchased certain R&Ds and APIs as well for our R&D expenditure. That led to a significant explanation for the difference that you see out there. Other than that, there is a produ ct mix that led to small dilution as well, but that is not a significant amount, the three reasons.

Tushar Manudhane: So this Lanreotide had any impact on the raw material side while sales would have got impacted more on the raw materials as well as in certain i nventories or related expenses?

Ashish Adukia: No, there has been no adjustment in the inventory that we have had on account of Lanre otide. Whatever we have sold in this quarter of Lan reotide, a normal material cost against that is what is booked.

Tushar Manudhane: And so, extending this, given that there is now disruption, so effectively the US sales will then get further lower, at least with respect to Lan reotide reduction in the upcoming quart ers. Is that
a fair assessment?
Ashish Adukia: On account of Lan reotide depending on how that situation evolves, the Lanre otide sales can get
further impacted. We are not commenting on the other part of US as of now.
Tushar Manudhane: Okay, sir. That's it from me, sir. I will join back again.

Moderator: Thank you. Next question comes on the line of Kunal Dh amesha with Macquarie. Please go
ahead.
Kunal Dhamesha: Hi, thank you for the opportunity. So, of the 66 million rough decline in the US sales on a
sequential basis, how much directionally we can attribute to Revlimid versus Lanreotide?
Ashish Adukia: So, a significant portion of that comes from Revlimid, a major portion of that. And there is a
small portion that comes on account of Lan reotide as well. But important to note is that, as
against what we had planned in Lanre otide, there is a lower than that we have achieved because
of this disruption.
Kunal Dhamesha: Then if I remove just both, lenalidomide, because there is still some residual Revlimid there, and
Lanreotide is also there. Is it fair to say that we are at a more like a pre-Revlimid era where we
were doing more like $125-$130 million quarterly run rate for the US? Is that a fair
understanding? Without Lanreotide, we should be there?
Ashish Adukia: So, no. That your assessment is not entirely correct in arrivi

ng at the base. Because we can't
share the numbers of Lenal idomide unfortunately. So, difficult for us to explain the entire gap.
But directionally, if U mang or Achi n, you want to just add to that?
Achin Gupta: I think directionally just to say, we have minimal l enalidomide now in that base. And we are
looking at very significant launches which are coming up. So, I think that the direction of travel of the business will be to grow on the back of all of the products, including some of the launches which have already ha ppened this year.
Kunal Dhamesha: And wo uld you provide more details on, so we know one which is g eneric Ad vair, but beyond
that the three respiratory assets, if you could provide some color in terms of what is the total addressable market, how is t he competitive landscape there?
Ashish Adukia: Yes. So, we have mentioned four respiratory assets. One of them is Generic Ad vair. There are
two other fairly large material opportunities where we believe we have a full generic opportunity which would stay like that for a certain period of time. So, we are very excited about those and
with awaiting the approvals, which will materially create a revenue as well as profitability impact
for us.
Kunal Dhamesha: The large means like hundreds of millions or the total addressable market size, how to look at those? One is definitely Symbico rt, right, of the four, one is Ad vair, one is Symbico rt. So, the
remaining two, the large opportunity which you are suggesting, where we could be sole one, can
you give us the time ?
Ashish Adukia: I think for competitive reasons, it's hard to comment on that, but these are fairly large.
Kunal Dhamesha: Sure, sir. Thank you and all the best.

Ashish Adukia: Thank you.
Moderator: Thank you. Next question comes from the line of Neha M with Bank of America. Please go
ahead.
Neha M. : Thanks for taking my question. My first question is on the peptide monetization that we have
talked about in ' 27. None of these are from the partner facility that's been impacted, right? Would
that be a fair assumption or some of this is linked to Pharmathen's facility getting cleared?
Ashish Adukia: No, none of them is coming from Pharmathen.
Neha M. : Understood. That's helpful. And second, on the gross margin impact that you said, Ashish, from
the APIs for R&D, could you quantify how much would that be and should we assume that that
was just restricted to this quarter and should normalize from next quarter onwards?
Ashish Adukia: So, without necessarily giving a risk, we have said that your R&D expenses is about 7% of
revenue. So, part of that 7% sits as material that you purchase, procure as well, which is both
R&D as well as API. And we did that for certain molecules, including oligonucleotides. So, what
happens is that it is not a regular consistent quarter phenomenon. In this quarter we purchased, so therefore it can be lumpy as well. So, you may not have it coming back in Q uarter 4.
Neha M. : Understood.
And how should we think about defending the 21% margin that we have guided to
this year into next year when Revlimid fully goes away? Initially we have the land -return
disruption, but then we also have the launch pipeline. If you could just give us some sense on how we should look at margins

for '27?
Ashish Adukia: So, '27 margin, we are not currently guiding towards for a reason that we have not completed our annual operating plan for the year, which needs to go to the Board and then we can give that guidance next quarter. F Y'26 is for which we have given guidance of that we should land the year at about 21%. So, that is just one quarter left and we of course have to do better YOY to achieve that if you do the math. And we do not have any Revlimid now in Q uarter 4, which is what you are all aware of.
Neha M. : I am done with my questions. Thank you.
Moderato

r : Thank you. Next question comes from the line of D amayanti Kerai with HSBC. Please go ahead.
Damayanti Kerai: Hi, thank you for the opportunity. I have two questions. So, first, on your expected launch for FY'27 in the US, so you mentioned four peptides and four regulatory assets. So, just want to understand what kind of comfort and visibility you have on these assets, whether you have got that date from the FDA on the basis of which you are confident that you should be able to launch these products and also want to understand in any of these, are there any URLs or any roadblocks which you are yet to resolve?

Achin Gupta : Thank you for that question. The respiratory assets that we have are progressing well through their assessments. And we have been preparing for the launch as well in terms of operations related activities that need to happen to prepare for the launch. So, we are quite confident about those upcoming launches. Likewise, for the peptide assets as well, because these are not from the site which is having that issue currently with the partner pharmacies. So, we do not have any reasons to suspect any issues on the launch. And generic Victoza approval is already received. So, that we will be able to launch as well.
Damayanti Kerai: Sure. J ust to understand, all the peptide assets are from CMO site and respiratory, as you mentioned, 3 out of 4 will come from the US and one maybe from the I ndia plant. Is that the status?
Achin Gupta : Yes, that is right. So, the peptide assets are from partner sites and respiratory are from U S sites as well as India sites.
Damayanti Kerai: Okay. My second question is on your note to the consolidated financials, where you mentioned you have paid around Rs. 1,100 C r. for acquiring perpetual rights to manufacture Gal vus and combination products. So, can you help us understand where these expenses or costs are sitting in the financials?
Ashish Adukia: So, that is sitting in intangibles in your capital advance in your financial statement, the 1 ,100 that we have paid.
Damayanti Kerai: That's sitting in intangibles, right? Nothing on P &L side?
Ashish Adukia: Nothing on the P &L.
Damayanti Kerai: Okay. I will get back in the queue . Thank you.
Moderator: Thank you. Then N ext question comes from the line of Surya Narayan Patra with PhillipCapital (India) Private Limited. Please go ahead.
Surya Narayan Patra: Thanks for the opportunity, sir. First question is on the Lan reotide, this is just a clarification first, whether we have seen any impact of supply disruption in this quarter , because the inspection and all that would have happen ed in the current quarter, but I think the development what we have seen, it is in the 4
th Quarter ?
Ashish Adukia : So, in case of Lan reotide, the inspection took place in November and soon after that they stopped the production. So, in December, we had no production out there. So, there was some impact in comparison to the previous quarter. But as far as our plan, the impact is much larger.
Surya Narayan Patra: Okay. So, then my next question is on the margin side. See, now we are guiding kind of a 21% margin for the full year, FY '26, wherein the fourth quarter, obviously, we know that it is a relatively weak er quarter for us. And hence, the impact also would be there alongside the impact

of Lan reotide that would also be visible. But going ahead, how should one see what are the kind of swinging factors for our margin? Because obviously, the Le nalidomide would not be there next year. And there would be possibly in the first half, the Lanre otide disruption also would be there. And the spends on R&D side that is likely to continue. So, in that case, the overall margin, if we see, it looks like below 20%. Whether directionally am I thinking right or ho

w is it? How should one think? If you can just talk about the moving factors for the margin for next year ?
Achin Gupta: So, Surya, let me just try and give you some color. So, the Lena is a planned dip in sales, which

was known for quite some time. So, that's happening as we speak. And in preparation for that, we have been working on the pipeline. And as we already mentioned that pipeline is now looking closer. So, as we go along, and as we start getting those approvals, we will be able to obviously share that. So, that will be the way to offset all of what has happened, whatever, you know, is going off on in Le nalidomide . In addition, our other markets continue to grow strongly. So, India, which is a large presence for us continues to grow, EM EU continues to grow, South Africa continues to grow. And we will obviously, be providing some more visibility on how we are looking at R&D and the other expenses to invest in the business. But I think the broad guidance is that this is Lan reotide is a temporary issue and Lenal idomide was a planned going away for which the pipeline comes into play. That's how we would look at it. Until the time this Lanreotide disruption is there as more as a temporary aberration than a longer term phenomenon.

Surya Narayan Patra: Okay. Otherwise, our profitability going ahead, excluding the impact of the Lanre otide should be better than the profitability what we wo uld be having prior to the Lenal idomide scenario ?

Ashish Adukia: So, I think best for us to answer this question will be when we have rolled up our annual plan. So, we will give you a muc h better visibility after that.

Surya Narayan Patra: Sure, sir. Okay. Just last one question then from my side, sir. About your Yurpeak tirzepatide launch . So, what is the kind of progress and whether you have any assessment about the kind of adoption levels in the areas beyond cities, where the focus would also be there for you? And what scenario that you are anticipating post the commercialization of semaglutide for tirzepatide?

Achin Gupta: So, we are the full , all over India marketing right for Yurpeak . So, we are covering pretty much all of the country with obviously more focus on outside of metros. But this is a very fast growing space. So, we are seeing good traction coming through in all of the places. Those which had been exposed to the drug earlier by the partner as well as the cities and new prescribers where we are able to bring the treatment as for the first time. So, I think there's good amount of traction there and it's a very large medical need across the country. Patient pool is very vast and widespread across the country which we are looking to serve. Now, with respect to Semaglutide generic, as and when that happens, we believe it will open up a new segment in the market because the molecules are different. T irzepatide has dual action GLP and GIP, which we believe makes it a preferred option. However, from pricing perspective and genericization of Sema

happens, it might open up options at a different price point to certain segments of the market, which effectively will grow the market as opposed to eating into each other.

Surya Narayan Patra: Okay. Sure, sir. Thank you. Wish you all the best.

Achin Gupta : Thank you.

Moderator: Thank you. Next question comes on the line of Bino Pat hiparampil with Elara Capital. Please go ahead.

Bino Pathiparampil: Good afternoon. First question on Abraxane. Any update on how it's doing in the market?

Ashish Adukia: Sorry. You said Abraxane ?

Bino Pathiparampil: Abraxane, which you have launched?

Ashish Adukia: No, I think our launch coincided with other launches as well. So, it's become a competitive market. So, as of now, we are inching up our market share. Currently, it's a single d igit. We hope to increase that.

Bino Pathiparampil: Understood. I was lo

oking at your ' 22 margins before Lenalidomide. You were around 21%. How has that fallen to 17.5%- 18% now? I mean, that too, with a little bit of Revlimid?

Ashish Adukia: Sure. See, I think we explained some of the reasons, right? Like, there was R&D, which is elevated. We us ed to be at about, I think, 5%-5.5% in the past, which has now come to about 7% of sales. So, it's straight away about 1.5% -2% kind of a dilution from what we used to be. That explains one of the reasons. And then, in the last almost about 1- 2 years, we have been investing on organic growth and for new launches, for derisking our facilities. So, all that cost has also come into the P&L. I think as they start to yield revenue for us, both R&D pipeline as well as all the derisking benefits, etc., that we are likely to get, we should normalize back to a higher number. And the 17.7%, we have already mentioned that it's 1.5%, 2% off from our expectation and for the same similar reasons that we mentioned.

Bino Pathiparampil: Got it. And this Rs. 1,100 crores payment to Novartis, is this related to the deal that you entered in April 2023?

Ashish Adukia: Yes, that's right. This is a follow -up. So, it was earlier just in-licensing kind of a deal. And now, it's a perpetual license that we have got for the trademark and we can also manufacture it in -house.

Bino Pathiparampil: I mean, was it publicly disclosed earlier that such a payment is due under this deal?

Ashish Adukia: Yes. When we announced the in -licensing, then this was disclosed.

Bino Pathiparampil: Okay. And I am sorry, I looked up your public statement. I couldn't find it. Maybe I missed it. Any such payment in future involved with the current deal with Pfizer or the Lilly deal for Tirzepatide?
Ashish Adukia: No. So, when we shared about the Galvus deal, it was an EPD followed by this perpetual license. So, it's kind of an acquisition with a slight delay. So, a couple of years of marketing exclusivity followed by the purchase. The other deals don't have this kind of provision.
Moderator: Thank you. Next question comes on the line of Abdul kader Puranwala with ICICI Securities. Please go ahead.
Abdul kader Puranwala: Thanks for the opportunity. My first question is pertaining to your earlier guidance on US revenues where we saw US revenues touching around close to $1 billion by FY'27. So, post - Lanreotide, are we revising that guidance?
Umang Vohra: I think we will have to revise the guidance because if we don't have Lan reo in one quarter, the numbers will be lower. Right? So, I think that guidance will have to go down because Lanreo tide, if we forecast Q uarter 4 not coming in, it will have an impact on the overall guidance for the US business. Now, what we had also directionally guided was for the US business to continue that trajectory supported by new launches. And I think, based on what, some of the questions earlier, it's pretty clear that, the launch trajectory of the business is at least a t a very, if not almost at the stage of launch, but at a very advanced stage of launch for three products. So, I think that would also add to the overall guidance towards the , directional guidance we get for the business in the US.
Abdul kader Puranwala: Okay. Thanks for that. And just among the 8 products, you mentioned 3, you have a rough timeline. How about the balance 5? So, are these kind of an early FY' 27 opportunities or late FY'27? Any direction on that ?
Umang Vohra: So, effectively, I think what is immediate, let's say from 0 to 6 months, we are calling for , from 0 to 6 months, two big respiratory launches, and one smaller launch, right, on respiratory. Let's say two big respiratory launches and one Advair . That's what we are calling for in FY, in this year, in the next six months. Between the 6 months to 1 year, there could be another big laun

ch
that in respiratory that we are calling out, right. That could be another one. And that is likely to be around the Symbico rt and more towards the end of the year. Then we have peptide launches, which the team has called out. I think the peptide launches, there will be a smaller one in the 0 to 6 month period. And then hopefully, if things work out the way we are thinking, there will also be a larger launch, which again, could be pretty exclusive sort of a scenario for one of the peptide products in the 6 months to 12 months trajectory. So, that's how the launch calendar looks like. Now, for whatever is between the 0 to 6 month c ategory, there is a fair amount of belief that this has gone through multiple rounds of review, etc. And therefore, the launches are more likely than not to happen soon.

Abdul kader Puranwala: Got it, sir. Thanks for that.
Moderator: Thank you. Next question comes from the line of Shashank Krishnakumar with Emkay Global. Please go ahead.
Shashank Krishnakumar: Hi, thanks for taking my question. The first one was on the respiratory assets , the four which we are guiding to the next year. And three, I think, are filed from the US. The fourth one, we filed from Goa and not Indore. Is that right? I think we have said that in the past, the partnered asset is from Goa. So, that is from Goa, right? This is not contingent on Indore getting re -inspected and cleared ?
Umang Vohra: That is correct.
Shashank Krishnakumar: Got it. And just the second one on the opening remarks, which we had made. The US base d ex-revlimid grew in double digits, right? And that base, when we are referring to that, obviously includes Lanreotide . Is that the right understanding?
Umang Vohra: That is right. Your unde rstanding is correct.
Shashank Krishnakumar: All right. Thank you. That is helpful . That is it from me. Thank you.
Moderator: Thank you. Next question comes from the line of Vivek Agarwal with Citi. Please go ahead.
Vivek Agarwal: The question is related to India business. So, what is the share of in-licensing portfolio in India Rx b usiness and how that has grown?
Achin Gupta: So, at the moment, it is less than 10%. And, Galvus was appearing as the in -licensing, which now, we will have the benefit of own manufacturing and therefore full supply chain margins. So, that will come out of the bucket and Yurpeak will grow. So, that is the evolution of it.
Vivek Agarwal: Thank you. That is all from my side.
Moderator: Thank you. Next question comes from the line of Tushar Manudhane with Motilal Oswal Financial Services

Limited. Please go ahead.
Tushar Manudhane: Thanks for the follow -up. So, just on Lanreo tide, while the first, when we had launched, at that time as well, there were certain regulatory issues. If you could clarify, it was to do with the same site and now with this USF DA thing. So, over a period of time, have you thought of having any alternate site filing for this prod uct? That is my first question.
Achin Gupta: So, from derisking perspective, we are looking at a second site, not in the same market. And those discussions are advanced with the partner because we need the partner to be able to transfer the product to the new site.

Tushar Manudhane: So, which means effectively, if at all, then if you are thinking of relaunching in 1st of FY '27, it has to be subject to the USF DA clearance for this site itself ?
Achin Gupta: Yes, the earlier resumption will come from the existing site. For future, the derisking can happen from the second site as well.
Tushar Manudhane: Got it. And sorry if I would be dragging on this, but when there were 0 to 6 months, two big respiratory launches, while you might not call out individual market size or product size, if you could just combine the two and just give us an i

dea in terms of when you say big, how big is the market size and is there an organic generics already there in these products or not there?
Achin Gupta: I think, we have guided that two of those opportunities are, I know, quite large and we expect to be the sole generic in those for a substantial period of time. The third one in that same bucket is the generic Advair , which already has competition.
Tushar Manudhane: Yes, I get you, sir. Sorry, but just to reduce the subjectivity, I am just trying to understand when you say big, what would be the market size, if not individual product combined, if you could highlight?
Ashish Adukia: So, like we have said that collectively our new launches will make up for the generic side revenue drop, I think that should give you some indication.
Tushar Manudhane: Relatively less as compared to Revlimid , while it would help to make up for the sales, will it be at a relatively similar profitability or lower profitability?
Ashish Adukia: It will be l ower profitability than Revlimid and it also depends on, by the way, on timing. So, when you launch a system collectively, I am saying that it will make up, it will be lower profitability, but important to note is that our respiratory assets are all in -house. So, they will come at a very good gross margin. So, only when you go outside with partners, when you have to share some profits or pay some milestones etc. s o, in this case, all of them are in -house.
Umang Vohra: Maybe we can give you color. Let us give you some color in this manner, right? If you take away Revlimi d, right, the next set of products are a certain size for the business, right? And including Lanreotide. I think the two products we are talking about, ballpark, as an average, they would come at that size as being leading products for the market outside of Revlimi d.
Tushar Manudhane: Got it, sir. Thank you. This is helpful. Thank you.
Moderator: Thank you. Next question comes on the line of Nitin Agarwal with DAM Capital. Please go ahead.
Nitin Agarwal: Ashish, on the business, what do you think is the normalized gross margin for the business on a more secular basis?

Ashish Adukia: No, see I think we have been averaging about 65% or so. So, range of about 60% -65%, depending on the mix, some quarters will have more acute. So, that will be more on the lower side. And when it is respirat ory, etc. then typically it would be higher, right? And then, of course, U.S., it all depends on a small portfolio that you have. So, there can be product skews that can be there.
Nitin Agarwal: And on the fixed costs per se, we have had, obviously, some pickup in the business fixed costs overhead, which have happened. Obviously, there has been a Revlimi d cushion over the years, which has been there. Now, with Revlimi d not being there, is there an opportunity for us to take out or to prune some o f the operating overhead costs?
Ashish Adukia: No, absolutely. I think we constantly look at opportunities to reduce costs and optimize it. So, there are opportunities. We have run a program as well this year. Part of that program, some benefit may come towards the end of this year, but more full year benefits will start kicking in the next year. So, there are definitely continuous improvement programs that we run on the cost side. And, please, again for the sake of repetition, the R&D costs that you see out there, 7% of revenue sits in material costs, other costs, and people costs as well. So, all the three line items will have those sitting . So, if you see increase in those line items, that's also because of R&D. Not so much in people, because we have not really invested big time in people on the R&D side, but on material and other expenses increased, you can see it's on account of R&D. And R&D also has litigation costs that you

do for the products in t

he US or any other country. So, those
costs are also baked in.
Nitin Agarwal: Thank you so much. And, Achin, best of luck for your term going forward.
Achin Gupta: Thank you.
Moderator: Thank you. Next question comes from the line of Chirag D agli with DSP Asset Managers. Please go ahead.
Chirag Dagli: Thank you for the opportunity. Ashish, on your comment of the increase in R&D, some bit of that being led by the R&D purchases that you've done, the absolute quantum seems like 150 odd crores. Is this in the ballpark or is this way off in terms of you have to estimate , because you're not calling it out separately ? But that 150 crores kind of an increase versus the run rate that you've been having, is this broadly rig ht?
Ashish Adukia: So, yes , that's the guidance that we have given in the last quarter as well, where we said that our R&D expenses, an estimate has gone up by about 50 basis points. So, your 50 basis points would translate to somewhere around Rs. 150 crores. So, from that sense, yes, your number is very close.
Chirag Dagli: And that fits in the RM cost as well, what I am trying to understand?

Ashish Adukia: RM as well as other expenses also, y es. And some bit of capital expense, but that would be very small, like if you're buying lab equipment. But that's a small number that won't be a…
Chirag Dagli: What is the incremental versus the average run rate that we have been having largel y sits in the RM cost line item?
Ashish Adukia: RM and other expenses.
Chirag Dagli: Yes, understood. Fair point. The other bit is in terms of the quarter on quarter dip in the US business, roughly about $65 million. You said largely this is Lenolidomide . Should we extrapolate this to an annualized number to get the sense of what our annual Lenolidomide sales would be in the base? Or would it be lower, higher? Just how should we think about that?
Ashish Adukia: So, Chirag, t here, unfortunately, we can't guide yet because of the agreement is surviving.
Chirag Dagli: Is the run rate going to be materially different in the coming quarters on the US?
Ashish Adukia: No. So, I think the future guidance on US , let Lan reotide stabilize. I think there'll be good opportunity for us to give you that guidance.
Chirag Dagli: Understood. Thank you for that color . And just in terms of clarification, Umang, you said, the two assets, the big respiratory products that you're expecting in the next 6 months, in terms of the opportunity size, they could be, did I get this right that the size could be as big as Lanreotide potential? Or what were you trying to indicate in terms of?
Umang Vohra: Yes. What I was trying to say is that it's quite likely that one, if not both, could be one of the largest products for the C ompany. That's what I was trying to say. So, if you take out Lenolidomide , right? And if you take the next top 2 or 3 products of the company that we sell, including Lan reotide, this is ballpark in that top 2 or top 3 product type of a profile for revenue.
Chirag Dagli: Understood. Thank you so much. Thank you for that color.
Moderator: Thank you. Next question comes from the line of Sidharth Negan dhi with Chanakya Wealth Creation. Please go ahead.
Sidharth Negandhi: Thanks for the opportunity. I just wanted to understand if you are, you are seeing great er traction in trade generics or branded generics within the India business, if you could get some color on that and in context of the Schedule M implementation, how are you seeing the actual implementation on ground? And do you expect either the branded or the trade generics business to gain share because of that? That's question one. Question two was in line with the peptide launche s that you mentioned in the developed markets in the US. If you could give some color in terms of launches in the emerging markets for some

of these peptides where we are seeing loss of exclusivity. So, these are my two questions.

Achin Gupta : Okay, so I will start with the trade generic and branded generic question first. We see opportunities on both sides and I think slightly different drivers for each. One has an element of scientific doctor promotion, the other is more channel -led. But given the breadth of the market, we see equal opportunities on both sides and our grow th rates have also been similar in this year.
As far as Schedule M is concerned, you know, that's a good initiative from the government side to raise the quality bar on all the manufacturing that is happening in the country. It is more of an impact for smaller players who will need to ramp up to meet those quality standards. From CIPLA perspective, we do not have much or any impact because we are already at or better than the standards that are asked for. In terms of EM launches on peptides, so you know that

Liraglutide we had already launched and then we have some other products in the pipeline. It would be difficult to call out individual assets because the quant um would not be as large as it is in the US, but we are looking at having, same level of complexity and differentiation on our EM portfolio as we have in the US portfolio. And sometimes there are assets which are more differentiated, which are registered in branded markets, which are not available as opportunities for the generic market in the US. So, we are focusing on building out these EM frontends as well as EU and South Africa front ends.

Moderator: Thank you. Next question comes from the line of Shrikant Akolka r with Nuvama. Please go ahead.

Shrikant Akolkar: Thank you so much for taking my questions. I have two questions. Firstly, since we have launched T irzepatide, can we say that we still will be able to launch Semaglutide in March, in the mo nth of March?

Achin Gupta : So, at the moment, we are focusing on T irzepatide. That is a large opportunity with our Yurpeak partnership with Eli Lilly. As you see from IQVIA data, last month the molecule was clocking upwards of Rs. 130 crores a month. So, our efforts are primarily focused on that. On Sema, we will wait and watch as to how the market evolves. And then, if we see an opportunity at a lower price point to cover some of the market, we can take that call, but not immediately.

Shrikant Akolkar: That's true. And just to follow up on that, because we have an agreement with Eli Lilly, does that agreement stop us from entering in Semaglutide?

Achin Gupta : We cannot share the specifics of that, but as I said, we can see how the market shapes up. And if we see an opportunity to play in that market, we can take that call over time.

Shrikant Akolkar: Okay. And second question, just to check out whether we have generic Spiriva in the development at the moment, or maybe in future?

Umang Vohra: The question is on Spiriva, right?

Shrikant Akolkar: Yes.

Umang Vohra: So, that depends on which market you're talking about. I think for some part of the world, we have it. And for some part of the world, we can't dis close because it's competitive.

Shrikant Akolkar: Okay. Understood. Thank you so much. And thank you Umang for the last 10 years of your service, and all the best to Achin as well. Thank you.

Umang Vohra: Thank you.

Achin Gupta: Thank you.

Moderator: Thank you. Next question comes on the line of Kunal Dh amesha w ith Macquarie. Please go ahead.

Kunal Dhamesha: Hi, thank you for the follow -up. Just one question on the Rs. 275 crores exceptional item this quarter. Ashish, do we see any prospective impact which could happen in the future quarter as well, of this 275, s ome amount continues to remain?

Ashish Adukia: No. So, in our assessment, we have the data with us. We have based o

n the new code as per guidance and FAQ given till now, we have taken the impact. So, we don't anticipate any material adjustment to this amount. Except, of course, your approvals now because of the new code will start to be, it will be higher than the approvals every year that you are making. But for the past, whatever the approvals has to be made, it's all sitting there in the 275. No material adjustments we see after this.

Kunal Dhamesha: But there could be some lingering or residual or the structural increase in employee c ost because of this, right because you now also provide --

Ashish Adukia: So, your accrual every year now will need to be slightly higher unless you change the structur e of salary.

Kunal Dhamesha: Okay. And, on R&D side, this year has been higher, but given we would have, t imelines about the projects that we are currently doing. So, do we expect that R&D can cool off, let's say in FY'27?

Achin Gupta : I think the normal range which we have been operating in is around 5 % to 6% of R&D spend. It gets lumpy at times, depending on certain programs where the R&D and API costs might get lumpy. But I think we will try and keep it m ore around that 6%. But quarter -on-quarter, depending on the timing of projects, some of it goes up and down during the year.

Kunal Dhamesha: Sure. Thank you and all the best.

Ashish Adukia: Thank you.

Moderator: Thank you. Next question comes on the line of Sidharth N egandhi with Chanakya We alth Creation. Please go ahead.

Sidharth Negandhi: Hi, thanks for the follow -up. Just on the S chedule M, what I wanted to understand is on, given the challenges that the smaller guys will have on implementation, are you envisaging your trade generics or branded generics business seeing any short -term blip or benefits from this? That 's the question I actually had.
Achin Gupta : I think it is more toward benefiting the patient in terms of quality and preventing unnecessary adverse events. Given the number of manufacturers which exist in India, we don't see much material difference on our business on either of trade generics or bra nded generics because of this Schedule M implementation.
Sidharth Negandhi: Got it. Thanks. Thank you.
Moderator: Ladies and gentlemen, due to time constraints, we h ave reached the end of question-and -answer session. I would now like to hand the conference over to D iksha M aheshwari for closing comments.
Ashish Adukia: Thanks, everyone, for joining the call. If any still questions are left, we are happy to address that. Just that one comment that was asked on Galvus, the 1 ,100, that sits in the capital commitment in our balance sheet in note 38, that clarifies the amount t hat is sitting there for Galvus capital commitment that we have made. It was not there in the initial press release, I checked that. Thank you.
Diksha Maheswari: Thank you, everyone, for joining in. And if you have any further questions, please write it to investor.relations@cipla.com .
Moderator: Thank you. On behalf of Cipla Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

Cipla Ltd.
Regd. Office - Cipla House, Peninsula Business Park, Ganpatrao Kadam Marg, Lower Parel, Mumbai -400 013, India
P +91 22 4191 6000 W www.cipla.com E-mail contactus@cipla.com Corporate Identity Numbe r L24239MH1935PLC002380

15th May , 2026

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Societe Anonyme
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L-1840 Luxembourg

Sub: Q4 FY26 - Earnings Call Transcript

Dear Sir/Madam,

We are enclosing herewith copy of the transcript of the Company's Q 4 FY26 earnings conference call dated 13th May , 202 6. The tr anscript is also available on the Company's website i.e. https://www.cipla.com/sites/default/files/Cipla -Earnings -May13 -2026.pdf

Kindly take the above information on record.

Thank ing you,

Yours faithfully,
For Cipla Limited

Rajendra Chopra
Company Secretary

Encl: as above

Prepared by: Gargi Sahasrabudhe

"Cipla Limited
Q4 FY 26 Earnings Conference Call"
May 13, 202 6

MANAGEMENT : MR. ACHIN GUPTA – MANAGING DIRECTOR AND
GLOBAL CHIEF EXECUTIVE OFFICER – CIPLA
LIMITED
MR. ASHISH ADUKIA – GLOBAL CHIEF FINANCIAL
OFFICER – CIPLA LIMITED
MS. DIKSHA MAHESHWARI – HEAD INVESTOR
RELATIONS – CIPLA LIMITED

Moderator: Moderator: Ladies and gentlemen, good day and welcome to the Cipla Limited Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded. We have with us today Mr. Achin Gupta, MD and Global CEO; Mr. Ashish Adukia, Global CFO; and Ms. Diksha Mah eshwari, Head, Investor Relations. I would now like to hand the conference over to Ms. Diksha Maheshwari. Thank you, and over to you, ma'am.
Diksha Maheshwari: Thank you, Sagar. Good after noon. Welcome to Cipla's Q4 FY 26 Earnings Call. I'm Diksha Maheshwari from the Investor Relations team at Cipla. Let me draw your attention to the fact that on this call, our discussion will include certain forward -looking statements, which are predictions, projections or other estimates about future events.
These estimates reflect management's current expectations of the future performance of the company. Please note that these estimates involve several risks and uncertainties that could cause our actual results to differ materially from what is expressed or i mplied. Cipla does not undertake any obligation to publicly update any forward- looking statements, whether as a result of new confirmation, future events or otherwise.
I hope you have received the investor presentation that we have posted on our website. I would like to request Achin to take over.
Achin Gupta: Thank you, Diksha. Good afternoon, everyone, and thank you for joining us for our fourth quarter earnings call for financial year 2026. 2026 was a year of milestones for us. We completed our 90th anniversary for the business, and we achieved significant m ilestones across all of our businesses, One India, North America, O ne Africa and EMEU.
In India, we crossed a significant threshold with the business surpassing INR 12,500 crores in revenues, underscoring the strength and resilience of our domestic franchise, which is our largest franchise. In North America, the successful generic Ventolin approval from our U.S. facility marked an important strategic inflection point and reinforced our R&D capabilities.
Our o ne Africa business continued to deliver market -leading growth and our EMEU operations scaled meaningfully to become a $400 million -plus business unit. Together, these achievements highlight our disciplined execution and our commitment to sustainable as wel l as diversified growth across geographies.
Now let me touch upon the individual businesses. Our One India business delivered a robust performance this quarter, growing at 15% year -on-year, driven by strong double -digit growth across Branded Prescription, Trade Generics as well as Consumer Health. F ull year growth stands at 9% Y -o-Y.
On the Branded Prescription business, our key chronic therapies, Respiratory, Anti -diabetes, Cardiac and Urology delivered a strong double -digit market growth. Our chronic mix stands at 60% as per IQVIA MAT March '26. Foracort, our leading inhalation brand surpassed the revenue of INR1,000 crores, reaffirming its position as a respiratory market leader.

Meanwhile, Dytor, our cardiac brand, has established itself as a -- as a INR 650 crore s brand, delivering 25% Y -o-Y growth. This year, we expanded our presence in the IPM by adding 4 brands with revenues exceeding INR 100 crores, bringing the total to 33 such brands. And our footprint in the top 300 brands in the industry now has 23 such brands.
This year, our growth has also been helped by a series of successful differentiated product launches across the core therapies. In Respiratory, we laun

ched products into the inhalation franchise, including Foracort G Synchrobreathe, Ciphaler and the triple combination Voltido Trio, which are strengthening adherence while delivering therapeutic benefit.
In antimicrobial resistance, we launched ZEMDRI, Cipenmet -Esblocip, which underlines our presence and leadership in resistant and critical infections and AMR. In urology, we launched a novel product called XTIKTR, which expands our leadership in nonantibiotic management of recurrent UTIs.
In our diabetes franchise, we launched SGLT2 -led portfolio, including Empagliflozin. And in dermatology, we launched an innovative solution, Pirfesca for scar management. Together, these launches reflect our execution strength. It reflects our focus on com plexity and our commitment to driving sustainable growth through improved patient outcomes.
During the year, we also enhanced our pipeline and portfolio through strategic partnerships. We entered into a collaboration

with Eli Lilly for Yurpeak making our entry into the fast-growing
obesity segment with best -in-class molecule. Our partnership with Mannkind Corporation of
U.S. brought Afrezza India's first rapid-acting inhaled insulin, reinforcing our focus on
differentiated diabetes solutions.
And we also gained exclusive rights to Pfizer's key established brands, further strengthening our
access to strong brands in the IPM. Additionally, the acquisition of Inzpera Healthcare enhanced our portfolio on pediatric and wellness product side. Put together, these efforts meaningfully
enhance our portfolio and reinforce Cipla's long- term growth ambitions.
On trade generics side, we continued the strong growth momentum, delivering double -digit
growth Y -o-Y for the quarter as well as for FY '26. This performance was driven by focused
execution across distribution, a robust pipeline of strategic new product la unches and meaningful
advancements in technology -enabled operations.
We will continue to expand portfolio and use that as a key driver for growth with 17 new
launches planned this year. Our Consumer Health business continued its strong upward growth
trajectory with Nicotex, Omnigel and Cipladine consolidating their number 1 positions in their
respective segments.
The business is driving very healthy secondary growth and actively exploring opportunities to invest in products and channels to further expand our distribution network. Operating
profitability has improved in CHL, reflecting the strength and scalability o f our consumer health
strategy.

Coming to North America, the business reported quarterly revenue of USD 155 million and an
annual revenue of $780 million, supported by demand in our differentiated portfolio and a steady
base business. Albuterol market share increased to 19.6% as per IQVI A MAT March '26. During
the year, we advanced our portfolio with several key assets, including Liraglutide, Nintedanib
and Dapagliflozin.
Notably, we received regulatory approval for the first AB -rated generic Ventolin with CGT,
representing the first commercial MDI product to be manufactured from our U.S. facility. This
milestone reinforces our growing confidence and capability to deliver c omplex generics, not just
from India, but also from our U.S. manufacturing facility.
We are expecting to launch this product within the coming months. Our Goa facility, together
with 2 U.S. facilities is well equipped to support the launch of all 4 respiratory assets planned
for FY '27, enabling a seamless and well -coordinated supply to the market. Our One Africa
business grew at an impressive 14% year -on-year growth rate during the quarter with a full year
growth of 7% Y -o-Y in USD terms, powered by firm performance across key markets.
In the private market, our secondary growth outpaced the market growth with 6.6% versus 4.8%
for the market. In EMEU, our focused strategy on deep penetration

has built a strong foundation,
enabling the business to b reach the USD 400 million revenue mark. This is despite the significant
volatility that has been happening in the recent months because of the war.
The business remained resilient during the quarter, navigating geopolitical uncertainty and
disruptions with strength and discipline. It was led both by DTM and B2B categories alongside
consistent margin stability and internal pipeline assets. On the regul atory front, during the year,
U.S. FDA conducted and concluded inspections at 3 of our manufacturing facilities in India, Bommasandra in Bangalore,
Sitec at Mumbai and Medispray in Goa, all of these inspections resulting in a VAI or NAI classification.
This accomplishment reflects our sturdy dedication to quality, compliance and operational
excellence. A quick update on our U.S. pipeline. We continue to prioritize organic investments
with sustained focus on advancing R&D capabilities for the U.S. market in particular. We remain
very confident in our U.S. business outlook, which is supported by a pipeline of nearly 40 to 50
products to be filed over the next 3 years.
And this includes 12 first to files and 8 B2 opportunities that we are targeting. In the Respiratory
portfolio, 5 assets have been filed, including the generic Ventolin. 4 of these are expected to be
commercialized in FY '27. We are also going to deepen th is pipeline with 4 additional respiratory
assets scheduled for filing over the next 24 months.
Importantly, we remain committed to sustainability and innovation with 2 respiratory assets incorporating green propellant expected to be filed over the next 24 months as well. In Peptides
& Complex Generics 8 assets are already filed with select launches projected between FY '27
and '28. We aim to file 3 more Peptides & Complex Generics assets in the next 12 to 24 months.
Additionally, we are working on Oligonucleotide, and we are also having 2 global biosimilar
assets. One is undergoing clinical study under an IND and the other is in earlier stage of

development. We see biosimilars as a very large and underpenetrated opportunity. And with the recent ch ange in some of the guidelines.

We believe this to be an upcoming almost $200 billion opportunity with around 100 such biologics expected to lose exclusivity over the next decade. So we are going to enhance our efforts on biosimilars. We have a JV with Kemwell, which is focused on executi on, which has an initial pipeline of respiratory assets and oncology assets.

We are looking at adding at least 1 to 2 assets on in -house biosimilar development through this JV, which will really build our presence in the biosimilar space over the next 5 to 7 years. On the back of these ambitions and with a very solid foundation of execution, we are also accelerating our AI -led transformation.

Our strength has always been on execution across quality manufacturing and regulatory. And with the AI transformation, we aim to become a leading AI -led pharma organization. We have invested in robust data and technology foundations, which allows us to sca le this up in a structured and sustainable way and also in a very timely fashion. So we will be focusing a lot on driving efficiency, productivity and better decision-making with the help of AI over the coming months to coming years. I would now like to in vite Ashish to present the financial and operational performance.

Ashish Adukia: Thank you. Thank you, Achin. I'd like to present the key financial highlights for the quarter and the financial year. So we reported a quarterly revenue of INR 6,541 crores. And as a result of that, we ended the year with INR 28,163 crores. The EBITDA margins for the quarter stood at 15.2% and 21% for the year. And like every time, this does not include other income.

The gross margin after material costs stood at 65.6% for the quarter and 66% for the full year.

And this was primarily driven by the product mix in the revenue. Total expenses for the quarter include the employee cost and other expenses, which stood at INR 3,296 crores. This was higher by about 10% Y -o-Y.

Annually, the expenses were INR 12,689 crores, which was again a similar percentage increase Y-o-Y. The increase in employee cost reflects our planned investments in talent, both to support our markets as well as to strengthen our manufacturing readiness in both India as well as in the U.S.

Overall, the operating expenses also include continued investment in R&D, which stood at INR509 crores, which is at about 7.8% of the revenue for the quarter. And for the year, it was INR1,974 crores, which is at about 7% of the revenue. These investments are aligned with our pipeline priorities.

It enables our new launches and it builds readiness for the upcoming products. As a result, we are scaling up our annual filings like it has been highlighted by Achin. In addition, we have started to see some impact of ongoing geopolitical situation within the operating expenses, which we are closely monitoring.

In the near quarters, we don't see a meaningful impact. But in the future quarters as the revenue inventory gets consumed, you'll see that impact coming through. For the quarter, PAT stood at INR 555 crores, representing 8.5% of sales with an effective tax rate of 22.2%. On the full -year basis, the PAT amounts to INR 3,879 crores, accounting to 13.8% of sales, while the ETR for the year is 25.9%.

Our ROIC stood at 22.9% for the year. And of course, PAT also assumes a certain impairment that we have had during the quarter. Our free cash flow generation and operating efficiency continues to drive healthy net cash position. As of 31st March 2026, the debt on our balance sheet, including the lease liabilities stood at INR 614 crores with net cash equivalent balance at INR10,526 crores.

Looking ahead, our key priorities will include for One India would be to focus on execution to sustain the growth momentum and to outperform the market in branded generic, trade generic as well as in consumer wellness. We will further strengthen our presen ce in chronic therapies, including Diabetes, Cardiology, Urology and Dermatology while maintaining the robust trajectory that we have built in Respiratory.

In North America, we will concentrate on enhancing our commercial execution and accelerating new product introductions. And our aim is to cross $1 billion mark as a run rate towards the end of this financial year, i.e., FY '27. In South Africa, our focus w ill be on improving the private mix with correction in tender contribution.

In EMEU our top priority is to drive top line growth by deepening penetration in core markets while maintaining a strong margin trajectory. Looking ahead to FY '27, supported by our ramp-up of new launches and investments that we've made across our manufacturing facilities and

ongoing expense optimization initiatives.
We expect the EBITDA margins to be in the range of 18.5% to 20% and this would be actually achieved with a sequential improvement quarter -on-quarter with the key improvement being in the second half of the year. On an overall basis, you will have 18.5% to 2 0% kind of a range. And this guidance does not include any contribution from Lanreotide in FY '27. I'd like to thank you for your attention, and we'll revert back to the moderator to open up for the questions and answers.
Moderator: Sir, should we open the floor for questions?
Ashish Adukia: Yes. Sure, please.
Moderator: Thank you very much. We will now begin with the question and answer session. Your first question comes from the line of Vishal Manchanda from Systematix.
Vishal Manchanda: During the quarter, did we kind of book any shelf stock adjustment for Revlimid?
Achin Gupta : No. I think we had shared thi

s in the last quarter as well. We did not have any SSA adjustments.

Vishal Manchanda: Okay. And second, on generic Ventolin launch that you are expected to do next month. So just wanted to understand if the Innovator is supposed to launch a green version of Ventolin sometime by third quarter of this financial year. So hypothetically, if the innovator is replaced -
- is able to replace all of their Ventolin product with the new version, would that impact Cipla?
Achin Gupta : Generic to the existing Ventolin. The switching to another variant is -- I think that will be a process, which is not an automatic process under the U.S. law at this point of time. So we do not anticipate any near -term impact of that change as and when th e transition starts to happen.
Vishal Manchanda: Okay. And if you could update on the respiratory pipeline, the key assets, Advair, Symbicort, Qvar , Flovent?
Achin Gupta: So I think as we had guided, we were expecting four approvals this year. Ventolin has already got approved. We are having different goal dates for different products. So during the year, we are expecting Advair, Symbicort and then one other asset to get approved. So this will happen during, I think H1 and 1 is H2 as well.
Vishal Manchanda: Okay. And what is holding back Advair for so long?
Achin Gupta : I think your question is probably more historic. If you recall, we had OAI at our Indore facility. So we had to tech transfer to the U.S., which caused the delay. But now we are ready with everything. So it's just a matter of receiving the approval.
Vishal Manchanda: And just one final one.
Achin Gupta : Sorry just to complete w ent through a pre -approval inspection on our U.S. facility for this particular product.
Vishal Manchanda: Got it. And just one final one. Do you expect to see any benefit out of the EU FDA for your respiratory portfolio because you source a lot of the basic devices from Europe?
Achin Gupta : At this point, we are not expecting any meaningful impact of that. I think it's more business as usual at this point in time.
Vishal Manchanda: So is there a change in the duty structure there? Or it remains the same pre and post EU FDA?
Ashish Adukia : It remains the same. So there is no benefit as such. And in EU, we are already selling Respiratory devices, which are in -house. So there's no significant benefit that we see coming from EU FDA.
Vishal Manchanda: My question was more from a sourcing standpoint, the key raw materials that come from Europe, would they be cheaper for you?
Ashish Adukia : No. So it's -- we get some raw materials from there, especially on the devices side, but there's no any such benefit that we have out there.
Moderator: Your next question comes from the line of Sidharth Negandhi from CWC.

Sidharth Negandhi: Just wanted to understand the specific initiatives around AI, which you mentioned. If you could share any specific initiatives that you've taken and anything -- any other pilot initiatives that you see scaling up in future?
Achin Gupta : Yes. So AI is a broad -based implementation that we are targeting, which will focus across multiple functions. And the difference between what used to happen in the past versus now is we are focusing on end-to -end processes versus small limited use cases. So this will be -- we have implementations across quality, regulatory, corporate functions and a lot of the R&D -
related use cases as well. So the idea is to use it in a way that helps obviously faster and better decision -making, but also ultima tely gives us productivity benefits.
Sidharth Negandhi: Right. And on the biosimilars front, I just wanted to understand in terms of your strategy for

biosimilars, are you looking at in -licensing? Or are you looking at your own development? And what sort of a pipeline and time line a

re you looking at for that, both from a U.S. and EU perspective? And is that sort of accelerated given the new FDA draft guidelines?
Achin Gupta: Yes. So we have predominantly an in- house strategy where we have 2 assets currently under development for developed markets. One of them is already under clinical trial under an IND of U.S. We will be adding 1 to 2 assets each year, which will then, therefore, start resulting into a pipeline of 6 to 8 in- house assets over the next 5 to 8 years.
On top of that, we are considering a limited amount of in-licensing where there are near -term opportunities that are not within our in- house portfolio. So for those, we are open to considering some in -licensing opportunities as well. But we see this as a n ewer space more so because of the changes to the guidelines, which have placed us in a good position where we can run these like the other complex projects, and we can benefit from the overall economics of developing these projects.
Moderator: Your next question comes from the line of Surya Patra from PhillipCapital.
Surya Patra: My first question is on the U.S. revenue guidance, what you are talking about, about $1 billion by the end of this year. Sir -- and also simultaneously, you have mentioned that in your guidance for '27, you have not factored Lanreotide. So that means in y our expectation for FY '26, you are not considering Lanreotide. And obviously, this Lenalidomide is not there.
So if we kind of deduct these two product revenue from the $780 million annualized revenue of FY '26 for U.S. So the number what you're talking about is almost like double the size of base U.S. business of FY '26. So what is the kind of a bridge that you are talking about where from this revenue buildup that will happen? Can you give some clarity, sir?
Achin Gupta : Yes. So the guidance, I just wanted to clarify is a $1 billion run rate by the end of the year. We are not guiding for $1 billion revenue during the year, right? And the reason for that is because a lot of this is contingent on pipeline maturing. So we ha ve 1 approval already in hand. As we mentioned, there are 3 other respiratory approvals.
There's one big peptide approval, and there are 3 other products which have already got approved in the year, smaller assets, et cetera. So as these products get approved, our run rate will keep

improving, and we will get to that $1 billion by the end of FY '27. Which puts us in a very good position because what -- historically, we were shy of that, we would want to see the year ending at a good run rate of $1 billion in the U.S.
Surya Patra: Okay. So that means kind of in the second half, we will see a run rate of almost like $100 million incremental revenue versus the quarterly run rate in the first half?
Achin Gupta : Yes.
Surya Patra: Okay. And now is it fair -- I mean since you have mentioned that Lanreotide, you have not factored while guiding the margin for the year. So is it -- so what is the outlook that we are giving for Lanreotide for this year and for the subsequent period give n the kind of total disruption that we are currently seeing for that molecule?
Achin Gupta : Yes. So for Lanreotide, we have the partner who is working on the remediation efforts. And that's in full swing, and we are helping them as much as possible on navigating that part. So I think maybe by next quarter, we'll have closer visibility on their e xact remediation time lines, which will also include a reinspection from the FDA.
So that we can come back and guide after a quarter. But in parallel, we have also identified alternate supplier for this -- alternate manufacturing site, which will be based out of the U.S. So the objective is to be able to file by early next year -- next calendar year or Q4 of this financial year. That gives us a two -pronged approach to overcome this. And so I think it will come b

ack.
It's a very interesting opportunity being a long-acting injectable. And once we are able to resolve either of these 2 and n ow we have two shots at the goal. We will be back in this definitely from an FY '28 perspective, it will be.
Surya Patra: Sure, sir. Sir, on Ventolin, that is the next question. So when we already mentioned that we have around 22% kind of -- or more than 20% kind of market share in the Albuterol market itself in the U.S. So now with another variant of Albuterol is getting approved, do you find any changes to the kind of market dynamic in terms of the pricing or in terms of the competition or in terms of your scope in Albuterol as a whole, whether it will lead to incremental business or not since it is a variant of albuterol only and the prescription would be based on Albuterol HFA that way?
Achin Gupta : No. T hese are different products because they get substituted to the different innovator products. So it's a different NDC, different market. And we have CGT on the generic Ventolin. So we will actually be exclusive for a 6 -month period. And we expect a signifi cant uptick. There is no

cannibalization that will happen on the other variant, which is a generic to another variant of
same molecule. So we're more likely to take the share from the existing Ventolin suppliers rather
than going from the other franchise.
Surya Patra: Okay. Just last one question from my side, sir. Is there any scope of rationalization of the cost
on the cost front, see because if the revenue is likely to slide on the U.S. front, particularly, so
are we likely to see any reduction in any cost line item for FY '27?
Achin Gupta : So look, there are two parts talking on a number of productivity enhancement measures, which
will help us optimize the cost, including some of the tech-related transformation that we spoke

about. But the short term, there are disruptions because of the war situation on sourcing side. So
right now, we're having visibility to what we've seen so far.
But if it prolongs, that's something that is still yet to be quantified. But to answer your question
on basic efficiencies and productivity, yes, we are working on that, and it will materialize as we
go through during the year. There's one more point which I think you should keep in mind is we
had invested in our North America facilities for these complex products. And so far, the cost has been there in the last quarter or 2, but the revenues have not commensurately come. So we will
see that corresponding r evenue with the new launches. And therefore, the economies of scale
will improve as we go along.
Moderator: Your next question comes from the line of Tushar Manudhane from Motilal Oswal Financial
Services.
Tushar Manudhane: Sir, just on the R&D connecting R&D spend overall almost INR 2,000 crores and -- but at the
same time, very few ANDAs being filed. So is it that the R&D spend for ANDA is significantly higher maybe for FY '26, '25
compared to the earlier, let's say, the philosophy of R&D spend for
ANDA? That's my first question?
Achin Gupta: Yes. Actually, we have gone up products, including some First -to-Files, which are on
Oligonucleotide side as well. So we've gone into more respiratory, more peptide and more Oligo,
which is resulting in higher spend per filing.
Ashish Adukia: And some of these also involve litigation cost as well. So that also leads to higher R&D spend, which has got everything in that R&D spend that you see, both API cost, your R&D that you buy, litigation, et cetera, et cetera. And of course, some of these O ligonucleotide, et cetera, we
go outside to CRO, CMOs as well. So there is also cost involved in that.
Tushar Manudhane: So sir, typically, at least for without getting into product specific details, but let's say for Respiratory and Oligo products, like per ANDA R&D spend broad

number you would like to
call out?
Achin Gupta : I think that's very case specific. So it's difficult to call out an average number. We are guiding
towards 7% -ish on R&D spend as a percentage of sales. And we're also going to -- I think in the
mix, the mix will also change slightly in the coming year be cause, as I said, 40 to 50 filings with
Respiratory with First -to-Files and certain number of peptides, et cetera. So hard to put a metric
on per filing because the nature of that filing changes a little bit. But our endeavor is to go after complex opportunities, which keeps the business sustainable and NPV per project has to be high
right, that's the internal criteria.
Tushar Manudhane: Got it, sir. And secondly, the Albuterol market share has sort of reduced quarter -over-quarter
while the number was at 19.5% it moved up to 22%, and we are now back to 19.5%. Anything to read through in that?
Ashish Adukia: No. I think it's hardly a reduction that you see out there of 0.4% or so that we've seen. So I think 19% to 20% or rather 19.5% to 20% is something that you should pencil in -- we are ranked out

there. And if the supply was -- if you could supply more, then we could -- there's a potential to
increase the share as well.
Tushar Manudhane: And just to complete on the R&D part, is this Indore regulatory issue also one of the reason for,
let's say, is the delay in filing because of the regulatory issue at Indore site or the Indore site
classification has got nothing to do with the filing of t he assets?
Ashish Adukia: No. So now we have derisked out of Indore. So our assets are filed from U.S. And one of the
assets we are doing from Goa because Goa is here.
Tushar Manudhane: No, no. I was referring to, let's say, prospective filing, not the ones which are already filed. Let's
say, where we do R&D spend, where the product probably from validation or exhibit batches
are ready but because of classification at Indore site, the acceptance of filing by U.S. FDA, is
there that kind of a delay also happening?

Ashish Adukia: Same likewise for potential filings also, we are focusing more on Goa and U.S. sites. And Indore, I think we will accelerate as and when -- as soon as it clears. Yes.
Tushar Manudhane: Got it, sir. And just lastly on Ventolin, this product will see a gradual pickup in terms of market share? Like what's your strategy, if you could highlight, given while we have exclusivity, but will the pickup be gradual enough or we can have a sizable b usiness in, say, 2 to 3 quarters time line?
Ashish Adukia: Yes. So you will see towards second half a ramp -up happening in generic Ventolin. Though we will launch it within the quarter 1 and quarter 1, yes, but the ramp- up will happen in half 2.
Tushar Manudhane: Capacity won't be the constraint for this product?
Ashish Adukia: No. We have U.S. facility for it.
Tushar Manudhane: From the device combination as well perspective?.
Ashish Adukia : From big, sorry, come again?
Tushar Manudhane: From the drug device while drug would be there from...
Ashish Adukia: Not a problem at all on the devices side.
Moderator: Your next question comes from the line of Damayanti Kerai with HSBC.
Damayanti Kerai: My question is again on your U.S. exit guidance of $1 billion in FY '27. So you indicated a couple of interesting products in respiratory peptides, et cetera, which can help you to achieve this rate. So my 2 questions there. What kind of visibility you ha ve on these products, which gives you confidence that you can receive approval in this year? And second is for some of the bigger assets, what kind of risk mitigation strategies which you have already implemented? So if you can elaborate on these 2 points?

Ashish Adukia: No, see I think it's -- in terms of confidence in each of these assets, we are seeing some developments happening. Like for example, in Advair, now you've had a PAI that has happened. Okay. Ventolin where we were expecting around the same time we've got t he approval. In certain other assets also, there is an ongoing discussion readiness that is there.
Of course, we can't anticipate when the approval will come through. But some of them, we are aware of the goal date, et cetera. Well for quarter 3, quarter 4 ramp -up to happen to $1 billion kind of a run rate. And that's what we have envisaged in our business plan. And from facility point of view, all these facilities are also derisked. So from internally, it's only pending approval from internally we are ready to kind of launch these assets as soon as the approval comes.
Damayanti Kerai: Sure. So when you say facilities issues are derisked, so most of these filings are filed from 2 sites, say from India and from U.S. Is that the case?
Ashish Adukia: No, that won't be the case. Right now, these are filed from U.S. or from Goa, you will have 1 or 2 assets filed. But -- and these are respiratories that I'm talking about. The peptide is with a partner site outside. So we don't anticipate -- that we don't anticipate any risk in the facility. Goa has recently got inspected as well. There are 2 observations we are waiting -- we have responded to those observations. We are waiting for the classification. I can't comment on that. But nevertheless , that's the status of our visibilities here.
Damayanti Kerai: Sure. My second question is on your India business. So obviously, fourth quarter, I believe, is very strong. And full year, you ended at 9% growth for the segment. So when we look ahead, say, '27, '28, do you think you can outpace IPM growth in, say, next 1 or 2 years or it might take slightly longer because the market growth also improved in recent time, we are seeing around low double -digit growth for market. So on that perspective, you are just like close by, but not outpacing the market as of now?
Achin Gupta : Yes. So we are confident that we'll be able to deliver a strong double-digit growth as well as a market beating growth in FY '27, '28. And we've been seeing that consistent trend over the last couple of quarters.
Damayanti Kerai: Okay. So you think it's possible. Okay. And my last question is on your gross margin trends. If qualitatively, you can give some color given now your product pipeline is becoming more complex generics heavy. So in that sense, how should we look at your gr oss margins in the near term or in medium term?
Ashish Adukia: Yes. See, it's a large mixed bag in the gross margin. So there are many factors that go into it. So like in the last quarter, I had highlighted that we had R&D cost, material costs going up due to which the gross margin had got impacted. So some bit of that has got reversed in this quarter where the margin is better because also not just the product mix, but also because the R&D material cost was lower in comparison to the previous quarter that you saw.
I think the way I look at it is that, of course, Lenalidomide was a high margin up. But most of our Respi assets that are coming are mostly in -house products. So in -house products will always give you a higher end of the margin more than the company averag e that you're seeing today.

So it will only accrete to your company gross margin. But at the same time, some of the peptides that we're talking about in Oligo, Oligo is much later, but peptides that we're talking about, they are partnered products. So while the gross margin could be high out there, but there is also a profit share as a royalty that we end up paying, which goes into gross to net.
So therefore, your gross margin in those products will be after the profit share, which kind of brings it down. But at the same time, the SNDA et cetera, in the U.S. at least is not much. So

it
is accretive significantly to your EBITDA margin. In India, we are moving more and more towards chronic.
So chronic will definitely come with 5% to 10% better gross margin. And we are keeping a very tight control on how much what ILDs we do. So keeping all these things in mind, I think gross margin should have a positive bias. And the last thing that I just w ant to highlight is that generally, you will see in the results also there are strong control that we have over cost.
So every year, we take some target to actually reduce the cost such that it is lesser than the revenue growth that you see out there. So I think these are the things that we take care of. Of
course, there is this whole geopolitical and war risk that is the re. We had some impact of that in quarter 4. We have some impact in quarter 1 not significant though. But some of these inventories that you're buying today as it gets consumed in second half, there may be some cost, but that's temporary. Like I think your question was more around longer -term sustainable?
Damayanti Kerai: Yes.
Ashish Adukia: From the term I've talked about, but there may be some blips here and there because of the reasons that I mentioned.
Moderator: Our next question comes from the line of Nikhil Mathur with HDFC Mutual Funds.
Nikhil Mathur: I'm sorry to be hopping on the U.S. guidance. One clarification. When you're saying that you will be at a $1 billion exit run rate, does it include Lanreotide or it doesn't include any contribution from Lanreotide?
Achin Gupta : At the moment , we've left that out of this guidance. So that will be an upside to plan if we can successfully get back in the market before that.
Nikhil Mathur: Okay. So if I analyze this quarter's U.S. revenue, you are at around $620 million. We are talking about $1 billion exit. So this is about $380 million of incremental revenue. Just wanted to understand the skewness of this $380 million. So there are, I thi nk, 6, 7 products t hat you are launching this year?
How -- what kin d of contribution will be from one or two products in this incremental revenue? Will it be skewed towards one or two products or can there be equitable distribution among 6, 7 products? Because it's -- I'm just asking so it doesn't create a big risk in FY '28 because if competition comes in, then again, you kind of face a situation which you faced in Revlimid this year?

Achin Gupta : So Nikhil, in terms of annualized revenues from these products, I think a couple of them, we are expecting $100 million plus annualized opportunities, right? And the other 2 are also significant, right? So -- and then there's -- so this is respiratory and then there's a peptide asset, which is also big.
So we are expecting big contributions. I think the reason we are not able to give a quarter -wise kind of breakup or a product -wise breakup is because the timing of launch, if it moves 1 or 2 months, that affects the full year number. But run rate -wise, assuming we have these launches, we will be able to cross that run rate by the end of the year. So there are 2, 3 big opportunities and a couple of medium -sized opportunities.
Nikhil Mathur: Got it. And what kind of a tail are we looking at in these plus $100 million opportunities? I mean, can they continue for, let's say, a couple of years, '28 and '29 or in '28 onwards only, we can see some bit of erosion starting to happen?
Achin Gupta : So see, these are not like the 6 -month exclusivity kind of opportunities. So even if competition enters, they will taper off slowly, right? So they are more like the way to look at it is what you saw in our Albuterol or what you saw in our Lanreotide prior to supply disruption issues. These are more steady opportunities. So where we have to manage some level of price erosion, but not a cliff kind of scenario, right? So these are steady opportunities.
Ashis

h Adukia : And if there is a price erosion with new competition coming in, you may see some volume going up. So you'll have to manage it as a dollar value rather than looking at it as volume or a price

gain.
Nikhil Mathur: Understood. On the India business, can you quantify the contribution from your peak in 4Q? I imagine it's only 4Q where your peak would have contributed, not in 3Q, right?
Achin Gupta : Yes, it wasn't that large because real sales started happening in Jan, so Jan, Feb, March. We've seen growth internally in secondaries. April also, we saw an improvement over March on secondaries. But yes, I mean, it's not out of the 15% overall One India we've reported, it's not going to be a meaningful percentage.
Nikhil Mathur: Sub 1%? Is that the sub-1% or sub -2%? Is that how we should read it?
Ashish Adukia: I think those figures are broadly available in the market. If you look at IQVIA, I'll give you a direction of how much primary we are doing.
Nikhil Mathur: Okay. And is there any M&A component or in -licensing component that I might have missed, which is also leading to this double -digit growth in 4Q?
Achin Gupta: Yes, we had in -licensing of some Pfizer products. We had a small acquisition of a business called Inzpera. Yes. So base will still be double digit.
Ashish Adukia: I think the presentation also we had mentioned, I think the 4 last time or we've always announced the three, four IDs and acquisitions that we've made.
Moderator: Our next question comes from the line of Saion Mukherjee with Nomura.

Saion Mukherjee: I think over the next, let's say, 2, 3 years, how should we think about your capital deployment, both, let's say, organically or inorganically, if you can give any color the kind of assets and capabilities that you're looking at?
Ashish Adukia: Yes. So look, I think we are preparing for a solid growth over the next 5 years and beyond. And for that, I think the number 1 deployment is going to be on R&D side. So we have plans to accelerate R&D pipeline. So Respiratory assets, we have some under approval, more which we are filing. Complex products, which we outlined was peptides, other differentiated products. But also we're going to step up on biosimilar side, where we would want to do roughly 6 to 8 internally. And if we find a couple of good opportunities, we can supplement throu gh inorganic as well, so that will cons ume some capital.
Then we have cap ex, which we have increased steadily over the last 3 years. So this cycle will probably reduce after another year or so because we've built enough capacity for the products that we want to supply. And beyond that, we will be led more by productivity initiat ives. On top of that, inorganic, we are interested in looking at assets. We evaluate several assets.
Our bias is more towards differentiated specialty kind of products for developed markets, which is U.S. and Europe, which give us a more sustainable growth and some capabilities as well. So I think those are the areas where we would want to deploy capital in order to sustain the entire trajectory over a longer period of time.
Saion Mukherjee: Yes. Anything in India or emerging markets like more in branded generic space you think Cipla would be looking at or this would be largely organically built?
Ashish Adukia: So India, we've actually put a slide in the investor deck on the partnerships we've done. Acquisition, a large acquisition in India is a little difficult for us because we are a number 2, number 3 player. We're actually number 1 by volume. So whenever we start looking at some of these, there is a significant overlap that we have to account for. So emerging markets Europe remains a very good opportunity for us. We're looking at that. And if we find opportunities where we get busi ness plus capabil ities, that would excite us a little bit more because then th

at gives
us the platform for future growth as well.
Saion Mukherjee: Right. Actually just one clarification because the cash on balance sheet is pretty large now. And the kind of expansion organically and inorganic opportunity, it appears that it won't get consumed. So I mean, are we even thinking about high dividend payout? What are your thoughts on the cash that you have on your books now?
Ashish Adukia: So see, there are opportunities to deploy. We need to be selective. We -- when we look at it as in absolute rupee terms, it looks high. But if you were to chase 1 or 2 large transactions, meaningful transactions, this is not a very high amount of cash. So I don't think we are worried about the cash on our books.
It gives us flexibility and it gives us opportunities to look at options which can help the future growth of the organization. At the same time, we do remain selective because the kind of

opportunities that we are looking at have to really pass all our filters in terms of diligence and

adding strategic value.
Moderator: The next question comes from the line of Neha Manpuria with Bank of America.
Neha Manpuria: A quick question on the India business. I think you mentioned we grew double digit in the trade generic business, and I see we are growing double digit in consumer health care as well in FY '26. So is it fair that the branded generic business has actually been pretty muted for the entire year? Therefore, what gives us confidence that we'll be able to beat India growth in the next year?
Achin Gupta : Yes. So I think we mentioned that all the 3 segments of the business have done really well in -- especially Q3 and Q4. Q1, we had a muted quarter on the branded Rx business. But that is behind us now, right? There were reasons related to seasonality, et cetera, but we've not seen those similar reasons as we started this particular financial year.
So -- with the products we have and the strategies that are there, we are quite confident, and we've seen that trend now over at least 2 quarters, which gives us confidence that this will continue. And also, we should still acknowledge that acute is a fair representation in our mix in comparison to other players and market, okay? So -- and that is season dependent. And last couple of years, we've had a challenging season. So we have to work much harder in other part of our portfolio to achieve that growth, which at least we've been able to do in the second half of the year.
Neha Manpuria: So in that case, given that we've had a fairly low base on seasonality, ideally, even a normal season should give you that tailwind for India growth this year, right? That would be a fair assumption, even if we didn't have like even a normal season should help.
Achin Gupta : Yes. So that's why we're saying we are confident about the double -digit growth because we -- the seasonal patterns don't happen too many years in a row, right? So I think the base was low for last year on some of these acute things, but also the chronic p ortion, particularly diabetes, cardiology has grown significantly. So we have also diversified beyond that seasonality dependent portfolio. So yes, we will overcome this.
Neha Manpuria: Okay. And my second question is on the margin guidance that we mentioned, 18.5% to 20%. Given that a lot of the U.S. growth will be -- the high -value launches will be second half weighted. Is it fair to assume that in the second half, our margins could be north of the 20% range and therefore, the average that you've given? Would that be a fair assumption?
Ashish Adukia: Yes. So that's exactly what I had mentioned initially that in 18.5% to 20% that we're guiding, it will be more in the favor of H2 where you will have better than average and first 2 quarters where we don't have the benefit of new launches, we will see a l ower margin than the average that we're giving

. So yes, that's the trend that you will see.
Moderator: We take our last question for today from the line of Vivek Agarwal from Citigroup.

Vivek Ag arwal: I'm just again trying to understand your EBITDA margin guidance. Given the outlook you provided for the U.S. business, $1 billion plus run rate and India double -digit growth in FY '27, this 18.5% to 20% appear a bit conservative. So just trying to underst and, have you baked in significant impact of, let's say, input cost increase or impact of geo political situation, etcetera o r anything that is holding you bac k from giving a better guidance?
Ashish Adukia: See, I think we have made a lot of investment in the last 1 or 2 years, both on people as well as on R&D. And both these costs is going to sustain. People costs will continue to be high because we've made manufacturing facilities and to add the field force etcetera. I think more or less that investment phase is coming to an end.
But of course, that people cost is now sitting with us and revenue of that will start coming in, like Achin had said later with the new launches coming in. R&D also, while it is discretionary and in hand, but still will continue to be at about 6% to 7%, bu t more biased towards 7% because we are increasing the number of programs, et cetera.
So therefore, I think 18.5% to 20% is a fair margin to assume. We are taking in more moderate kind of war risk and we are hoping that it's temporary and not really going to sustain. If it sustains, then of course, this margin we'll still try to mitigate th rough other measures. But nevertheless, we're not factored in a very long -term kind of sustained impact of that.
Vivek Aga rwal: Understood. And given that you are suggesting 2H margins to be better than 1H, and it will affect new launches in the U.S. So is it fair to understand that '28 margins or F '28 margins can be materially different or better than F '27?
Ashish Adukia: I think that would be our target, right? So we will obviously work towards continue to improve our targeted margin. To be fair, I think it should 20 plus is something that we should anyway sustain going forward.
Vivek Ag arwal: Last question on one product Nintedanib. So how material this product can be? So is it a very short -term opportunity for 2, 3 months or it can last throughout this year. You can help us understand.

Achin Gupta : It's not a very large product, but we've got good market share. So it's doing well for us. We've had a few other launches as well already in the year. But these are not -- I would not call them out separately. They're not of that.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Ms. Diksha Maheshwari for closing comments.
Diksha Maheshwari: Thank you, everyone, for joining in. If you have any further questions, please write it to investor.relations@cipla.com. Thank you.
Moderator: Thank you. On behalf of Cipla Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.